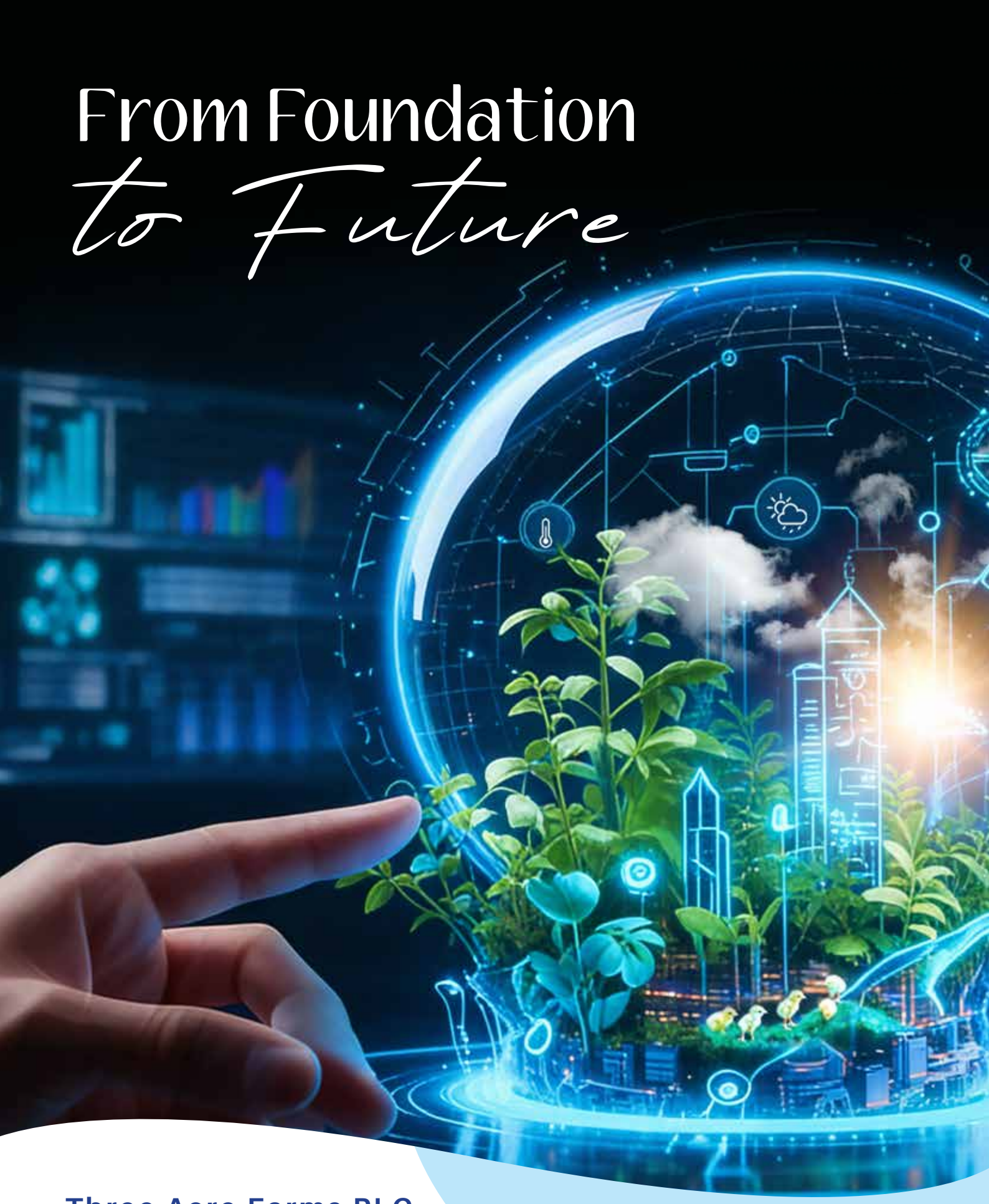
From Foundation *to Future*



Three Acre Farms PLC
Annual Report 2025

Contents

ABOUT THE REPORT

About The Report 2
Our Core Values 6
Our History 7
Historical Milestones 8
Group Structure 10
Our Product Portfolio 11
Board of Directors 12

THE YEAR AT A GLANCE

Financial Highlights 15
Non -Financial Highlights 16
Socio Economic Impact 17
Awards and Accolades 18
Chairman's Statement 20
Chief Executive Officer's Review 22

STATEGIC FOCUS

Business Model 24
Stakeholder Engagement 26
Material Topics 32
Business Strategy and Resource Allocation 40

MANAGEMENT DISCUSSION AND ANALYSIS

Operating Environment 46
Financial Capital 50
Manufactured Capital 60
Intellectual Capital 66
Social and Relationship Capital 74
Human Capital 90
Natural Capital 110
Balancing Capital Connectivity and Trade-offs in Value Creation 123

GOVERNANCE AND LEADERSHIP

Corporate Governance Review 125
Audit Committee Report 151
Remuneration Committee Report 154
Nomination and Governance Committee Report 155
Related Party Transaction Committee Report 156
Risk & Opportunity Management Report 158

SUSTAINABILITY REPORTING

Climate Risk Report 173
Approach to Sustainability and Commitment to SDGs 177
ESG Performance of Consolidated Statement 182
SLFRS Sustainability-Related Financial Disclosures 186
GRI Content Index 208
SASB Index 212
TCFD Framework 218

FINANCIAL REPORTS

Financial Calendar 228
Report of the Board of Directors on the State of Affairs of the Company 229
Statement of The Directors' Responsibility 232
Independent Auditor's Report 233
Statement of Profit or Loss and other Comprehensive Income 237
Statement of Financial Position 238
Statement of Changes in Equity 239
Statement of Cash Flows 240
Notes to the Financial Statements 241

INVESTOR HIGHLIGHTS AND INFORMATION

Five-Year Financial Summary 280
Statement of Value Added 281
Shareholder Information 282
Glossary of Financial Terminology 284
Notice of Meeting 286
Form of Proxy 287
Corporate Information Inner Back Cover

From Foundation *to Future*

The strongest futures are built on firm foundations. At Three Acre Farms PLC, our progress reflects the balance between deep roots and forward-looking vision where time-tested expertise meets modern innovation to create growth that is both resilient and ready for tomorrow.

Like a tree supported by an intricate root system, our integrated value chain draws stability from disciplined processes, trusted partnerships, and decades of knowledge. During the year, we strengthened the base of our operations while accelerating digital and technical enhancements across farm management, quality assurance, and distribution. These advances allowed us to remain agile in a complex environment, delivering consistent performance while preparing the business for what lies ahead.

Sustainability continues to guide our direction. By combining responsible resource use with innovation, we ensure that growth today supports opportunity for future generations.

From strong roots to expanding horizons, we continue to build momentum, bridging stability and ambition as we move from foundation to future.

About The Report

GRI 2-3, 2-4

Three Acre Farms PLC (hereinafter referred to as the "TAF Group" or the "Group") Presents this 3rd Integrated Annual Report to provide stakeholders with a comprehensive overview of the Group's performance, position, and future outlook.

This report offers a balanced and transparent account of both financial and non-financial performance, reflecting the Group's continued focus on generating sustainable, long-term value. It outlines the key strategic priorities and initiatives undertaken during the year to strengthen core operations, improve efficiencies, and respond effectively to an evolving business landscape.

The report further demonstrates our commitment to high standards of corporate reporting, with a strong emphasis on transparency, accountability, and sound governance practices. It also illustrates how sustainability considerations are embedded within our business model and decision-making processes, supporting the creation of resilient and responsible outcomes for all stakeholders.
This publication marks the 3rd Integrated Annual Report issued by the TAF Group since the commencement of its integrated reporting journey in 2023. The current report, together with previous reports including the most recent FY 2025 publication, is available on the Group's corporate website: https://prima.com.lk/businesses/ceylon-grainelevators/.

There have been no restatements in relation to previously published reports.

Prepared in accordance with integrated reporting principles, this report highlights the interconnections between the TAF Group's strategy, business model, operating context, governance framework, and overall performance. It also explains how material risks and opportunities are identified, assessed, and managed across the organisation.
By adopting this integrated approach, the report presents a holistic view of the Group's value creation process over time, demonstrating how multiple capitals are effectively utilised to drive sustainable growth and long-term resilience.

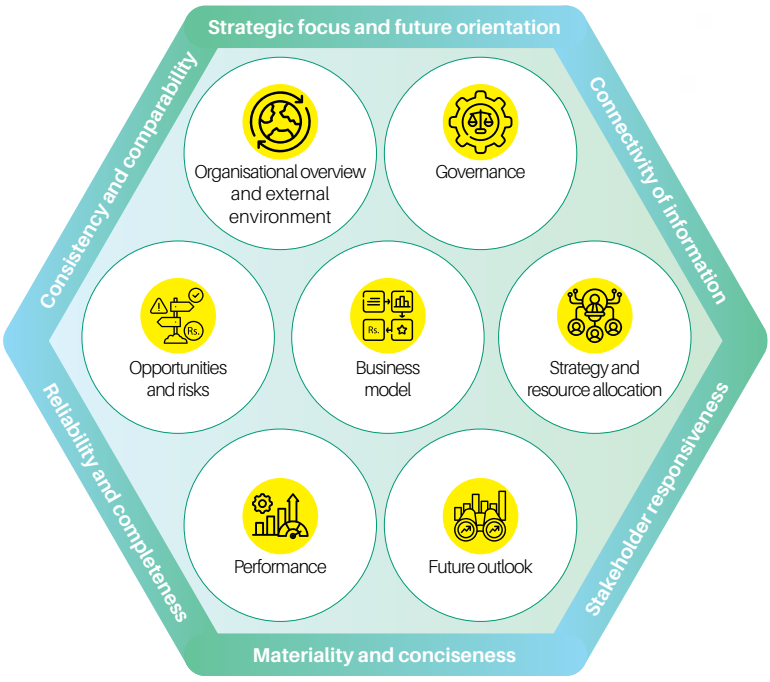




Scope and Boundary

Both qualitative and quantitative information presented in this report covers the period from 01 January 2025 to 31 December 2025, aligning with the Group's financial reporting cycle (FY2025).

The reporting boundary encompasses the TAF Group's key operations, including the full poultry value chain from breeder and broiler operations to commercial farming.



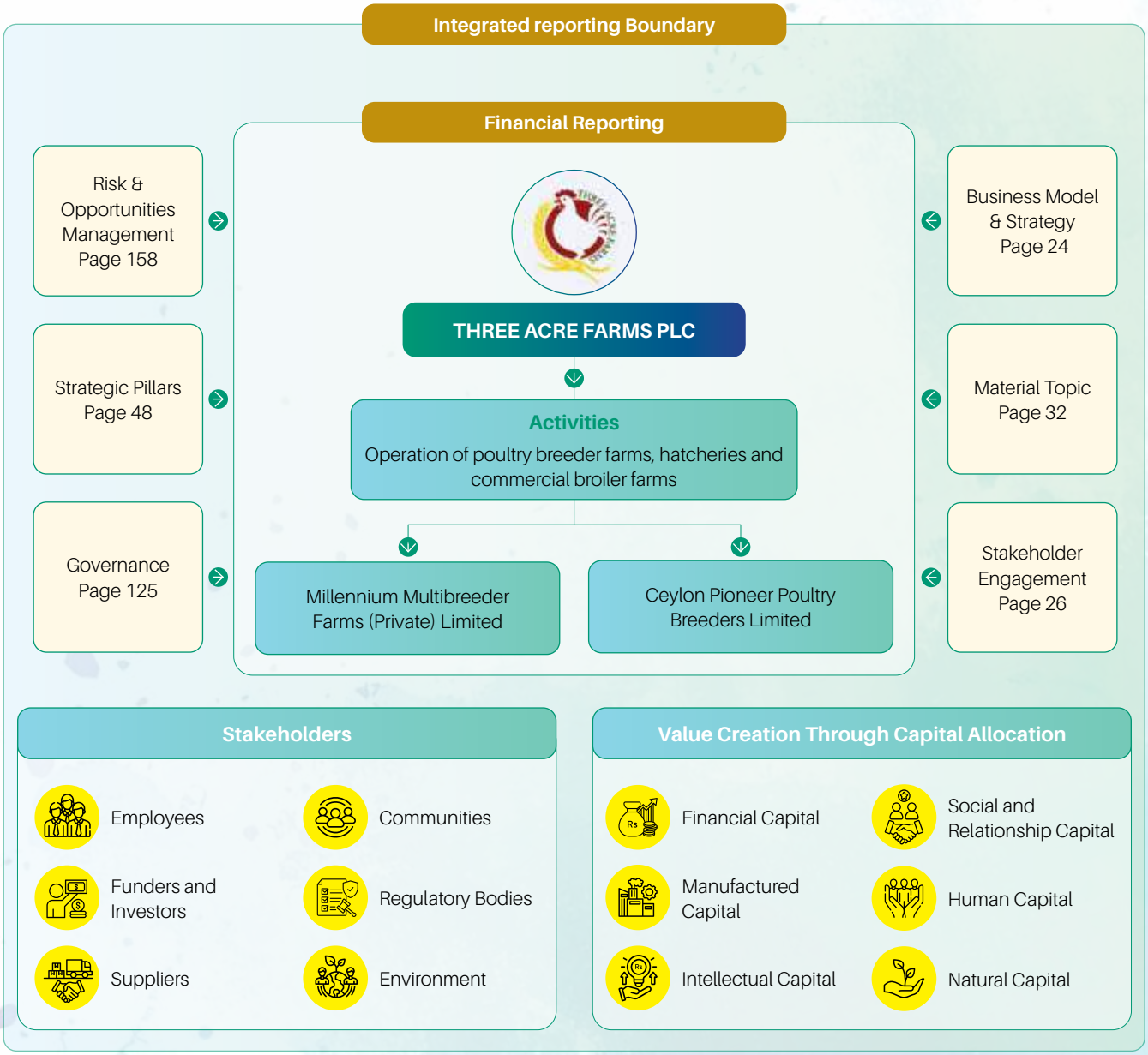
Notable Improvements in the Integrated Annual Report FY 2025

- Full adoption of SLFRS S1 & S2 disclosures
- Voluntary disclosures aligned with GRI 13: Agriculture, Aquaculture and Fishing Sectors (2022)
- Voluntary disclosures in line with the SASB Meat, Poultry & Dairy Standard(2023)
- Voluntary disclosures aligned with the TCFD Framework, including Supplemental Guidance for Non-Financial Groups – Agriculture, Food, and Forest Products (2021)
- Enhanced transparency in resource allocation across the Six Capitals, including identification of risk impacts, value creation, and alignment with SDGs
- An integrated Risk and Opportunity Management Report covering both sustainability and climate-related risks and opportunities
- Adoption of climate risk scenario analysis and quantification
- Strengthened sustainability and climate risk quantification practices



All previous reports including the most recent past report for FY 2025 are available for viewing and to be downloaded under the investor relations tab on the corporate website - https://prima.com.lk/businesses/ceylon-grain-elevators/

About The Report



Materiality

The TAF Group applies a double materiality framework to determine the key matters addressed in this report. This approach captures both financial materiality assessing how external factors such as market dynamics, regulatory developments, and environmental risks influence the Group's performance, financial position, and long-term value and impact materiality, which considers the effects of the Group's activities on the economy, environment, and society, including resource utilisation, emissions, and community well-being.

Further details are provided in the Materiality section which outlines the structured process used to identify, evaluate, and prioritise these material matters. This includes stakeholder engagement and risk assessment, as well as an explanation of how the identified priorities are embedded into the Group's strategy and decision-making processes to support sustainable value creation and positive stakeholder outcomes.

Reporting Frameworks

Integrated Reporting

- The International Integrated Reporting Framework of the International Integrated Reporting Council (IIRC)
- A Preparer's Guide to Integrated Reporting and Supplement 1 & 2 issued by the Institute of Chartered Accountant of Sri Lanka

Sustainability Reporting

- SLFRS Sustainability Disclosure Standards (SLFRS S1 and S2) - Institute of Chartered Accountants of Sri Lanka
- Global Reporting Initiative (GRI) Standards - Global Sustainability Standards Board
- GRI 13 – Sector Standard for Agriculture, Aquaculture and Fishing, 2022
- United Nations Sustainable Development Goals (SDGs)
- Sustainability Accounting Standards Board (SASB) – Meat ,Poultry and Dairy Standard 2023
- CSE Sustainability Reporting Guide, Version 03
- Guidance on ESG Reporting, Colombo Stock Exchange

Climate Reporting Frameworks and Standards

- SLFRS S2 – Climate-related Disclosures
- ISO 14064-1:2018 – Organisation-level GHG Emissions and Removals Reporting Standard
- Greenhouse Gas (GHG) Protocol: A Corporate Accounting and Reporting Standard (2004)
- GHG Protocol Scope 2 Guidance (amendment to the Corporate Standard)
- Corporate Value Chain (Scope 3) Accounting and Reporting Standard
- Technical Guidance for Calculating Scope 3 Emissions (Version 1.0)
- GHG Disclosures

Financial Reporting Frameworks and Regulations

- Sri Lanka Accounting Standards (SLFRS/LKAS) -Institute of Chartered Accountants of Sri Lanka
- Companies Act No. 07 of 2007
- Listing Rules of the Colombo Stock Exchange

Governance, Compliance and Risk Reporting Frameworks

- Corporate Governance Requirements under the Listing Rules of the Colombo Stock Exchange (CSE)
- Securities and Exchange Commission of Sri Lanka Act No. 36 of 1987 (as amended)
- Code of Best Practice on Corporate Governance (2023) -Institute of Chartered Accountants of Sri Lanka
- ISO 31000:2018 – Integrated Risk Management Framework by the International Organisation for Standardization

Integrated Reporting Process at TAF

The TAF Group follows a structured and cross-functional approach to integrated reporting to ensure accuracy, completeness, and alignment with strategic priorities.

Assurance

GRI 2-5

TAF Group follows a combined assurance model to enhance the reliability and integrity of the information presented in this report. Under this approach, data sourced from both internal and external channels is subject to multiple layers of verification, including the Group's internal control systems, oversight by Board Committees, compliance reviews, internal audit processes, and independent external assurance where applicable. This framework supports the accuracy and completeness of the disclosures.

Messrs. KPMG, Colombo, Sri Lanka, Chartered Accountants, have provided independent assurance on the Financial Statements and other statutory financial disclosures of the Company and the Group. Additionally, the quantification of the Group's greenhouse gas (GHG) emissions has been externally verified by SGS Lanka Pvt Ltd .

Forward-Looking Statements

This Integrated Annual Report of TAF Group includes forward-looking statements relating to the Group's financial position, strategic priorities, growth prospects, and future direction. These statements reflect the views and expectations of the Board and management at the time of publication and are based on current assumptions and available information.

However, such statements involve inherent risks and uncertainties, as they relate to future events and circumstances that may not materialise as anticipated. Given the evolving and often unpredictable nature of the business environment, actual results and outcomes may differ materially from those expressed or implied in these statements.

Accordingly, these forward-looking statements are made only as at the date of this report, and the TAF Group undertakes no obligation to revise or update them in response to new information, future events, or subsequent developments. Readers are therefore advised to exercise due caution and not place undue reliance on such statements.

Board Responsibility Statement

The Board of Directors of Three Acre Farms PLC takes full responsibility for the integrity of this Integrated Annual Report and assures all stakeholders that it presents an accurate and balanced representation of the Group's performance, position, and prospects for FY 2025. The Board further confirms that there is no material restatement of information provided in earlier reports.

FEEDBACK

GRI 2-3

In line with the commitment to continuously improve the quality of its reporting suite, TAF encourages stakeholders to provide their feedback on this report or any other matters, to:

Three Acre Farms PLC,
No.15, Rock House Lane,
Colombo 15, Sri Lanka.

Tel : +94 112497000 / 11 2522556
Fax: +94 11 2524163
E-mail : info.cge@prima.com.lk

Our Core Values

GRI 2-2

VISION

To achieve complete poultry integration synergies, ultimately gaining export market competitiveness.

MISSION

To tap and harness business opportunities by expanding into various vertical integration projects. This will lead to increase in agriculture, aquaculture and livestock production, thus encouraging national progress through nutritious protein-rich food to the people of this nation.

CORPORATE PHILOSOPHY

Our Corporate philosophy is centered upon the 3H principles of building a healthy organisation, being an honourable winner and making an honest fortune. This business philosophy is derived from our Immediate Holding Company, Prima Limited of Singapore.

Healthy Organisation

Developing a sound, effective and efficient organisation system. Promoting team spirit and reaching out to create a 'PRIMA FAMILY' identity.

Honourable Winner

Achieving success through fair competition. Striving towards excellence.

Honest Fortune

Establishing trust, fairness and mutual benefits with all within our business circle. Contributing to the well-being of society.

CORPORATE VALUES AND MANAGEMENT PRINCIPLES

4C ATTRIBUTES

- Capability
- Character
- Commitment
- Compassion

5 TRAITS

- Common sense
- Commercial sense
- Logical
- Analytical skills
- Fairness and respect

Our History

GRI 2-1

Three Acre Farms PLC (TAF) was established in 1963, initially operating as a commercial layer farm. The Company's name originates from the three acres of land on which the farm was originally located. On 2 September 1992, TAF was acquired by Ceylon Grain Elevators PLC (CGE) with the objective of expanding the Group's chick production capabilities.

The Company's principal activities include the selective breeding, hatching, and sale of commercial Day-Old Chicks(DOCs) for both broiler production (chicken meat) and layer farming (table egg production), in addition to commercial broiler farming operations.

TAF operates through two wholly-owned subsidiaries:

- Ceylon Pioneer Poultry Breeders Limited (CPPBL) – responsible for grandparent farm operations, and
- Millennium Multibreeder Farms (Private) Limited (MMF) – which employs advanced hatchery technologies.

The grandparent poultry farm imports grandparent DOCs and, through advanced breeding, vaccination, feeding, and selection processes, produces fertilised eggs. After approximately six months of incubation and hatching cycles, these eggs produce parent stock DOCs, which form the foundation of the poultry production chain.

TAF holds the exclusive franchise in Sri Lanka for the "INDIAN RIVER" parent stock breed, and also holds the local franchise for the internationally recognised "HY-LINE" commercial layer breeds.

Currently, the Company operates five poultry breeder farms located in Meegoda, Kosgama, Halwathura, Aswatta, and Makuluwatta, while its subsidiary MMF operates from Wewelpanawa. Most of these farms are situated along the High Level Road corridor connecting Colombo and Avissawella, with the Halwathura farm located in the Kalutara District.

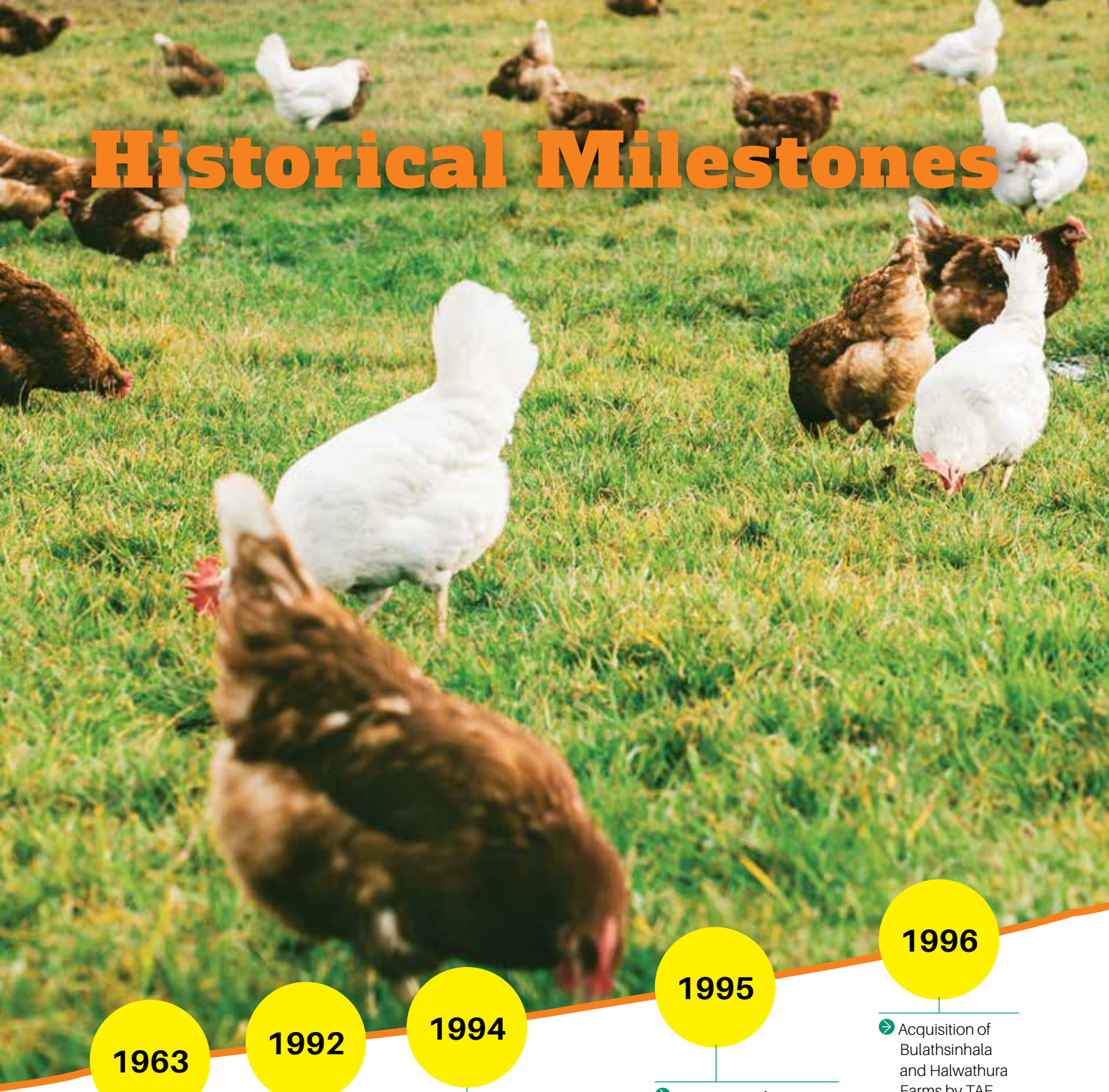
The Company continues to upgrade its farm infrastructure in line with international standards observed in more developed markets. In addition, commercial broiler farming operations are carried out at the Bulathsinhala and Beruwala farms.

As at the end of the reporting period, the TAF Group owned approximately 321 acres of freehold land, with a recorded book value of Rs. 367.0 million. The Board of Directors has approved further expansion of breeder and commercial farming operations, and management is actively progressing with these initiatives.

TAF was listed on the Colombo Stock Exchange (CSE) on 20 March 1995 and is currently listed under the Food and Beverage Sector. As at the reporting date, Ceylon Grain Elevators PLC holds 57.21% of the issued share capital of the Company.



Historical Milestones



1963

- Incorporation of Three Acre Farms (TAF)

1992

- Acquisition of Three Acre Farms by Ceylon Grain Elevators (CGE)

1994

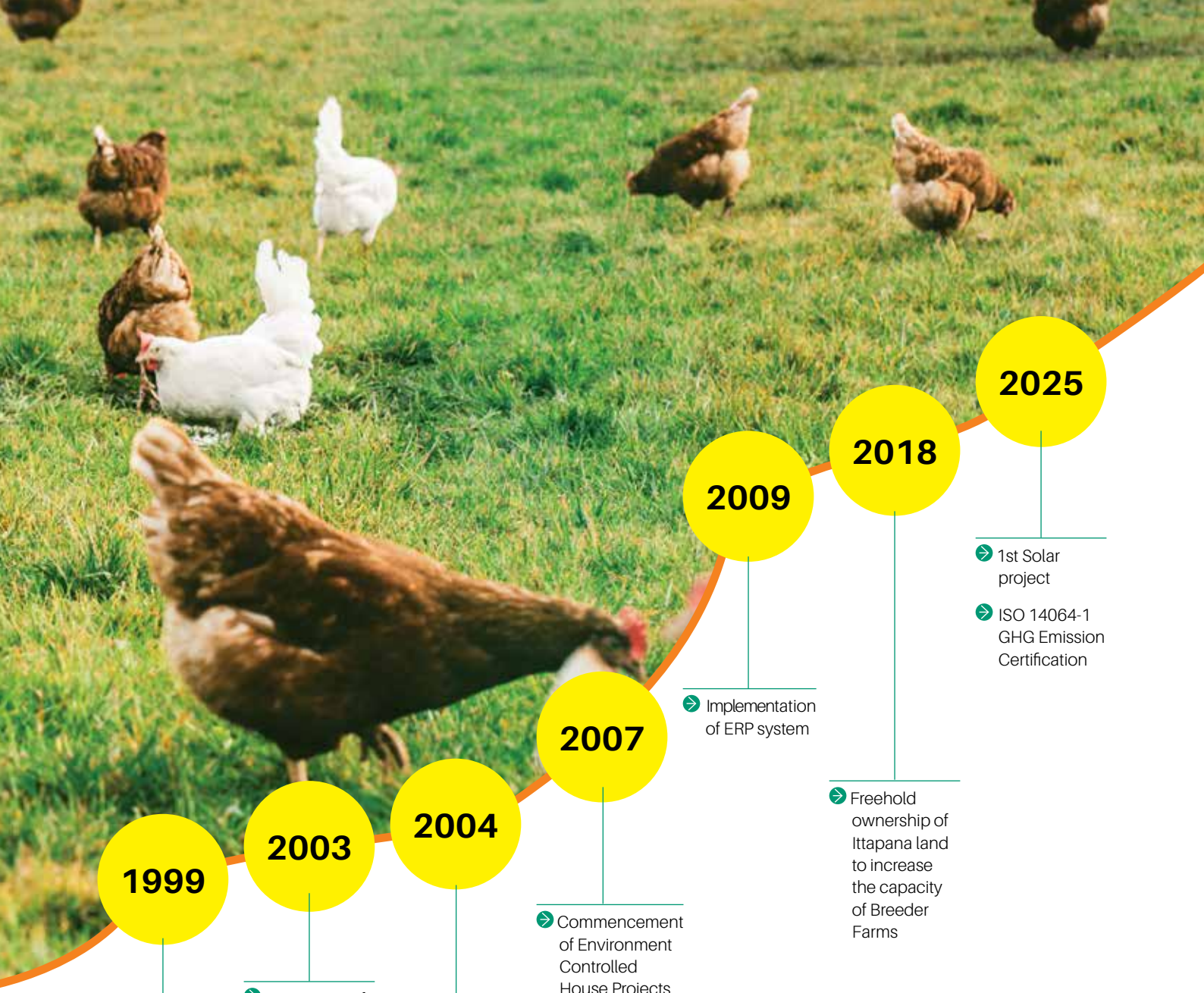
- Issued 6,000,000 Ordinary Shares of Rs.10 as a Bonus
- TAF IPO officially launched, 8,500,000 shares offered to the general public at Rs.45 each. 3,000,000 shares reserved for CGE shareholders in a priority scheme. 500,000 shares offered to the employees and business associates / dealers also at the same price

1995

- Acquisition of Kosgama farm and Ceylon Pioneer Poultry Breeders from CGE
- The Company was listed in the Colombo Stock Exchange in the Food and Beverage Sector

1996

- Acquisition of Bulathsinhala and Halwathura Farms by TAF



1999

- Incorporation of Millennium Multibreeder Farms (Private) Limited, a wholly-owned subsidiary of TAF

2003

- Acquisition of Hijra Farms by TAF

2004

- The Company further allotted 445,000 Ordinary Shares of Rs.10 each

2007

- Commencement of Environment Controlled House Projects at Commercial Farms

2009

- Implementation of ERP system

2018

- Freehold ownership of Ittapana land to increase the capacity of Breeder Farms

2025

- 1st Solar project
- ISO 14064-1 GHG Emission Certification

Group Structure

GRI 2-2

The Financial Reporting as well as Sustainability Reporting of the TAF Group for the year ended 31 December 2025 comprise the Company and its subsidiaries as mentioned below.

THREE ACRE FARMS PLC

Activities
Operation of poultry breeder farms, hatcheries and commercial broiler farms

Millennium Multibreeder Farms (Private) Limited

Activities
Operation of poultry breeder farms and hatchery

100%

Wewalpanawa Farm

Poultry Breeder Farms

Aswatta Farm
Makuluwatta Farm
Meegoda Farm
Kosgama Farm
Halwathura Farm
Ittapana Farm

Commercial Broiler Farms

Bulathsinhala Farm
Hijra-A Farm
Hijra-B Farm
Attanagalla Farm

Ceylon Pioneer Poultry Breeders Limited

Activities
Renting of farm operations

100%



Our product portfolio

Three Acre Farms PLC (TAF) plays a vital role in the upstream segment of the poultry value chain, specialising in the production and supply of high-quality Day-Old Chicks(DOCs) to the local poultry industry.

Our product portfolio comprises:



- **Layer Day-Old Chicks (Layer DOC)**
  Bred to deliver optimal egg production performance, our layer DOCs are developed from high-quality genetic lines to ensure superior productivity, uniformity, and adaptability to local farming conditions.



- **Parent Stock Day-Old Chicks (PS DOC)**
  TAF supplies parent stock DOCs to support the sustainability and continuity of the poultry breeding cycle. These chicks are carefully managed to meet stringent biosecurity and quality standards, ensuring strong breeding performance and healthy progeny.



- **Broiler Day-Old Chicks (Broiler DOC)**
  Designed for efficient meat production, our broiler DOCs offer excellent growth rates, feed conversion efficiency, and robustness, meeting the demands of commercial poultry growers.

All our chicks are produced under strict biosecurity controls, advanced hatchery management practices, and in compliance with industry standards to ensure high livability and performance. Backed by the integrated operations of the Ceylon Grain Elevators PLC (CGE) Group, TAF ensures consistency, traceability, and quality across its entire product range.

Through continuous genetic improvement, technical expertise, and a strong focus on animal welfare and sustainability, TAF remains committed to supporting the growth and resilience of Sri Lanka's poultry industry.

Board of Directors

MR. WICKREMA SENAKA WEERASOORIA

Non-Executive Chairman

Mr. Wickrema Senaka Weerasooria was appointed as a Non-Executive Independent Director on 15 January 2015 and thereafter appointed as Non-Executive Independent Chairman on 25 February 2015.

Mr. Weerasooria holds a Masters in Information Technology (University of Canberra, Australia), a Graduate Diploma in Commercial Law (Australian National University) (ANU), and a Bachelor of Science (ANU).

He is the Chief Executive of Genesiis Software (Private) Limited, and Director of Ceylon Agro Industries (Pvt) Ltd, Ceylon Grain Elevators PLC, FINCO Technologies (Private) Limited, Finco Holdings (Pvt) Ltd and the Chairman of WealthTrust Securities PLC

Prior to his employment in Sri Lanka he was a Manager/Consultant at several Australian public sector agencies including the Department of Primary Industry, Department of Education and Department of Foreign Affairs and Trade.

MR. CHENG CHIH KWONG

Executive Director and Chief Executive Officer

Mr. Cheng Chih Kwong is the Chairman and Chief Executive Officer of Prima Limited Group of Companies. He was also Chairman and Chief Executive Officer of Ceylon Grain Elevators PLC and its subsidiaries since 1998 until he relinquished his Chairmanship position on 25 February 2015. He continues to be the Executive Director and Chief Executive Officer of the Company. He is a Certified Practicing Accountant (CPA) – Australia and also holds a Diploma in Business Studies.

MR. BERNARD CHENG KOH CHUEN

Non-Executive Director

Mr. Bernard Cheng Koh Chuen has been a Director of the Company with effect from 1 August 2012. He also serves as an Executive Director of Prima Limited.

He holds a Bachelor of Science in Business Administration and also an MBA from the University of Southern California.

MR. TIMOTHY ALLAN BRENT SPELDEWINDE

Non-Executive Independent Director

Mr. Timothy Speldewinde was appointed as a Non-Executive Independent Director of the Company with effect from 1 January 2025. Mr. Timothy Speldewinde is a Fellow Member of the Institute of Chartered Accountants of Sri Lanka and a Fellow of the Chartered Institute of Management Accountants, UK.

He possesses extensive experience in the management of local as well as international facilities and has been an integral member of the MAS Group for over 25 years. He served as the CEO of Stretchline Holdings headquartered in Hong Kong, with manufacturing facilities in Sri Lanka and overseas.

He currently serves as Independent Non-Executive Director of Hayleys PLC and Haycarb PLC, Hayleys Fabrics PLC and Dipped products PLC . He is an Independent Non-Executive Director and the Audit Committee Chairman of The Kingsbury PLC, Horana Plantations PLC, Ceylon Grain Elevators PLC, and WealthTrust Securities PLC. Mr. Speldewinde is a Director of Contemporary Ceylon (Pvt) Ltd.

MR. INDRAJIT ASELA WICKRAMASINGHE

Non-Exectuive Independent Director

Mr. Indrajit A. Wickramasinghe was appointed as a Non-Executive Independent Director of the Company with effect from 1 January 2025.

He is a seasoned professional with over 36 years of management experience across the financial services and FMCG sectors, having served in both local and multinational organisations. Prior to his appointment to the Board, Mr. Wickramasinghe served as the Director/Chief Executive Officer of Union Bank of Colombo PLC for over nine years, until his retirement on 15 August 2024.

Before joining Union Bank, he held the position of Chief Operating Officer at NDB Bank PLC, where he was responsible for overseeing key business areas including Retail Banking, Corporate Banking, SME Banking, and Project Finance. Earlier in his career, he was associated with the multinational company Reckitt and Colman, where he held several senior management positions.

Mr. Wickramasinghe holds a Master of Business Administration (MBA) from the University of Sri Jayewardenepura and is a Fellow of the Chartered Institute of Marketing (UK). He has also participated in Executive Education programmes conducted by the National University of Singapore, Saïd Business School of the University of Oxford (UK), and INSEAD (France). He is a member of the Oxford Business Alumni, University of Oxford.

In addition to his corporate leadership roles, Mr. Wickramasinghe has served on several boards as both an Executive and Non-Executive Director. He previously served as the Chairman of Financial Ombudsman Sri Lanka (Guarantee) Ltd and as a Director of the Credit Information Bureau of Sri Lanka.

He currently serves on the Boards of DFCC Bank PLC, Fintrex Finance PLC , AIA Insurance Lanka , Ceylon Grain Elevators PLC , Diesel and Motor Engineering PLC, Colombo Fort Land and Building PLC , C. W. Mackie PLC, and Overseas Realty (Ceylon) PLC.

MR. SUNIL LEENIYAGODA

Non-Executive Director

Mr. Sunil Leeniyagoda joined the Prima Group in October 2001 as the Group Treasurer and was appointed as a Director of Three Acre Farms PLC in July 2004. Mr. Leeniyagoda is a professional banker and counts more than 25 years' experience in commercial banking, out of which 14 years was in the area of Treasury Management.

He started his career at the Bank of Ceylon and later moved to ABN Amro Bank and at the time of joining Prima, he was the Vice President, Treasury. He holds a Postgraduate Diploma in Bank Management and is also a Board member of Prima Ceylon (Private) Limited, Prima Land (Private) Limited, Prima Management Services (Private) Limited and Prima Ceylon Machinery (Private) Limited.



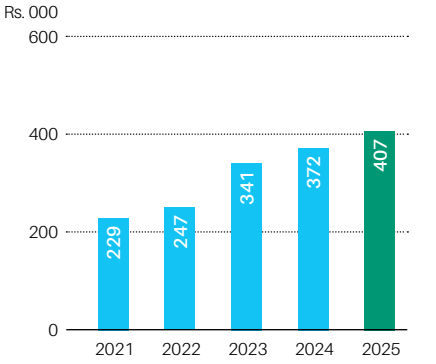
Potential Within

Every journey starts with a single egg, holding the promise of future growth.

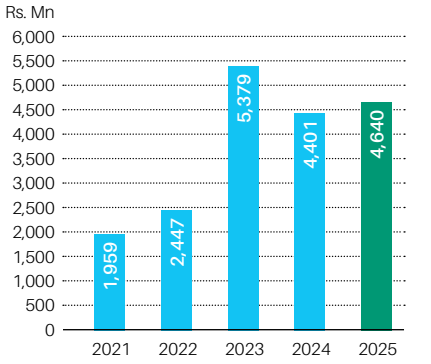
Financial Highlights

Group		2025	2024	% Change
Performance highlights				
Revenue	Rs. Mn	6,177.1	6,197.9	- 0
Finance income	Rs. Mn	617.2	832.0	- 26
Profit for the year	Rs. Mn	1,539.9	1,701.2	- 9
Dividends paid during the year	Rs. Mn	941.8	1,295.0	- 27
Earnings per share	Rs.	65.4	72.3	- 10
Return on Shareholders' Equity (ROE)	%	19%	19%	2
Financial strength				
Shareholders' fund (Equity)	Rs. Mn	9,582.2	8,751.8	9
Total assets	Rs. Mn	11,809.8	10,269.0	15
Value added (Rs.Mn)	Rs. Mn	4,640.3	4,401.3	11
Net Assets Per Share	Rs.	406.97	371.7	9
Current ratio	No. of times	5.4	7.6	- 30

Group - Net Asset Per Share



Group Value added



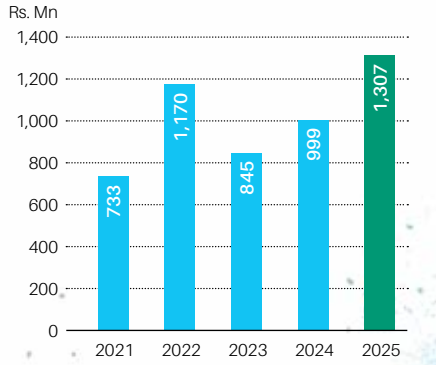
Operating profit

Rs. 1,857.4 Mn

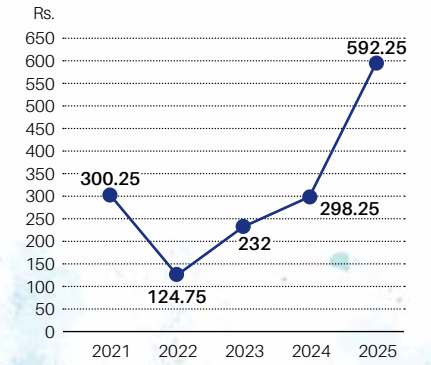
Rs. 1,496 Mn in 2024

24%

Group - Net Cash Used in Investing Activities



Market Price per Share



Total assets

Rs. 11,809.8 Mn

Rs. 10,269 Mn in 2024

15%

Non-Financial Highlights

3.17
Non-renewable energy consumption to generate Rs. 1 Mn turnover (GJ)-
(4.24-2024)

100%
Employee receiving performance evaluation
(100% -2024)

46.46 m^3
Water consumption to generate Rs. 1 Mn turnover –
(46.45-2024)

Nil
Incidents of discrimination

(Nil-2024)

Poultry litter
100%
Converted to compost to be used as organic fertlisers
(100%-2024)

Nil
Legal actions for anticompetitive behaviour, antitrust, and monopoly practices
(Nil -2024)

Nil
Whistle-blower cases
(Nil -2024)

Nil
Hazardous waste
(Nil -2024)

Nil
Fatalities
(Nil -2024)

88%
Employee Satisfaction Index
(87%-2024)

7.2%
Staff attrition
(5.2% -2024)

Nil
Socioeconomic
(Nil -2024)

77%
Average tenure of employees (%)
(80%-2024)

1663
Volunteer hours by employees (hrs)
(1,746-2024)

86%
Employee Trust Index
(85%-2024)

Socio Economic Impact

GRI 3-3 | 201-1 | 13.2.1, 13.22.1, 13.22.2

TAF's approach to socio-economic impact is grounded in the belief that sustainable success is created by delivering value beyond financial returns. As an integrated player in Sri Lanka's poultry industry, TAF contributes meaningfully to economic development, food security, and community well-being through its operations and value chain.

In 2025, the economic value generated by TAF was distributed across key stakeholder groups, reflecting a balanced and responsible approach to growth. A substantial portion was directed towards employees in the form of salaries, wages, and benefits, supporting livelihoods and enhancing quality of life. Our contributions to government revenue through income and indirect taxes play an important role in strengthening national infrastructure and public services.

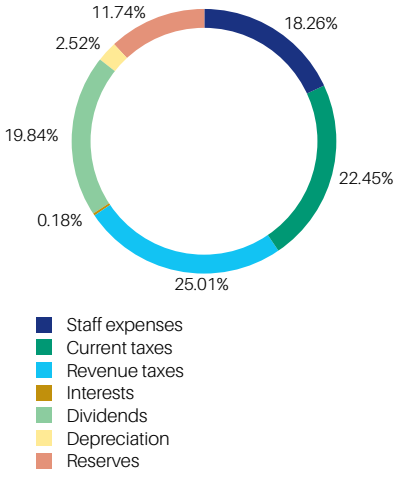
At the same time, returns to capital providers and shareholders demonstrate our commitment to maintaining financial discipline, delivering sustainable returns, and building long-term investor confidence, further reinforced by our strong market capitalisation.

Beyond financial distribution, TAF's socio-economic impact is evident across several dimensions:

- Employment Generation and Skills Development: TAF creates direct and indirect employment across farms, hatcheries, and distribution networks, with a strong presence in rural areas. Continuous training and development initiatives enhance employee capabilities, productivity, and career progression.
- Support for Local Suppliers and Farmers: Through long-term partnerships with local suppliers, contract farmers, and service providers, TAF strengthens local economies, ensures stable income streams, and promotes best practices in poultry farming.
- Food Security and Nutrition: By producing high-quality, safe, and affordable poultry products, TAF contributes to national food security and supports the nutritional needs of a growing population.
- Rural and Regional Development: Our operational footprint drives economic activity in regional communities, supporting infrastructure development, local businesses, and ancillary industries.
- Responsible Business Practices: TAF upholds strong governance, ethical sourcing, and transparent operations, ensuring that value creation is sustainable, inclusive, and aligned with stakeholder expectations.

Through these efforts, TAF continues to create shared value for all stakeholders, reinforcing its role as a responsible corporate citizen while driving resilient and inclusive economic growth.

Value Added



Total Value Added in
Rs. 4,640.3 Mn
(2024- Rs. 4,401.3 Mn)

To providers of Capital as Interest
Rs. 8,705.0 Mn
(2024-Rs. 1,972.0 Mn)

Employees
Rs. 888.2 Mn
(2024-Rs.774.8 Mn)

Shareholders
Rs. 942.0 Mn
(2024- Rs.1,295. 0 Mn)

Float Adjusted Market Capitalisation
Rs. 3,873.8 Mn
(2024- Rs. 1,950.8 Mn)

Government
Rs. 2,084.0 Mn
(2024-Rs. 1,821.4 Mn)

Awards and Accolades



ACCA Sustainability Reporting
Awards: TAF was recognised as the Runner-Up.

TAGS Awards (CA Sri Lanka):
TAF was honoured with the Bronze Award – Food & Beverage Sector.

TAF's commitment to sustainable growth, transparency, and operational excellence was recognised through several notable awards and accolades in 2025.

These achievements reflect our continuous efforts to strengthen sustainability practices, enhance reporting standards, and uphold high levels of quality and accountability across our operations. They further demonstrate TAF's dedication to creating long-term value for stakeholders while maintaining a strong focus on responsible and ethical business conduct.

Nurtured to Develop

With the right care and environment, potential steadily takes form.



Chairman's Statement

GRI 2-22

THE COMPANY FOR THE FIRST TIME ADOPTED THE TASK FORCE ON CLIMATE-RELATED FINANCIAL DISCLOSURES (TCFD), WHICH IS BASED ON THE SLFRS S2 STANDARD. THIS ENHANCES THE IDENTIFICATION, ASSESSMENT, AND REPORTING OF CLIMATE-RELATED RISKS AND OPPORTUNITIES. AS PART OF THIS PROCESS, THE COMPANY CONDUCTED CLIMATE SCENARIO ANALYSIS TO EVALUATE THE POTENTIAL IMPACTS OF DIFFERENT CLIMATE PATHWAYS ON ITS OPERATIONS AND LONG-TERM STRATEGY

IT IS MY PRIVILEGE TO WELCOME YOU TO THE 64TH ANNUAL GENERAL MEETING OF THREE ACRE FARMS PLC (TAF), COMMEMORATING OVER SIX DECADES OF RESILIENCE AND COMMITMENT IN THE POULTRY INDUSTRY. I AM PLEASED TO PRESENT THE ANNUAL REPORT TOGETHER WITH THE AUDITED FINANCIAL STATEMENTS OF THE COMPANY FOR THE YEAR ENDED 31 DECEMBER 2025.

This year marked a significant step forward in our progress towards strengthening transparency and responsible business practices. For the third consecutive year, TAF has prepared its sustainability disclosures in accordance with the Global Reporting Initiative (GRI) standards, reaffirming our commitment to internationally recognised reporting practices. We are proud to be among the early adopters of the SLFRS S1 and S2 Sustainability-Related Financial Disclosure Standards, reinforcing the robustness and credibility of our climate and sustainability reporting.

Industry Performance and Market Outlook

Sri Lanka's operating environment showed a gradual recovery during the year, supported by improving macroeconomic stability. The economy recorded an estimated GDP growth of 5.0% in 2025, consistent with the previous year, reflecting a steady and resilient recovery trajectory. This growth was underpinned by improved export earnings, which increased by 5.6% to USD 17.25 billion, alongside a notable rise in foreign remittances, which grew by 23% compared to 2024.

The tourism sector also demonstrated strong momentum, with arrivals increasing by 15.1%. This resurgence supported demand across the hospitality and food service sectors, creating positive spillover effects for related industries.

Against this improving economic backdrop, the agriculture sector remained an important pillar of the national economy. The poultry industry played a vital role in Sri Lanka's food production system, providing an affordable and accessible source of protein while supporting national food security.

There were encouraging improvements in production levels during the year, with the country's overall broiler DOC production increasing by approximately 11.8%. Meanwhile, layer DOC production declined by approximately 12.9%, reflecting adjustments within the layer segment in response to prevailing market dynamics.

Financial Performance

The Group demonstrated resilience and adaptability as it navigated the evolving industry landscape. Reflecting evolving market challenges, the Group recorded revenue of Rs. 6,177.1 Mn for the year ended 31 December 2025, and this remained in line with the previous year. Demand for both broiler and layer DOCs remained subdued earlier in the year. Small-scale farmers adopted a cautious approach to placements, due to the fluctuations in live bird prices and continued volatility in the table egg market. However, market conditions improved during the Sinhala and Hindu New Year season and continued till the end of the year, as broiler placements by processors and farmers increased and demand for processed chicken improved.

Total comprehensive income for the year stood at Rs. 1,536.8 Mn, while earnings per share amounted to Rs. 65.40. The Group continued to maintain a strong financial position, with total assets increasing to Rs. 11,809.8 Mn and net assets per share

improving to Rs. 406.97, proving the underlying strength and stability of the business despite a challenging operating environment.

Shareholder Returns

The Company declared a dividend of Rs. 40.00 per share, over 60% of dividend payout for the financial year ended 31st December 2025, indicative of its continued commitment to delivering sustainable returns to shareholders. During the year under review, the Company's share traded within a price band of Rs. 290.00 to Rs. 680.00, with the last traded price recorded at Rs. 592.25 as at 31 December 2025, pointing to positive investor confidence in the Company's performance.

From Foundation to Future: Strengthening Climate Accountability

Aligned with 'From Foundation to Future', the Group strengthened its climate governance and transparency in 2025. Demonstrating its commitment to responsible environmental management, it obtained ISO 14064-1 certification for greenhouse gas (GHG) emissions, covering Scope 1, Scope 2, and Scope 3 emissions. The inclusion of Scope 3 emissions enabled the Company to assess and quantify emissions across the entire business value chain, providing a more comprehensive understanding of its climate impact.

Further reinforcing its climate disclosure practices, the Company for the first time adopted the Task Force on Climate-Related Financial Disclosures (TCFD), which is based on the SLFRS S2 standard. This enhances the identification, assessment, and reporting of climate-related risks and opportunities. As part of this process, the Company conducted climate scenario analysis to evaluate the potential impacts of different climate pathways on its operations and long-term strategy.

These initiatives are an important step in strengthening the Company's climate resilience while supporting its long-term commitment to sustainable growth and responsible environmental stewardship.

Supporting Community Development

As a responsible corporate citizen, TAF remains committed to the wellbeing and development of the communities in which we operate. During the year, we contributed to the development of the Kosgama road, improving accessibility and connectivity for surrounding inhabitants.

Our community initiatives focused education, disaster relief, and social infrastructure, in alignment with the United Nations Sustainable Development Goals (SDGs). TAF enhanced the infrastructure of rural schools, promoted environmental awareness through tree planting programs, and provided ecofriendly education materials. Additionally, the Company conducted training for 65 university students and offered 48 internships, providing valuable industry exposure to support the development of future professionals.

In addition, we extended support through the 'Emergency Food Relief Initiative' following the Ditwah Cyclone, while also assisting community institutions including Pannila Temple, and the Vikasitha Prajamula Society, contributing to broader development and social wellbeing.

Awards and Recognition

During the year under review, TAF was recognized for its commitment to transparency, sustainability, and high standards of corporate reporting. The Company was honored as the runner-up at the ACCA Sustainability Reporting Awards 2025.

Underscoring our dedication to excellence in corporate reporting, TAF also secured the bronze award in the food and beverage sector at the CA Sri Lanka TAGS Awards. This achievement highlights our commitment to upholding best practices in transparency, accountability, and integrated reporting, while reinforcing stakeholder confidence in the quality and integrity of our disclosures.

Looking Ahead: Navigating Opportunities and Sustainability in 2026

As we step into 2026, TAF anticipates a challenging operating environment shaped by slower economic growth and persistent inflationary pressures. The current geopolitical tension is expected to create further uncertainty and could contribute to increases in global energy prices and shipping costs. These conditions are likely to raise prices of imported inputs and raw materials while placing additional pressure on supply chains and production expenses within the poultry industry.

In response, the Group is proactively strengthening operational efficiency and commenced the installation of its first solar deck at the Bulathsinhala Farm as part of its transition towards renewable energy and cost optimization. It will contribute to energy savings, reduce our environmental footprint, and support our long-term commitment to sustainable operations.

Appreciations

I express my heartfelt appreciation to my esteemed colleagues on the Board for their invaluable guidance, wisdom, and unflinching support throughout the year. I also commend our entire team, led by our Chief Executive Officer, whose exceptional dedication, expertise, and passion have been instrumental in advancing the Group's objectives. I am truly grateful to all our employees. Your unwavering commitment, hard work, and professionalism have been central to the Group's progress and success.

I extend my deepest gratitude to our loyal customers, whose continued trust in our products and commitment to quality nutrition inspire and motivate our efforts every day. Finally, I sincerely appreciate all our stakeholders including suppliers, distributors, and business partners for their collaboration and steadfast support in our collective pursuit of sustainable value creation.

Wickrema Senaka Weerasooria
Non-Executive Chairman

Chief Executive Officer's Review

THE ESTABLISHMENT OF A MODERN GRANDPARENT (GP) FARM IN ITTAPANA, WITH AN INVESTMENT OF RS. 550.0 MN, WILL ENHANCE BIOSECURITY STANDARDS, STRENGTHEN THE GROUP'S PRESENCE IN THE LOCAL MARKET AND INCREASE ANNUAL PARENT STOCK DOC OUTPUT TO MEET GROWING DEMAND

I AM PLEASED TO PRESENT THE ANNUAL REPORT AND AUDITED FINANCIAL STATEMENTS OF THREE ACRE FARMS PLC (TAF) FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2025.

During the year, TAF focused on strengthening its core pillars to ensure that every aspect of the business was built on a solid and resilient base. In parallel, we continued to explore emerging opportunities and sustainable innovations that can shape TAF's growth in the years ahead, reflecting our journey 'From Foundation to Future.'

Economic Conditions and Sector Resilience

Sri Lanka's operating environment showed continued improvement in 2025, as the economy maintained its gradual recovery with an estimated GDP growth of 5.0%, consistent with the previous year. Workers' remittances increased to USD 8.1 Bn from USD 6.6 Bn in 2024, supporting currency stability and strengthening household consumption. Inflation, as measured by the National Consumer Price Index, averaged 2.4%, indicating a stabilization of price levels compared to the deflationary conditions experienced in the previous year.

The agriculture sector remained a key contributor to the economy, accounting for approximately 7.8% of GDP, while animal production recorded a healthy growth of around 8.4%, reflecting rising consumer demand for protein-rich food. This momentum was further evident in the poultry sector, where broiler day-old chick (DOC) production increased by 11.8% in 2025, while chicken meat production grew by 13.0%. Despite prevailing challenges, the poultry sector demonstrated resilience, continuing to support national food security while generating growth opportunities across the value chain.

During early 2025, the poultry industry experienced a temporary oversupply of chicken, which exerted downward pressure on prices and margins. However, the limited availability and relatively higher prices of alternative protein sources created favorable opportunities to the Group leading to a gradual recovery in demand for chicken. In response, the Group maintained stable pricing and ensured consistent supply, enabling it to effectively capture the improving market demand for Broiler DOCs. Market conditions strengthened in the second half of the year, driven by stronger demand and increased placements by key processors and farmers, while a rising consumer preference for processed chicken further supported a steady recovery.

Financial Performance Highlights

The Group recorded revenue of Rs. 6,177.1 Mn for the year ended 31 December 2025, which remained in line with the previous year's revenue of Rs. 6,197.9 Mn. This performance was supported by higher volumes of broiler and parent stock (PS) DOCs, while layer DOC volumes declined due to continued volatility in the table egg market.

Despite relatively stable revenue, the Group achieved an improvement in gross profit, which increased by 15.2% to Rs. 1,653.0 Mn, driven by effective cost management and a reduction in cost of sales. Operating profit recorded a strong growth of 24.1%, increasing to Rs. 1,857.4 Mn from Rs. 1,496.5 Mn in the previous year, largely attributable to the increase in other operating income.

Interest income declined by 25.8% to Rs. 617.2 Mn, in line with lower deposit rates, as the Average Weighted Deposit Rate (AWDR) reduced from 8.8% to 8.0%. Net finance costs also declined during the year, primarily due to favorable exchange gains. Overall, profit before tax (PBT) increased by 6.5% to Rs. 2,471.2 Mn, reflecting the overall improvement in profitability.

Tax expenses increased to Rs. 867.4 Mn, mainly due to the dividend tax related to the subsidiaries' profit distribution. Consequently, total comprehensive income (TCI) for the year stood at Rs. 1,536.8 Mn, a decrease of 9.2% compared to the previous year.

The Group's total assets increased to Rs. 11,809.8 Mn from Rs. 10,269.0 Mn, supported by higher cash and cash equivalents, along with increases in biological assets and production houses. This reflects the Group's continued investment in strengthening its operational capacity.

During the year, TAF advanced its infrastructure development initiatives to enhance production capacity and sustainability. At the Bulathsinhala Farm, four new environmentally controlled (EC) houses were completed, improving production capability, while solar installations were initiated as part of the transition towards renewable energy. At the Halwathura Farm, five outdated cages were replaced with three new houses for layer parent birds, improving animal welfare and operational efficiency.

As a result of these investments, net assets per share improved to Rs. 406.97 from Rs. 371.70 in 2024, reflecting the Group's strengthened financial position. Notwithstanding these capital investments, the Group remained committed to delivering shareholder value and declared a dividend during the year, demonstrating a balanced approach between reinvestment and returns.

People Development Initiatives

Investing in our people remains central to the Group's success. During the year, we continued to develop our employees by strengthening their technical capabilities, operational expertise, and leadership skills. Key initiatives included sustainability awareness trainings, GHG emission reduction programs, Resource Efficient and Cleaner Production (RECP) trainings, energy management workshops, lean manufacturing programs, and workshops on CSE 9.2-related policies, all aimed at enhancing operational efficiency and regulatory compliance.

We also provided overseas training opportunities, fostering global exposure and knowledge transfer, while maintaining a structured succession planning framework to ensure leadership continuity across the Group. These efforts, combined with various internal knowledge-sharing initiatives, enhanced productivity, improved farm management practices further reinforce a culture of continuous learning.

Our Commitment to Sustainable Value Creation

In 2025, we strengthened transparency and accountability in our sustainability practices by fully adopting the SLFRS S1 and SLFRS S2 standards, enhancing the quality, consistency, and depth of our reporting.

During the year, we expanded our climate-related disclosures to include Scope 3 greenhouse gas emissions for the first time across the value chain, which is showing our commitment to managing the environmental footprint of our operation.

Sustainability is now embedded in our risk management approach, with climate-related risks and opportunities integrated into our Enterprise Risk Management Framework.

Through these initiatives, TAF continues to advance its ESG journey, delivering numerous benefits such as enhanced operational efficiency, stronger stakeholder trust, improved environmental performance, and long-term business resilience.

Outlook and Prospects

Looking ahead to 2026, the operating environment is expected to become more challenging, influenced by ongoing global geopolitical uncertainties. These conditions are likely to drive higher energy prices, increased fuel costs, and elevated freight and insurance expenses. Additionally, rising worldwide inflation and potentially higher interest rates are expected to intensify cost pressures, while external sector constraints may continue to impact overall economic stability.

The Group anticipates continued pressure on margins, given the nature of the livestock industry. Absorbing cost pressures would reduce our profitability and while selective pricing adjustments may be implemented, these remain constrained by market affordability, which could pose challenges in maintaining sales volumes.

To navigate these conditions, TAF is focused on strengthening operational resilience through cost optimization, energy efficiency initiatives and improved supply chain management. At the same time, the Group remains committed to investing in its core operations to support long-term growth.

As part of this strategy, the establishment of a modern grandparent (GP) farm in Ittapana, with an investment of Rs. 550.0 Mn, will enhance biosecurity standards, strengthen the Group's presence in the local market and increase annual parent stock DOC output to meet growing demand.

Through these focused initiatives, TAF aims to balance short-term challenges with long-term value creation, ensuring sustainability and resilience in a dynamic operating environment.

Appreciation

I extend my sincere gratitude to the Chairman and the Members of the Board for their continued guidance, support and invaluable insights throughout the year. Their leadership has played a vital role in steering the Company through an ever-changing operating environment.

My appreciation also goes to the management team and all employees of TAF for their unwavering dedication, professionalism and commitment to achieving the Company's objectives. Their collective efforts remain the cornerstone of our continued progress and operational excellence.

Finally, I express my heartfelt thanks to our shareholders, customers, suppliers and all other stakeholders for the trust and confidence they place in TAF. Your continued support is deeply valued and we look forward to strengthening these partnerships in the years ahead.

Cheng Chih Kwong
Executive Director and Chief Executive Officer

Business Model

Capital Inputs

Financial Capital

Financial resources strategically allocated towards capacity expansion, operational efficiency improvements, and investments in modern, energy-efficient technologies to support sustainable growth of the Group.

- **Equity Rs. 9.6 Bn (Rs. 8.8 Bn - 2024)**
- **Debt : Zero (Zero - 2024)**

Intellectual Capital

A collection of intangible resources embedded within its people, systems and partnerships that enhance the Company's competitiveness and future growth potential by forming a key foundation for sustained performance.

- **Sustained R&D**
- **Digital systems**
- **Strengthen BCP systems**
- **Standards and Certifications**
- **Workforce development**

Manufactured Capital

This capital encompasses our production facilities, logistics infrastructure, and integrated information technology systems, which together ensure operational reliability, efficiency, and timely delivery of products to the market.

- **Rs. 550.0 Mn Investment in New GP Farm**
- **Rs. 42.0 Mn invested on Solar Energy**
- **Rs. 1.4 Mn Invested in IT system Upgrade**
- **Rs. 23.05 Mn invested to acquire new vehicles**
- **Rs. 215.0 Mn invested in constructing EC Houses**

Human Capital

Human capital serves as driving force behind TAF's ability to deliver sustainable value to stakeholders overtime

- **227 employees**
- **2.1 Overall Gender ratio**

Social and Relationship Capital

Strong, collaborative relationships with customers, suppliers, and the wider community create a resilient ecosystem that supports business continuity and sustained growth

- **Customers**
- **Wider community**
- **Strong supplier network**

Natural Capital

Natural resources such as energy and water that sustain and support TAF's day-to-day operations.

- **Land owned by the Group**
- **Materials, Energy and Water resources**

Value Creation

OUR VISION

To achieve complete poultry integration synergies, ultimately gaining export market competitiveness.

OUR MISSION

To tap into and harness business opportunities by expanding into various vertical integration projects. This will lead to an increase in agriculture, aquaculture and livestock production, thus encouraging national progress through nutritious protein-rich food to the people of this nation.

Corporate Values And Management Principles



Sustainable Value Creation, Cost Optimisation & Efficient Operations

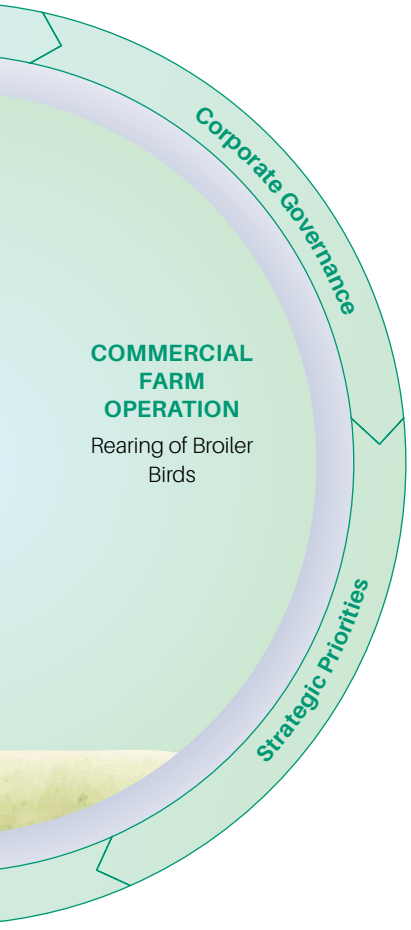
Customer-Centric Value Delivery

Value Creation

CORPORATE PHILOSOPHY

To tap into and harness business opportunities by expanding into various vertical integration projects.

This will lead to increase in agriculture, aquaculture and livestock production, thus encouraging national progress through nutritious protein-rich food to the people of this nation.



Outputs for TAF

Financial Capital

- Revenue for the year Rs. 6,177.1 Mn (2024 - Rs. 6,197.9) S -
- NPAT - Rs. 1,539.9 Mn (2024 – Rs. 1,701.3 Mn) S -
- Total Assets Rs. 11.8 Bn (2024 - Rs. 10.3 Bn) S , M, L +

Intellectual Capital

- Optimised operations for efficiency, quality, and cost control. S.M.L +
- Data-driven decision-making with ERP and digital tools. L +
- Technical expertise driving innovation in feed and supply chain. M, L +
- Strong governance and compliance frameworks. S M L +
- ESG and sustainability embedded in strategy. S M L +
- Knowledge retention through training and succession planning. L +

Manufactured Capital

- Asset turnover Ratio – 0.56 (2024 – 0.63) S =
- Capacity Utilisation -< 80% (<80% -2024) S =

Human Capital

- Staff attrition rate of 7.6% (compared to 5.2% in 2024). S =
- Zero incidents of discrimination (maintained from 2024). S =
- 88% employee satisfaction, showing a slight improvement from 87% in 2024 S M L +
- Employee receiving performance evaluation – 100% S +
- Zero Incidents of Child Labour S+
- Zero Incidents of Non -compliance of Regulations S +
- 77% Employees serving the company for over 5 Years S M L +

Social and Relationship Capital

- 08 Nos of Community projects conducted S+
- Zero product recalls S+
- Zero incidents of non-compliance related to marketing communications were reported in 2025 (Zero -2024) S+

Natural Capital

- Calculated the carbon footprint of products DOC & Egg S+
- Non-renewable energy consumption per Rs. 1 million turnover reduced to 3.17 GJ S+
- Initiated Scope 3 Carbon Emission Assessment S+
- Zero Poultry Litter S M L +

Stakeholder Outcomes

Shareholders

- Earnings Per Share (EPS) - Rs. 65.40 (Rs. 72.26 - 2024)
- Return on Equity (ROE) – 16.8% (20.28% - 2024)
- Dividend Per Share - Rs. 40.00 (Rs. 55.00 - 2024)
- Total Dividend Payout - 61.16% (76.11% - 2024)

Customers

- Assurance of high quality and safe products
- Product quality enhancement
- Guarantee of food security through uninterrupted availability of products
- Value additions for the benefit of farmers using TAF products

Regulators

- Rs. 931.3 Mn taxes paid (Rs. 618.4 Mn - 2024)

Employees

- Rs.888.2 Mn paid as employee salaries and benefits (Rs. 774.9 Mn - 2024)
- 3.0 average training hours per employee (5.8- 2024)
- Zero major injuries
- 14 promotions (12 -2024)

Suppliers and Community

- Rs. 3,084.4 Mn paid to suppliers (Rs. 2,778.3 Mn - 2024)
- New local suppliers added to the data base
- <100 beneficiaries from community initiatives
- Reduction in waste sent to landfills owing to recycling
- Increase in forest cover

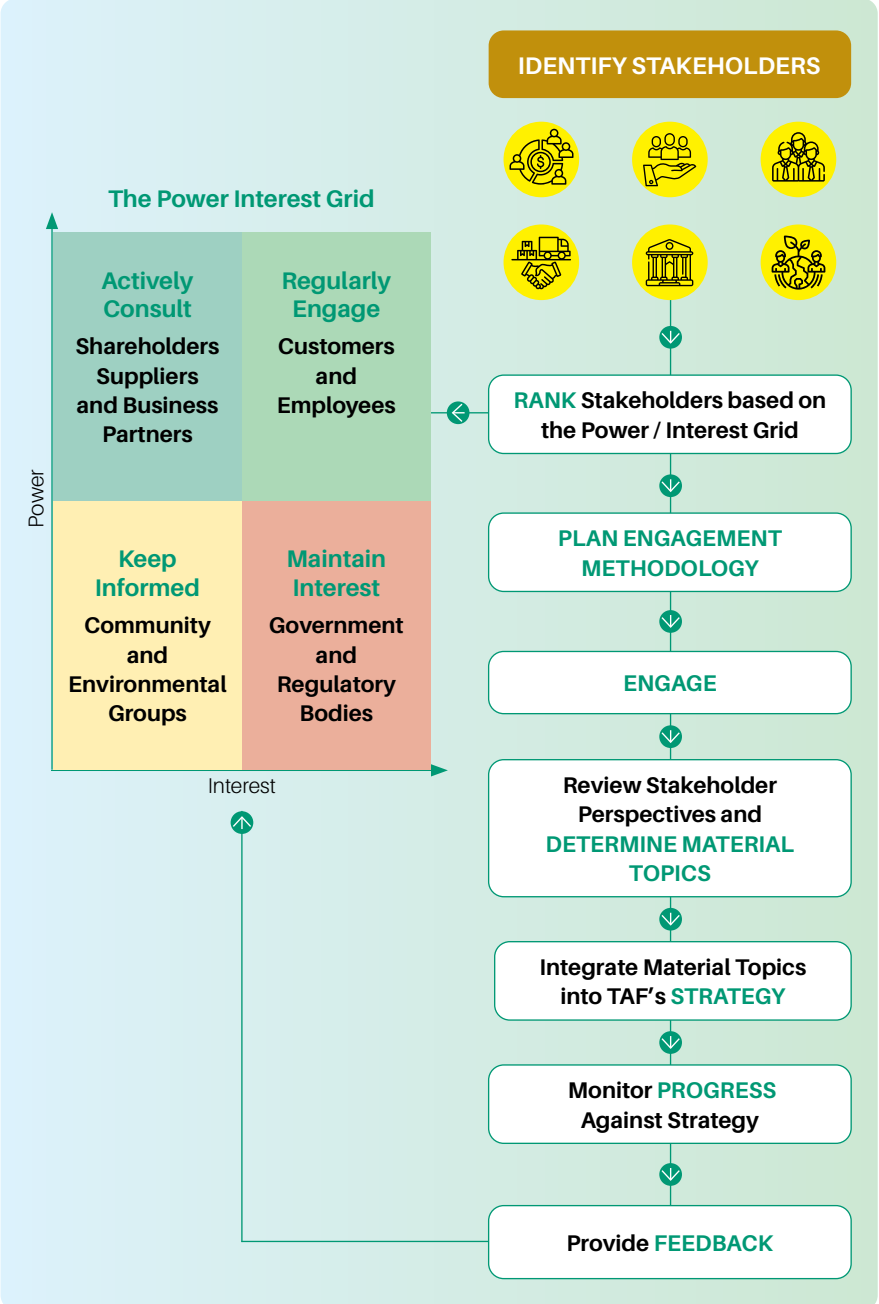
S Short Term | M Medium Term | L Long Term | + Value Created | - Value Eroded | = Value Preserved

Stakeholder Engagement

GRI 2-16, 2-25, 2-29, 419-1

TAF identifies its stakeholders as individuals, groups, or entities that hold an interest in the organisation or influence its activities. The Company recognises that sustainable value creation depends on maintaining transparent, structured and mutually beneficial relationships across its stakeholder spectrum. We therefore place significant importance on fostering continuous and meaningful engagement, encouraging open, transparent, and well-informed communication with all stakeholders connected to our operations.

To support this approach, we have implemented a robust stakeholder engagement framework that offers clear guidance on identifying key stakeholder groups, as well as understanding their expectations, priorities, and material concerns. This structured approach enables us to build trust, enhance transparency, and ensure that all interactions reflect our commitment to accountability, responsible business practices, and continuous improvement.



Generating Insights Through Stakeholder Engagement

Stakeholder engagement is a fundamental element of how the Company identifies and responds to the sustainability matters that are most relevant to its operations. Direct engagement with key stakeholder groups enables their perspectives to be meaningfully reflected in decision-making processes.

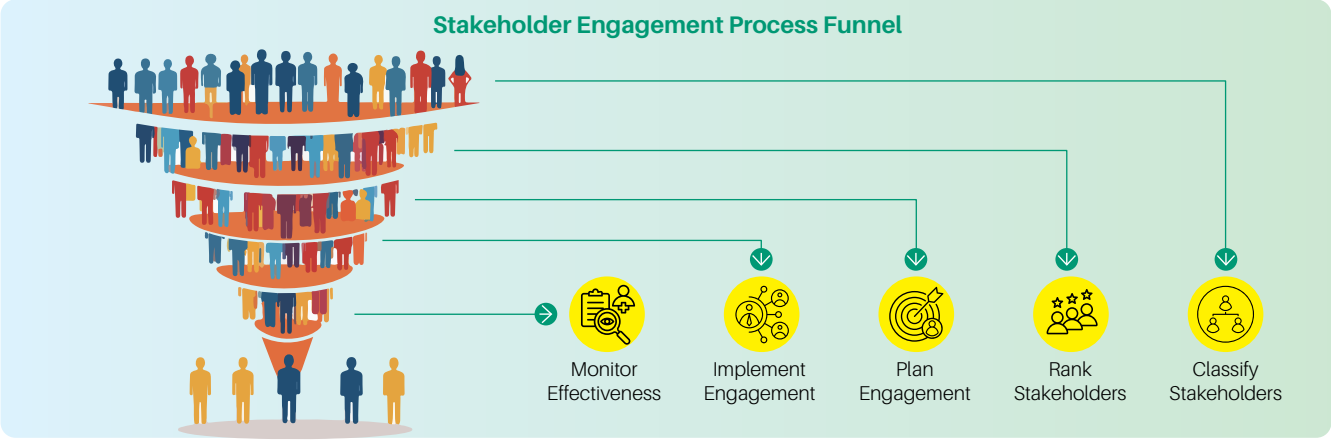
For areas where impacts are less direct, the Company adopts broader engagement mechanisms, including customer feedback analysis, employee surveys, and industry insights, to develop a well-rounded understanding of stakeholder expectations and concerns.

These inputs form a critical foundation for the materiality assessment process, as outlined in the *"Material Topics"* section. By systematically capturing and evaluating stakeholder feedback, the Company translates insights into strategic priorities and integrates them into its business model and operational practices. This approach strengthens responsiveness, enhances resilience, and ensures continued alignment with evolving sustainability priorities.

During the reporting period, the Company recorded no incidents of non-compliance with applicable laws and regulations in relation to social and economic aspects affecting stakeholders.

STAKEHOLDER PRIORITISATION

Stakeholders are prioritised based on their level of power and influence. High-impact stakeholders are actively consulted, involved, or collaborated with, while broader stakeholder groups are engaged through structured monitoring and periodic communication.



Category	Stakeholder Profile	Value Contribution	Engagement Approach
Consult	Stakeholders with technical expertise or independent oversight roles	Provide critical insights that strengthen financial integrity, risk management, and governance	Engage through structured dialogue, transparent communication, and formal consultations
Involve	Key stakeholders directly influencing or impacted by business performance	Shape strategic direction and drive operational and financial outcomes	Maintain continuous, proactive engagement embedded within decision-making processes
Collaborate	Strategic partners and participants across the value chain	Enable operational efficiency and support long-term sustainable growth	Foster partnership-driven engagement focused on shared goals and mutual value creation
Monitor	Stakeholders with indirect or emerging influence	Influence reputation and the broader operating environment over time	Ensure regular communication and apply proportionate monitoring mechanisms

Stakeholder Engagement

Stakeholder Group	Authorities in charge of Engagement	Engagement Medium and Frequency of Engagement	Key concerns raised and what they expect
 Shareholders	◈ Board of Directors ◈ CEO ◈ Executive Management Team	◈ Annual General Meeting (Annual) ◈ Investor forums and discussions ◈ Annual Report (Annual) ◈ Interim Financial Statements (Quarterly) ◈ CSE announcements (As needed) ◈ Press releases (As needed) ◈ Corporate website (Continuous) ◈ Extraordinary General meetings (As needed)	◈ Return on investment ◈ Dividends and capital gains ◈ Share price and liquidity ◈ Growth prospects ◈ Business continuity ◈ Governance and transparency ◈ Social and environmental impact
 Customers	◈ CEO ◈ Sales Teams	◈ Technical support and product awareness sessions (Continuous) ◈ Direct customer interaction (Continuous) ◈ Regular one-on-one engagements and site visits (As needed) ◈ Customer satisfaction surveys (As needed) ◈ Social media and corporate website (Continuous) ◈ Dealer convention (Annual) ◈ Regional Dealer meetings (Periodic) ◈ Specific audit reviews (Periodic)	◈ Product quality and safety Product pricing ◈ Product availability ◈ Product Innovations ◈ Credit Facilities ◈ Sustainable Supply Chain
 Employees	◈ Head of HR ◈ Line Managers	◈ Performance appraisals (Annual) ◈ Regular training sessions (As needed) ◈ Employee Council meetings (Monthly) ◈ Open-door policy (Continuous) ◈ Internal communication through memo, Internet and notice board (Continuous) ◈ Staff events (Annual)	◈ Attractive remuneration and reward schemes ◈ Opportunities for training and career development and progression ◈ Recognition and succession planning ◈ Safe and conducive workplace ◈ Job security ◈ Welfare facilities

	Our Responses and Results for 2025	Risk	Opportunities	Quality of Relationship	Focus for the future
	◈ ROI – 16.8% (20.28% - 2024) ◈ DPS - Rs. 40.00 (Rs. 55.00 - 2024) ◈ EPS - Rs. 65.40 (Rs..72.26 - 2024) ◈ Last traded share price – Rs. 592.25 (Rs.298.25 - 2024) ◈ Total Dividend Payment Rs. 706.4 Mn ◈ Strengthened Business Continuity Planning and DR Infrastructure Systems *Ref Financial Capital - page 50 & Intellectual Capital – page 66 & Corporate Governance 125*	◈ Business disruption risk ◈ Compliance risk ◈ Climate change risk ◈ Share price volatility	◈ Business diversification ◈ Technology upgrades ◈ Market expansion	Healthy	◈ Strengthen the financial performance ◈ Align sustainability goals with financial performance ◈ Invest in innovation and market expansion 
	◈ Customer Satisfaction surveys ◈ Secured Credit Facilities and attractive discounts to dealers ◈ Implemented a dealer incentive programme offering Tour sponsorships *Ref. Social and Relationship Capital Report on page 77*	◈ Business disruption risk ◈ Competitor risk ◈ Climate change risk	◈ Productivity optimisation through technology ◈ Rising demand for Protein ◈ New product needs	Strong	◈ Deliver high-quality, value-added products ◈ Strengthen relationships with dealers and export buyers ◈ Adopt sustainable operational and processing practices 
	◈ Rs. 888.2 Mn Mn paid as remuneration and Benefits to employees ◈ Rs. 0.3 Mn Investment in local Training ◈ Significant Revamp of Group-Wide Safety Systems ◈ 240 No of Safety training programmes conducted ◈ Workforce optimisation ◈ Rs. 215.5 Mn covered for Workmen's Insurance . ◈ Ensure better work-life balance through introducing family –friendly work policies. *Ref. Human Capital Report on page 90*	◈ Business disruption risk ◈ Labour and talent migration risk	◈ Product quality and operational efficiency ◈ Innovation and improvement	Strong	◈ Open communication culture ◈ Training and awareness ◈ Mental health and wellbeing 

Stakeholder Engagement

Stakeholder Group	Authorities in charge of Engagement	Engagement Medium and Frequency of Engagement	Key concerns raised and what they expect
Suppliers	◈ Procurement Department	◈ Relationship Management Initiatives (As needed) ◈ Supplier site visits (Continuous) ◈ Written communication and feedback (As needed) ◈ Supplier selection process (Periodic) ◈ Regular checks of their ethical standards (Periodic) ◈ Attending trade exhibitions and supplier conventions (Periodic) ◈ Supplier Surveys (As needed)	◈ Constructive feedback ◈ Timely payments and ease of negotiating ◈ Social and environmental conformity ◈ Opportunities for business growth ◈ Potential for long-term business relationships
Government and Regulatory Bodies	◈ Board of Directors ◈ Executive Management	◈ Directives and circulars (Periodic) ◈ Face-to-face interactions (As needed) ◈ Regulatory filings (Annual) ◈ Corporate website (Continuous)	◈ Timely payment of regulatory dues and taxes ◈ Compliance with all regulatory requirements ◈ Social and environmental implications of the business ◈ Environmental Impact assessment
Community and Environmental Groups	◈ Sustainability Committee ◈ Sustainability Management Team	◈ CSR activities (Periodic) ◈ Public events and sponsorships (Periodic) ◈ Corporate website (Continuous) ◈ Environment and other licences (As needed) ◈ Social media (Continuous)	◈ Contribution to community development ◈ Empowerment through livelihood creation ◈ Social well-being ◈ Fair competition

	Our Responses and Results for 2025	Risk	Opportunities	Quality of Relationship	Focus for the future
	◈ Rs. 3,084.4 Mn paid to suppliers (Rs. 2,778.3 Mn - 2024) ◈ Timely payments on all dues ◈ 18 No of new supplier relationships. *Ref. Social and Relationship Capital Report on page 82*	◈ Supply chain disruption risk ◈ Exchange rate risk ◈ Climate change risk	◈ Quality inputs ◈ Long-Term Supplier Relationships	Healthy	◈ Maintain supply chain transparency and traceability ◈ Build and maintain strong relationships ◈ Promote high standards of quality consistency 
	◈ Rs. 931.3 Mn paid as taxes (Rs. 618.4 Mn - 2024) ◈ Zero reported incidents of non-compliance with labeling requirements ◈ Zero incidents of non-compliance related to marketing communications ◈ ISO 14064-1 Certification ◈ Ensure full compliance with all regulatory requirements *Ref. Financial Capital Report on page 54, Intellectual Capital Report on page 68 Natural Capital - page 112*	◈ High taxation risk ◈ Policy changes risk	◈ Economic stabilisation policies ◈ Infrastructure development	Strong	◈ Ensure full compliance with relevant laws and regulations. ◈ Adopt sustainable and environmentally friendly practices. 
	◈ Engage with communities through CSR activities ◈ 100% of poultry waste repurposed and converted into organic fertiliser ◈ 75% of packaging materials reclaimed ◈ Zero Legal actions for anti-competitive behavior, antitrust, and monopoly practices ◈ The Company's 3H principle integrates our goals and strategies with the well-being of society and local communities *Ref. Natural Capital - page 110*	◈ Business disruption risk ◈ Reputation damage risk	◈ CSR projects ◈ Stronger brand image	Healthy	◈ Enhance living standards ◈ Support education initiatives ◈ Promote access to quality healthcare services 

Material Topics

GRI 3-1, 3-2, 3-3

Materiality at TAF represents the sustainability topics that are most significant to our long-term success as a leading poultry manufacturer, as well as those matters that are of critical importance to our stakeholders. These topics reflect areas where TAF's activities, decisions, and performance have the greatest potential to influence value creation, risk management, and stakeholder trust. To ensure continued relevance, TAF undertakes a comprehensive materiality assessment annually, enabling us to identify, evaluate, and prioritise the issues that require strategic attention over the short, medium, and long term.

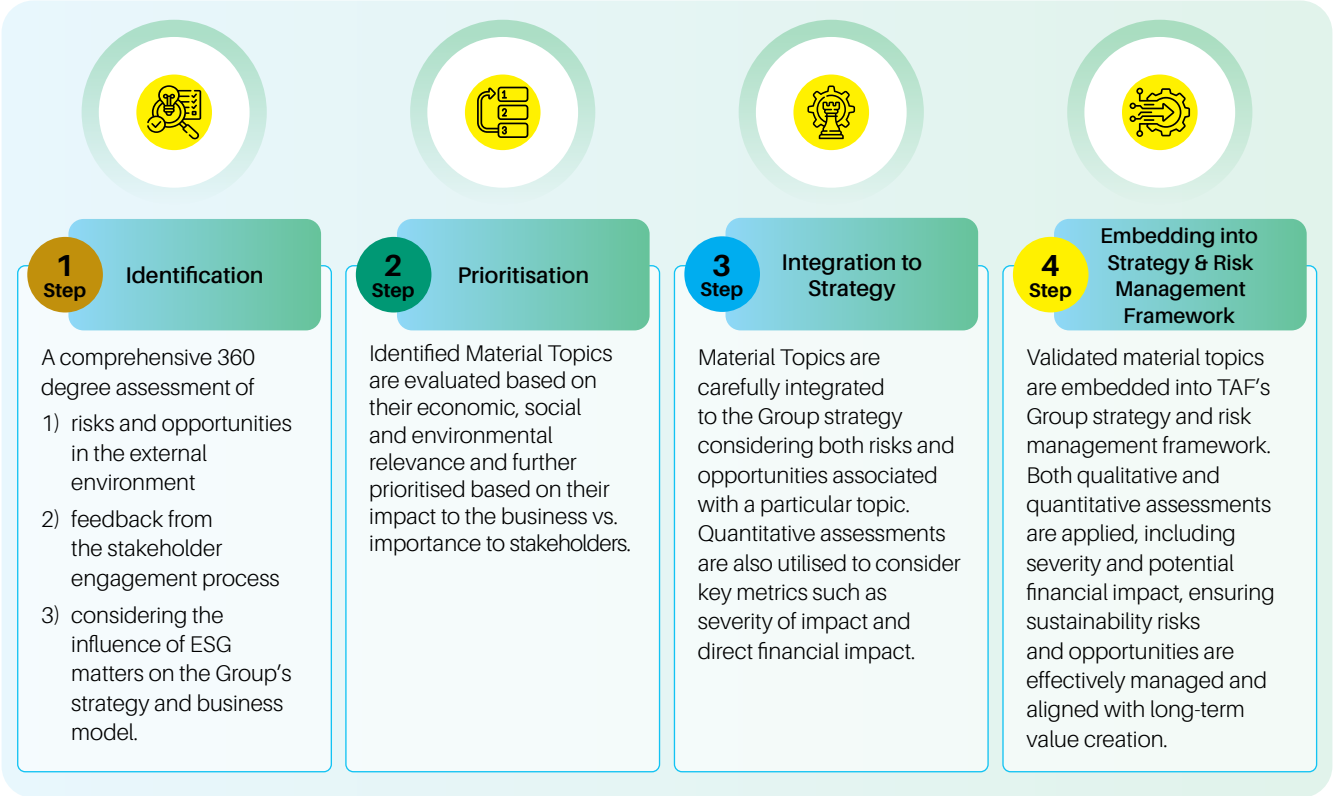
The materiality assessment process is informed by a combination of internal and external insights, including management reviews, operational assessments, and stakeholder considerations. Our approach is aligned with globally recognised sustainability frameworks and voluntary commitments, including the Global Reporting Initiative (GRI) Universal Standards (2022) and the United Nations Sustainable Development Goals (SDGs). In 2025, TAF further enhanced its process by incorporating the GRI 13: Agriculture, Aquaculture, and Fishing Sector Standards (2022), ensuring sector-specific risks, impacts, and opportunities relevant to poultry operations are appropriately captured. In anticipation of evolving regulatory expectations, considerations from the Sustainability Accounting Standards Board (SASB) – Meat, Poultry, and Dairy Standard were also integrated, alongside emerging requirements under SLFRS S1 and S2.

All Material Topics identified through this process are assessed using a double materiality approach, providing a holistic perspective on their significance. This involves evaluating each topic through two complementary lenses:

(i) the potential financial risks and opportunities for TAF that could affect business performance, resilience, and enterprise value; and

(ii) the actual or potential economic, social, and environmental impacts arising from TAF's operations, products, and value chain.

Applying this dual perspective allows TAF to better understand how sustainability matters influence both business outcomes and stakeholder interests. As a result, Material Topics are categorised under Environmental, Social, and Governance (ESG) dimensions, supporting a structured, transparent, and forward-looking framework to guide strategic planning, risk management, and sustainability initiatives.



Outcome of the Double Materiality Filter



Material Topics

		Material Topic	Impact Materiality		Financial Materiality	Double Materiality	Risk No	GRI /SASB / Other	
			Risks	Opportunities					
ENVIRONMENT	1	**Materials**	Sourcing materials from unsustainable or unethical suppliers could lead to reputational and regulatory risks	Explore the use of reclaimed and recycled packaging materials	Low	Low	R1	GRI 301	
	2	**Energy**	Rising energy costs due to market volatility	Reduce energy intensity	Low	Low	R23	GRI 302, FB-MP-130a.1, FB-MP-	
	3	**Water and Effluents**	Inefficient water management can result in resource depletion, pollution, and reputational damage, especially if effluent discharge negatively impacts local ecosystems and communities	Adopting sustainable water management strategies can enhance operational efficiency and reduce costs	Low	Low	R14, R24	GRI 303 GRI Topic 13.7 (GRI 13: Agriculture, Aquaculture and Fishing Sectors 2022),140a.1, FB-MP-140a.2,FB-MP-140a.3	
	4	**Emissions**	Increasing regulatory pressure to reduce greenhouse gas (GHG) emissions, with stricter environmental laws, carbon taxes, and emissions reporting requirements potentially leading to higher compliance costs	Adopting low-carbon solutions can enhance brand value, positioning TAF as an industry leader in sustainability	Low	Low	R21, R26	GRI 305 FB-MP-110a.1, FB-MP-110a.2, FB-AG-110a.3	
	5	**Waste**	Reputational damage due to the harm caused by excessive waste generation and improper disposal	Adopting circular economy principles to minimise environmental impact while lowering material costs and improving operational efficiency	Low	Low	R14	GRI 306 GRI Topic 13.8 (GRI 13: Agriculture, Aquaculture and Fishing Sectors 2022)	
	6	**Climate adaptation and resilience**	Risk of operational disruptions due to the increasing frequency and severity of climate-related events, such as extreme weather, flooding, and temperature fluctuations	Embed climate resilience into the business model and strategy	Moderate	Moderate	R19	GRI Topic 13.2 (GRI 13: Agriculture, Aquaculture and Fishing Sectors 2022)	

Management Approach	Linked to the Business Strategy Pillars					Related Capitals	SDGs
	Sustainable value creation	Cost Optimisation & Efficient Operations	Customer -centric value delivery	Human Capital & workplace wellbeing	Environmental Sustainability & Climate Action		
Increase the proportion of sustainable materials Natural Capital - page 112		✓			✓	Natural Capital	6, 11, 12, 13, 14, 15, 17
Invest in renewable sources to reduce the dependence on non-renewable sources Natural Capital - page 113					✓	Natural Capital	
Optimise water usage, implementing efficient treatment systems, ensuring regulatory compliance, and integrating sustainable practices to minimise environmental impact and enhance long-term resource sustainability Natural Capital - page 117		✓			✓	Natural Capital	
Implementing energy-efficient technologies, transitioning to renewable energy, ensuring regulatory compliance, and continuously reducing its carbon footprint Natural Capital - page 114		✓			✓	Natural Capital	
Promoting recycling and resource recovery and integrating circular economy principles to reduce environmental impact and enhance operational efficiency		✓			✓	Natural Capital	
Follow global developments to understand how best to integrate climate adaptation and resilience into the business Sustainability and Climate related Risk Report - page 190		✓	✓		✓	Natural Capital	

Material Topics

		Material Topic	Impact Materiality: Risks	Impact Materiality: Opportunities	Financial Materiality	Double Materiality	Risk No	GRI /SASB / Other
SOCIAL	7	**Employment**	Risk of Labour unrest, high turnover rates, grievances and workplace accidents leading to business disruptions and reputational damage	Enhance the reputation as an employer of choice to attract and retain top talent	Moderate	Moderate	R6, R7, R8, R9	GRI 401 GRI 402 GRI 403 GRI 404 GRI 405 GRI 406 GRI 407 GRI 408 GRI 409 FB-MP-320a.1, FB-MP-320a.2
	8	**Labour/ Management relations**						
	9	**Occupational Health & Safety**						
	10	**Training & Education**						
	11	**Diversity & Equal Opportunity**						
	12	**Customer Health and Safety**	Health and safety failures could lead to the risk of product recalls and undermine consumer trust and loyalty, potentially resulting in long-term financial and reputational damage	Potential for market expansion and enhanced competitiveness	Moderate	Moderate	R15	GRI 416 GRI 417 GRI Topic 13.10 Food safety (GRI 13: Agriculture, Aquaculture and Fishing Sectors 2022) FB-MP-250a.1,FB-MP 250a.2, FB-MP-250a.2, FB-MP-250a.3, FB-NB-270a.2, FB-NB-270a.5,FB-NB-270a.4, FB-NB-410a.1, FB-NB-410a.2
	13	**Marketing and Labeling**						
	14	**Food safety**						
	15	**Animal health and welfare**	Failure to comply with animal welfare standards or involvement in unethical practices could lead to regulatory fines, public backlash, and loss of consumer trust	Promoting high animal welfare standards, TAF can enhance its reputation as a responsible and ethical company	Moderate	Moderate	R15	GRI Topic 13.11 Animal health and welfare (GRI 13: Agriculture, Aquaculture and Fishing Sectors 2022)
	16	**Indirect Economic Impacts**	Reputational damage due to lack of adequate engagement with local communities	Invest in community capacity building	Low	Low	R25	GRI 203

Management Approach	Linked to the Business Strategy Pillars					Related Capitals	SDGs
	Sustainable value creation	Cost Optimisation & Efficient Operations	Customer -centric value delivery	Human Capital & workplace wellbeing	Environmental Sustainability & Climate Action		
Implement policies and procedures to manage labour management relations, prioritising occupational health and safety, offering continuous training and development, and championing diversity and equal opportunity Human Capital - page 92				✓		Human Capital	3 GOOD HEALTH AND WELL-BEING 4 QUALITY EDUCATION 5 GENDER EQUALITY 8 DECENT WORK AND ECONOMIC GROWTH 10 REDUCED INEQUALITIES
				✓			
				✓	✓		
				✓	✓		
Adhering to stringent regulatory standards, ensuring transparent and accurate product information, and implementing robust safety protocols to protect consumers and build trust in TAF's products Social and Relationship Capital - page 77	✓				✓	Social and Relationship Capital	2 ZERO HUNGER 8 DECENT WORK AND ECONOMIC GROWTH 9 INDUSTRY, INNOVATION AND INFRASTRUCTURE 10 REDUCED INEQUALITIES 11 SUSTAINABLE CITIES AND COMMUNITIES
	✓				✓		
	✓				✓		
Animal Welfare Policy Intellectual Capital - page 71					✓	Social and Relationship Capital	12 RESPONSIBLE CONSUMPTION AND PRODUCTION 15 LIFE ON LAND
Strong community relations framework to identify and address needs of the wider community Social and Relationship Capital - page 85	✓				✓	Social and Relationship Capital	16 PEACE, JUSTICE AND STRONG INSTITUTIONS 17 PARTNERSHIPS FOR THE GOALS

Material Topics

		Material Topic	Impact Materiality: Risks	Impact Materiality: Opportunities	Financial Materiality	Double Materiality	Risk No	GRI /SASB / Other	
GOVERNANCE	17	**Economic Performance**	Adverse impact on consumer demand due to inflation, weather-related factors etc. Unpredictable increase in cost of imported raw material owing severe exchange rate volatility	Invest in technology and automation to derive cost efficiencies	High	High	R2,R3.R4	GRI 201	
	18	**Market Presence**	Rising minimum wages may lead to increased labour costs, potentially affecting profit margins	Enhance corporate reputation by offering higher than minimum wage requirements	Low	Low	R6	GRI 202	
	19	**Procurement Practices**	Breakdown of supply chain owing to the high dependency on imports	Develop a reliable local supplier network	High	High	R1,R20	GRI 204	
	20	**Anti-Corruption**	Risk of legal penalties, fines, and reputational damage if implicated in corrupt practices	Benchmark global best practices for integrity and transparency	High	Low	R17	GRI 205	
	21	**Anti-competitive behavior**	Legal actions, heavy fines, and significant reputational damage	Reinforce anti-competitive practices across the value chain	High	Low	R17,R25	GRI 206	
	22	**Tax**	Fines and reputational damage owing to non-compliance	Proactive monitoring of regulatory developments to drive early adoption	Low	Low	R26	GRI 207	

	Management Approach	Linked to the Business Strategy Pillars					Related Capitals	SDGs
		Sustainable value creation	Cost Optimisation & Efficient Operations	Customer -centric value delivery	Human Capital & workplace wellbeing	Environmental Sustainability & Climate Action		
	Focus on revenue diversification, while reducing costs through the optimal use of existing assets and systematically increasing the level of automation within the production process Financial Capital - page 50 Manufactured Capital - page 60		✓			✓	Financial Capital Manufactured Capital	2 ZERO HUNGER 9 INDUSTRY, INNOVATION AND INFRASTRUCTURE
	Commitment to fair wages in line with minimum wage requirements Human Capital – page 98				✓		Human Capital	8 DECENT WORK AND ECONOMIC GROWTH 10 REDUCED INEQUALITIES
	Cultivate a network of diverse suppliers including reliable local suppliers Social and Relationship Capital - page 82		✓				Social and Relationship Capital	8 DECENT WORK AND ECONOMIC GROWTH 10 REDUCED INEQUALITIES
	Zero tolerance of bribery and corruption in line with the parent - Prima Group Singapore Intellectual Capital - page 68		✓			✓	Intellectual Capital	17 PARTNERSHIPS FOR THE GOALS
	Prioritise transparency and healthy competition by adhering to the core values of the parent - Prima Singapore Social and Relationship Capital - page 79		✓	✓		✓	Intellectual Capital	17 PARTNERSHIPS FOR THE GOALS
	100% compliance with all applicable tax regulations Financial Capital - page 54		✓	✓			Financial Capital	8 DECENT WORK AND ECONOMIC GROWTH

Business Strategy and Resource Allocation

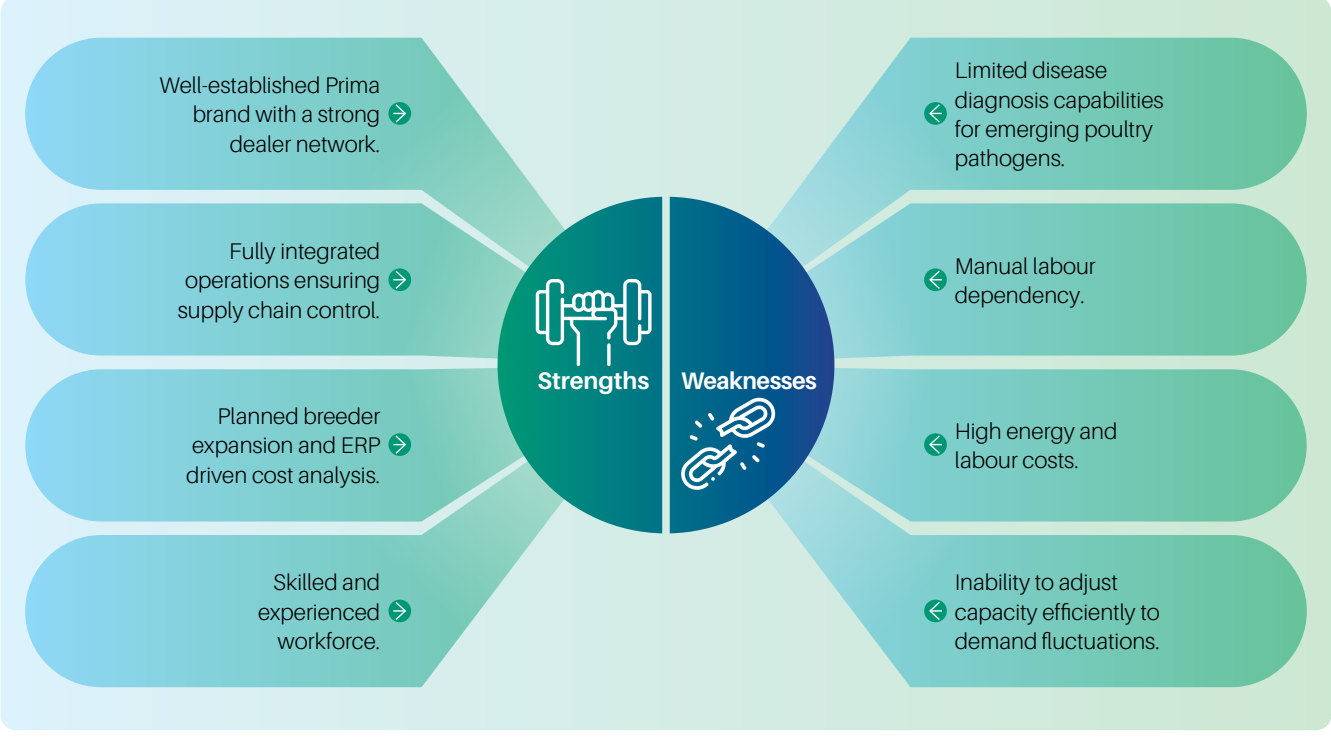
GRI 2-22

TAF adopts a structured and forward-looking approach to strategy formulation, shaped through a PESTLE analysis. It monitors political, economic, social, technological, legal and environmental factors that may present opportunities or threats that could potentially impact TAF's business model and future prospects.

At the same time, an internal assessment is conducted to evaluate the Company's strengths and weaknesses, to understand how these internal factors will shape TAF's strategic response to external influences. Accordingly, opportunities arising from the PESTLE analysis are leveraged by matching them with TAF's strengths, ensuring that resources are allocated effectively to maximise benefits. Conversely, threats are addressed by identifying and mitigating weaknesses, allowing the company to adapt its strategies to reduce risks and enhance resilience in an evolving landscape.

Resource allocation is then prioritised based on this strategic alignment. Company, human resources and technology are made with a clear focus on balancing short-term efficiency with long-term sustainability and growth objectives. By ensuring that resources are directed toward areas of highest impact, TAF aims to capitalise on opportunities and mitigate risks, in order to sustain business growth in a rapidly changing environment.

This disciplined, data-driven approach supports the Group in maintaining operational efficiency, strengthening competitive positioning, and ensuring long-term value creation for stakeholders.



PESTLE Analysis		Opportunity	Threat
Political	Import restrictions on vaccines and raw materials.		⊗
Economic	Higher prices of competitive protein alternatives driving up the demand for poultry.	✓	
	Growing competition in the poultry industry.		⊗
Social	Increasing consumer preference for organic and antibiotic-free poultry products.	✓	
	Housing developments near farms leading to environmental and operational issues.		⊗
Technology	New technological advancement in poultry production improving efficiency.	✓	
Legal/Regulatory	Regulatory constraints		⊗
Environment	Uncertain weather patterns affecting open-house production. Emerging poultry diseases and seasonal outbreaks.		⊗

Strategic Resource Allocation

TAF's resource allocation strategy is closely aligned with its long-term strategic priorities, ensuring the optimal utilisation of financial, human, and operational resources. Investments are strategically directed towards initiatives that support the Group's four key pillars:

- **Sustainable Value Creation, Cost Optimisation & Efficient Operations** - Enhancing production efficiency through modernised systems across breeder farms and commercial farms, upgrading hatchery infrastructure and process optimisation, and disciplined cost management across the value chain.
- **Customer-Centric Value Delivery** - Strengthening distribution networks, maintaining relatively stable selling prices and continuously improving chick quality to meet evolving customer expectations.
- **Human Capital & Workplace Wellbeing** - Investing in employee development, skills enhancement, and fostering a safe and performance-driven work environment through training programmes and awareness campaigns.
- **Environmental Sustainability & Climate Action** - Advancing sustainable practices through efficient resource utilisation, waste management and environmentally responsible operations and investing in energy-efficient farm and hatchery infrastructure.

Through prudent resource allocation and continuous performance monitoring, TAF ensures that resources are deployed effectively to drive sustainable growth, enhance profitability, optimise cost and reinforce its leadership position in the poultry industry.

Business Strategy and Resource Allocation

Sustainable Value Creation, Cost Optimisation & Efficient Operations

Material Matters

- Cost efficiency and margin management
- Production efficiency and process automation
- Asset utilisation and operational reliability
- Resource optimisation and waste minimisation
- Supply chain resilience and integration

Capitals Impacted

Financial Capital | Manufactured Capital | Intellectual Capital | Human Capital | Social and Relationship Capital | Natural Capital

Risk & Opportunities

R1,R2,R10,R11,R14,R16,R20,R22,R23,R25,R27

Resource Allocation Highlights

- Approx. Rs. 550.0 Mn Investment in New GP Farm
- Rs. 42.0 Mn invested on Solar Energy at one of our farms
- Rs. 1.4 Mn Invested in IT system Upgrade
- Rs. 23.1 Mn invested to acquire new vehicles
- Rs. 215.0 Mn invested in constructing EC Houses

Outcomes

- Asset Turnover Ratio 60 %
- Capacity Utilisation -< 80%
- Incurred on CAPEX Rs. 346.6 Mn
- Enhanced asset utilisation and reduced downtime
- Strengthened supply chain resilience and supplier reliability
- Reduced waste and improved natural resource utilisation

Ref: Manufactured Capital – page 60

Future Plans

Short Term

- Improve energy efficiency through equipment optimisation and process controls
- Enhance biosecurity infrastructure across farms and hatcheries
- Upgrade waste, litter and effluent management facilities

Medium Term

- Expand capacity in commercial farms, breeder farms, and hatcheries
- Increase mechanisation and automation to reduce manual handling
- Align facilities with evolving animal welfare and ESG standards

Long Term

- Develop next-generation smart farms and advanced hatcheries
- Fully integrate circular resource management (waste-to-energy, water reuse)
- Embed best-in-class biosecurity and animal welfare infrastructure

SDGs



Shareholders Impacted : Customers, Suppliers , Employees, Community & Environment

Customer-Centric Value Delivery

Material Matters

- Customer Trust and Product quality
- Responsible Supply Chain Management
- Farmer Engagement and Technical Support
- Ethical Business Conduct and Corporate Reputation
- Animal Health and Biosecurity Practices

Capitals Impacted

Financial Capital | Manufactured Capital | Intellectual Capital | Human Capital | Social and Relationship Capital | Natural Capital

Risk & Opportunities

R1,R15,R18,R20,R25

Resource Allocation Highlights

- Customer Satisfaction surveys
- Rs.1.8 Mn spent on community Initiatives
- Rs. 3,084.4 Mn paid to suppliers (Rs. 2,778.4 Mn - 2024)
- 18 Local Suppliers added to the database
- <100 beneficiaries from community initiatives
- Customer engagement, feedback systems, and brand-building initiatives
- Sustainable sourcing and responsible operation practices

Outcomes

- Zero incidents of non-compliance related to marketing communications were reported in 2025
- Consistent product quality, safety, and traceability
- Expanded the dealer / distributor network to improve customer access
- Strengthened disease-testing protocols for DOCs
- Increased customer satisfaction, loyalty, and brand trust
- Expanded market reach and improved delivery reliability
- Enhanced innovation and responsiveness to customer needs

Ref: Social and Relationship Capital – page 74

Future Plans

Short Term

- Strengthen customer engagement and distribution channels
- Enhance CSR initiatives and community engagement programs to increase social impact

Medium Term

- Expand export markets
- Enhance product innovation and customisation capabilities

Long Term

- Position TAF as a trusted regional brand in DOCs and poultry products
- Deliver high-value, quality products aligned with evolving consumer trends

SDGs



Shareholders Impacted : Customers, Employees, Suppliers & Communities

Business Strategy and Resource Allocation

Human Capital & Workplace Wellbeing

Material Matters

- Employee Engagement and Satisfaction
- Training, Skills Development and Capacity Building
- Occupational Health and Safety (OHS)
- Human rights
- Labour Grievances
- Workforce Optimisation and Productivity
- Gender Diversity, Equity and Non-Discrimination

Capitals Impacted

Human Capital | Intellectual Capital | Social and Relationship Capital | Manufactured Capital

Risk & Opportunities

R6,R7,R8,R9

Resource Allocation Highlights

- Rs.215.50 Mn cover for Workmen's Compensation
- Rs. 0.31 Mn Investment in Training
- Significant Revamp of Group-Wide Safety Systems
- 240 safety Training Programmes Conducted
- Workforce Optimisation
- Rs. 888.21 Mn paid as remuneration and Benefits to employees
- Employee wellbeing, medical, and engagement initiatives
- Infrastructure improvements supporting employee working conditions

Outcomes

- Staff attrition rate of 7.3 % (compared to 5.2% in 2024).
- Zero incidents of discrimination (maintained from 2024).
- 88% employee satisfaction, showing a slight improvement from 87% in 2024
- Employees receiving performance evaluation – 100%
- Zero Incidents of Child Labour
- Zero Incidents of Non -compliance of Regulations
- 77% Employees serving the Company for over 5 Years
- Employee Engagement Score (Out of 5) – 4.8
- Employee Trust Index – 86%
- Average Training Hours per employment 2025 – 3.0 hrs
- Reduced workplace incidents and operational disruptions

Ref: Human Capital – page 90

Future Plans

Short Term

- Improve employee engagement and wellbeing initiatives across all farm locations.
- Conduct targeted training on farm operations, biosecurity, and occupational health & safety.

Medium Term

- Enhance employee retention through welfare, recognition, and career development initiatives.
- Introduce digital tools to monitor workforce performance and efficiency.

Long Term

- Build a resilient, future-ready workforce aligned with modern poultry farming practices.
- Invest in advanced technologies and continuous skill development for employees.

SDGs



Shareholders Impacted : Employees ,Customers, Communities

Environmental Sustainability & Climate Action

Material Matters

- Energy & Emissions
- Waste & Resource Efficiency
- Materials & Packaging
- Biodiversity & Ecosystems
- Climate Resilience
- Water management
- Corporate Citizenship and Community

Capitals Impacted



Risk & Opportunities

R12,R13,R14,R15,R19,R21,R26

Resource Allocation Highlights

- Initiated Scope 3 carbon emissions assessment
- 100% of poultry waste repurposed and converted into organic fertiliser
- 75% of packing materials reclaimed
- Water Footprint Assessment
- Environmental awareness programmes and stakeholder engagement
- Tree planting, biodiversity conservation, and land stewardship initiatives
- Integration of ESG into strategy, sourcing, and operations

Outcomes

- Zero Poultry Litter
- Non-renewable energy consumption per Rs. 1 million turnover reduced to 3.17GJ
- Calculated the carbon footprint of products DOC & Egg
- Initiated Scope 3 Carbon Emission
- Enhanced compliance with environmental standards and regulations
- Strengthened climate resilience and ecosystem protection

Ref: Natural Capital - page 110

Future Plans

Short Term

- Upgrade to energy-efficient equipment in breeding, broiler, and feed processing units.
- Install rooftop solar systems at selected farms to generate renewable energy.

Medium Term

- Scale up biodiversity conservation initiatives, including tree planting and habitat protection at operational sites.
- Expand R&D on sustainable feed formulations using low-impact ingredients while improving nutritional value.

Long Term

- Transition towards circular resource use, optimising the reuse and recycling of materials, water, and by-products.
- Develop a nature-positive operating model that enhances ecosystem health, strengthens climate resilience, and creates sustainable long-term value.

SDGs



Shareholders Impacted : Employees ,Customers, Communities

Operating Environment

The global operating environment in 2025 demonstrated resilience despite heightened geopolitical tensions and policy uncertainties supported by strong consumption, adaptive supply chains, and increased investment in technology especially on Artificial Intelligence (AI). However, rising trade barriers and global conflicts continued to weigh on trade flows and business confidence, with uneven recovery across advanced and emerging economies.

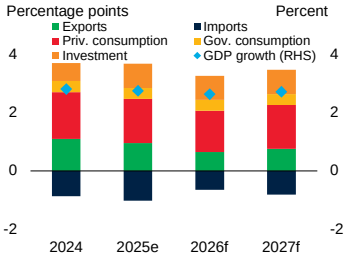
In Sri Lanka, the operating environment showed signs of gradual stabilisation, supported by fiscal discipline and ongoing economic reforms together with political stability. Nevertheless, businesses continued to face challenges from less productivity in agriculture, extreme weather conditions, import dependency, and higher cost of labour and taxes.

GDP Growth

Global economic growth is projected to moderate to around 2.6%, reflecting the delayed impact of elevated trade barriers and weakening demand for traded goods.

Slowing international trade, coupled with ongoing policy uncertainty, is expected to dampen manufacturing activity and consumer spending. Additionally, softer labour market conditions in advanced economies and slower wage growth in emerging markets are likely to further constrain global demand.

B. Contributions to global growth

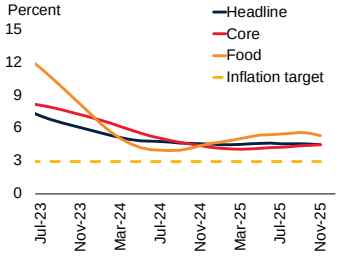


Inflation

Global inflationary pressures remained elevated but are gradually stabilising, influenced by energy prices, supply chain adjustments, and geopolitical developments.

Domestically, inflation continued to decline during the year due to increase in supply, reduced energy costs, and currency movements.

C. Consumer price inflation



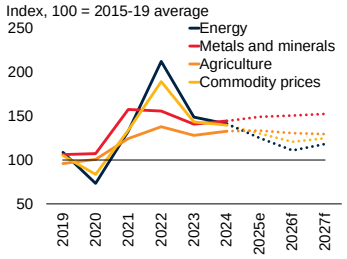
Commodity Prices

Commodity prices in 2025, particularly energy and agricultural inputs, remained volatile due to geopolitical tensions and global supply chain disruptions.

Sri Lanka's reliance on imports exposed the economy to fluctuations in fuel, maize, and soybean prices, increasing cost pressures across industries.

For TAF, commodity price volatility remained a key operational challenge, requiring focus on local sourcing, efficient feed utilisation, and supply chain management to sustain margins and ensure business continuity.

A. Commodity price forecasts



SRI LANKAN ECONOMY

Sri Lanka's economy continued its recovery in 2025, supported by improved macroeconomic stability and policy measures. Economic growth remained steady during the year, indicating consistent performance across key sectors.

Inflation remained low and stable, reflecting improved monetary conditions and a gradual normalisation of prices. The external sector showed strong improvement, supported by increased tourism and higher workers' remittances, which strengthened foreign exchange inflows.

Labour market conditions improved slightly, with a marginal decline in unemployment, indicating a gradual recovery in employment levels. However, the Sri Lankan Rupee experienced moderate depreciation during the year due to removal of import restriction on vehicles. Overall, the economy showed steady progress towards stability, supported by stable growth, controlled inflation, and improved external sector performance, although some structural and external challenges remain.

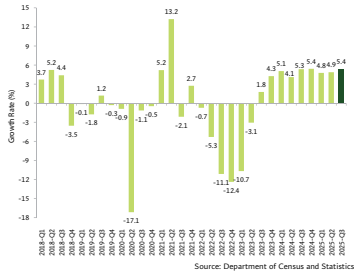
Quarterly Real GDP Growth	
2025-	2024
Q3-5.4%	Q3- 5.4%

Inflation	
2025-	2024
Q4-2.1 %	Q4 – (1.7%)

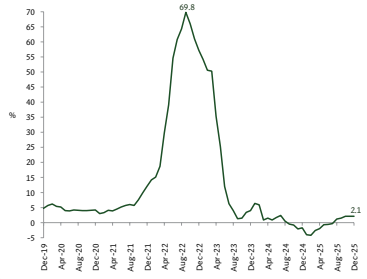
Tourist Arrivals	
2025-	2024
2,362,521	2,053,465

Currency Depreciation	
2025-	2024
Dec - 310/USD	Dec -292.58/USD

Quarterly Real GDP Growth



CCPI based YoY Headline Inflation



US Dollar



Local Poultry Sector Performance

The Sri Lankan poultry sector recorded a notable improvement in 2025, highlighting its continued importance to the national economy. The animal production sector grew by 8.4%, contributing 7.8% to the agricultural GDP, reflecting strong performance despite market challenges.

Broiler production, a key focus for TAF, showed strong momentum, with day-old chick (DOC) production a growth of 11.8%. In contrast, layer DOC production declined a contraction of 12.9%, reflecting changing market dynamics such as excess market supply and lower prices for end product, table eggs.

Total production volumes improved across key categories. Egg production increased by approximately 23%, while chicken meat production rose by around 13%. This translated into improved availability, with per capita egg availability rising from 98.5 to 117.4 units, while chicken meat availability remained stable at approximately 11 kg per person.

Operating Environment

TAF Poultry Operations – 2025 Challenges, Implications & Strategic Responses

Challenges	Positive Implications	Negative Implications & Associated Risks	Impact on Business Model	Operational Implications	Link to Stakeholders	Link to Material Matters	Link to Strategic Pillars	TAF Strategic Responses (2025)
Supply Chain Vulnerabilities	Encourages supplier diversification and better inventory planning	Production delays, supply disruptions, higher logistics costs	Risk of delayed deliveries and inability to meet customer demand	Strengthen supplier relationships, improve inventory planning, mitigate risks	Suppliers, Customers, Investors	1, 17, 19	Sustainable Value Creation, Cost Optimisation & Efficient Operations	Local Sourcing Strengthening ◈ partner with domestic suppliers to reduce import dependence; Process Automation ◈ improve operational efficiency across hatcheries and farms
Competitive Pressures	Drives innovation, product differentiation, and market expansion	Loss of market share, underutilisation, pricing pressure	Scaling down of operation	Enhance product quality, marketing campaigns, and customer engagement	Customers, Industry Partners	12, 13, 18	Customer-Centric Value Delivery, Sustainable Value Creation, Cost Optimisation & Efficient Operations	Market Expansion ◈ leverage brand to enter new regionals ◈ Consistent product quality
Climate Variability & Environmental Risks	Incentivises adoption of climate-resilient and sustainable practices	Crop failures, poultry health risks, supply chain issues	Potential disruption to production continuity; may require climate-adapted operations	Implement climate-resilient sourcing, improve biosecurity, upgrade energy-efficient infrastructure	Local communities, Regulators, Investors	3, 4, 5, 6	Environmental Sustainability & Climate Action, Sustainable Value Creation, Cost Optimisation & Efficient Operations	Sustainability Leadership ◈ renewable energy projects, biosecurity measures, and climate ◈ resilient operational practices
Workforce Retention	Promotes development of training programs and talent retention initiatives	Loss of skilled Labour, operational disruption	May affect operational efficiency and productivity	Implement retention strategies, employee engagement programs, skill development	Employees, Investors	7, 8, 9, 10, 11	Human Capital & Workplace Wellbeing, Sustainable Value Creation, Cost Optimisation & Efficient Operations	Workforce Development ◈ targeted retention strategies and skills ◈ building programs

Resource Allocations to the Capitals:

Manufactured Capital Page 60
Social and Relationship Capital Page 74
Natural Capital Page 110
Human Capital Page 90

TAF Poultry Operations – 2025 Opportunities, Implications & Strategic Responses

Opportunities	Positive Implications	Negative Implications & Associated Risks	Impact on Business Model	Operational Implications	Link to Stakeholders	Link to Material Matters	Link to Strategic Pillars	TAF Strategic Responses (2025)
Export Market Reach	Expands revenue streams and brand presence	Exposure to foreign market volatility, regulatory compliance risks	Requires scaling operations and cost reduction to meet export requirements	Strengthen quality control, logistics, and compliance	Customers, Regulators, Investors	12, 14, 17	Customer-Centric Value Delivery, Sustainable Value Creation	Market Expansion ◈ leverage TAF brand to enter new markets with cost optimisation
Invest in Automation	Enhances operational efficiency, hygiene, and productivity	Initial capital investment; potential operational disruptions during implementation	Modernises operations and reduces dependency on manual processes	Upgrade hatcheries, production lines, and processing operations	Employees, Investors	1, 17	Sustainable Value Creation, Cost Optimisation & Efficient Operations	Process Automation ◈ implement automated systems across key operations for efficiency and consistency
Sustainability Initiatives	Demonstrates ESG leadership and long-term operational resilience	Requires upfront investment; risk of delayed ROI	Supports environmental compliance and strengthens brand reputation	Renewable energy projects, energy-efficient infrastructure, biosecurity improvements	Regulators, Local communities, Investors	3, 4, 5, 6	Environmental Sustainability & Climate Action, Sustainable Value Creation	Sustainability Leadership ◈ implement renewable energy, optimise processes, and adopt climate-resilient operational practices

Resource Allocations to the Capitals:

Manufactured Capital Page 60 | Social and Relationship Capital Page 74 | Natural Capital Page 110 | Human Capital Page 90

Prospects and Outlook – 2026

The global economic landscape entering 2026 continues to be marked by uncertainty and volatility, driven by geopolitical tensions, and increasing climate-related disruptions. These developments are expected to maintain pressure on global energy prices, commodity markets, and supply chains, creating a challenging backdrop for businesses worldwide. For Sri Lanka, these global pressures translate into persistent inflationary pressures, higher import costs, and potential currency fluctuations, which are likely to impact key sectors such as energy, transportation, and agriculture. Continued supply chain disruptions and elevated freight costs are expected to affect industrial operations and exports, while tourism revenues may remain subdued due to fuel price fluctuations and travel uncertainties.

The poultry sector, including TAF operations, will continue to navigate a demanding operating environment in 2026. Rising feed and input costs, energy price inflation, and are likely to put pressure on production costs and margins. Nevertheless, opportunities exist for resilient and agile players to capitalise on strong domestic demand, optimised operations, and strategic supply chain management, reinforcing TAF's position in the market and supporting sustainable growth.

Financial Capital

Financial capital is a cornerstone of TAF's sustainable business success. At its core, effective financial capital management involves supporting operational activities, investing in modern technology and infrastructure and maintaining competitiveness in an ever-changing market. As a pioneer with a six-decade legacy, our ability to safeguard financial strength by securing adequate financial resources has enabled us to overcome the challenges encountered in 2025, maintain healthy liquidity levels, and enhance shareholders' wealth.

The Financial Capital section of this report explains the efforts taken by TAF to manage its financial resources effectively and create sustainable value for its stakeholders. It highlights the Group's commitment to innovation, financial discipline, and long-term growth. It also shows TAF's dedication to responsible financial management as it continues to strengthen its legacy and contribute positively to its shareholders, employees, and the broader community.



Management Approach

GRI 3-3

TAF adopts a disciplined and holistic approach to manage financial capital, with adherence to best practices and the standards set by all relevant statutory and regulatory bodies.

This approach ensures compliance, enhances transparency and strengthens the Company's financial foundation while driving sustainable business growth.

The Company has established a robust safeguard to navigate uncertainty and mitigate financial risks effectively which allows remaining agile and resilient, even in challenging market conditions. Profitability is managed not just through revenue growth but also through cost effective operational practices and strong working capital discipline.

Relevant Material Matters

1. Profitability and Margin Management
2. Economic performance
3. Climate Adaption and Resilience
4. Taxation
5. Occupational Health and Safety
6. Exchange Rate Fluctuations
7. Cost Competitiveness
8. Interest Rate Risk
9. Liquidity and Working Capital Management

Value Creation Scorecard 2025

Key Actions for FY 2025

Total dividend	Retained earnings	Tax expense
Rs. 941.8 Mn	**Rs. 8,958.6 Mn**	**Rs. 931.3 Mn**

Stakeholder Outcomes		Impact on Other Capitals	
Shareholders	Consistent dividend payouts and strong investment returns strengthen investor confidence in TAF's long-term financial stability and growth potential.	Intellectual Capital	+
Employees	Providing improved monetary benefits, including salary increments, bonuses, and allowances, supports employee motivation, satisfaction, and productivity.	Human Capital	+
Government	Timely payment of income taxes contributes to national revenue, supporting public services and overall economic development.	Social and Relationship Capital	+
Community	Continued investment in community development and environmental initiatives reinforces the Group's commitment to sustainable practices while creating long-term value.	Social and Relationship Capital	+

Outputs for TAF Group

Revenue	Net Profit After Tax	Net Asset Per Share Growth
Rs. 6,177.1 Mn	**Rs. 1,539.9 Mn**	**9.5%**
(6,197.9 Mn-2024)	(1,701.3 Mn -2024)	(9%-2024)

SDGs

- **Target 8.2** - Achieve higher levels of economic productivity through diversification, technological upgrading and innovation, including through a focus on high-value added and labour-intensive sectors.
- **Target 8.4** – Improve progressively, through 2030, global resource efficiency in consumption and production and endeavour to decouple economic growth from environmental degradation.
- **Target 9.1** – Develop quality, reliable, sustainable and resilient infrastructure to support economic development and human well-being, with a focus on affordable and equitable access for all.
- **Target 9.4** – Upgrade infrastructure and retrofit industries to make them sustainable, with increased resource-use efficiency and greater adoption of clean and environmentally sound technologies and industrial processes.
- **Target 12.6** – Encourage companies, especially large and transnational ones to adopt sustainable practices and to integrate sustainability information into their reporting cycle.
- **Target 13.2** – Integrate climate change measures into national policies, strategies and planning.
- **Target 13.b** – Promote mechanisms for raising capacity for effective climate change-related planning and management.

Financial Capital

Governance of Financial Capital

Oversight
- Board of Directors
- Board Audit Committee
- Group Management Committee
- General Manager
- Financial Controller

Compliance
- Sri Lanka Accounting and Auditing Standards Act, No. 15 of 1995
- Companies Act, No. 07 of 2007
- Inland Revenue, Act No. 24 of 2017
- Colombo Stock Exchange (CSE) Listing Rules
- Code of Best Practice on Corporate Governance 2023

Internal Mandates and Commitments
- Accounting Policies & Procedure manuals
- CSE 9.2 Amendment-related Policies
- Enterprise Risk and Opportunity Management Framework

Monitoring and Reporting
- Regular variance analysis comparing actual performance against budgets
- Review of financial performance indicators to support timely decision-making

OUR COMMITMENT TO MANAGING FINANCIAL CAPITAL MANAGEMENT

TAF views financial capital as one of its most critical resources, essential for creating sustainable value for stakeholders including shareholders, employees, customers, and the wider community. Financial capital is not just about money; it represents the capacity to invest, grow, and manage risks. TAF's management approach ensures that this capital is used efficiently, responsibly, and strategically to support long-term sustainability. By combining strong governance, disciplined financial controls, and proactive risk management, the Group seeks to maintain stability, fund growth initiatives, and deliver consistent returns to shareholders.

- **Compliance:**
  TAF ensures full adherence to local and international laws, tax regulations, and other statutory requirements. This reduces the risk of legal penalties or reputational damage and helps maintain stakeholder confidence. Compliance is the foundation of trustworthy financial management.
- **Best Practices:**
  The Group follows recognised standards in accounting, auditing, and financial reporting. This ensures that financial statements are accurate, transparent, and comparable. It also facilitates better decision-making for management and investors.
- **Independent Assurance:**
  Regular audits, both internal and external, provide an independent check on financial practices. This strengthens governance by verifying that processes are followed, risks are managed, and financial data is reliable.
- **Risk Management and Internal Controls:**
  Financial risk is managed through robust systems and procedures, including controls over budgeting, investments, and asset protection. These measures prevent fraud, minimise losses, and ensure that financial reporting is reliable.
- **Revenue Growth and Efficiency:**
  TAF focuses on increasing revenues while optimising costs. Efficient operations help the Group maintain profitability even in volatile markets, while smart investment decisions contribute to sustainable growth.
- **Profitability and ROE:**
  By improving profitability and enhancing Return on Equity (ROE), TAF maximises value for shareholders. This reflects the Group's ability to generate profits from shareholders' investments effectively.
- **Financial Position:**
  Maintaining a strong financial position ensures that TAF has the capital to fund operations, invest in growth, and withstand economic uncertainties. Disciplined capital allocation prioritises high-value opportunities while safeguarding resources.
- **Liquidity Management:**
  Monitoring cash flow closely is vital to ensure that the Group can meet its short-term obligations, pay employees, suppliers, and creditors on time, and invest in operational needs without liquidity stress.
- **Long-term Solvency:**
  TAF ensures that the Group remains a going concern, able to meet long-term liabilities and sustain operations over time. This is essential for stakeholder confidence, strategic planning, and maintaining access to financing .

Snapshot of Performance

Group		2025	2024	Value Enhanced (+) | Preserved (=) | Eroded (-)
Performance highlights				
Revenue	Rs. Mn	6,177.13	6,197.88	Preserved
Profit for the year	Rs. Mn	1,539.86	1,701.26	Eroded
Dividends paid for the year	Rs. Mn	706.35	965.35	Eroded
Earnings per share	Rs.	65.40	72.26	Eroded
Shareholders' fund (Equity)	Rs. Mn	9,582.16	8,751.76	Enhanced
Total assets	Rs. Mn	11,809.82	10,268.95	Enhanced
Net Assets Per Share	Rs.	406.97	371.7	Enhanced

Revenue and Profitability Analysis

Revenue

TAF recorded revenue of Rs. 6,177.1 Mn in 2025, reflecting a marginal decline compared to Rs. 6,197.9 Mn in 2024. This slight decrease was primarily driven by the decline in layer Day-Old Chicks(DOCs) volumes, coupled with a significant reduction in selling prices from Rs. 429.03 in 2024 to Rs. 197.94 in 2025. Lower prices and an oversupply of layer DOCs in the market led to reduced demand and discouraged farm placements.

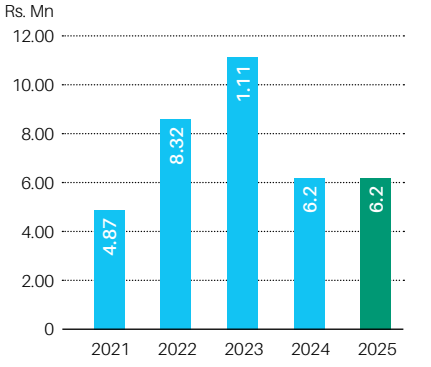
The Group experienced a revenue decline during the early part of the year due to reduced demand for both broiler and layer DOCs. Broiler DOC demand was affected by restrained inputs from small-scale farmers amid fluctuations in live bird prices and changing demand conditions for dressed chicken. Meanwhile, continued volatility and oversupply in the table egg market weakened demand for layer DOCs, further placing pressure on Group profitability. Stiff market competition, with the presence of several new entrants, also exerted pressure on pricing and margins.

Market conditions began to improve during the second half of the year. Demand for broiler DOCs strengthened, supported by higher placements by key processors and farmers, alongside growth in processed chicken sales.

In addition, the Company experienced increased demand for parent stock (PS) DOCs compared to 2024. These improvements contributed to a recovery in revenue and profitability during the latter part of the year, further supported by enhanced farm management practices and operational efficiencies.

Overall, the market environment remained highly challenging during the early months of the year. However, the Group demonstrated strong resilience and adaptability, enabling it to capitalise on improving demand conditions towards the end of the year. This underscores the importance of maintaining a balanced product portfolio and operational agility to navigate industry volatility and sustain long-term financial performance.

Revenue



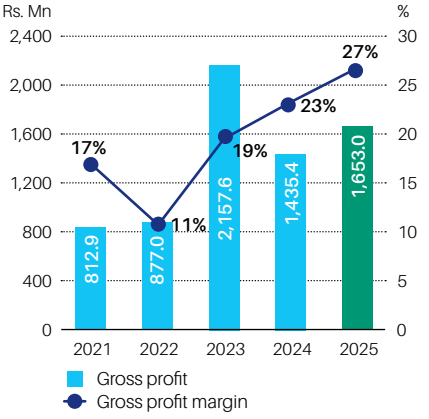
Gross Profit

Despite the slight decline in revenue compared to 2024, TAF recorded a notable increase in gross profit of 15%, reaching Rs. 1,653.04 Mn. This improvement was primarily driven by a 5% reduction in the cost of sales, reflecting enhanced cost management and operational efficiencies across the Group.

The Company's gross profit comprised Rs. 893.0 Mn from breeder farming and Rs. 760.0 Mn from commercial farming. The overall increase was largely attributable to a 25% growth in gross profit from the breeder farming segment, which emerged as the key contributor during the year.

This performance highlights TAF's ability to optimise production efficiencies and manage input costs effectively, thereby strengthening margins despite challenging market conditions and revenue pressures.

Gross Profit



Financial Capital

Operating profit and EBIT Margin

In 2025, TAF recorded an increase in operating profit to Rs. 1,857.4 Mn compared to the previous year. This improvement was primarily driven by an increase in other operating income and a 13% reduction in selling and distribution expenses compared to 2024. Although other operating income declined during the first two quarters of the year, it recovered in the latter half, supporting the overall growth in operating profit.

Administrative expenses increased by 4% during the year, mainly due to higher staff-related costs.

While the Company continued to implement strategic initiatives to enhance operational efficiency and control costs, the rise in the overall expense base highlights the ongoing challenge of cost management in a dynamic and competitive operating environment.

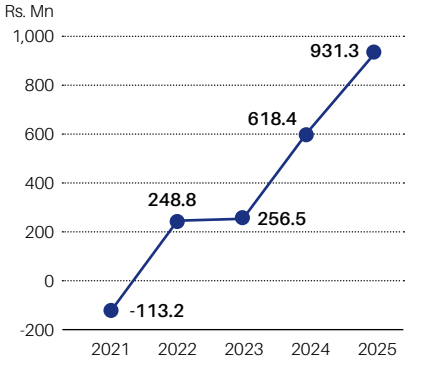
The combined effect of these factors contributed to a 24% year-on-year increase in TAF's operating profit. While the Company implemented strategic initiatives to optimise operational efficiency, the rising expense base continued to underscore the challenges of managing costs within a dynamic and highly competitive market environment.

Taxation

GRI 207-1, 207-2

The Group's taxation expense for the period under review increased by 51% to Rs. 931.3 Mn, compared with Rs. 618.4 Mn in 2024. This substantial increase was primarily attributable to higher income tax and deferred tax expenses. Income tax rose to Rs. 690.0 Mn, up 12% from Rs. 615.9 Mn in the previous year, while deferred tax increased significantly to Rs. 120.0 Mn (from Rs. 2.6 Mn in 2024). In addition, dividend tax of Rs. 180.0 Mn was recorded during the year, whereas no such expenses were incurred in the prior period.

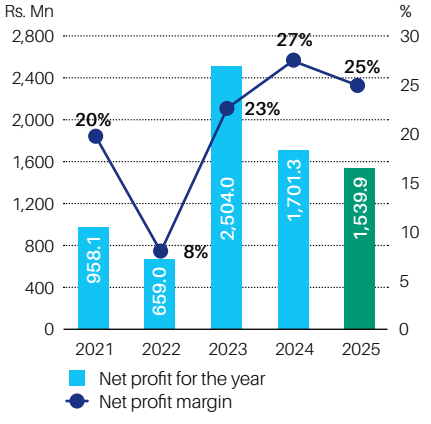
Tax Expenses



Net Profit

In 2025, TAF recorded a net profit of Rs. 1,539.9 Mn, representing a 9% decline compared with Rs. 1,701.3 Mn in 2024. This reduction was primarily driven by a combination of external market challenges and higher taxation. Interest income also decreased significantly, falling by 26% from Rs. 831.96 Mn in 2024 to Rs. 617.16 Mn in 2025, reflecting tighter liquidity conditions and lower returns on financial assets. The poultry sector experienced oversupply during the year, with layer DOC volumes exceeding local demand, which exerted downward pressure on pricing and profitability. Furthermore, sustained inflationary pressures and currency fluctuations significantly increased input costs, particularly for essential raw materials, placing additional strain on operational margins.

Net Profit



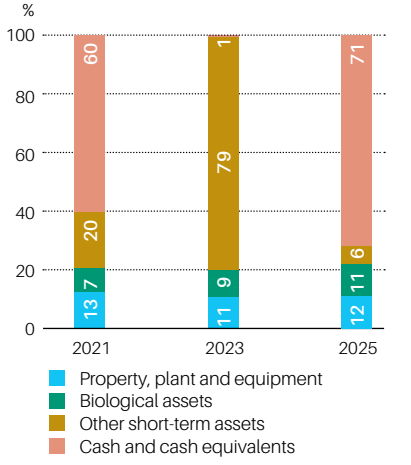
Financial Position Performance

Fixed and Current Assets Position

In 2025, current assets amounted to Rs. 9,172.9 Mn, reflecting a notable increase from Rs. 8,154.6 Mn in the previous year. The significant increase in cash and cash equivalents from Rs. 64.5 Mn in 2024 to Rs. 8,422.1 Mn in 2025 was the major reason for the increase in the overall current asset base. Other key components of current assets include inventories amounting to Rs.402.1 Mn, which showed a considerable increase compared with 2024. Trade and other receivables also rose to Rs.249.5 Mn due to higher interest receivables in this year.

In 2025, TAF's non-current assets amounted to Rs. 2,636.9 Mn, representing an increase from Rs. 2,114.3 Mn recorded in the previous year. This growth was primarily driven by the expansion of biological assets, which increased to Rs. 1,261.2 Mn compared with Rs. 962.6 Mn in 2024. The rise reflects the Company's continued investment in maintaining the quality and productivity of its livestock. Meanwhile, property, plant and equipment amounted Rs. 1,375.7 Mn, indicating a disciplined approach to capital expenditure aligned with the Company's strategic objectives. Investments were mainly directed toward maintaining existing facilities and improving operational efficiency.

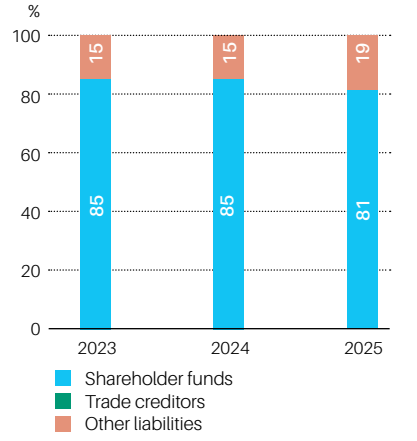
Assets



Funding structure and Gearing

In 2025, TAF continued to maintain a zero gearing position, financing its operations entirely through shareholders' funds without relying on external borrowings. This prudent financial approach minimised exposure to debt-related obligations, thereby reducing financial risk. Maintaining a zero gearing position further strengthened the Company's financial stability and resilience, enabling it to sustain a strong financial position while remaining well-positioned to pursue growth opportunities despite a challenging operating environment. Shareholders' funds increased by 9.5% during the year, rising from Rs. 8,751.8 Mn in 2024 to Rs. 9,582.1 Mn in 2025. This represents a remarkable achievement given the significant returns distributed to shareholders, underscoring the Company's strong capital management practices and its continued commitment to creating value to its stakeholders.

Equity and Liabilities

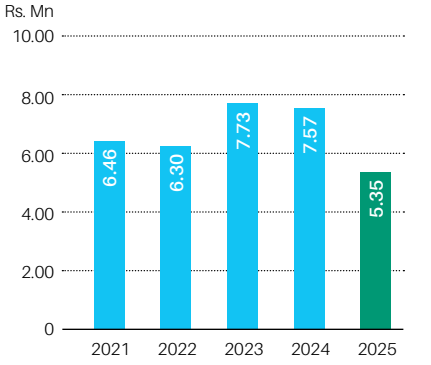


Current Ratio

In 2025, the Group's current ratio stood at 5.35, reflecting a decrease compared with 7.57 in 2024. This decline was primarily due to an increase in current liabilities, driven by higher trade and other payables during the year. However, the ratio continues to indicate a strong liquidity position, demonstrating that the Group has sufficient current assets to meet its short-term obligations.

Despite this decline, the ratio remains significantly above industry benchmarks, highlighting TAF's strong capacity to meet its short-term obligations while maintaining a stable financial position.

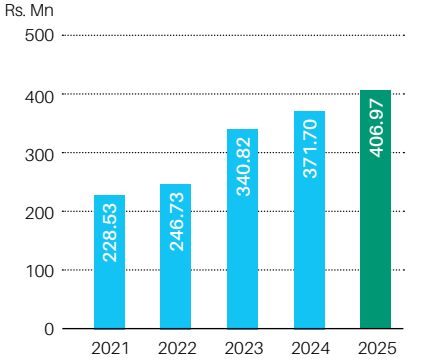
Current Ratio



Net Assets Per Share

The Group's net asset value per share increased to Rs. 406.97 in 2025, reflecting a growth of approximately 9% compared to Rs. 371.70 recorded in the previous year. This improvement demonstrates the Group's continued ability to strengthen shareholder value despite operating within a challenging business environment. The increase was primarily supported by an expansion in total assets during the year under review compared to the prior year. The higher net asset value per share highlights TAF's strong financial position and its commitment to delivering sustainable long-term value to shareholders. It also reflects the effective reinvestment of profits into the business along with prudent asset management and a continued focus on enhancing operational performance.

Group Net Assets Per Share



Shareholder Returns

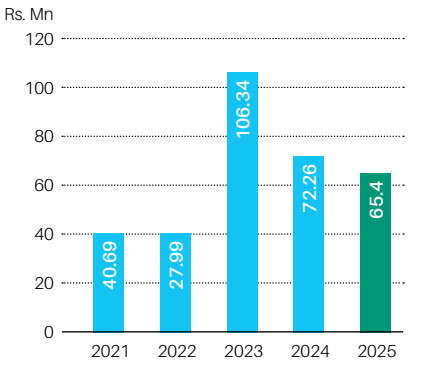
Dividend

The Company continued to distribute dividends to its shareholders during the year, maintaining profitability despite the challenging economic conditions encountered. For the year under review, the Board of Directors declared a final dividend of Rs. 40.00 per share. This approach reflects TAF's commitment to enhancing investor confidence while ensuring long-term financial stability amid economic uncertainties.

Earnings per Share (EPS)

In 2025, TAF recorded earnings per share of Rs. 65.40, reflecting a 9% decline compared to Rs. 72.26 in 2024. This decrease reflects the impact of reduced profitability during the year, driven by higher tax expenses, a 26% decline in interest income, and operational challenges arising from volatility in the layer DOC segment. The oversupply of layer DOCs during the year, with production exceeding local demand, created downward pressure on prices and margins, highlighting the sensitivity of the poultry business to market fluctuations. Despite these headwinds, the negative impact was substantially offset by demand for broiler DOCs and reduced net finance costs supported by foreign exchange gains. The Company's prudent financial management and disciplined operational practices enabled continued investment in growth opportunities while maintaining resilience in its core operations, demonstrating TAF's ability to navigate challenging market conditions effectively.

Earnings per share



Financial Capital

Return on Equity (ROE)

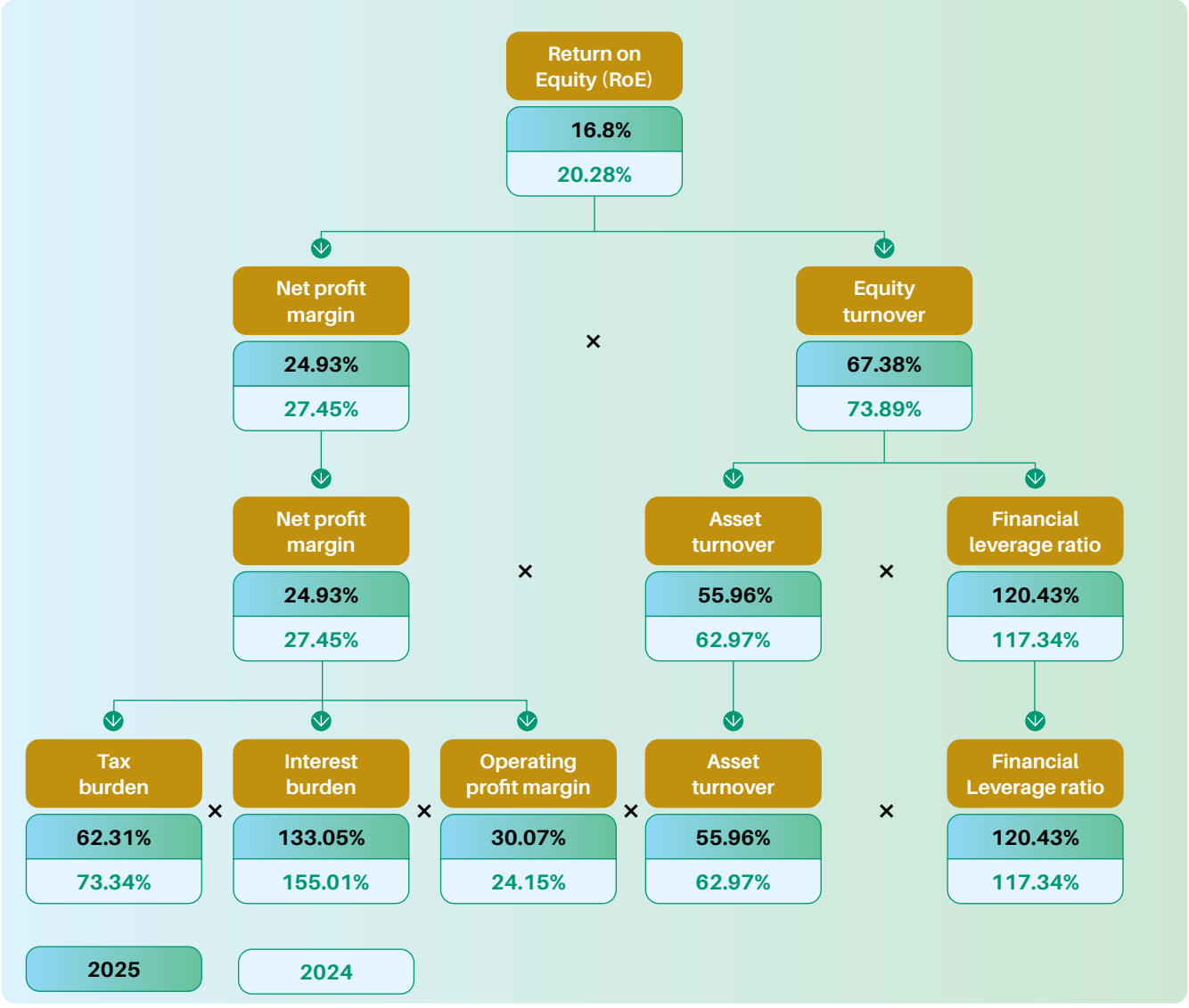
In 2025, TAF delivered a Return on Equity (ROE) of 16%, compared to 20% in 2024, reflecting the effect of lower net profit margins during the year. Despite this decline, the Company demonstrated financial resilience, with shareholders' equity increasing by 9%. This growth underscores TAF's commitment to reinvesting in the business, strengthening its capital base, maintaining long-term financial stability and positioning the Company to navigate challenges.

Profitability and Returns

The Company recorded a return on equity (ROE) of 16.07% in 2025. However, this represents a decline compared to the previous year's ROE of 20.29%, which was well above the average market rate of return. During the year, TAF's share price increased by 98.6%, from Rs. 298.25 to Rs. 592.25, despite the challenges the Company faced.

Furthermore, the DuPont analysis of ROE provides a clearer understanding of how effectively the Company has generated profits from shareholders' investments.

DuPont Analysis - ROE



Price Earnings Ratio (P/E Ratio)

Investors use the Price Earnings Ratio to understand how the market values a company's shares relative to its earnings. By the end of 2025, TAF's P/E ratio increased to 9.42 times, based on a closing share price of Rs. 592.25 and earnings per share (EPS) of Rs. 62.88. In comparison, the P/E ratio in 2024 was 4.13 times, derived from a closing share price of Rs. 298.25 and earnings per share of Rs. 72.26. The increase in the P/E ratio reflects the market's reassessment of TAF's valuation amid evolving economic conditions.

Cash Flow Movement

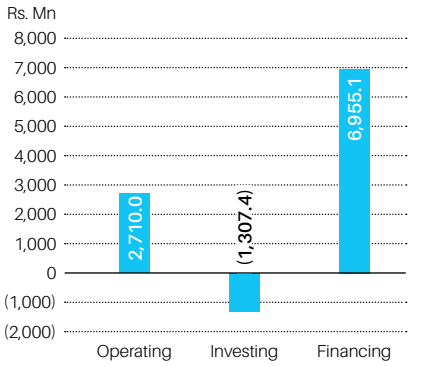
During the year ended 31 December 2025, TAF generated net cash inflows from operating activities amounting to Rs. 2,710 .0 Mn, supported by strong profitability despite increased working capital outflows.

Net cash used in investing activities increased to Rs. 1,307.4 Mn, compared to Rs. 999.7 Mn in 2024, primarily driven by higher capital expenditure and continued investments in biological assets to support future growth. Financing activities recorded a net inflow of Rs. 6,955.1 Mn, compared to a net outflow of Rs. 8,238.8 Mn in 2024, mainly due to movements in short-term investments, reflecting active and effective capital management during the year.

Overall, cash and cash equivalents increased significantly by Rs. 8,357.7 Mn, compared to a decrease of Rs. 5,587.7 Mn in 2024, resulting in a closing balance of Rs. 8,422.1 Mn.

This strengthened the Group's liquidity position and enhanced its financial flexibility to support future strategic initiatives.

Cash flow management - 2025



Creating value for shareholders

TAF continues to create lasting value for its shareholders by combining strong financial performance with forward-looking strategies and robust ESG risk management.

Through its integrated sustainability and risk management frameworks, the Company proactively addresses Sustainability-Related Risks and Opportunities (SRROs), aligning financial management with double materiality principles and the Sri Lankan reporting standards SLFRS S1 and S2. TAF's commitment to sustainable growth is further underpinned by innovation, modernisation, and digital transformation, guided by sound governance practices.

Through prudent capital allocation, efficient resource utilisation, and a relentless focus on operational excellence, the Company effectively manages risks while promoting environmental stewardship and social responsibility, reinforcing its long-term value proposition for investors.

Addressing Climate-Related Financial Risks

TAF takes a proactive approach to climate-related financial challenges, including extreme weather events and carbon pricing, by embedding these considerations into its risk management framework and conducting comprehensive internal scenario analyses. The Company implements targeted strategies, such as risk mitigation measures and sustainable investments, to navigate these risks effectively. Demonstrating its commitment to transparency and best practices, TAF is adopting Sri Lanka Financial Reporting Standards (SLFRS) S1 and S2 ahead of schedule, ensuring the identification and disclosure of material information. This approach not only strengthens investor confidence but also aligns TAF's financial and sustainability reporting with international standards.

(Detailed breakdown is given in SLFRS Disclosures section page 186)

Financial Capital

Value Creation Linked to Strategic Pillars

Strategic Pillar	Financial Capital Contribution	Key FY 2025 Actions	Value Created
Sustainable Value Creation, Cost Optimisation & Efficient Operations	◈ Capital allocation towards farm infrastructure and hatchery upgrades ◈ Investments in automation, preventive maintenance and process optimisation initiatives ◈ Effective cost management and resource optimisation	◈ Sustainable value-creating investments in farm equipment, sheds, ventilation, feeding and watering systems ◈ Funding for regular maintenance, efficiency improvements and automation projects ◈ Improve inventory management to minimise waste and overstocking	◈ Improved productivity, feed conversion and bird performance ◈ Enhanced quality and productivity of farm and hatchery operations ◈ Lower unit production costs and improved operational efficiency
Customer-Centric Value Delivery	◈ Strengthening consistent supply of quality Docs from Breeder farms and hatcheries ◈ Maintaining relatively stable prices for products ◈ Allocation of resources to enable timely placement and delivery Infrastructure	◈ Funding upgrades to breeder and hatchery facilities to improve chick supply and quality ◈ Offering relatively stable product prices to customers even when commodity prices are high ◈ Process improvements across placement and delivery	◈ Consistent supply of healthy, high-quality chicks ◈ Enhanced customer loyalty and strengthened market competitiveness ◈ Improved delivery reliability and customer confidence
Human Capital & Workplace Wellbeing	◈ Budget allocation for employee safety and welfare infrastructure ◈ Investment in improving workforce skills and performance ◈ Offering employee compensation, including bonuses and allowances	◈ Expenditure on safer equipment and welfare infrastructure ◈ Funding for training, supervision and workforce development programmes ◈ Allocation of funds for performance-based incentives (KPI) and staff allowances	◈ Reduced accidents and operational disruptions ◈ Improved workforce productivity, skills and morale ◈ Improved employee motivation, retention and job satisfaction
Environmental Sustainability & Climate Action	◈ Investment in energy-efficient farm and hatchery infrastructure ◈ Allocate funds for facilities supporting waste management, litter handling and effluent control ◈ Financial commitment to Assets aligned with climate resilience, biosecurity and environmental compliance	◈ Capital investments in energy-efficient equipment and utilities ◈ Upgrading infrastructure for waste, water and environmental management ◈ Improvements in assets aligned with ESG, biosecurity and animal welfare policies	◈ Reduced environmental footprint and compliance risk ◈ Improved resource efficiency (energy, water, litter) ◈ Strengthened long-term sustainability and stakeholder confidence

Key Risks

- Exposure to market volatility, interest rate fluctuations, and foreign exchange movements may impact the Company's financial performance and investment returns.
- Changes in regulatory frameworks, tax policies, or compliance requirements could increase operational costs and affect profitability.
- Ineffective allocation of capital or suboptimal investment decisions may limit returns on equity and reduce long-term shareholder value.
- Financial losses or reputational risks may arise from insufficient risk management, including credit, liquidity, and operational risks.

Key Opportunities

- Strategic capital allocation and prudent investment planning can enhance returns and support sustainable growth.
- Adoption of digital financial management tools and process automation can improve efficiency, accuracy, and decision-making.
- Integrating ESG considerations into financial planning strengthens resilience, mitigates risks, and enhances investor confidence.
- Leveraging financial resources to fund innovation, modernisation, and sustainable projects can drive long-term profitability and value creation.

Financial impact of addressing sustainability-related risks and opportunities

During the year, TAF faced multiple challenges in managing its financial capital.

For further details, refer to Risk & Opportunity Management report page 164

Future Outlook

Short Term

- Optimise operational costs across all business functions.
- Strengthen working capital management for improved liquidity.
- Enhance financial monitoring and reporting processes.
- Improve cost efficiency through targeted initiatives and process reviews.

Medium Term

- Expand automation and digital capabilities in financial management.
- Leverage data analytics to support strategic investment and risk decisions.
- Integrate ESG considerations into financial planning and reporting.
- Streamline financial operations to support scalability and operational resilience.

Long Term

- Drive sustainable growth and consolidate market leadership.
- Maintain robust risk management and governance frameworks.
- Invest strategically to maximise long-term shareholder value.
- Foster alignment between financial performance, environmental stewardship, and social responsibility.

Manufactured Capital

Manufactured capital plays a vital role in sustaining and enhancing value creation across our operations. It supports seamless and efficient production of a diverse portfolio of high-quality products while strengthening our distribution capabilities and delivering a superior customer experience.

This capital encompasses our production facilities, logistics infrastructure, and integrated information technology systems, which together ensure operational reliability, efficiency, and timely delivery of products to the market.



Management Approach

TAF manages its Manufactured Capital to ensure reliable operations, efficiency, and long-term value creation. The Company invests in maintaining and improving its physical assets to support smooth and consistent manufacturing performance.

Key assets such as factories, plants, machinery, and production lines are managed using a lifecycle approach. This helps TAF meet current production needs while allowing flexibility for future expansion, upgrades, and changing market requirements.

Sustainability considerations are included in asset planning and investment decisions. TAF focuses on energy-efficient equipment, renewable energy solutions, and process improvements to reduce energy use and emissions.

At the same time, TAF continues to strengthen its IT and digital systems to improve process monitoring, integration, and decision-making. These efforts support a resilient, efficient, and environmentally responsible manufacturing base aligned with TAF's long-term objectives.

Key Material Matters

1. Production Capacity & Asset Utilisation
2. Energy Consumption
3. Strategic ESG Integration
4. Logistics & Distribution Infrastructure
5. Quality & Safety Infrastructure
6. Financial Performance
7. Customer Satisfaction
8. Inclusive business model
9. Manufacturing capabilities

Value Creation Scorecard 2025

Key Actions for FY 2025

Approx.
Rs. 550.0 Mn
Invested on Modern GP Farm

Rs. 42.0 Mn
Invested on Solar Energy at a Fram

Rs. 1.4 Mn
Invested in IT system Upgrade

Rs. 23.1 Mn
Invested on new Vehicles

Rs. 215.0 Mn
Invested on constructing EC Houses

Stakeholder Outcomes		Impact on Other Capitals	
Customers	Delivering safe, high-quality products. Ensuring uninterrupted product availability.	Social and Relationship Capital	+
Employees	Safer and more efficient work environments.	Human Capital	+
Shareholders	Improved financial performance and profitability. Increased return on Investment due to operational efficiency.	Financial Capital	+
Community & Environment	Reduced environmental impact through sustainable practice.	Natural Capital	+

Outputs for TAF Group

Incurred on CAPEX	Capacity Utilisation	Asset Turnover Ratio	
Rs.346.63 Mn	**<80 %**	**60 %**	Reduced waste and improved natural resource utilisation

SDGs

- **Target 7.2:** By 2030, increase substantially the share of renewable energy in the global energy mix.
- **Target 7.3**: By 2030, double the global rate of improvement in energy efficiency.

- **Target 8.2:** Achieve higher levels of economic productivity through diversification, technological upgrading, and innovation, including through a focus on high-value-added and labour-intensive sectors.
- **Target 8.3:** Promote development-oriented policies that support productive activities, decent job creation, entrepreneurship, creativity, and innovation.

- **Target 9.1:** Develop quality, reliable, sustainable, and resilient infrastructure, including regional and transborder infrastructure, to support economic development and human well-being.
- **Target 9.4:** By 2030, upgrade infrastructure and retrofit industries to make them sustainable, with increased resource-use efficiency and greater adoption of clean and environmentally sound technologies and industrial processes.

- **Target 12.2:** By 2030, achieve the sustainable management and efficient use of natural resources.
- **Target 12.5:** By 2030, substantially reduce waste generation through prevention, reduction, recycling, and reuse.

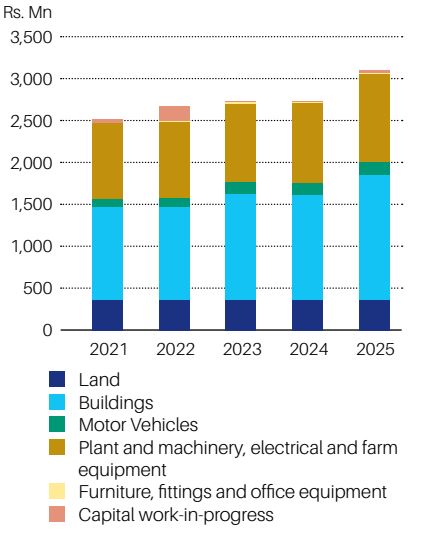
- **Target 13.2:** Integrate climate change measures into national policies, strategies, and planning.
- **Target 13.3:** Improve education, awareness-raising, and human and institutional capacity on climate change mitigation, adaptation, impact reduction, and early warning.

Manufactured Capital

PHYSICAL CAPITAL INVESTMENTS

TAF's fixed asset portfolio encompasses a wide range of purpose-built infrastructure that underpins commercial farming across Sri Lanka. Among these, Environmentally Controlled (EC) houses represent the largest investment, designed to global standards to ensure consistency, reliability, and excellence in production cycles, thereby optimising capacity utilisation. These structures are equipped with advanced plant and equipment, including specialised feeding, drinking, ventilation systems, alongside comprehensive biosecurity measures to prevent disease and contamination. Fully automated climate control systems maintain optimal temperature, humidity, and ventilation, supporting both poultry health and animal welfare while preserving product quality. And all activities at the facility are conducted in accordance with TAF's commitment to ethical business practices.

Fixed Assests Base



The asset base also includes a fleet of vehicles tailored to operational needs, ranging from light commercial vehicles for local transport for efficient regional distribution. Additionally, furniture, fittings, and workstations are part of the infrastructure, designed to enhance workplace functionality and provide a safe, comfortable environment for our employees.

In 2025, TAF expanded its operational capabilities through strategic investments on its hatchery and breeder operations. These improvements featured environmentally controlled housing systems and advanced incubation technologies, strengthening TAF's position as a fully integrated poultry solutions-provider and enhancing its ability to deliver consistent, high-quality outputs across the country.

CAPEX Process Flow

1 Identification of needs

- Departments determine opportunities for expansion, replacement needs, and asset requirements.
- The strategic goals and operational priorities of TAF are in line with the proposed projects.

2 Project Proposal & Justification

- Scope, technical requirements, cost estimates, and anticipated benefits are all included in comprehensive bids.
- Implications for the environment, health, and safety are taken into account, along with compliance with sustainability and ethical norms.

3 Initial Review & Prioritisation

- The Finance and Operations teams review proposals for feasibility, budget alignment, and strategic fit.
- Projects are prioritised based on criticality, ROI, and operational impact.

4 Approval Process

- CAPEX proposals are submitted to senior management and the Board for approval.
- Approval thresholds depend on project size and strategic importance.

5 Budget Allocation

- Approved projects are allocated funds in the annual CAPEX budget.
- Monitoring mechanisms are established to track expenditure against approved budgets.

6 Procurement & Execution

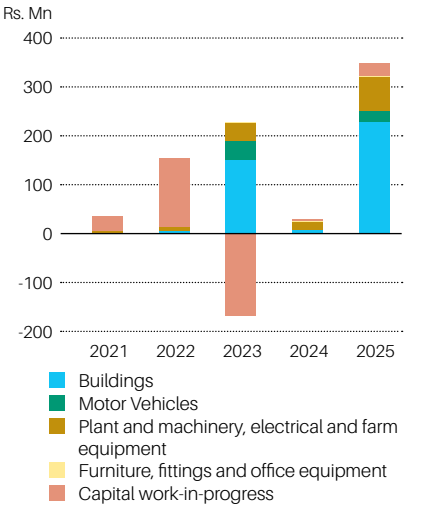
- TAF's policies are followed throughout vendor selection and procurement procedures to guarantee cost effectiveness, quality, and transparency.
- Projects are executed under strict project management, adhering to timelines, quality standards, and safety protocols.

7 Monitoring & Reporting

- Management receives regular updates on project status, expenses, and performance indicators.
- Any deviations or risks are addressed promptly to minimise operational or financial impact.

IT INFRASTRUCTURE & ERP SYSTEMS

Fixed Assets Additions



TAF continues to strengthen its manufactured capital through the development of a reliable and scalable IT infrastructure that supports the efficient functioning of production, storage, and distribution operations. And, TAF places significant focus on the continuous enhancement of its physical and technological infrastructure through timely upgrades to facilities, equipment, and machinery. To improve inventory management, process control, and operational visibility throughout its facilities, the Company makes use of integrated digital technology. Real-time monitoring, precise data flow, and well-informed decision-making are made possible by these technologies, which enhance responsiveness, efficiency, and dependability throughout the value chain. Operating within a hybrid environment, the IT framework ensures seamless connectivity, robust data security, and operational continuity across all business functions.

Cyber Security and information security

TAF's information security framework is aligned with internationally recognised standards and reflects the Company's commitment to robust governance and industry best practices. A combination of advanced security technologies, including enterprise-grade firewalls, endpoint protection solutions, and secure network controls, is deployed to safeguard both on-premises systems and digital platforms. These measures are complemented by regular internal reviews, access control audits, continuous system monitoring, and periodic independent assessments, ensuring the confidentiality, integrity, and availability of critical information assets.

Continuity of Operations and Risk Recovery

TAF has established continuity of operations and risk recovery measures to ensure the resilience of critical business processes. These comprise data recovery procedures, backup systems, and backup plans that are intended to reduce disruptions and facilitate the prompt restoration of operations in the case of unanticipated incidents, protecting stakeholder confidence and operational stability.

In-house infrastructure framework

The Company-owned buildings, machinery, and systems that support the efficient administration of TAF's agricultural, hatchery, and breeder operations make up the its internal infrastructure framework. By guaranteeing that crucial procedures are handled internally in accordance with the Company's quality, biosecurity, and ethical standards, this framework permits increased operational control, dependability, and efficiency. Additionally, the internal infrastructure supports scalability and long-term sustainability while improving response to operational requirements.

IT Governance and Compliance

IT governance and compliance ensure secure, well-controlled, and accountable management of IT systems, aligned with regulatory requirements, industry standards, and organisational objectives, supported by regular reviews and audits to manage risks and protect information assets.

Asset Lifecycle Management

Our asset lifecycle management is guided by a comprehensive programme of due diligence and preventive maintenance aimed at strengthening asset resilience and ensuring ongoing compliance with industry standards. Dedicated maintenance teams regularly monitor the condition and performance of assets, enabling timely identification of upgrade requirements and capacity enhancements. This proactive approach helps maintain operational reliability while supporting future business needs.

No. of owned buildings
- 624

Total Area of freehold land
- 327 Acres

Manufactured Capital

Value created in 2025 for better sustainable operation

- Implemented the automated feed and water system at our farms, enhancing operational efficiency and reducing Labour costs.
- A temperature monitoring system was installed in bottle coolers across farms to provide real-time alerts on temperature fluctuations.
- Construction of Solar Decs at one of our farms.
- Re-Construction of open Houses.
- Successfully adopted a machine-operated immunisation system at our Hatcheries.
- Commencement of construction of close houses.

Value Creation Linked to Strategic Pillars

Strategic Pillar	Manufactured Capital Contribution	Key FY 2025 Actions	Value Created
Sustainable Value Creation, Cost Optimisation & Efficient Operations	◈ Modern poultry housing, feeding, watering and climate-control systems across commercial and breeder farms ◈ Hatchery infrastructure supporting optimal incubation and chick quality ◈ Farm-level utilities, equipment and internal logistics	◈ Investments in farm equipment, sheds, ventilation, feeding and watering systems ◈ Hatchery equipment upgrades and process optimisation ◈ Preventive maintenance and automation to improve uptime	◈ Improved productivity, feed conversion and bird performance ◈ Lower unit production costs and improved operational efficiency ◈ Enhanced reliability and scalability of farm and hatchery operations
Customer-Centric Value Delivery	◈ Breeder farms and hatcheries ensuring consistent supply of quality Day-Old Chicks(DOCs) ◈ Biosecure farm and hatchery facilities supporting traceability and reliability ◈ Infrastructure enabling timely placement and delivery	◈ Upgrades to breeder and hatchery facilities to improve chick quality and uniformity ◈ Investments in transport, handling and storage assets ◈ Process improvements across placement and delivery	◈ Consistent supply of healthy, high-quality chicks ◈ Improved delivery reliability and customer confidence ◈ Stronger relationships with commercial growers and downstream operations
Human Capital & Workplace Wellbeing	◈ Safe and well-maintained farm and hatchery environments ◈ Mechanised systems reducing manual handling and occupational risks ◈ Staff accommodation, training and supervision infrastructure	◈ Investments in safer machinery and improved farm layouts ◈ Upgrades to comply with food safety, animal welfare and OHS standards ◈ Maintenance of employee-related infrastructure	◈ Safer and more efficient working conditions ◈ Improved workforce productivity, retention and morale ◈ Reduced accidents and operational disruptions
Environmental Sustainability & Climate Action	◈ Energy-efficient farm and hatchery infrastructure ◈ Facilities supporting waste management, litter handling and effluent control ◈ Assets aligned with climate resilience, biosecurity and environmental compliance	◈ Capital investments in energy-efficient equipment and utilities ◈ Infrastructure upgrades for waste, water and environmental management ◈ Asset improvements aligned with ESG, biosecurity and animal welfare policies	◈ Reduced environmental footprint and compliance risk ◈ Improved resource efficiency (energy, water, litter) ◈ Strengthened long-term sustainability and stakeholder confidence

Key Risks

- Physical asset damage
- Equipment and system failures
- Capacity and scalability constraints
- Asset obsolescence
- Energy and utility dependency
- Occupational health, safety and animal welfare
- Preventive maintenance and asset lifecycle gaps
- Climate-related physical impacts

Key Opportunities

- Operational efficiency and cost optimisation
- Productivity and yield improvement
- Capacity expansion and modernisation
- Energy efficiency and renewable integration
- Resource optimisation (water, litter, waste)
- Enhanced biosecurity infrastructure
- Climate-resilient asset design
- Improved workplace safety and mechanisation
- Technology-enabled farm and hatchery management
- Long-term asset sustainability and stakeholder confidence

Adequacy of Manufactured capital for future plans

In 2025, Three Acre Farms PLC (TAF) continued to invest strategically in its manufactured capital, focusing on expanding production capacity and enhancing value-added capabilities across its operations. These investments have strengthened TAF's ability to meet evolving customer demands, improve operational efficiency, and create new avenues for sustainable revenue growth.

Risks and Responses Relating to Manufactured Capital



During the year, TAF faced multiple challenges in managing its Intellectual capital.



Further details, refer to refer to Risk & Opportunity Management page 164

Future Roadmap

Short Term

- Strengthen preventive maintenance and asset reliability programmes
- Upgrade critical farm and hatchery equipment (ventilation, feeding, watering, incubation)
- Enhance biosecurity infrastructure across farms and hatcheries
- Improve energy efficiency through equipment optimisation and process controls
- Upgrade waste, litter, and effluent management facilities
- Improve workplace safety through safer machinery and improved layouts
- Optimise capacity utilisation of existing farms and hatcheries
- Standardise operating and maintenance procedures across locations

Medium Term

- Modernise poultry housing and hatchery infrastructure
- Expand capacity in commercial farms, breeder farms, and hatcheries
- Increase mechanisation and automation to reduce manual handling
- Introduce renewable energy solutions (e.g. solar, energy recovery systems)
- Implement digital monitoring and asset management systems
- Strengthen climate-resilient designs for farm and hatchery facilities
- Upgrade logistics and internal material handling infrastructure
- Align facilities with evolving animal welfare and ESG standards

Long Term

- Develop next-generation smart farms and advanced hatcheries
- Transition to low-carbon and energy-neutral operations
- Fully integrate circular resource management (waste-to-energy, water reuse)
- Build climate-resilient, future-proof farm and hatchery infrastructure
- Leverage advanced analytics and AI for predictive maintenance and performance optimisation
- Design scalable infrastructure to support long-term growth and diversification
- Embed best-in-class biosecurity and animal welfare infrastructure
- Maximise long-term asset value and investor confidence through sustainable capital deployment

Intellectual Capital

TAF's Intellectual Capital compromises with the intangible resources embedded within its people, systems and partnerships that enhance the Company's competitiveness and future growth potential by forming a key foundation for sustained performance.



Management Approach

TAF's management approach focuses on identifying, nurturing, and levering its intellectual capital to support sustainable value creation and long-term competitiveness.

Strengthening organisational systems and procedures, building strategic connections with key constituents and enhancing employee competencies are all highly valued by management.

These components incorporate into the Company's safeguarding, evaluation of performance, and strategic planning procedures to guarantee that expertise, creativity and teamwork continuously support operational excellence and future expansion.

Key Material Matters

1. Financial Profitability
2. Product Quality
3. Operational effectiveness
4. Regulation and compliance
5. Customer experience and relationship management
6. Contribution to national economic growth
7. Government policy
8. Animal health, welfare and ethical practices
9. Water stewardship, effluent management and waste reduction.

Value Creation Scorecard 2025

Key Actions for FY 2025

Focused R&D to improve DOC health, **longevity and disease resistance**	Holistically strengthening **BCP systems**	Improve the capacity of human capital through internal, **local and overseas trainings/workshops**	**ISO 14064-1** Certification GHG Emission

Stakeholder Outcomes		Impact on Other Capitals	
Employees	◈ Enhanced skills, technical knowledge and professional companies through continuous training and development. ◈ Safer, more inclusive and knowledge-driven workplace culture. ◈ Improved employee engagement, wellbeing and career progression opportunities.	Human Capital	+

Stakeholder Outcomes		Impact on Other Capitals	
Customers	◈ Greater confidence in product responsibility and compliance standards.	Social and Relationship Capital	+
Shareholders	◈ Improved risk management and long-term resilience. ◈ Increased confidence through transparent governance and performance monitoring.	Financial Capital Human Capital Social and Relationship Capital	+
Suppliers	◈ Experience improved engagement through transparent processes, technical guidance, and consistent quality standards.	Social and Relationship Capital	+

Outputs for TAF Group

- ◈ Improved operational efficiency and cost optimisation through automation, digital systems, and data-driven decision-making across breeding, feed utilisation, and processing operations.
- ◈ Enhanced production performance through advanced breeding techniques, optimised feed formulations, technical expertise, delivering higher yields and consistent product quality.
- ◈ Strengthened data-enabled management insights, supporting accurate planning, forecasting, traceability and timely decision-making.
- ◈ Sustained product reliability and process innovation through strong in-house capabilities in quality assurance, animal nutrition and production optimisation.
- ◈ Preserved organisational knowledge through structured documentation, training, succession planning, supporting long-term sustainability and continuity.
- ◈ Strengthened governance, compliance and organisational resilience through robust policies, SOPs, internal controls, and risk management frameworks.
- ◈ Reinforced brand value and market leadership

Invested in Brand & Marketing
2025
Rs.18.0 Mn

SDGs

- ◈ **Target 4.4 -** Increase skills for employment, decent jobs and entrepreneurship
- ◈ **Target 8.2** – Achieve higher productivity through diversification, technological upgrading and innovation
- ◈ **Target 9.5** – Enhance scientific research and upgrade industrial technologies
- ◈ **Target 12.2** – Achieve sustainable management and efficient use of natural resources
- ◈ **Target 13.3** – Improve education, awareness and capacity for climate change mitigation and adaptation
- ◈ **Target 17.16** – Strengthen global partnerships for sustainable development through knowledge sharing

Intellectual Capital

INDUSTRY POSITION

Over the years, TAF has built substantial intellectual capital that underpins its contribution to Sri Lanka's food security. By supplying high-quality breeder and layer DOCs, the Company plays a vital role in addressing national protein requirements and supporting the growth of the local poultry industry. Strong technical know-how, data-driven management, and continuous improvement practices have enabled rapid market share growth in both the breeder and layer DOC segments, firmly establishing TAF as an industry leader in this space.

Equally important to TAF's identity is its commitment to inclusive growth and community development. Through close collaboration with an extensive network of small-scale poultry farmers at the grassroots level, the Company supports livelihoods and strengthens rural economies across the country. By sharing technical knowledge, ensuring reliable supply and fostering long-term partnerships, TAF continues to reinforce its position as a community-focused organisation dedicated to promoting sustainable economic stability and social well-being throughout Sri Lanka.

ORGANISATION ETHICS AND VALUES

TAF operates within a strong ethical framework that underpins all aspects of its day-to-day activities. These principles guide decision-making, define expected standards of conduct, and shape the way employees, business partners and other stakeholders are engaged, ensuring responsible, transparent and accountable business practices across the organisation.

The ethical foundation of TAF is aligned with the corporate values of its parent company, Prima Limited, Singapore, which are anchored in the 3H philosophy of building a Healthy Organisation, being an Honorable Winner, and creating an Honest Fortune. These values form the basis of TAF's approach to integrity, fairness and long-term value creation.

All newly recruited employees undergo comprehensive training on ethical standards, including anti-corruption practices, reinforcing a culture of integrity from the outset. TAF is also committed to addressing any reported ethical concerns promptly and transparently through established whistleblowing mechanisms, in line with recognised best practices.

Collectively, these values are embedded throughout TAF's operations and continue to guide the Company's commitment to ethical conduct and responsible business practices.

ETHICS AND GOVERNANCE

GRI 2-23, 2-24, 205, 206

TAF's governance framework is founded on full compliance with applicable laws and regulations and is further strengthened by a commitment to ethical conduct that extends beyond regulatory requirements. Ethical behaviour is embedded as a core organisational value, guiding decision-making and interactions with employees, business partners, and other stakeholders.

The Company has established a comprehensive ethics framework in line with GRI disclosures, comprising a Code of Conduct and supporting policies covering Occupational Health and Safety, Food Safety, Quality Management, Environmental Management, Animal Welfare, Material and Waste Management, Energy Management, Cybersecurity and Data Protection, AI Governance and Responsible Use and Business Continuity Management. In addition, Anti-Bribery and Corruption and Whistleblowing policies, including procedures aligned with CSE Listing Rule 9.2 amendments, reinforce the Company's zero-tolerance approach to unethical behaviour.

These policies provide clear guidance to employees and promote responsible conduct across all operations and external engagements, ensuring ethical representation of TAF at all times.

To support effective implementation, all employees receive regular training on ethical standards and related policies (GRI 2-24). The effectiveness of the ethics framework is monitored through periodic internal audit reviews and due diligence processes, ensuring ongoing compliance and continuous improvement across the organisation.

GROUP SYNERGIES IN 2025

As as a member of a CGE group, TAF received benefits from strong group synergies that enhanced its operational resilience, strategic depth and market leadership. Since the CGE has a high range of group synergy facilities together with strategic guidance from the ultimate parent, the Prima Group of Singapore, it continues to strengthen TAF's strategic planning, operational effectiveness and capacity for innovation.

In 2025, these synergies were further strengthened through shared expertise, centralized governance frameworks and access to best practices from both CGE and the ultimate parent, the Prima Group of Singapore. Knowledge transfer in areas such as sustainability, risk management, digitalisation, supply chain optimisation and quality assurance has supported improved decision-making and operational efficiency across TAF's operations.

Also, group-level collaboration in procumbent, technology adoption, and ESG initiatives has enhanced innovation capacity and long-term value creation, reinforcing TAF's competitive position within Sri Lanka's poultry value chain.

BENEFITS DERIVED BY TAF THROUGH GROUP SYNERGIES IN 2025



The centralised HR system

The Centralised HR Systems brings all HR operations under the CGE Group HR function, enhancing efficiency, consistency and strategic alignment. Further streamlining through the Group HRIS enables standardised workflows, real-time access to data, and automated processes, significantly reducing delays associated with manual processing.



Research and Development

TAF continued to employ cutting-edge techniques in 2025 with the goal of enhancing Day-Old Chicks (DOC's) health, vitality and resistance to disease. These efforts were reinforced by improved breeding techniques as well as optimised feed and nutrition management plans.



Technology enablement

TAF created value through group synergies by accelerating digital tracking systems for supply chain management and data analytics to optimise poultry producing procedures.



Sustainability and ESG integration

In 2025, TAF enhanced long-term value creation by integrating sustainability and ESG principles through strong synergies within the Prima group. By leveraging shared policies, expertise and governance frameworks, TAF aligned its environmental, social and governance practices with group sustainability objectives.



TAF Market Surveillance Programmes

Market surveillance programmes conducted by the CGE Group provide valuable insights into industry trends, competitor activities and regulatory developments, in turn allowing TAF to identify market opportunities, mitigate risks and ensure compliancewith industry standards.



Centralised ERP SYSTEMS

The centralised ERP system integrates key business functions, providing real-time visibility into procurement and inventory management and ensuring seamless coordination across departments.



Biosecurity Measures

Biosecurity Measures implemented across the CGE Group, with a strong emphasis on disease prevention, product safety and operational continuity, support TAF in effectively mitigating contamination risks and protecting livestock and supply chains. These measures ensure compliance with health and safety standards while strengthening resilience across farming and processing operations.

TAF benefits from the power and standing of a significant conglomerate, being a part of recognised CGE group. By promoting stability and permitting operational stability and strategic investments in expanding capacity & diversification, CGE's robust financial position strengthens TAF's resilience, assisting in the mitigation of obstacles and maintenance of long-term growth. Also, this association delivers substantial operational and financial strength through shared service, access to favorable funding, enhanced cost efficiencies and supply chain economies of scale.

TAF gains significantly through CGE's supply chain networks as a direct benefit of their mutually beneficial partnership. Direct benefit as a part of their mutually beneficial partnership. CGE's integrated structure makes it possible to obtain superior customised poultry feed, which provides consistent and regulated nutrition necessary for livestock health and productivity. TAF's primary activity further obtains access to CGE's laboratory resources veterinarian portfolio, and technical advice services.

Research and Development Capability

TAF's Research and Development (R&D) capability plays a vital role in strengthening operational performance, product quality and long-term sustainability across its integrated poultry operations. R&D efforts are closely aligned with the Company's core activities in breeding, hatchery management, commercial broiler and layer operations and farming practices, ensuring continuous improvement across the value chain.

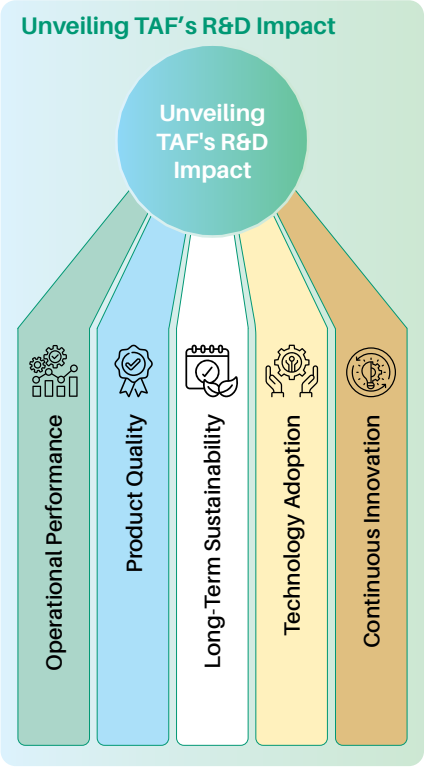
The Company focuses on applied research and data-driven experimentation to enhance flock performance, biosecurity, animal welfare, feed efficiency and disease prevention. Through systematic monitoring of breeding performance, hatchability rates, growth efficiency and mortality levels, TAF leverages operational data to refine processes and optimise outcomes at each stage of production.

Intellectual Capital

TAF actively adopts technology-driven farming practices, including improved housing systems, environmental controls, nutrition management and health surveillance protocols. These initiatives are supported by internal expertise and collaboration with veterinarians, nutritionists, equipment suppliers and industry specialists, enabling the transfer of technical knowledge and best practices into day-to-day operations.

Continuous innovation is further supported through pilot trials, benchmarking against industry standards, and the adoption of internationally recognised guidelines in areas such as food safety, quality assurance and animal welfare. Insights gained through these initiatives are systematically embedded into standard operating procedures, driving consistency, resilience and scalability.

By investing in knowledge development, technology adoption and continuous learning, TAF's R&D capability strengthens productivity, ensures responsible farming practices and supports the Company's commitment to delivering high-quality, safe and sustainable poultry products to the market.

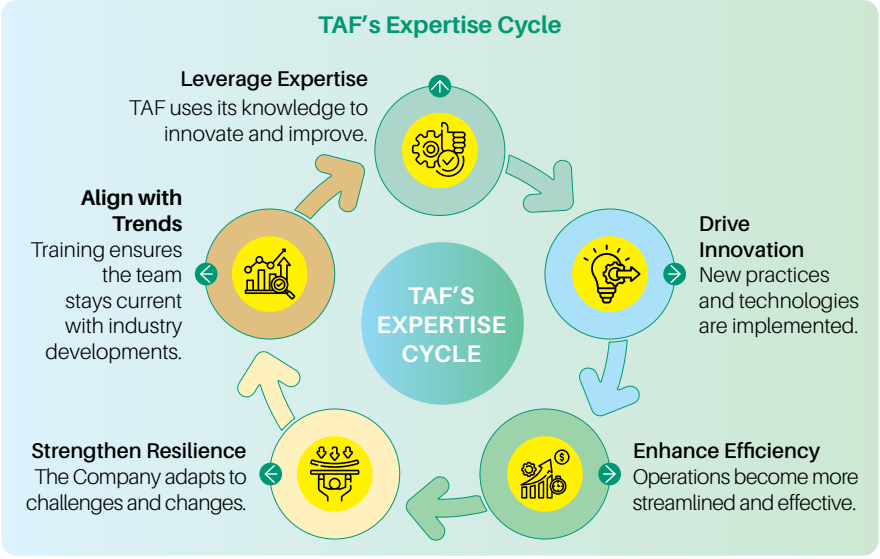


Collective expertise and knowledge

The knowledge and expertise of TAF's teams are a key competitive advantage for the Company. Our Senior Management Team, comprising highly qualified professionals with strong academic and industry credentials, brings extensive experience that supports effective navigation of industry dynamics and the sustained growth of the organisation, even in challenging environments.

TAF's adoption of advanced, technology-driven farming and breeding practices in recent years reflects the Company's ability to leverage its knowledge base to drive innovation, operational excellence, and sustainability. In addition, the collective expertise of long-serving employees remains invaluable, significantly strengthening institutional knowledge and contributing to improved operational efficiency and resilience.

Ongoing training and targeted knowledge development programmes ensure that the entire TAF team stays aligned with emerging industry trends and technological advancements, enabling agility and responsiveness to evolving market demands.



BCP & DR System

TAF maintains an effective Business Continuity Plan (BCP) to guarantee prompt recovery from delays and continuous service delivery due to the vital nature of its activities. Risk assessments, business impact analyses, emergency plans, clearly defined roles and duties and strong communication procedures are all integrated into the BCP. Frequent testing via drills and simulations guarantees readiness, protecting TAF's reputation, operational resilience and customer trust.

During the year 2025, the Company has established several policies which aligned with BCM (Business Continuity Management) ISO 22301- 2019 standard.

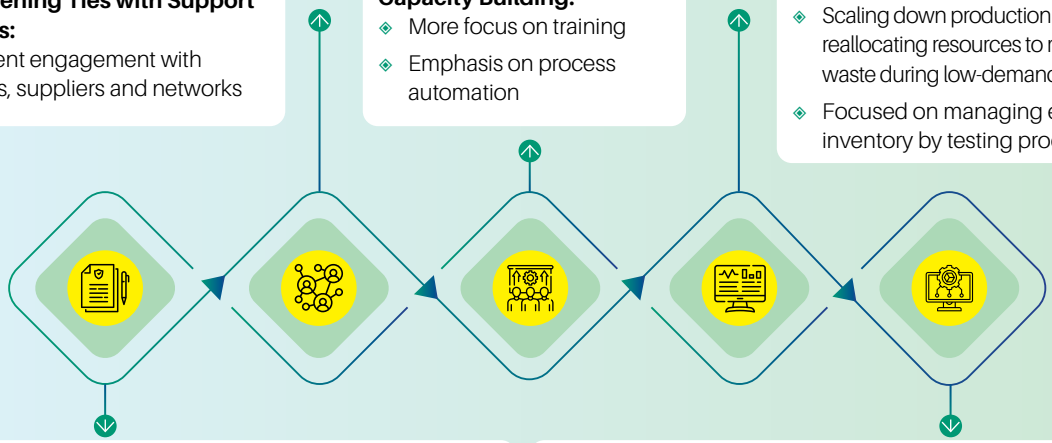
These exercises tested operational readiness under varying scenarios, including production scale-down during low-demand periods and the management of excess inventory through efficient storage, reallocation, and market-based disposal strategies. BCP ensures the business keeps running in a crisis, while DR systems make sure the IT backbone supporting the business is restored quickly.

Measures to strengthen the BCP in 2025

Strengthening Ties with Support Networks:
- Frequent engagement with dealers, suppliers and networks

Capacity Building:
- More focus on training
- Emphasis on process automation

Drills and Simulations:
- Scaling down production and reallocating resources to reduce waste during low-demand periods
- Focused on managing excess inventory by testing procedures



Policies and Procedures:
- Dynamic Inventory Management Plan to make spot adjustments in production lines to regulate DOC production in tandem with fluctuations in market demand
- Launch of the Animal Welfare Policy
- Plans for identifying manufactured location-waste
- In line with the new CGE Group Sustainability initiatives

Enhanced Monitoring:
- Monitor inventory turnover rates and cash flows daily to mitigate the risk of unsold DOCs, which may lead to financial strain
- Develop channels for receiving real-time feedback from customers and outgrower grower farmers, allowing the Company to adapt to their needs quickly and avoid further production oversupply

TAF Animal Welfare Policy

GRI 13.11 Animal Health And Welfare (Sector Topic Disclosures)

TAF is committed to the ethical treatment and well-being of animals. This Animal Welfare Policy outlines our dedication to promoting responsible and compassionate care for animals in all aspects of our operations.

This policy applies to all employees, contractors and partners associated with our organisation. It covers our interactions with animals in research, testing, production, transportation and any other activities involving animals. We ensure that all animals under our care are treated with respect, kindness and compassion. Any uses of animals are conducted in a manner that minimises stress and discomfort.

Further, we comply with all applicable national and international laws and regulations governing the treatment of animals. We obtain and maintain all necessary permits and approvals for activities involving animals.

For example, we provide animals with appropriate housing, nutrition, veterinary care and environmental enrichment to ensure their well-being. We are designed to promote natural behaviour and allow for adequate space. Animal transportation is in a manner that ensures their safety and minimises stress. Adequate provisions for food, water and rest will be made during transportation. We adopt sustainable practices that reduce the environmental impact of our activities and promote the well-being of both domestic and wild animals.

An Animal Welfare Committee is established to oversee and review the implementation of this policy. The committee includes representatives from relevant departments, veterinary professionals and external experts. Employees involved in activities with animals receive appropriate training to ensure they are aware of and adhere to this policy.

Intellectual Capital

Memberships and Affiliations

GRI 2-28

Memberships and affiliations play key role in sustaining TAF's operational excellence and market leadership by enabling access to specialised knowledge, resources and industry opportunities. In 2025, TAF strengthened its competitive position as the sole franchise holder in Sri Lanka for the prestigious "INDIAN RIVER" parent stock breed and the "HY-LINE" commercial layer breeds, enhancing both its product quality and market quality. These strategic partnerships support TAF's commitment to innovation, best practices and continued growth in the poultry sector.

Standards and Certifications

TAF operates in full alignment with the Group-wide quality, Health and Safety, Animal Welfare and operational standards established and certified at CGE level. As a fully integrated subsidiary, TAF's breeding, hatchery and poultry farming operations are governed by CGE's internationally recognised management systems, ensuring consistency, traceability and compliance across the poultry value chain.

TAF operates in adherence to CGE's established Quality, Health & Safety, Food Safety and Animal Welfare standards, following the same policies, procedures and best practices adopted across the CGE Group These certifications provide a structured framework for managing quality, biosecurity and ethical practices, while reinforcing a culture of continuous improvement and regulatory compliance.

Awards

- Runner Up - ACCA Sustainability Reporting Awards 2025
- Bronze Award- Food and Beverage Sector TAGs Awards 2025

Digital Tools - TAF

TAF leverages digital solutions across its hatchery operations and environmentally controlled (EC) houses to enhance operational efficiency, animal welfare, and product quality. Automated monitoring and control systems are deployed to regulate critical environmental parameters, including temperature, relative humidity (RH) and ventilation, ensuring optimal conditions throughout the breeding and rearing cycles. In addition, real-time ammonia level monitoring and control mechanisms are in place to maintain safe air quality standards, thereby reducing stress on birds and supporting healthier growth outcomes.

Intellectual Capital - Value Creation Linked to Strategic Pillars

Strategic Pillar	Intellectual Capital Contribution	Key FY 2025 Actions	Value Created
Operational Excellence, Cost Efficiency & Farm Productivity	◈ Deep operational expertise in breeder farm management, hatchery operations and environmentally controlled (EC) poultry housing ◈ Institutionalised farm-level SOPs, biosecurity protocols and data-driven monitoring systems ◈ Strong operational resilience supported by standardised controls and contingency planning	◈ Deployed digital monitoring systems in hatcheries and EC houses for temperature, relative humidity (RH), ventilation and ammonia level control ◈ Strengthened hatchery process controls to improve hatchability and chick quality ◈ Enhanced farm biosecurity and operational discipline through standardised procedures	◈ Improved productivity, consistency and cost efficiency across farming operations ◈ Reduced mortality, process variability and operational disruptions ◈ Enhanced scalability and reliability of TAF's core operations
Quality Assurance & Customer-Centric DOC Supply	◈ Strong technical know-how in breeder genetics, incubation management and chick quality assurance ◈ Integrated quality, traceability and food safety knowledge aligned with CGE Group standards ◈ Data-driven performance monitoring across the breeder-to-hatchery cycle	◈ Operated under CGE's internationally recognised certifications, including ISO 9001, ISO 22000, HACCP, GMP and HALAL ◈ Continuous monitoring of DOC quality parameters to ensure uniformity and performance consistency	◈ Consistent supply of DOCs to internal and external customers ◈ Strengthened customer confidence and long-term relationships ◈ Reinforced TAF's reputation as a reliable breeder and hatchery operator
Human Capital Development & Workplace Wellbeing	◈ Retention of specialised farming and hatchery knowledge through structured SOPs, manuals and on-the-job training ◈ Continuous skills development in farm management, animal welfare and digital systems ◈ Strong ethical, safety and governance culture	◈ Conducted ongoing training on biosecurity, animal welfare, ethics and digital monitoring systems ◈ Reinforced Code of Conduct, safety protocols and whistleblowing mechanisms in line with Group governance standards	◈ Enhanced workforce capability, safety and operational discipline ◈ Reduced reliance on individual expertise through knowledge institutionalisation ◈ Improved employee engagement and long-term organisational continuity

Strategic Pillar	Intellectual Capital Contribution	Key FY 2025 Actions	Value Created
Environmental Sustainability & Animal Welfare	◈ Embedded sustainability and animal welfare knowledge into farm management practices ◈ Integration of environmental risk considerations into operational decision-making ◈ Responsible resource utilisation and waste management practices	◈ Optimised EC house environmental controls to reduce stress on birds and improve feed efficiency ◈ Continued alignment with Group ESG policies on animal welfare, environmental management and responsible sourcing	◈ Improved animal health and welfare outcomes ◈ Reduced environmental and operational risks ◈ Strengthened long-term sustainability and alignment with ESG expectations

Key Risks

- Dependence on experienced personnel for specialised breeder, hatchery and farm management practices may result in knowledge gaps .
- Rapid advances in digital farm management, biosecurity and environmental control systems may outpace existing technical skills.
- Increasing reliance on digital monitoring and automated environmental control systems heightens exposure to system failures or data integrity issues.
- Insufficient awareness or delayed adoption of evolving animal welfare, food safety and ESG requirements may affect compliance and operational credibility.

Key Opportunities

- Codifying breeder hatchery, and farming expertise into SOPs, manuals and digital systems to reduce reliance on individuals.
- Upskilling teams in data-driven farm management, environmental controls and biosecurity to improve decision-making and productivity.
- Using real-time data from hatcheries and EC houses to enhance hatchability, reduce mortality and optimise resource utilisation.
- Strengthening internal expertise in animal welfare, climate resilience and sustainability to enhance long-term value creation and stakeholder confidence.

Risks and Responses Relating to Intellectual Capital

During the year, TAF faced multiple challenges in managing its Intellectual capital.

Further details, refer to Risk and Opportunity Management Report Page 166.

Future Roadmap

Short Term

- Strengthen technical skills in digital monitoring systems, biosecurity and environmental control across hatcheries and EC houses.
- Enhance data accuracy and reporting from existing digital tools to support operational decision-making and performance benchmarking.

Medium Term

- Institutionalise structured capability development programmes, including leadership succession planning and specialised technical training.
- Further integrate CGE Group best practices, certifications, and ESG knowledge into TAF's operational and risk management frameworks.

Long Term

- Build advanced intellectual capital in precision poultry farming through smart technologies, predictive analytics, and AI-enabled decision support.
- Develop in-house centres of excellence for breeder, hatchery, and farm management to drive continuous improvement and innovation.
- Strengthen long-term resilience by embedding climate-smart farming knowledge, animal welfare leadership, and sustainability-driven innovation across operations.

Social and Relationship Capital

Social and Relationship Capital reflects the strength of the relationships that supports and sustains TAF's operations. As a business deeply connected to multiple stakeholders, TAF places great importance on fostering trust, collaboration, and long-term partnerships across its network.

These relationships extend across our customers, suppliers, and business partners, while also embracing the communities in which we operate.



Management Approach

GRI 3-3

TAF adopts a responsible and collaborative approach to managing its Social and Relationship Capital, with a strong focus on nurturing meaningful and long-term stakeholder relationships.

The Company actively works to strengthen trust with customers, suppliers and engage constructively with the communities connected to our operations.

TAF fosters a supportive operating environment that benefits all stakeholders. These efforts collectively contribute to strengthening the poultry value chain while supporting sustainable business growth over the long term.

Key Material Matters

1. Marketing Communication
2. Product Responsibility
3. Food safety
4. Anti-competitive behaviour
5. Customer Satisfaction and Product Quality
6. Supply Chain and Commitments
7. Corporate Citizenship and Community Engagement
8. Farmer Engagement and Technical Support
9. Animal Health and Biosecurity Practices

Value Creation Scorecard 2025

Key Actions for FY 2025

Customer Satisfaction surveys

Rs. 1.8 Mn
spent on community Initiatives

Rs. 3,084.4 Mn
paid to suppliers
(Rs. 2,778.3 Mn - 2024)

18
Local Suppliers added to the database

<100
beneficiaries from community initiatives

Stakeholder Outcomes		Impact on Other Capitals	
Customers	Assurance of high-quality and safe products enhances customer satisfaction and develops customer loyalty	Intellectual Capital	+
Suppliers	Reduced risk of business disruption due to trusted and reliable supply chain partners	Financial Capital; Intellectual Capital	+
Employees	Strong internal relationships and collaboration improve service delivery and operational efficiency	Human Capital; Intellectual Capital	+
Shareholders	Potential for revenue growth owing to high levels of customer satisfaction and loyalty	Financial Capital	+
Regulators / Industry Bodies	Compliance with industry regulations and biosecurity standards strengthens trust and operational stability	Intellectual Capital	+
Community	Enhanced corporate reputation due to good standing in the community	Intellectual Capital; Social and Relationship Capital	+

Outputs for TAF Group

Zero incidents of non-compliance related to marketing communications were reported in 2025	Zero breaches of product safety protocols were reported in 2025	No incidents of non-compliance with labelling requirements were reported in 2025	Zero legal actions reported related to anti-competitive behaviour, antitrust, or monopoly practices.

SDGs

- **Target 1.2:** Reduce by half the proportion of people living in poverty in all its dimensions.
- **Target 1.4:** Ensure all men and women have equal rights to economic resources, basic services, and ownership.

- **Target 2.1:** End hunger and ensure access to safe, nutritious, and sufficient food.
- **Target 2.2:** End all forms of malnutrition, particularly among children and vulnerable groups.

- **Target 3.4:** Reduce mortality from non-communicable diseases through prevention and treatment.
- **Target 3.8:** Achieve universal health coverage and access to quality essential healthcare services.

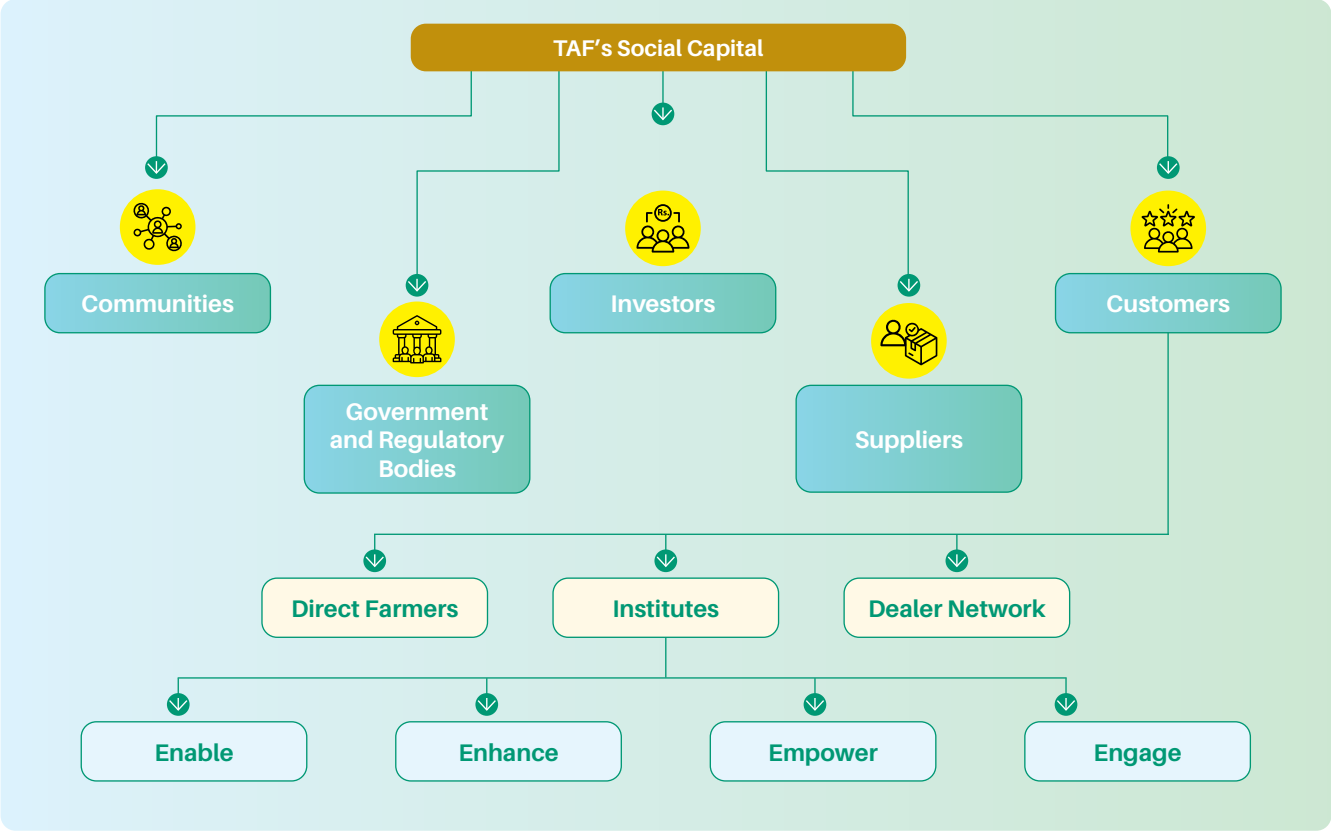
- **Target 4.1:** Ensure all children complete free, equitable, and quality primary and secondary education.
- **Target 4.4:** Increase the number of youth and adults with relevant skills for employment and entrepreneurship.

- **Target 5.1:** End all forms of discrimination against all women and girls everywhere.
- **Target 5.5:** Ensure full participation of women in leadership and decision-making.

- **Target 6.1:** Achieve universal and equitable access to safe and affordable drinking water.
- **Target 6.2:** Improve sanitation and hygiene, especially for women and girls.

Social and Relationship Capital

GRI 2-29



At TAF, our farmers, distributors, suppliers, and broader stakeholder network form the foundation of our Social & Relationship Capital. We recognise that sustainable success in the poultry industry depends on building meaningful relationships grounded in trust, transparency, and shared value. By actively engaging with our stakeholders, we aim to support farmers' productivity, ensure the consistent supply of high-quality DOCs, and contribute positively to the communities connected to our operations.

Our approach centers on creating partnerships that are mutually beneficial, guided by collaboration, respect, and integrity through knowledge-sharing, technical support. We continuously strengthen these relationships while promoting responsible and sustainable practices across the poultry value chain.

BUILDING TRUST AND VALUE IN 2025

In a year of evolving market conditions and economic uncertainty, the trust and collaboration we share with farmers, distributors, and suppliers remained a key driver of our success. Our resilient stakeholder relationships enabled stable operations, reliable supply, and continued industry support, contributing to both operational performance and long-term growth.

Our Unique Selling Proposition and Resilient Strategies that Sustained Profitability



Cost-Saving Initiatives
Strategies to enhance operational efficiency and maintain competitive pricing.

Flexible Payment Solutions
Payment terms to support customer liquidity and demand.

SME Support
Partnerships to ensure supply chain stability and local economic growth.

CUSTOMERS

(GRI 416-1, GRI 418-1)

Building Lasting Customer Relationships

At TAF, our engagement with customers goes far beyond transactions. We are dedicated to cultivating enduring relationships grounded in trust, quality, and service excellence.

Product Responsibility

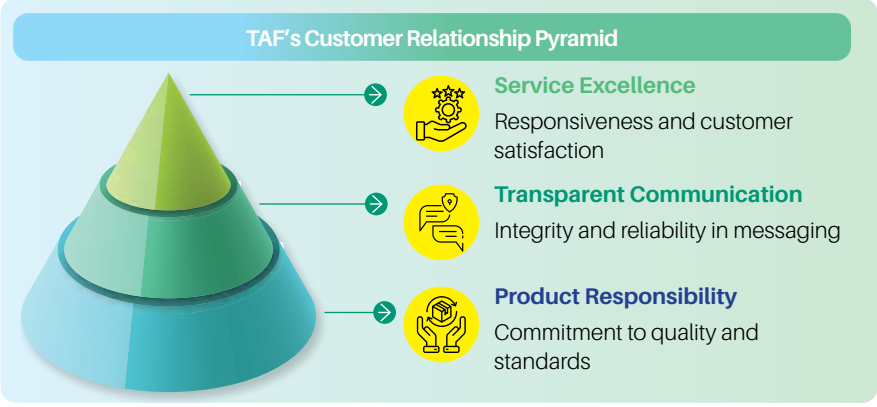
Our commitment to quality forms the backbone of customer loyalty and brand reputation. Through rigorous processes and robust systems—aligned with the high standards of our parent company, Prima Singapore—we consistently deliver products that meet and exceed expectations.

Transparent and Honest Communication

The Prima brand stands for integrity and reliability. We maintain this through clear, fact-based, and credible communication. Following global best practices, we safeguard consumer rights and data privacy, and we are proud to report zero breaches of customer data during the year.

Service Excellence

Delivering excellence in service is central to our approach. From on-time deliveries to swift resolution of customer queries, our focus on responsiveness ensures that we nurture long-term, mutually beneficial relationships with our customers.



Nurturing Expertise, Strengthening the Poultry Industry

With over sixty years of industry experience and the technical backing of our parent company, Prima Singapore, TAF is dedicated to fostering growth through the sharing of knowledge. Our commitment extends beyond our operations to uplifting the entire poultry sector, with a particular focus on empowering our supplier network.

Our skilled field teams work closely with outgrower farms, providing practical guidance on best practices in farming, breeding, hatching, and productivity improvements. By promoting continuous learning, we help build a stronger, more sustainable, and resilient supply chain.

Targeted Customer Approach

Understanding the diverse needs of our customers is key to delivering solutions that drive both business growth and industry sustainability. TAF segments its customers into two distinct groups:

1. Dealers and Distributors: These partners act as intermediaries, distributing TAF's DOCs to small-scale poultry farmers and businesses nationwide.
2. Direct Customers: Large-scale poultry processors who purchase breeder and layer DOCs directly from TAF to support their production operations.

In 2025, TAF strategically expanded its dealer and distributor network, responding to the rising demand for high-quality DOCs from small poultry farms in Sri Lanka's Northern and Eastern Provinces.

Product Quality and Safety

(GRI 416-1, GRI 416-2; GRI 13.10 - Food Safety Sector Disclosure)

TAF is committed to maintaining the highest standards of product quality and safety across all stages of our operations. Ensuring that our DOCs meet stringent health and safety requirements is central to protecting both our customers and the integrity of the poultry value chain.

- Immunisation Control Testing: 100% of all DOC batches produced in 2025 underwent rigorous testing under TAF's Infection control programme in line with industry best practices.
- Product Safety Compliance: No breaches of product safety protocols were reported throughout the year, reflecting TAF's strict adherence to quality standards and operational procedures.

Social and Relationship Capital

Product Quality and Safety: Ensuring Excellence from Farm to Consumer

At TAF, product quality and safety are at the heart of our mission to support Sri Lanka's poultry industry. We are committed to providing reliable, high-quality products that contribute to the health and wellbeing of consumers across the country.

Guided by the Food Safety & Quality Policy of our immediate parent, CGE, and aligned with the global quality benchmarks set by Prima Singapore, TAF ensures end-to-end assurance in every stage of production. Beginning with our breeder stock, we maintain access to genetically superior birds through long-standing partnerships with globally recognised brands, including the "INDIAN RIVER" parent stock and "HY-LINE" commercial layer breeds.

To maintain upstream traceability and precision, all shipments of grandparent and layer parent stock are carefully managed under licenses from the Import Control Department and import permits from the Department of Animal Production and Health (DAPH). This framework enables meticulous monitoring from breeder stock to final product.

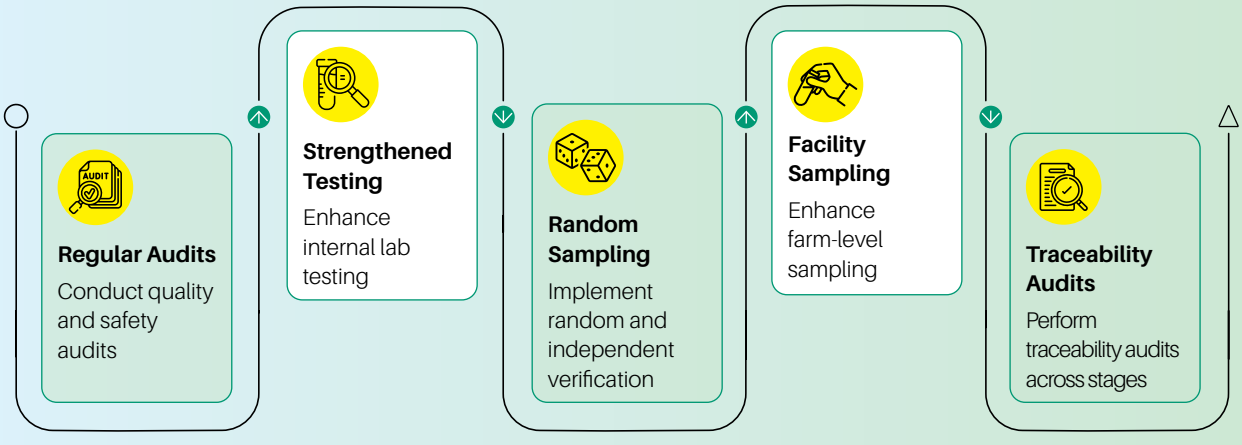
Our breeder farms operate at the forefront of modern poultry management with fully complying all regulatory requirements set by the DAPH, the Ministry of Agriculture, and the Ministry of Livestock. Our hatchery operations are governed by strict quality control measures in line with ISO 9001 Quality Management Standards and internationally recognised safety protocols, including HACCP, FSSC 22000, and the Halal Food Safety Management System.

We place strong emphasis on continuous improvement. Regular internal audits, together with external audits conducted for recertification purposes, provide a structured framework to enhance and refine our systems and processes consistently. We have implemented a comprehensive Immunisation Control Programme as part of our commitment to bird health and product safety. This programme ensures that all infection prevention measures are carefully managed, continuously monitored, and systematically enhanced to reduce health risks across our farms. In FY 2025, we strengthened disease testing protocols for DOCs to improve disease resistance and optimise their overall performance.

Preparedness for emergencies is an integral part of our operations. An Emergency Preparedness Procedure enables us to respond quickly and effectively to any potential breaches in food safety systems, whether caused by sudden illnesses, disease outbreaks, or accidents involving chemicals. Similarly, our Mock Recovery Procedure ensures complete traceability of raw materials, packaging, and finished products, allowing for rapid action in the event of a market recall.

We also recognise that consumer preferences in the food sector are constantly evolving. Modern customers increasingly seek organic, nutrient-rich, non-GMO, and premium-quality products. At TAF, we actively track market trends, gather intelligence, and implement proactive strategies to anticipate and respond to these changing demands. By doing so, we ensure that our products consistently meet the highest standards of quality, safety, and consumer expectations.

Ensuring Poultry Product Safety

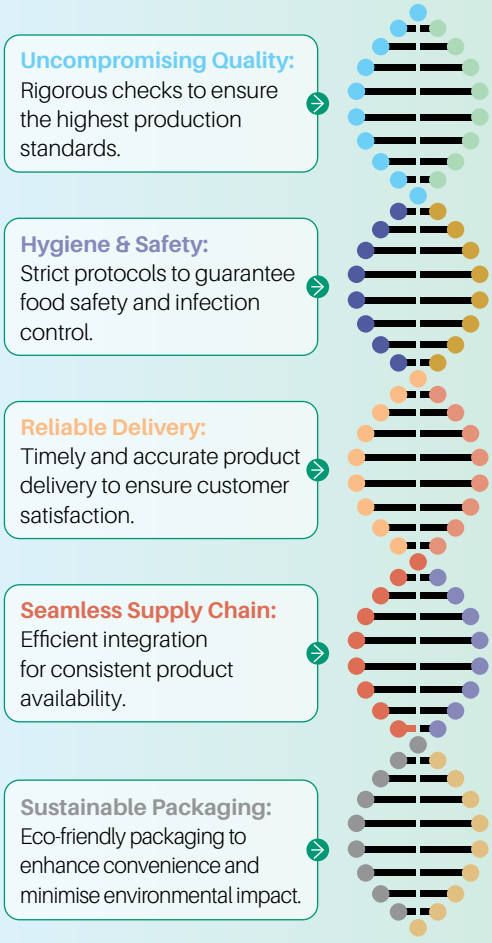


Creating Value, Every Step of the Way

At TAF, we deliver more than just poultry products .We deliver a promise of quality, safety, and reliability across every stage of our operations. Our commitment ensures that from breeder farms to hatcheries, processing, and distribution, excellence and innovation guide everything we do.

- Uncompromising Quality is maintained through rigorous checks at every stage of production.
- Farm-to-Table Freshness is ensured through carefully managed logistics and storage, so products reach customers at their peak.
- Hygiene & Safety are a top priority, with strict adherence to internationally recognised food safety and infection control protocols.
- Smart Value combines premium-quality products with competitive pricing to meet customer expectations.
- Reliable Delivery guarantees that customers receive the right products, on time, every time.
- Customer-Focused Service means quick, responsive support, fostering long-term trust and relationships.
- Seamless Supply Chain integration ensures efficiency, consistency, and uninterrupted product availability.
- Innovative Solutions are developed to meet evolving market demands, including premium, nutrient-rich, and non-GMO options.
- Sustainable Packaging enhances convenience while minimising environmental impact.
- Knowledge Sharing empowers stakeholders through technical guidance, training, and expert support.

TAF's Commitment to Excellence



In 2025, TAF maintained full compliance with all labelling and marketing regulations.

GRI: 417-1, 417-2, 417-3, 2-27, 206-1

- Zero legal actions reported related to anti-competitive behaviour, antitrust, or monopoly practices.
- No incidents of non-compliance with labelling requirements were reported throughout the year.
- Zero cases of non-compliance concerning marketing communications.

Marketing and Labeling

TAF adheres to Prima Singapore's principled approach to marketing, ensuring fairness and integrity within the local poultry industry. We do not engage in anti-competitive practices or monopolistic behaviour, actively supporting a transparent and competitive market environment.

Social and Relationship Capital

Honesty and transparency are central to how we communicate about our products. TAF is fully committed to complying with all regulatory requirements related to product pricing and labelling. As part of this commitment, every DOC packaging is carefully designed to meet DAPH labelling regulations, including all mandatory information such as batch numbers, production dates, and other essential details.

Customer Feedback and Complaints

GRI 2-25, 2-26

We view customer feedback as an opportunity to understand evolving customer needs and expectations. Our operations are designed around responsiveness, and we actively encourage open communication with our customers.

Our dedicated Technical Team maintains multiple channels for feedback, engaging directly with customers to address concerns, answer queries, and implement practical suggestions for improvement. Insights gathered from these interactions are regularly reviewed during management meetings, helping to drive innovation and enhance the value of our products and services.

Customer surveys form a key component of our approach, allowing us to monitor and evaluate a wide range of aspects, including product quality, safety, communication, and service excellence. This systematic tracking enables us to identify areas for refinement and ensures our offerings consistently meet, and often exceed, customer expectations.

TAF also operates a structured complaints handling process. All concerns are logged, assessed, and escalated to relevant internal stakeholders to ensure swift and effective resolution. Beyond resolving immediate issues, we follow up with customers to confirm their satisfaction and reinforce trust. This proactive approach helps strengthen long-term relationships and demonstrates our commitment to accountability and service excellence.

In addition, we actively incorporate customer feedback into operational improvements. From production adjustments and packaging enhancements to distribution efficiency and hygiene practices, customer insights inform continuous enhancements across our value chain.

During the year, there were no major complaints reported, reflecting TAF's consistent focus on product quality, safety, and customer satisfaction .

Our Unique Selling Proposition and Resilient Strategies that Sustained Profitability

Channels for Complaints
- General Numbers
- Email dedicated to Sales
- Direct contact at any TAF branch or with sales representatives.

Recording the Complaint
- Each issue is registered and assigned to a relevant department based on the nature of the issue, e.g., product quality, delivery, or customer service.

Investigation Process
- The complaint is forwarded to the relevant department based on the product or service issue.
- A root cause analysis is conducted to identify the issue effectively.
- The relevant team is required to ensure the investigation is completed within 5 business days.



Resolution and Feedback
- Once the issue is resolved, customers are notified with an action plan.

Escalation Mechanism
- Customers who are unsatisfied with the resolution can escalate the matter to higher management via email.

Continuous Improvement
- Insights from complaint data are integrated into our Quality Assurance process, ensuring our products and services continue to meet customer expectations.

CGE conducts annual customer satisfaction surveys across its entire customer base, including TAF customers. These surveys help us understand how our products and services are perceived, and provide actionable insights to enhance quality, responsiveness, and overall customer experience.

Customer Satisfaction Survey includes :

- Operational Efficiency
- Product Quality
- Responsiveness and Problem-Solving
- Competency
- Technical Capability
- Contactability and Responsiveness

The Company has numerous initiatives in place to enhance stakeholder value which translates into stakeholder satisfaction as illustrated below .

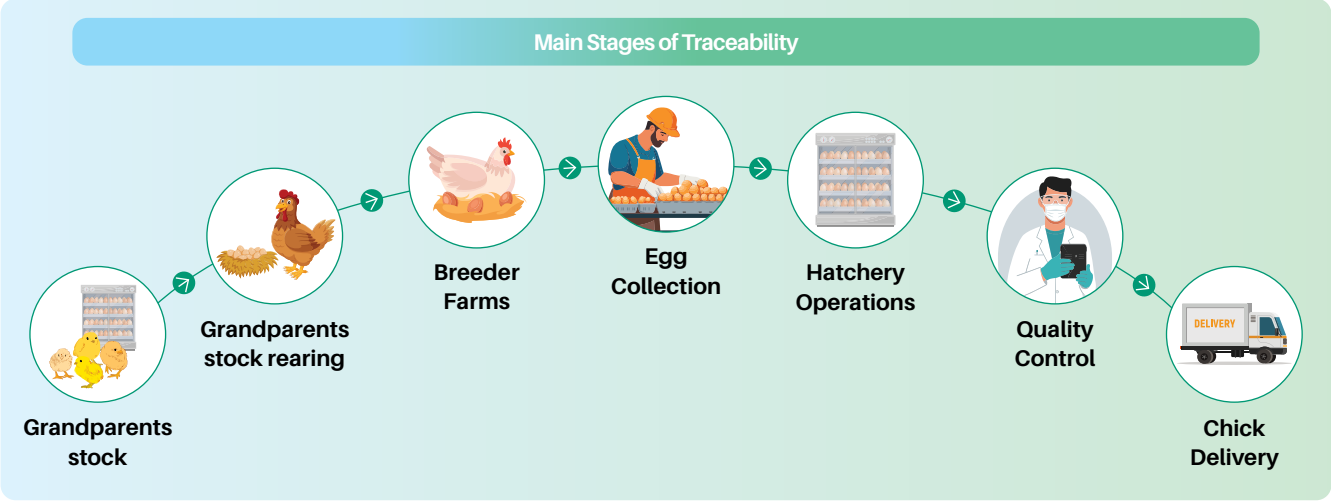
Key Stakeholder	Stakeholder View of the Company	Initiatives Adopted by TAF to Achieve Stakeholder Satisfaction
Customers	A trusted brand that keeps its promise	Product responsibility, service quality, honest and transparent communications
Business Partners	An ethical brand that creates social value and meets its obligations	Supplier evaluation, relationship building, conflict resolution
Government and Regulatory Bodies	A trusted brand that upholds the highest standard of credibility, integrity and behaves responsibly towards people and the planet	Compliance, monitoring and regular reviews of business processes and operations
Communities	An ethical brand recognised as being socially responsible and environmentally friendly	Corporate Social Responsibility Programmes, incorporating responsible and sustainable business practices within business operations

End-to-End Production Traceability

Traceability is a key component of TAF's commitment to quality, biosecurity, and operational transparency. Through our integrated breeder and hatchery operations, we maintain strict oversight across every stage of production from breeder farm management and egg collection to hatchery operations and the delivery of DOCs to customers.

Comprehensive record-keeping and monitoring systems enable the tracking of breeder flock performance, egg handling, incubation conditions, and chick health parameters. This ensures full traceability throughout the production cycle, allowing timely identification and resolution of any quality concerns.

By maintaining robust traceability practices, TAF strengthens customer confidence and reinforces its commitment to supplying healthy, high-quality DOCs that support the growth and sustainability of Sri Lanka's poultry industry.

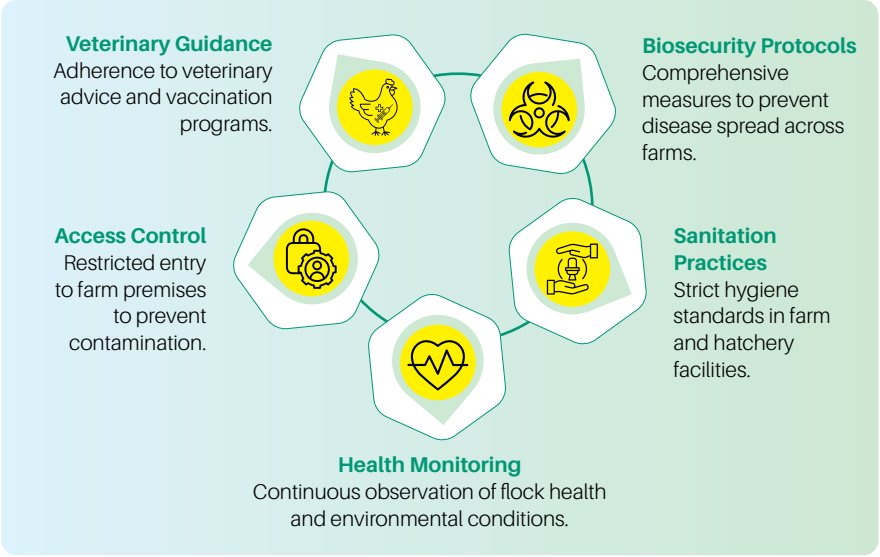


Social and Relationship Capital

Commitment to Animal Health, Biosecurity and Safe Poultry Production

GRI 416-1, 416-2 | GRI 13.10: Food Safety (Sector Topic Disclosures)

At TAF, maintaining the highest standards of animal health, biosecurity, and production hygiene is fundamental to our operations. Through our breeder, broiler, and commercial farming activities, we are committed to producing healthy poultry and high-quality DOCs that support the safety and sustainability of Sri Lanka's poultry value chain. Our farming practices are designed to safeguard animal wellbeing while ensuring that our customers receive reliable, healthy poultry stock raised under controlled and hygienic conditions.



Guided by the food safety and quality standards adopted across the CGE Group, TAF continues to strengthen its operational practices in line with internationally recognised frameworks. These standards ensure that strict biosecurity, hygiene, and monitoring protocols are maintained across farms and hatchery operations, reinforcing our commitment to responsible and safe poultry production.

Upholding High Biosecurity and Farming Standards

Our farming and hatchery operations follow strict biosecurity and management practices aimed at minimising disease risks and maintaining flock health. Key measures include:

- Implementation of comprehensive biosecurity protocols across breeder, broiler, and commercial farms
- Strict sanitation and hygiene practices maintained at farm facilities and hatchery operations
- Continuous monitoring of flock health and environmental conditions
- Controlled access to farm premises to prevent potential contamination or disease transmission
- Adherence to veterinary guidance and vaccination programmes to safeguard poultry health

Through these practices, TAF ensures the consistent production of healthy poultry and quality DOCs, supporting farmers and strengthening confidence across the poultry value chain.

Safeguarding the Integrity of Our Poultry Production

TAF remains firmly committed to responsible farming practices that support the health, quality, and reliability of poultry supplied to the market. Across our breeder, broiler, and commercial farming operations, we prioritise strong biosecurity, proper nutrition, and careful flock management to ensure healthy birds and high-quality Day-Old Chicks (DOCs) for our customers.

- No artificial growth substances
- No antibiotics
- 100% organically raised chicken

Customer Data Privacy and Protection

GRI 418-1

Safeguarding customer information is an important part of maintaining the trust and confidence of our farming partners, distributors, and other stakeholders. While we focus on delivering healthy DOCs and reliable poultry stock through our breeder, broiler, and commercial farming operations, we also recognise our responsibility to ensure that customer and business information is managed with the highest level of confidentiality and care.

In line with the governance practices of the CGE Group, TAF maintains appropriate data protection measures to ensure that customer information is securely handled and protected from unauthorised access or misuse.

Our approach to customer data privacy includes:

- Implementation of internal policies and controls to safeguard customer and business information
- Controlled access to operational and customer-related data within the organisation
- Staff awareness on responsible data handling and confidentiality practices
- Zero reported breaches of customer data during the reporting year 2025

SUPPLIERS

GRI 2-6, 204-1

GRI 13.23.1, 13.23.2, 13.23.3, 13.23.4 - Supply Chain Traceability (Sector Topic Disclosures)

TAF sources the essential raw materials and operational inputs required for our farming activities through a carefully managed network of both international and local suppliers.

This balanced sourcing approach enables the Company to maintain high standards of quality while ensuring the reliability of materials that support our breeding operations.

Feed and specialised poultry equipment are supplied through our parent company, CGE, ensuring consistency in quality, operational efficiency, and adherence to group-wide standards across all farming operations. This integrated supply arrangement strengthens coordination within the Group and supports the effective management of farm performance.

In addition, packing materials and other operational supplies are procured from trusted local vendors. By engaging reliable domestic suppliers, TAF not only ensures a stable supply of materials but also contributes to strengthening the local supply chain and supporting the growth of local industries.

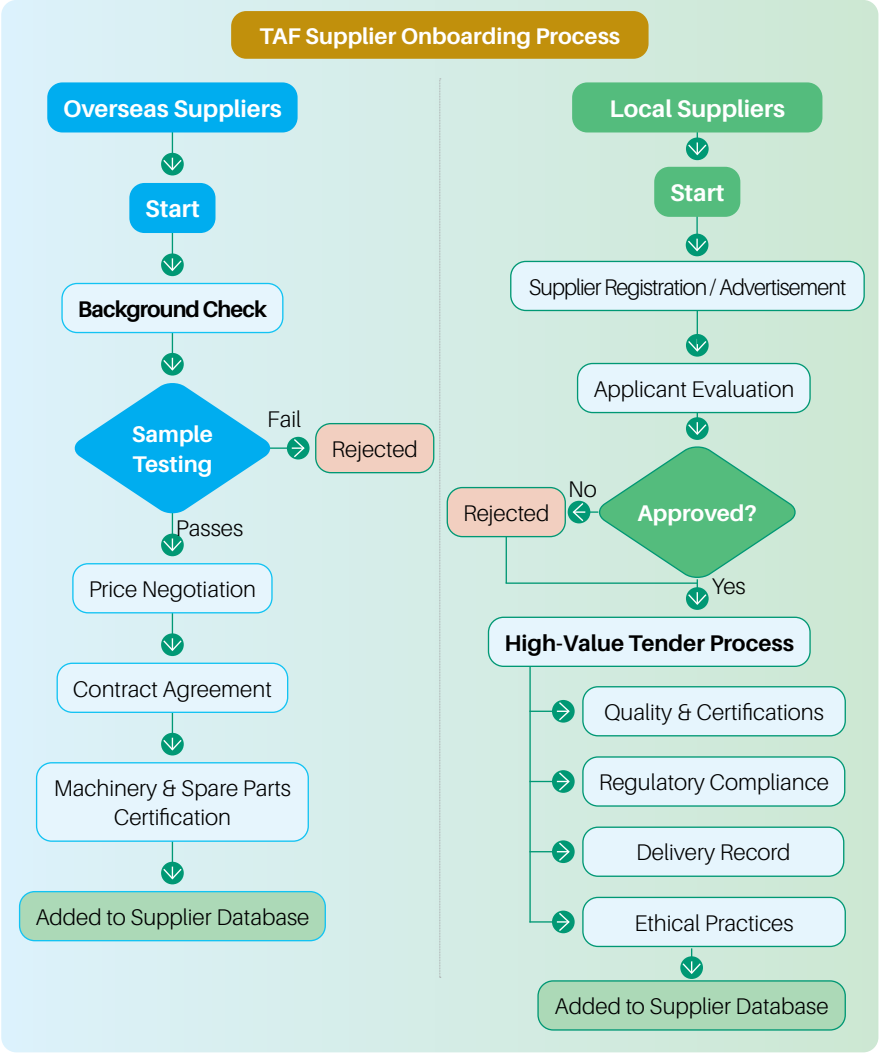
Responsible Procurement and Supply Chain Practices

GRI 13.23: Supply Chain Traceability (Sector Topic Disclosures) | GRI 2-6, 204-1

A reliable and responsible supply chain plays a critical role in supporting TAF's farming operations. We work closely with a network of both international and local suppliers to ensure the availability of high-quality inputs that enable efficient and sustainable operations.

Our international supply partners primarily include specialised parent stock breeders from whom TAF imports layer parents stocks for its DOC production. In addition, certain specialised machinery, equipment, and technical inputs required for hatchery and farm operations are sourced from established overseas suppliers to ensure high standards of performance and reliability.

Furthermore, TAF actively engages with local suppliers to meet various operational requirements. These suppliers provide essential goods and services such as packaging materials, farm supplies, maintenance support, and other operational inputs that contribute to the smooth functioning of our farming and hatchery activities.



Structured and Responsible Procurement Practices

TAF's supply chain management approach is guided by the procurement frameworks and governance practices established by our parent company, CGE. These practices ensure that all sourcing decisions are carried out through a structured and transparent process designed to maintain high standards of quality, reliability, and accountability.

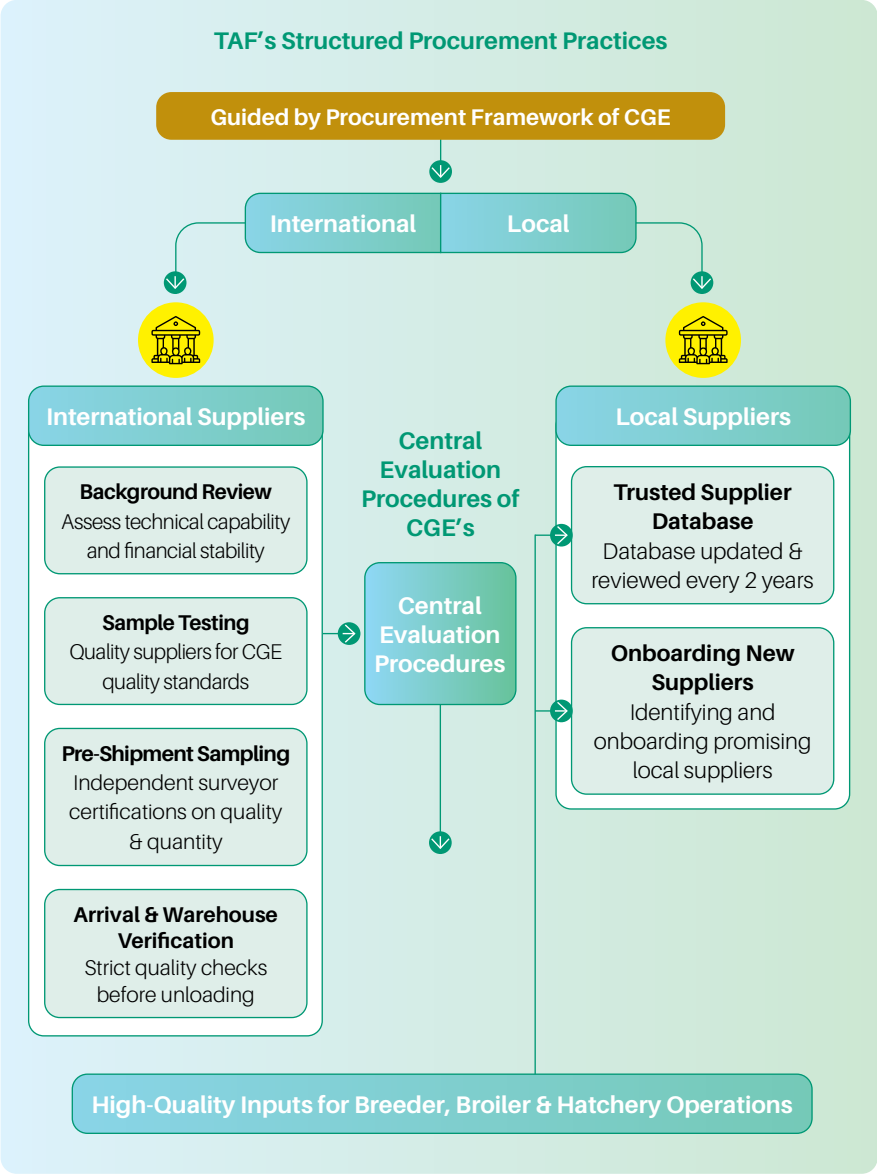
The selection of international suppliers follows a comprehensive evaluation process. This begins with a detailed review of the suppliers' background, including assessments of technical capability and financial credibility. Potential suppliers are further evaluated through sample testing and qualification procedures to ensure that all materials and inputs meet the quality standards required for CGE Group operations.

To maintain consistency and quality assurance, each import consignment is subject to pre-shipment sampling. In addition, internationally recognised independent surveyors are engaged to certify the quality and quantity of shipments prior to dispatch. Upon arrival, all consignments undergo thorough quality verification before being accepted into our warehouses.

Social and Relationship Capital

For local procurement, TAF relies on CGE's established supplier database, which includes trusted vendors providing goods and services required for day-to-day operations. This database is reviewed and updated every two years, allowing the organisation to assess supplier performance while also creating opportunities to onboard new suppliers and strengthen the local supply network.

Through these structured procurement practices, TAF ensures the integrity, reliability, and quality of inputs that support its breeder, broiler, and hatchery operations.



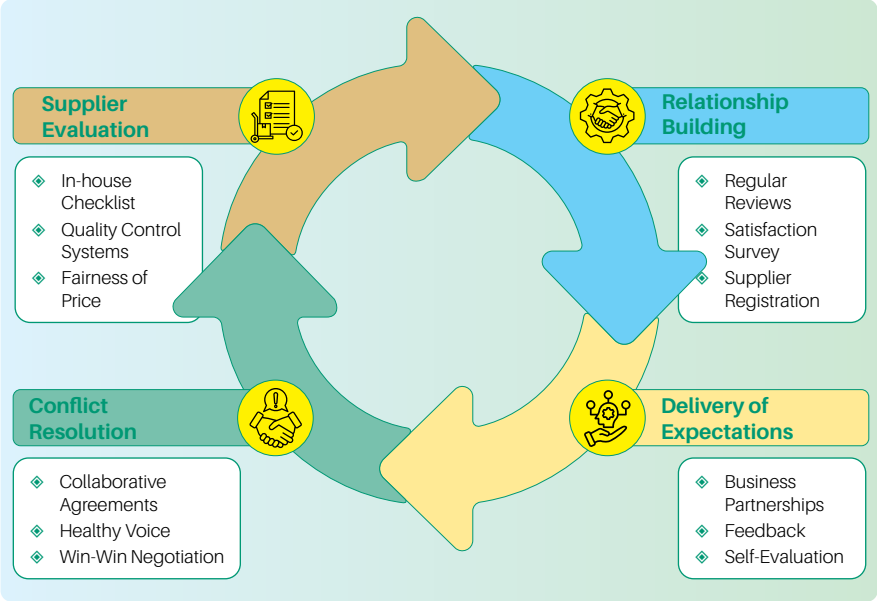
Responsible Supply Chain Management and Ethical sourcing

Integrity and quality are the foundation of our supply chain practices. All high-value contracts follow a rigorous tender process in accordance with our procurement guidelines. Each contract is carefully evaluated by an independent committee or the tender board, using predefined criteria.

Suppliers are assessed on quality standards, certifications, licenses, delivery performance, and overall reputation, ensuring that we collaborate only with reliable and high-caliber partners.

Given the scale of our livestock operations, maintaining superior quality standards for poultry is critical. To uphold this commitment, we have obtained all necessary local and international licenses, ensuring full compliance with industry regulations. Our suppliers meet these strict licensing requirements as well, creating a transparent and responsible supply chain.

We also recognise the challenges that SME suppliers face in a dynamic economic environment. During the year, we implemented targeted measures to support these partners, easing financial pressures and building resilience throughout our supplier network.



Supplier Due Diligence and Best Practices in Procurement

GRI 204-1, 407-1, 408-1, 409-1, 13.18.2

Our procurement practices are guided by a strong commitment to ethical sourcing and sustainability, aligned with our ESG framework and corporate values. We prioritise integrity, transparency, and accountability in all supplier interactions, building trust across our supply chain and ensuring responsible business conduct.

Every new supplier undergoes a structured, non-discriminatory evaluation using the TAF Supplier Evaluation Checklist, which is aligned with global best practices and industry standards. This rigorous process ensures that our supply chain remains reliable, high-quality, and sustainable, while fostering long-term partnerships with trusted suppliers.

Key Screening Criteria:

- **Quality, Pricing, and Delivery Standards:** Suppliers are evaluated for their ability to consistently provide competitive, reliable, and high-quality products and services.
- **Environmental and Social Responsibility:** Suppliers are expected to comply with sustainability protocols, ethical business practices, and responsible operational standards, reinforcing TAF's commitment to a sustainable supply chain.

Responsible Procurement and Supplier Assessments

All procurement activities are guided by our Procurement Policy, which emphasizes professionalism, transparency, and fairness. We strictly comply with contractual obligations and payment terms, avoid monopolistic or anti-competitive practices, and ensure equal opportunities for all qualified suppliers. Our approach reflects our commitment to ethical business conduct and sustainable supply chain management.

Anti-Corruption Measures

TAF actively manages corruption risks across the supply chain:

- Suppliers assessed for corruption risks: Implementation is underway
- Suppliers receiving anti-corruption training: 0% (program currently under development)
- Incidents of corruption detected: 0
- Actions taken: N/A

Supplier Environmental Assessment

(GRI 308-1, 308-2)

Our environmental screening ensures that suppliers meet TAF's sustainability standards:

- New suppliers screened against environmental criteria: Implementation is underway
- Suppliers identified with significant negative environmental impacts: 0

Supplier Social Assessment

(GRI 414-1, 414-2)

Social responsibility is central to our procurement strategy:

- New suppliers screened against social criteria: Implementation is underway
- Suppliers identified with significant negative social impacts: 0

Through these structured assessments, TAF ensures that its supply chain remains ethical, environmentally responsible, and socially conscious.

COMMUNITY

GRI 3-3, 203-1, GRI 413-1,GRI 413-2, GRI 13.12.1, 13.12.2, 13.221, 13.22.3 Sector Topic Standard

Community Engagement and Support

TAF's operations, particularly to farms located across Sri Lanka, contribute positively to the socio-economic development of surrounding communities. These operations generate direct employment opportunities while also creating indirect economic benefits for local suppliers, service providers, and small businesses connected to the poultry value chain.

While our activities support local livelihoods, we recognise that certain operational aspects may occasionally create inconveniences for neighbouring communities, such as noise, dust, or other routine farm-related disturbances. TAF remains committed to responsibly managing these impacts through proactive engagement and responsive grievance-handling mechanisms.

Social and Relationship Capital

Community members are encouraged to share feedback, concerns, or suggestions through the Manager in charge of the respective farm locations. All matters raised are reviewed internally and discussed during the monthly Health and Safety Meetings, where management evaluates appropriate corrective actions and remedial measures. This structured process ensures that community concerns are addressed in a timely and transparent manner.

In addition to managing operational impacts, TAF actively participates in initiatives that support the broader wellbeing of local communities. Through these efforts, the Company seeks to strengthen relationships with stakeholders while contributing positively to community development and social wellbeing.

Empowering Communities through Sustainable Development

Our commitment to corporate social responsibility extends beyond our operational activities. We recognise the importance of supporting the communities connected to our farm operations and strive to contribute positively to their social and economic well-being.

Our community engagement efforts are focused on several key areas:

- **Education:** Supporting rural schools and educational initiatives that help improve learning opportunities for children in surrounding communities.
- **Culture and Sports:** Encouraging community engagement by supporting local cultural and sporting events that promote unity and social interaction.
- **Social Welfare:** Undertaking initiatives that address community needs and support the wellbeing of vulnerable groups.

Through donations, sponsorships, and community-focused programmes, TAF aims to contribute to sustainable community development while strengthening long-term relationships with the communities in which we operate.

Community Project Implementation Procedure

Identification
Potential projects are identified via stakeholder feedback.

Approval
Project proposals are reviewed and approved by the Top management based on alignment with the Group's sustainability objectives.

Resourcing and Execution
Allocates financial and human resources for implementation of projects.

Repair of Damaged Bridge and Access Road - Kosgama

As part of its commitment to supporting local communities and maintaining essential infrastructure, TAF undertook the repair and restoration of the damaged bridge and access road leading to the Kosgama Farm. This initiative improved the safety and reliability of access to the farm while also benefiting residents in the surrounding area who depend on the route for their daily transportation needs.

The restoration of this infrastructure has strengthened connectivity for the movement of farm-related activities as well as the transport of agricultural goods. Through such initiatives, TAF continues to contribute to community well-being while supporting sustainable local development.





Aligned SDG Targets:

SDG 9.1 – Develop quality, reliable, sustainable and resilient infrastructure

SDG 11.2 – Provide access to safe, affordable and sustainable transport systems

Undergraduate Workshops - Fostering Sustainable Practices

In 2025, TAF hosted a sustainability and industrial-technical awareness workshop for undergraduates, introducing students to practical practices such as waste reduction, energy conservation, and natural resource protection. The interactive session received positive feedback for its hands-on approach, reflecting TAF's commitment to promoting environmental awareness and nurturing the next generation of sustainability-conscious industry professionals.



60
No. of Students obtained Vocational trainings during the year

Aligned SDG Targets:

SDG 4.7 – Education for sustainable development
SDG 12.8 – Ensure people have relevant information and awareness for sustainable lifestyles
SDG 13.3 – Improve education and awareness on climate change

Donations for Flood-Affected Communities

In December 2025, TAF supported communities in Nuwara Eliya affected by severe flooding, providing essential relief items such as water tanks, feed bags, coconuts, and other materials. This initiative demonstrates TAF's commitment to timely assistance and its ongoing dedication to community well-being.



Aligned SDG Targets:

SDG 1.5 – Build resilience of the poor and vulnerable to climate-related disasters
SDG 2.1 – End hunger and ensure access to safe and nutritious food
SDG 11.5 – Reduce the impact of disasters on communities

New Year Function - Red Eagle Youth

TAF contributed to the New Year celebrations organised by the Red Eagle Youth Club. The event brought together community members to celebrate cultural traditions, foster social connections, and promote local engagement. Through our involvement, TAF reaffirmed its commitment to supporting community initiatives and encouraging active participation in cultural and social activities.





Aligned SDG Targets:

SDG 11.3 – Inclusive and sustainable community development
SDG 16.7 – Ensure responsive, inclusive and participatory decision-making

Donation for the Government Authorities - Bulathsinhala

TAF supported the Bulathsinhala Government authority by funding the repair of the ceiling in the workstation , reinforcing our commitment to community welfare and public service support.





Aligned SDG Targets:

SDG 16.6 – Develop effective, accountable and transparent institutions

Donation to Pannila Temple

TAF support the repair of the entrance of the Dharmashalawa at Pannilla Temple, contributing to the preservation and upkeep of this important community space.



Aligned SDG Targets:

SDG 11.4 – Protect and safeguard cultural and community heritage

Empowering Tomorrow's Children

Led by the CGE Sports & Recreational Club, the "Empowering Tomorrow's Children" initiative supports rural schools by improving educational facilities while promoting sustainable practices. The project focused on upgrading school infrastructure using resource-efficient methods, rehabilitating play areas through repairing and reusing existing equipment, and providing essential learning materials. The programme also encouraged employee participation and supported tree planting to create a greener and more inspiring learning environment. Through this initiative, TAF continues to contribute to community development while promoting environmental responsibility.

Social and Relationship Capital









Aligned SDG Targets:

SDG 4.1 – Quality primary & secondary education
SDG 12.5 – Reduce waste generation **SDG 13.3** – Climate education & awareness

Emergency Food Relief Initiative – Ditwah Cyclone

In response to the devastating floods caused by the Ditwah Cyclone, the Prima Group initiated a large-scale humanitarian food relief programme to support affected communities. Through this initiative, essential food items were distributed to flood-affected families to address urgent nutritional needs during a time of crisis. This effort reflects Prima Group's continued commitment to community welfare and responsible corporate citizenship by extending timely assistance to vulnerable communities.





Aligned SDG Targets:

SDG 2.1 – End hunger and ensure access to safe, nutritious food

SDG 1.5 – Build resilience of vulnerable communities to climate-related disasters

Memberships, Associations, and Affiliations

GRI 2-28

Through our parent company CGE, TAF benefits from active engagement in key industry associations such as the World Poultry Science Association, Lanka Poultry Producers Forum, All Island Poultry Association, and Sri Lanka Veterinary Association. This collaboration provides TAF access to industry expertise, best practices, and regulatory insights.

By leveraging CGE's networks and knowledge, TAF enhances its operational capabilities, strengthens risk management, and supports sustainable growth, while contributing to the development of a resilient and forward-looking poultry sector in Sri Lanka.

Value Creation Linked to Strategic Pillars

Strategic Pillar	Social & Relationship Contribution	Key FY 2025 Actions	Value Created
Sustainable Value Creation, Cost Optimisation & Efficient Operations	◈ Leveraging TAF's supplier networks and industry expertise to strengthen TAF's operational resilience ◈ Collaboration with industry associations to manage sector risks and adopt best practices	◈ Supplier development programs ◈ Alignment with industry standards and quality training for suppliers ◈ Adoption of operational efficiency measures	◈ Resilient and reliable supply chain ◈ Enhanced supplier performance and compliance ◈ Reduced operational disruptions and cost risks
Customer-Centric Value Delivery	◈ Building trust and long-term relationships with customers ◈ Leveraging Customer engagement and education	◈ Customer engagement programs and workshops ◈ Feedback collection mechanisms ◈ Ensuring product compliance and responsible labeling	◈ Higher customer satisfaction and loyalty ◈ Improved alignment of products with customer needs

Strategic Pillar	Social & Relationship Contribution	Key FY 2025 Actions	Value Created
Social Capital & Community Engagement	◈ Supporting communities through education, disaster relief, and infrastructure initiatives ◈ Employee volunteering and local stakeholder engagement	◈ CSR programs including school development, flood relief, youth and sports initiatives ◈ Public awareness campaigns on nutrition and sustainability	◈ Enhanced social impact and goodwill ◈ Improved stakeholder trust and community relationships ◈ Long-term positive engagement with local institutions
Environmental Sustainability & Climate Action	◈ Promoting sustainable practices across suppliers, customers, and communities ◈ Awareness and participation in environmental stewardship	◈ Environmental education workshops for students and employees ◈ Sustainable sourcing and supplier collaboration ◈ Community tree planting and eco-conscious initiatives	◈ Strengthened ESG culture among stakeholders ◈ Reduced environmental footprint across operations and communities ◈ Enhanced reputation as a responsible corporate citizen

Risks and Opportunities Relating to Social and Relationship Capital

Risks:

- Community Trust and Reputation: Negative stakeholder perceptions or inadequate engagement could reduce community trust and impact TAF's social license to operate.
- Customer Satisfaction & Loyalty: Failure to understand or respond to customer needs may result in loss of trust, reduced loyalty, and weakened brand reputation.
- Supply Chain Dependencies: Over-reliance on certain suppliers without adequate risk mitigation could disrupt operations and affect partner relationships.
- Regulatory and Industry Changes: Emerging regulations or shifts in industry standards could impact TAF's alignment with stakeholder expectations.

Opportunities:

- Leveraging TAF Expertise: Through CGE's active industry engagement, TAF gains access to expert knowledge, best practices, and collaborative problem-solving, enhancing risk management and decision-making.
- Strengthening Community Engagement: Targeted CSR programs and partnerships with local organisations build long-term goodwill, social trust, and community resilience.
- Customer-Centric Innovations: Feedback mechanisms, educational initiatives, and product alignment opportunities allow TAF to strengthen customer relationships and loyalty.
- Collaborative Industry Participation: Active involvement in industry associations enables TAF to influence sector policies, anticipate trends, and foster a sustainable, forward-looking poultry industry.

Risks and Responses Relating to Intellectual Capital

During the year, TAF faced multiple challenges in managing its Social and Relationship capital.

Further details, refer to Risk and Opportunity Management Report Page 167.

Future Roadmap

Short Term

- Strengthen operational efficiency and supply chain resilience leveraging TAF expertise.
- Enhance CSR initiatives and community engagement programs to increase social impact.
- Expand customer engagement and education programs to improve loyalty and trust.
- Implement targeted environmental initiatives, including sustainable sourcing and awareness workshops.

Medium Term

- Deepen industry collaboration through associations to influence sector policies and innovation.
- Scale up ESG and sustainability initiatives across operations and communities.
- Develop talent and leadership within TAF through training programs and knowledge transfer from CGE.

Long Term

- Achieve full integration of ESG principles into core operations and decision-making.
- Build resilient, inclusive, and forward-looking partnerships across the poultry sectors.
- Contribute to a sustainable and innovative national poultry industry while driving long-term value creation for all stakeholders.

Human Capital

At TAF, our people are at the heart of everything we do. Their talent, experience, and dedication drive our operational performance and enable us to achieve sustainable growth. We believe that organisational success is built on a strong, engaged, and capable workforce that consistently delivers value to our stakeholders.

Our employees contribute across the entire value chain, ensuring efficiency, quality, and innovation in our operations. Each team member plays a meaningful role in supporting TAF's strategic priorities and long-term objectives. By fostering a culture of collaboration, professionalism, and continuous improvement, we empower our people to perform at their best.

TAF remains committed to developing and supporting our workforce, recognising that our Human Capital is the cornerstone of our stability, resilience, and future progress.



Management Approach

GRI 3-3

Our approach to human capital management focuses on attracting, nurturing, and retaining talented individuals while fostering a safe, inclusive, and empowering workplace. We align this approach with our broader purpose of building a resilient and sustainable organisation that creates long-term value for both people and the planet.

We are committed to cultivating a culture of collaboration, well-being, and ethical leadership, where every employee is encouraged to contribute their best and grow professionally. Sustainability is integrated into our people practices, as we recognise that a healthy, motivated workforce is essential for achieving enduring operational excellence and responsible business outcomes.

Our guiding principles integrity, fairness, and accountability underpin every decision, ensuring that our success is shared, our workforce is supported, and our business contributes positively to society. At TAF, our people are not only the foundation of our present achievements but also the driving force behind our sustainable future.

Key Material Matters

1. Human Rights
2. Employee Engagement and Career
3. Training and Development
4. Occupational Health and Safety
5. Labour Grievances
6. Gender Diversity and Inclusion

Value Creation Scorecard 2025

Key Actions for FY 2025

Rs. 215.5 Mn
Insurance Coverage for Workmen's Compensation

Rs. 0.31 Mn
Investment in Training

Significant Revamp of Group-Wide Safety Systems

240
Safety Training Programmes Conducted

Workforce Optimisation

Rs. 888.21 Mn
paid as remuneration and Benefits to employees

Stakeholder Outcomes		Impact on Other Capitals
Employees	◈ Enhanced skills and career development opportunities ◈ Safe, inclusive and supportive work environment ◈ Improved well-being and job satisfaction	Social and Relationship Capital
Customers	◈ Improved product quality and service excellence through skilled workforce ◈ Greater reliability and responsiveness	Social and Relationship Capital, Financial Capital
Shareholders	◈ Higher productivity and operational efficiency ◈ Stronger long-term performance through talent retention	Financial Capital
Community & Environment	◈ Ethical employment practices ◈ Employee participation in sustainability and community initiatives	Social and Relationship Capital, Natural Capital

Outputs for TAF Group

Staff attrition rate of **7.3%** (compared to 5.2% in 2024)

Zero incidents of discrimination (maintained from 2024)

88% employee satisfaction, showing a slight improvement from 87% in 2024

Employees receiving performance evaluation **100%**

Nil Incidents of Child Labour

Nil Incidents of Non -compliance with Regulations

77% Employees serving the Company for over 5 Years

Employee Engagement Score (Out of 5) **4.8**

Employee Trust Index **86 %**

Average Training Hours per employee 2025 **03 hrs**

SDGs

Target 1.2: Reduce at least by half the proportion of men, women, and children of all ages living in poverty in all its dimensions according to national definitions.

Target 3.8: Achieve universal health coverage, including financial risk protection, access to quality essential healthcare services, and access to safe, effective, quality, and affordable essential medicines and vaccines for all.

Target 4.4: Increase the number of youth and adults who have relevant skills for employment, decent jobs, and entrepreneurship.

Target 5.1: End all forms of discrimination against all women and girls everywhere.

Target 5.5: Ensure women's full participation and equal opportunities for leadership at all levels of decision-making in political, economic, and public life.

Target 8.5: Achieve full and productive employment and decent work for all women and men, including for young people and persons with disabilities.

Target 8.6: Substantially reduce the proportion of youth not in employment, education, or training.

Target 8.7: Take immediate and effective measures to eradicate forced labor, end modern slavery, and human trafficking, and secure the prohibition and elimination of the worst forms of child labor.

Target 10.3: Ensure equal opportunity and reduce inequalities of outcome, including by eliminating discriminatory laws, policies, and practices and promoting appropriate legislation, policies, and action in this regard.

Human Capital

HR Governance

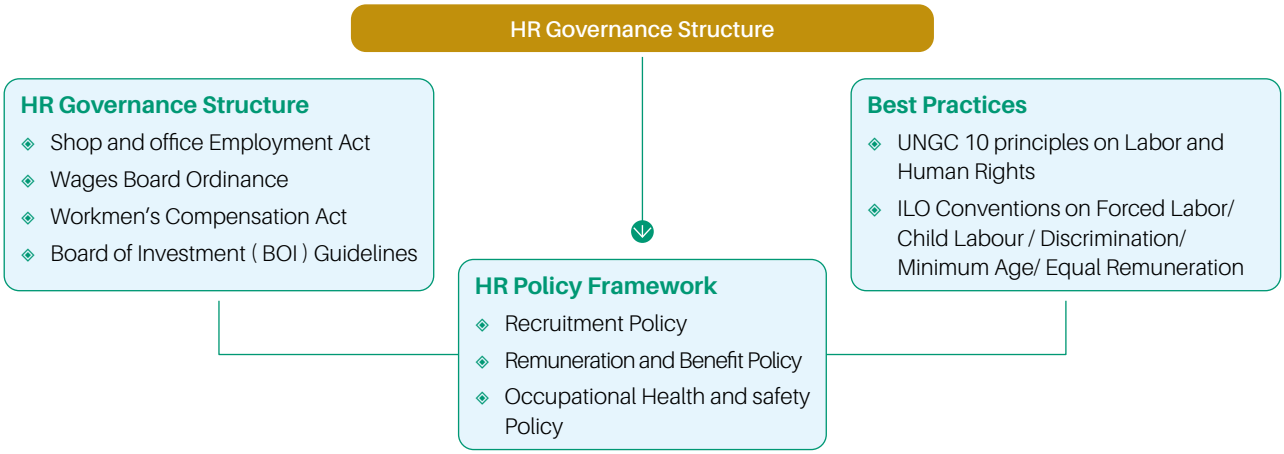
GRI 2-23, 2-24, 2-28

Human resource governance is guided by a structured and accountable framework that ensures consistency, legal compliance, and alignment with recognised international standards. The HR function operates under clear leadership oversight, enabling effective implementation of people strategies that support business objectives and long-term sustainability.

Our HR policies and practices are designed to uphold ethical employment standards, foster a respectful workplace culture, and ensure full compliance with applicable labour laws and regulatory requirements. In addition, TAF aligns its human capital practices with internationally accepted principles, including the International Labor Organisation (ILO) Conventions and the United Nations Global Compact principles on labor and human rights.

Policies are regularly reviewed and updated to reflect evolving regulatory developments and global best practices. This proactive approach strengthens our governance structure and ensures that all HR processes from recruitment and performance management to employee relations are conducted with integrity, fairness, and transparency.

TAF remains firmly committed to responsible business conduct across its operations and value chain. We maintain a zero-tolerance approach to child labour, forced labour, and any form of compulsory employment. During the year under review, no incidents relating to labour rights violations were reported.



WORKFORCE ANALYSIS FY 2025

		TAF	
		Group	Company
Aspect :Employment			
TOTAL WORKFORCE			
by employment type	Permanent	227	222
	Contract	7	7
by gender (Permanent /Contract)	Male	127	126
	Female	107	103
	Full-time	234	229
	Part-time	0	0
by designation	Senior Managers and above	0	0
	Managers and Assistant Managers	5	5
	Senior Executives and Executives	9	9
	Non-Executives	220	215

		TAF	
		Group	Company
by service years (Executive staff)	0-5	0	0
	6-10	5	5
	11-15	5	5
	16-20	2	2
	21-25	1	1
	25 <	1	1
by service years (Non-Executive staff)	0-5	54	54
	6-10	102	102
	11-15	30	30
	16-20	20	17
	21-25	2	0
	25 <	12	12
by age (executive)	<21	0	0
	21-25	0	0
	26-35	4	4
	36-45	6	6
	46-55	3	3
	56-60	1	1
	>60	0	0
by age (non-executive)	<21	0	0
	21-25	13	13
	26-35	66	66
	36-45	52	51
	46-55	79	75
	56-60	10	10
	>60	0	0

Region	Male	Female	Total
Western Province	59	81	140
Southern Province	05	02	07
Central Province	12	04	16
Eastern Province	05	04	09
North Central Province	05	04	09
Uva Province	07	02	09
Sabaragamuwa Province	31	10	41
Northern Province	00	00	00
North Western Province	03	00	03
Total	**127**	**107**	**234**

Human Capital

Province	Executive	Non-Executive - Staff
Central Province	00	16
Eastern Province	00	09
North Central Province	00	09
North Western Province	01	02
Northern Province	00	00
Sabaragamuwa Province	01	40
Southern Province	02	05
Uva Province	00	09
Western Province	10	130
Grand Total	**14**	**220**

TALENT ACQUISITION AND WORKFORCE PLANNING

GRI 202-2

At TAF, our recruitment philosophy is founded on integrity, fairness, and meritocracy. We are committed to selecting individuals based on competence, capability, and alignment with our organisational values, ensuring that every appointment strengthens our performance and culture.

Our focus remains on placing the right talent in the right role, balancing academic qualifications, professional expertise, and cultural fit.

Workforce planning is driven through a structured and forward-looking manpower planning process. Prior to the commencement of each financial year, business unit leaders assess their operational requirements, identifying skill gaps, succession needs, and resource requirements within their respective functions. These assessments are consolidated into an annual manpower plan and budget, which is reviewed and approved at Board level. This disciplined process ensures that recruitment decisions are strategic, transparent, and aligned with TAF's long-term growth objectives.

We uphold equal opportunity principles throughout our recruitment and selection processes, maintaining a non-discriminatory approach across all levels of hiring. Every new employee is provided with a formal written Contract of Employment, clearly outlining terms and conditions of service, including designation, remuneration, working hours, probationary period, and leave entitlements. This ensures clarity, compliance, and mutual understanding from the outset of employment.

Through this structured and ethical approach, TAF continues to build a capable, diverse, and resilient workforce to support sustainable business success.

All newly recruited employees at TAF are required to participate in a structured induction programme designed to facilitate a seamless integration into the organisation. This programme provides an overview of our corporate values, workplace culture, governance standards, and key policies, while also clarifying role expectations and responsibilities.

The session concludes with introductions to respective teams, enabling new employees to establish early connections and effectively transition into their roles.

The probationary framework at TAF is aligned with employment categories to ensure appropriate performance evaluation and development support. For employees in the Permanent Cadre (PC), a probationary period of six months applies to both executive and above, and non-executive staff. Employees engaged under a two-year Fixed Term Contract (FTC2) are also subject to a six-month probationary period.

A probationary period does not apply to those recruited under a one-year Fixed Term Contract (FTC1), nor to employees transitioning from FTC1 to Permanent Cadre after completing a minimum of one year of service, unless otherwise determined by Management.

Upon completion of the probationary period, confirmation of employment or an extension of probation is granted based on a formal performance review and the recommendation of the relevant department head or supervisor. This structured approach ensures fairness, clarity, and alignment with organisational standards.

Recruitment FY 2025	7.6 %
Staff Recruitments	19
Executive & above recruitments	0
Resignations	18
Average turnover rate	7.3
Retention Rate	72
Staff Turnover Rate	6.1%
Executive & above Turnover rate	1.2%

New hires - By Gender

GRI 2-7, 401-1

Gender	TAF Group
Male	16
Female	03

New hires - By Age

Age group	Employees	Total
18-20 Years	0	0
31 – 55 Years	19	19
Above 56 Years	0	0

Region	Number of New Hires	% of Total
Central Province	04	21%
Eastern Province	00	0%
North Central Province	00	0%
North Western Province	01	5%
Sabaragamuwa Province	03	16%
Southern Province	01	5%
Uva Province	00	0%
Western Province	10	53%
Grand Total	19	100%

Employee turnover - By Gender

Gender	TAF	Group
Male	3.3%	3.3%
Female	4.1%	4.1%

Employee turnover - By Age

Age group	Employees	Total
18-20 Years	0%	0%
31 – 55 Years	7.4%	7.4%
Above 56 Years	0%	0%

Human Capital

Region	Male	Female	Total
Central Province	01	00	01
North Central Province	01	02	03
Sabaragamuwa Province	01	00	01
North Western Province	01	00	01
Southern Province	02	00	02
Eastern Province	00	02	02
Uva Province	00	02	02
Western Province	04	02	06
Grand Total	**10**	**08**	**18**

TAF Gender Parity Tracker

Indicator	Category	TAF	
		Group	Company
New Hires	Male	16	16
	Female	3	3
Return to Work & Retention Rate after Parental Leave	Overall	01 (100%)	01 (100%)
Employee Turnover	Male	44.45	44.45
	Female	55.55	55.55
Aspect: Labour /Management Relations	Rate	100%	100%
% Employees Covered by Collective Bargaining Agreements	Overall	N/A	N/A
Minimum Notice Period(s) Regarding Operational Changes	Overall	01 month	01 month

Upholding Global Best Practices in Labour and Human Rights

GRI 2-23, 2-24, 405-1, 405-2, 408-1

GRI 2-30, 407-1, GRI 13.16.2

At TAF, respect for human rights forms a fundamental pillar of our governance and sustainability framework. We conduct our operations in alignment with internationally recognised human rights principles, ensuring that dignity, fairness, and equality are upheld across our workplace and value chain.

TAF operates in alignment with internationally recognised labour and human rights standards, guided by the principles established by its ultimate parent, Prima Group, Singapore. These principles are embedded within our governance framework and operational practices, reinforcing our commitment to ethical conduct, fairness, and respect across all aspects of our business.

Our Human Rights framework establishes clear expectations for ethical conduct, guiding both internal practices and engagement with external stakeholders. We are committed to preventing social, legal, or political injustices within our sphere of influence by embedding responsible employment standards into our policies and procedures. TAF maintains a strict zero-tolerance stance against forced, bonded, or compulsory labour in any form. Employment with the Company is entirely voluntary, and all employees are free to leave in accordance with the terms of their contracts. Through ongoing due diligence, supplier engagement, and monitoring mechanisms, we work proactively to identify and mitigate potential labour-related risks within our operations and supply chain. During the year under review, no incidents relating to forced labour were reported.

We are equally committed to fostering constructive and respectful labour relations. Clear guidelines support transparent dialogue between management and employees, promoting mutual trust and cooperation. TAF respects the rights of employees to freedom of association and collective bargaining, and we continue to maintain open communication channels that encourage positive employee relations.

Workplace equality and respect are central to our culture. Discrimination, harassment, or abuse whether verbal, physical, sexual, or psychological is strictly prohibited. These principles are reinforced through regular awareness initiatives and accessible grievance mechanisms that allow employees to raise concerns confidentially and without fear of retaliation. All complaints are treated with seriousness, investigated impartially, and addressed in accordance with established disciplinary procedures. No cases of discrimination were recorded during the reporting period.

Leadership at TAF is expected to model integrity, accountability, and fairness in all interactions. All Senior Managers play a critical role in cultivating an inclusive environment where every employee feels valued, respected, and empowered to contribute to sustainable organisational success.



Regulatory Compliance

- Shop and Office Employees (Regulation of Employment and Remuneration) Act
- Wages Board Act
- Maternity Benefits Ordinance
- Workmen's Compensation Act
- Employment of Women , Young Persons and Children Act
- Convention against Torture and other Cruel, Inhumane or Degrading Treatment or Punishment Act
- Convention on the Suppression of Terrorist Financing Act
- International Covenant on Civil and Political Rights (ICCPR) Act
- Protection of the Rights of Persons with Disabilities Act

Fostering Diversity and Equal Opportunity

GRI 202-2, 408-1 GRI 13.15 Non-discrimination and Equal opportunity (Sector Topic Disclosures)

We are committed to cultivating an inclusive workplace that values diversity and promotes equal opportunity. Our policies and practices are designed to ensure that individuals from diverse backgrounds are treated with dignity and provided equal access to recruitment, development, advancement, and rewards throughout their employment journey.

Reflecting TAF's commitment to national employment and local capacity building, all employees, including approximately 99% of the senior management team, are recruited locally from Sri Lanka. Through fair recruitment practices, employment stability, and alignment with Group values, TAF continues to attract and retain a high-functioning workforce that supports sustainable business growth.

Zero Tolerance for Discrimination

TAF maintains a strict zero-tolerance approach to discrimination. All employment-related decisions are made based on merit, without regard to race, gender, age, religion, disability, or any other legally protected characteristic. We are equally committed to ensuring equitable remuneration practices. In line with our equal pay philosophy, male and female employees performing comparable roles receive equal remuneration for work of equal value, and we have consistently maintained salary parity across similar positions.

Eradication of Child Labour
TAF firmly opposes child labour in any form. Robust recruitment controls and verification procedures are in place to ensure all employees meet the minimum legal age requirements. Through these safeguards, we mitigate risks and uphold our responsibility to operate in compliance with national laws and international labour standards.

Elimination of Forced or Compulsory Labour

GRI 408-1 , GRI 13.17.2

We uphold the principle that employment must always be voluntary. TAF strictly prohibits forced, bonded, or compulsory labour. Employees are free to enter into and exit employment in accordance with the terms of their contracts. Based on our established policies and oversight mechanisms, our operations are not exposed to risks relating to forced or compulsory labour.

TAF 's Structured Approach To Recruitment

GRI 202-2,401-1

- Workforce Needs Assessment
  - Identifying current and future human resource requirements based on business objectives, workload analysis, and skill gaps.
- Manpower Planning & Budget Alignment
  - Planning the required workforce while ensuring staffing levels and costs align with approved budgets and organizational priorities.
- Recruitment Requisition Initiation
  - Formal initiation of the recruitment process by submitting a request to fill new or replacement positions.
- Job Description Development & Role Profiling
  - Defining job responsibilities, required qualifications, competencies, and performance expectations for each role.
- Management / Authority Approval
  - Obtaining necessary approvals from relevant management or authorized personnel before proceeding with recruitment.
- Recruitment & Selection Execution
  - Conducting the recruitment process, including sourcing, screening, interviewing, and selecting suitable candidates in line with company policies.

Building and Sustaining a High-Performing Team

GRI 202-2, 408-1

At TAF, we recognise that our long-term success is driven by the strength, capability, and commitment of our people. A high-performing workforce is central to achieving operational excellence and delivering sustainable value to our stakeholders.

Human Capital

Our approach begins with attracting individuals who not only possess the right skills and expertise, but who also reflect our core values and organisational culture. We are equally committed to creating an environment where employees feel empowered to develop, contribute meaningfully, and build fulfilling careers within the Group.

TAF nurtures a performance-oriented culture reinforced by competitive and equitable remuneration, structured learning and development initiatives, leadership pipeline development, and robust succession planning for key roles. At the same time, we place strong emphasis on employee wellbeing, workplace safety, engagement, diversity, and equal opportunity, ensuring a supportive and inclusive work environment.

By investing in our people and fostering a culture of growth and recognition, TAF strengthens employee loyalty, preserves critical skills and institutional knowledge, and enhances organisational resilience. This enables us to remain agile and well-positioned to deliver on our long-term strategic priorities.

Prima Scholarship program for Higher Education

Prima has implemented a structured Higher Education Sponsorship Programme aimed at supporting the ongoing professional development of both executive and staff-level employees. This initiative underscores our commitment to nurturing internal talent and enhancing the organisation's long-term capabilities.

Through this programme, eligible employees are provided with financial assistance to pursue approved degree programmes, diplomas, and recognised professional qualifications. Participation is subject to management recommendation and formal approval, ensuring alignment with both individual career aspirations and the strategic needs of the Company.

By investing in higher education, TAF strengthens its leadership pipeline, enhances technical expertise, and fosters a culture of continuous learning across the organisation.

TAF - Employment Practices

GRI 2-7 | 2-30 | 13.20.1

Ethical employment is the cornerstone of our operational integrity and long-term sustainability. Across all our operations, we maintain structured human resource practices that prioritise fairness, transparency, and equal opportunity, ensuring that every employee is treated with respect and dignity.

Our recruitment processes are fully internal, enabling strict oversight and alignment with corporate policies. TAF strictly prohibits charging recruitment fees, retaining personal identification documents, or engaging in any practice that could compromise an employee's freedom or rights. Every employee receives a formal appointment letter, clearly outlining their terms of employment, responsibilities, and benefits in a language they understand.

TAF's remuneration framework ensures statutory compliance while maintaining internal equity. Salaries are paid accurately and on schedule, with any deductions applied only in accordance with legal provisions and agreed employment terms. Where applicable, employees may also receive additional benefits consistent with company policies and operational requirements.

To foster a culture of trust and accountability, TAF provides formal grievance mechanisms through which employees can raise concerns confidentially and without fear of retaliation. All issues are reviewed systematically, and corrective actions are implemented as necessary.

Our commitment to ethical employment extends beyond TAF's direct workforce. We communicate clear labour standards to suppliers and business partners, encouraging adherence to national laws and recognised international principles. Special attention is given to preventing informal or non-compliant employment practices throughout our value chain.

Diversity, Equity, and Inclusion

GRI 405-1, 405-2, GRI 13.15.4

At TAF, we recognise that a diverse workforce is a key driver of innovation, resilience, and organisational strength. By embracing a wide range of perspectives, experiences, and skills, we enhance decision-making, creativity, and overall workplace performance.

We are committed to cultivating an inclusive environment where every individual feels respected, valued, and empowered to contribute fully. Our approach is underpinned by formal policies and fair employment practices that ensure equal treatment, mutual respect, and support for employees from all backgrounds.

TAF firmly upholds the principles of equity and non-discrimination in every aspect of our operations. By fostering a culture that celebrates differences and encourages collaboration, we create a workplace where everyone can thrive and contribute to the collective success of the organisation.

Gender-Equitable Compensation and Career Opportunities

GRI 405-2 | 13.15.3

TAF is dedicated to fostering a workplace where gender equity is not just a policy but a practice. We uphold a principle of equal pay for equal work, ensuring that men and women in comparable roles receive the same remuneration.

Our commitment extends beyond salaries. All employees are granted equal access to learning, professional development, and leadership opportunities, creating a culture where talent can thrive irrespective of gender. By embedding transparency and fairness in both compensation and career progression, TAF reinforces its dedication to gender equality and the sustainable growth of our workforce.

Employee Orientation and Induction

GRI 2-8

At TAF, we prioritise a welcoming and structured introduction for all new employees. Each recruit participates in a formal orientation and induction programme

that equips them with the knowledge and tools needed to succeed in their roles and integrate seamlessly into the organisation.

Spanning one to two days, the programme covers TAF's policies, governance framework, corporate culture, and core values, while clearly communicating role expectations, workplace standards, and operational essentials. New employees are also formally introduced to their respective teams, promoting early engagement, collaboration, and a sense of belonging from day one.

REMUNERATION AND BENEFITS

GRI 2-19, 2-20, 2-27, 202-1, 401-2, 13.21.1, 13.21.2, 13.21.3

TAF follows a structured, performance-driven remuneration approach designed to attract, motivate, and retain top talent across all levels of the organisation. Our compensation philosophy is rooted in fairness, equity ensuring that rewards reflect individual performance, responsibilities, and prevailing market benchmarks.

Salary and Wages

Salary structures for both staff and executives are regularly reviewed to remain competitive and recognise capability and contribution. For site-based employees, wages are determined in line with the Wages Board Ordinance, with monthly salaries well above regulatory minimums. Non-executive employees' minimum wages are also guided by the National Minimum Wage Act, with the statutory minimum for 2025 set at Rs.27,000.00 TAF's current minimum salary significantly exceeds statutory requirements, reinforcing our commitment to fair compensation.

Employee Benefits

TAF ensures statutory compliance by providing leave entitlements and retirement benefits under relevant Sri Lankan legislation, including the Shop and Office Employees Act, EPF and ETF Acts, and the Payment of Gratuity Act. The Group contributes 12% of basic salary to the EPF, 3% to the ETF, and makes annual contributions to a Gratuity Fund for employees with over five years of continuous service.

Beyond financial rewards, TAF offers a broad spectrum of non-monetary benefits, designed to enhance employee wellbeing, work-life balance, and overall job satisfaction.

This holistic approach underlines our total rewards strategy and strengthens the employee value proposition.

TAF remains steadfast in its commitment to equitable, transparent, and competitive remuneration practices, ensuring that all employees are fairly recognised for their contributions.

Benefits Provided to Permanent Employees

GRI 401-2

- Death donation fund
- Health insurance
- Festival Advance
- Food pack at April and December
- Increments/Bonus (Based on Company performance)
- Long Service Awards
- Annual Trip/Get together
- Free meals/ Tea with Snacks

Parental Leave

GRI 401-3

TAF provides female employees with 84 days of paid maternity leave following childbirth, in line with Sri Lankan labor regulations, including the Shop and Office Employees Act of 1954. In addition, employees are entitled to daily nursing hours for up to one year after returning to work, supporting both maternal and child wellbeing.

Our policies are designed to facilitate a smooth return to work, enabling mothers to remain fully engaged in their roles while balancing family responsibilities. TAF's approach reflects a commitment to workforce inclusivity and employee support, ensuring that new mothers can continue their professional growth without disruption.

Parental Leave category	FY 2025	FY 2024
Total number of employees that were entitled to parental leave	5	1
Total number of employees that took parental leave	5	1
Total number of employees that returned to work in the reporting period after parental leave	4	1
Total number of employees that returned to work after parental leave ended and were still employed 12 months after their return to work	3	1
Return to work and retention rates of employees that took parental leave	60%	100%

Performance Management

GRI 404-3

Performance management serves as a strategic tool to align individual, team, and departmental objectives with the Group's overarching priorities, cultivating a high-performance culture throughout the organisation.

Human Capital

The process begins with an annual goal-setting exercise, where organisational and departmental targets are translated into clear, measurable objectives for each employee. Executive goals, supervisory and clerical staff performances are tracked through a structured manual procedure. Employees receive continuous guidance and constructive feedback throughout the year to ensure steady progress toward their targets.

For floor-level and manual staff, performance is evaluated annually based on predefined criteria, including job knowledge, quality of work, dependability, teamwork, safety, and workplace discipline.

Annual performance reviews provide a structured forum for one-on-one discussions between employees and supervisors. These sessions are designed to review performance outcomes, offer constructive feedback, identify development opportunities, and agree on action plans for improvement. Evaluation results inform decisions regarding salary increments, bonuses, promotions, and other reward mechanisms.

Beyond the annual appraisal cycle, TAF conducts periodic and ad-hoc evaluations for specific purposes such as probation confirmations, extensions, disciplinary assessments, interim promotions, and exit evaluations. This approach ensures fairness, transparency, and ongoing enhancement of performance across the organisation.

Employee Category	FY 2025 (Male)	FY 2025 (Female)	FY 2024 (Male)	FY 2024 (Female)
Non-Executive	35.7%	28.6%	50%	33.3%
Non-Executive to Executive Executive	0%	7.1%	8.3%	0%
Jn Ex / Ex to Sn Executive	0%	0%	8.3%	0%
Sn Executive to AM	7.1	0%	0%	0%
AM to Manager or Above	21.4%	0%	0%	0%

Employees receiving performance evaluation in F/Y 2025			
Executives		Non - Executives	
M	F	M	F
100%	100%	100%	100%

Training & Development

GRI 404-2, 404-3

Training & Development is the most essential part of an employee lifecycle for the career development. Company has a significant responsibility in shaping the employees for the career and growth within the career environment. Therefore we have an essential duty to develop the skills of the employees by providing the required training and development opportunities for the betterment of the career growth by enabling to upgrade their skills and knowledge on an ongoing basis. As per the requirement of career development, the Company uses blended learning approach combining on-the-job training and knowledge-sharing workshops with coaching and mentoring sessions, often using both internal and external resources for optimal results.

Training requirements at TAF are determined through a systematic approach that combines insights from annual performance reviews, departmental evaluations, and operational needs. This structured process informs the creation of a well-rounded annual training plan, designed to align individual development goals with the organisation's strategic priorities and evolving skill requirements. Department and unit heads are instrumental in pinpointing specific training needs and facilitating their implementation, ensuring that programs remain practical, impactful, and closely connected to both functional and operational objectives.

At TAF, sustainability awareness is promoted through targeted training sessions designed to guide employees in adopting sustainable practices. These initiatives not only enhance individual understanding but also contribute to strengthening the Company's sustainability profile. The effectiveness of such programs is tracked throughout the year using post-training evaluations and performance assessments, allowing the identification of further development opportunities.

This systematic approach ensures that learning interventions provide tangible value while supporting employee engagement, career growth, and succession planning. By consistently investing in training and development, TAF reinforces a culture of continuous learning, strengthens its human capital, and positions the organisation to effectively meet both current and future strategic and operational goals.



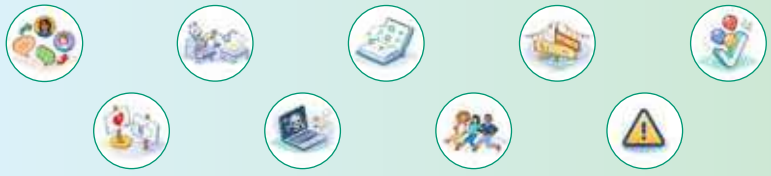
TRAINING HOURS FOR FY 2025

GRI 404-1

Training Hours			
Executives		Non-Executives	
M	F	M	F
49	44	404	179

Training Topics

404-2



Area/ Training Topic	Total
Employee Orientation	152 hrs
Health, Safety , Environmental and loss prevention	240 hrs
Cross Functional Awareness	0
Other Trainings	284 hrs

Employee Category	Training Category	No. of Participants
Executive	Fire and Prevention and Evacuation Training	2
Executive	IR Training	5
Executive	IT Awareness Training Session	1
Executive	Occupational Health and Safety and Risk Assessment	2
Manager	IR Training	3
Manager	Occupational Health and Safety and Risk Assessment	3
Manager	One Day Lean Manufacturing Introduction Session	2
Non-Executive	Occupational Health and Safety and Risk Assessment	17
Non-Executive	Electrical Safety Awareness for Industries Training Programme	4
Non-Executive	Fire and Prevention and Evacuation Training	71
Non-Executive	Refresher training for ERT on Fire & Evacuation	13

Total Training Hours	676 hrs
Average Training Hours per Employee 2025	3 hrs
Training Investment	Rs. 0.3 Mn
Training Investment Per Employee	Rs.1,331.00

Employee Grievance Management

TAF is committed to fostering a respectful and supportive work environment, where employees can voice concerns regarding workplace practices, conduct, or conditions without fear of retaliation. To this end, the Company has implemented clear and accessible grievance-handling mechanisms. Employees may raise issues through direct supervisory channels, formal grievance procedures, or confidential reporting avenues, including whistleblowing arrangements.

Each grievance is addressed in accordance with established processes, timelines, and defined responsibilities, ensuring confidentiality, impartial investigation, and fair resolution. By maintaining these robust systems, TAF upholds employee well-being, promotes workplace dignity, and aligns with ESG and GRI standards on labour relations and human rights.

Employee Relations

GRI 2-26, 2-29, 2-30 , 402-1,407-1, GRI 13.18.2,13.21.1,13.21.2,13.21.3

Employee relations at TAF are built on transparency, mutual respect, and open communication. The Company promotes regular engagement between employees, line managers and senior management through open-door practices and structured communication channels, ensuring timely dialogue and effective information sharing. Employee feedback and representation mechanisms support constructive engagement and the resolution of workplace concerns.

The Company respects employee rights, including freedom of association, and maintains harmonious industrial relations through structured dialogue and fair labour practices. A formal grievance-handling and whistleblowing framework enables employees to raise concerns confidentially, all of which are addressed promptly and objectively.

Employee engagement is further strengthened through initiatives focused on wellbeing, collaboration and recognition, including team-building activities, cultural events and wellness programmes. These efforts contribute to a positive workplace culture, high employee engagement and a stable workforce aligned with the Company's long-term objectives.

Human Capital

Employee Engagement Score (Out of 5)
4.8

Employee Satisfaction Index
88 %

Employee Trust Index
86 %

Developing Capabilities

Three Acre Farms PLC continued to prioritise the development of organisational capabilities to support sustainable growth, operational excellence, and a performance-driven culture. During the year, the Company focused on strengthening leadership, technical, and behavioral competencies across all levels of the organisation. Structured leadership and management development programmes were implemented to enhance managerial effectiveness and build future-ready leaders, while targeted initiatives supported the development of early-career and high-potential talent. In addition, organisation-wide capability building was driven through a range of technical,

Functional, and soft-skill development interventions, were delivered through blended learning approaches including training, coaching, digital learning, and on-the-job exposure. These sustained investments in people development reinforced employee engagement, agility, and alignment with the Company's strategic objectives, supporting long- and what term value creation and organisational resilience.



Employee Wellbeing

At TAF, our people are the foundation of our performance and long-term value creation. We believe that a thriving organisation is built on a workforce that feels safe, supported, and empowered. Employee wellbeing is therefore not viewed as an initiative, but as an integral element of how we operate, lead, and grow.

We are committed to cultivating a workplace where physical safety, mental resilience, and professional fulfillment are equally prioritised. Across our farms, and corporate offices, we maintain stringent occupational health and safety standards to ensure secure working environments. Structured safety protocols, continuous monitoring, and regular awareness programmes reinforce our commitment to safeguarding every employee.

Beyond physical safety, TAF actively promotes holistic wellbeing. Medical assistance programmes, welfare initiatives, and health awareness sessions are designed to support both physical and emotional health. We also foster an inclusive and engaging culture through structured employee surveys, open communication channels, and capacity-building initiatives that encourage participation and continuous development.

By embedding wellbeing into our management systems and sustainability framework, we strengthen trust, enhance morale, and reinforce our position as a responsible and caring employer. A healthy and motivated workforce not only drives productivity and operational excellence but also sustains our reputation as an employer of choice.

Employee Recognition

At TAF, recognition is more than appreciation. it is a celebration of commitment, excellence, and shared success. We take pride in acknowledging individuals who consistently demonstrate dedication, strong performance, and meaningful contribution to the organisation's progress.

Our recognition framework encompasses performance-based appreciations and milestone celebrations that honour both achievement and loyalty. A significant highlight of our annual HR calendar is the Long Service Awards, dedicated to employees who have completed over five years of service with TAF.

During the year under review, 33 employees were honoured for their long-standing commitment. This celebration reflects our gratitude for their loyalty and the invaluable role they play in strengthening our culture, operations, and long-term sustainability.

Through purposeful recognition, we reinforce a culture where effort is valued, achievements are celebrated, and every employee feels proud to be part of the TAF journey .





Empowering Women across Our Operations

We recognise that an inclusive and diverse workforce is fundamental to operational excellence and long-term sustainability. We are committed to fostering a workplace culture where women are respected, supported, and empowered to thrive across all levels of our operations.

Equal opportunity remains a cornerstone of our people strategy. Recruitment, training, career advancement, and remuneration decisions are guided strictly by merit, capability, and performance, ensuring a fair and unbiased environment free from discrimination.

To strengthen female representation and leadership within our operational functions, TAF actively invests in structured learning and development initiatives. These include technical skill enhancement, cross-functional exposure, mentorship opportunities, and leadership development programs designed to prepare women for expanded roles and greater responsibilities.

Understanding the multiple roles many women balance, we also promote progressive and inclusive people practices that encourage work–life integration and employee well-being. By cultivating a supportive and enabling work environment, we aim to unlock the full potential of our female workforce while reinforcing TAF's commitment to responsible and equitable growth.

Female Employees

Executives	2%
Non Executives	40%

Nurturing Future Talent through Structured Internship Programmes

Developing the next generation of industry professionals is an integral part of our human capital strategy. We actively collaborate with universities and higher education institutions to provide structured internship opportunities for undergraduates and recent graduates, enabling them to bridge academic knowledge with practical industry experience.

Our internship programme is designed to provide meaningful exposure to real operational environments. Interns are assigned to key functional areas aligned with TAF's operational scope, including Engineering, Veterinary Services, Finance, Sustainability, and Quality Assurance. Through hands-on assignments, supervised training, and mentorship from experienced professionals, interns gain valuable technical competencies, industry insight, and professional discipline.

Beyond short-term training, TAF views its internship initiative as a sustainable talent pipeline. High-performing interns are considered for future employment opportunities, allowing the mobilised to retain capable individuals who are already familiar with our operational processes, culture, and performance standards.

48
No. of Internship Provided for FY 2025

Building Succession Plan to Strength and Ensuring Continuity

Our operational stability and long-term growth are anchored in strong and capable leadership. We recognise that sustained performance depends not only on present expertise, but also on preparing future leaders who can confidently steer the organisation forward.

To support this objective, TAF has embedded a structured succession planning approach within our Human Capital framework. This process ensures business continuity, minimises operational disruption, and facilitates smooth leadership transitions across critical roles.

Key leadership positions within TAF's operational structure including the General Manager, Heads of Departments, and other strategically significant roles are systematically identified based on their impact on decision-making, operational efficiency, and value creation. These roles are continuously assessed to ensure readiness and leadership depth within the organisation.

Beyond senior management, TAF places strong emphasis on cultivating emerging talent across core functions such as operations, technical services, finance, veterinary services, engineering, sustainability, and quality assurance. High-potential employees are identified through structured performance evaluations and competency assessments. They are then supported through targeted development initiatives, including cross-functional exposure, mentoring, leadership development programmes, and hands-on operational assignments.

Occupational Health & Safety

(GRI 403-1, 403-2, 403-3, 403-4, 403-5, 403-6, 403-7, 403-8, 403-9, 403-10)

(GRI 13.19.2,13.19.3, 13.19.4, 13.19.5,13.19.6, 13.19.8 , 13.19.9, 13.19.10, 13.19.10)

Safety is embedded in the way we operate. Protecting the well-being of our employees, contractors, and visitors across all operational locations remains a fundamental responsibility and a non-negotiable priority.

Our Occupational Health & Safety (OHS) Policy provides the foundation for a structured and proactive approach to managing workplace risks. Through systematic risk identification, preventive controls, and continuous monitoring, we strive to maintain safe and secure working environments across all functions.

TAF operates in full compliance with applicable national labour and safety regulations, including the Factories Ordinance of 1942 and the Workmen's Compensation Ordinance of 1935. Governance of health and safety is reinforced through clearly defined procedures, routine risk assessments, equipment maintenance standards, and strict adherence to established safety protocols.

A culture of prevention is promoted through regular safety audits, inspections, toolbox meetings, and structured incident reporting and investigation mechanisms. We also invest in continuous employee training programmes covering first aid, fire safety, and emergency response preparedness to strengthen workplace readiness.

Importantly, TAF fosters a safety culture, encouraging employees to raise concerns and report hazards without fear of reprisal. Through strong leadership commitment and collective accountability, we continuously work towards enhancing workplace safety standards and operational resilience.

Human Capital

Occupational Health & Safety Policy

GRI 13.19 Occupational Health and Safety

- Providing sufficient control of the health and safety risks arising from our work activities.
- Maintaining an open-door policy with employees on matters affecting their health and safety.
- Providing and maintaining safe plants and equipment.
- Ensuring safe handling and use of substances.
- Providing information, instruction and supervision for employees.
- Ensuring all employees are competent to do their tasks and to give them adequate training.
- Preventing accidents and cases of work-related ill health.
- Maintaining safe and healthy working conditions.
- Monitoring all health and safety activities, investigating all accidents, recording all details and determining causes for an accident-free environment
- Continuously improving our standards of safety so as to ensure the wellbeing of our employees and the community around us.

Occupational Health & Safety Governance

(GRI 403-1, 403-2, 403-7, 403-9)

TAF maintains a structured Occupational Health & Safety (OHS) management system designed to safeguard employees and strengthen operational resilience across all locations. The Group OHS team leads the implementation of the Board-approved OHS Policy, ensuring compliance with applicable legal and regulatory requirements while proactively managing workplace risks.

Risk identification and mitigation form the core of our safety framework (GRI 403-2). Regular site inspections, safety walkthroughs, and structured risk assessments are conducted to detect potential hazards.

Findings are reviewed at monthly OHS meetings, where corrective and preventive actions are agreed upon and systematically monitored to drive continuous improvement.

To reinforce governance and accountability (GRI 403-1), independent safety compliance audits are periodically undertaken by the Group Compliance function, providing objective assurance on the effectiveness and implementation of established safety procedures.

A formal incident reporting mechanism is in place to ensure transparency and timely intervention (GRI 403-9). All work-related injuries and safety breaches must be immediately reported and documented in accordance with prescribed procedures. Reported incidents are thoroughly investigated to determine root causes, implement corrective measures, and prevent recurrence. Consolidated incident data and performance trends are reviewed monthly by management to support informed decision-making and enhanced oversight.

Through disciplined monitoring, accountability, and continuous improvement, TAF remains committed to fostering a safe, healthy, and responsible working environment for all.

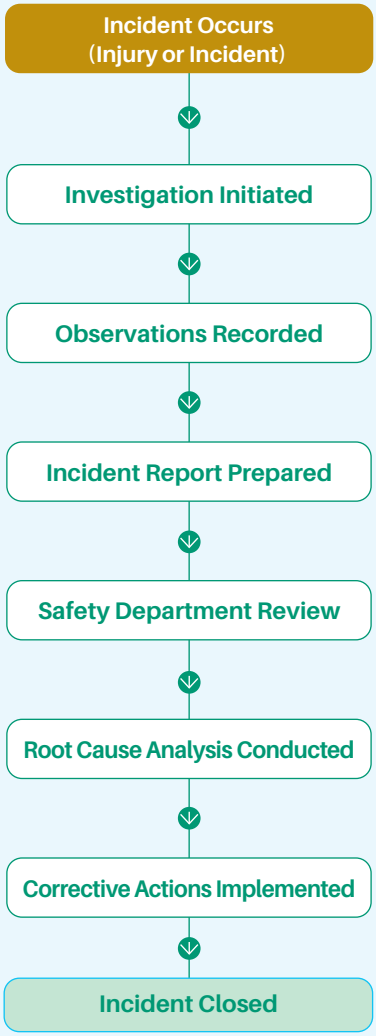
During the financial year, dedicated Emergency Response and control Teams, including a specially trained First Aid Team, are maintained on standby and are readily mobilised to manage emergency situations effectively. Employees are provided with comprehensive health insurance coverage for medical and surgical needs, reinforcing our commitment to their overall wellbeing. In parallel, we place strong emphasis on proactive safety risk mitigation through regular training programmes, ensuring employees are well equipped to identify hazards, respond appropriately to incidents, and uphold a safe working environment across all operations.

GRI 403-9,10

- Total Recordable Injuries **02**
- **Zero** Lost working Days
- Number of Safety Audits **02**
- **Zero** Fatalities
- **Zero** Occupational Diseases
- **Zero** Major Injuries
- **Zero** Minor Injuries
- **Zero** No. of cases of ill health
- **Zero** No. of fatalities due to ill health
- **Zero** No. of lost work days due to ill health

Safety Training Programmes	2025	
	External	Internal
Health and Safety Awareness Training	11	4
ESH training for ERT	0	13
First Aid Training (Life Support)	11	0
Fire prevention, fighting and Rescue	9	64
Chemical Safety Training	0	0

GRI 2-25



Safety Hazards at TAF	Preventive Measures Implemented
Work at Height	◈ Engineering controls ◈ Strengthened PPE ◈ Regular safety training-internal and external
Hot Work	◈ Strengthened provision of PPE ◈ Regular safety training
Vehicle Movement	◈ Regular safety training ◈ Drivers defensive training ◈ Tractor safety system
Fire Incident	◈ Fire prevention and rescue training - internal and external ◈ Fire evacuation drill and training ◈ ERT team training with a guideline ◈ Annual fire extinguishers schedule servicing and checking of fire extinguishers ◈ Fire hydrant system expanded ◈ Annual risk assessment and audits
Common hazards and risk areas (uneven floor, wet floor, unsafe conditions, etc.)	◈ Regular guard tour ◈ Schedule safety inspection and observation ◈ Upgrade Administrative Controls - safety signage installation ◈ Annual risk assessment and audits ◈ HSE and Loss Prevention Meetings monthly ◈ Safety and risk assessment training

Safety Hazard at TAF	Preventive Measures Implemented
Machinery-Related Hazards	◈ Machine guarding and interlock systems installed on all critical equipment ◈ Operator safety training and competency assessments
Chemical Handling and Exposure	◈ Safe chemical storage, labeling, and Material Safety Data Sheets (MSDS) availability ◈ Use of appropriate Personal Protective Equipment (PPE) ◈ Employee training on safe handling and spill response
Electrical Hazards	◈ Regular inspection and maintenance of electrical systems ◈ Use of insulated tools and protective devices ◈ Training on electrical safety and emergency response

Human Capital

Health & Safety Governance – Commitment to TAF Operations

Health and safety are embedded as core operational priorities. The Company maintains a structured and forward-looking Health & Safety (H&S) governance framework led at Senior Managerial level, ensuring accountability, oversight, and continuous improvement across all operational locations.

Strategic Oversight and Leadership

The Health & Safety Team provides strategic direction and operational guidance to safeguard employees, contractors, and visitors. Their responsibilities extend beyond compliance, focusing on cultivating a proactive safety culture throughout the organisation.
Key focus areas include:

- Establishing and periodically reviewing Health & Safety standards in line with Sri Lankan regulatory requirements and recognised international best practices.
- Driving organisation-wide initiatives that promote a strong and sustainable safety culture.
- Recommending and implementing continuous improvement measures to enhance employee health, safety, and overall wellbeing.
- Reviewing accident and incident investigations to ensure effective corrective and preventive actions are implemented.
- Monitoring workplace injury trends and near-miss incidents, enabling timely interventions and risk mitigation.
- Collaborating with the H&S Manager in developing and executing the annual Health & Safety plan.
- Overseeing the implementation of safety policies, procedures, and operational controls at plant and site levels.
- Conducting regular inspections and safety walk-throughs to identify and eliminate potential hazards.
- Facilitating structured safety training programmes, awareness campaigns, and engagement initiatives to strengthen workforce participation.

Departmental Accountability

Safety responsibility is further decentralised through designated departmental safety representatives who act as champions of safe work practices within their respective functions.

They:

- Serve as the first line of safety oversight within departments.
- Reinforce daily adherence to established H&S procedures.
- Support risk assessments and the implementation of safe systems of work.
- Escalate unsafe conditions or behaviours for prompt corrective action.
- Assist in coordinating safety training sessions and emergency response drills.

Emergency Preparedness and Response

TAF's trained emergency response personnel strengthen operational resilience and readiness. These teams:

- Act as first responders during workplace emergencies, including fire-related incidents.
- Provide first aid assistance and coordinate safe evacuation procedures.
- Ensure emergency equipment such as fire extinguishers and alarm systems are routinely inspected and fully operational.
- Participate in periodic fire drills and emergency simulations to maintain a high level of preparedness.





Hazard Identification

TAF maintains a structured Health and Safety Management System to proactively identify, assess, and mitigate workplace hazards across all operational areas. The Health and Safety team, together with cross-functional representatives, conducts regular workplace inspections, safety walkthroughs, and operational reviews to ensure compliance with internal policies and applicable regulatory requirements.

Hazard identification is further supported through routine OHS meetings where operational observations, employee feedback, and potential workplace risks are discussed. Employees are encouraged to report safety concerns, enabling timely evaluation and corrective action while promoting a strong culture of shared responsibility for workplace safety.

The Health and Safety team also performs periodic risk assessments aligned with regulatory standards, industry practices, and recognised international OHS guidelines to ensure effective risk mitigation. Internal and external audits, further strengthen the system and support continuous improvement.

During 2025, several workplace risks such as production floor obstructions, electrical safety improvements, and enhancements to fire detection systems were identified and addressed. All corrective actions were promptly implemented and recorded in the Hazard Assessment Register to ensure ongoing monitoring and improvement.

Key Occupational Health, Safety and Emergency Preparedness Initiatives

During the year under review, the Group strengthened its occupational health, safety and emergency preparedness framework through several key initiatives across operational locations.

Evacuation plans were reviewed and updated for all major facilities, including the breeder and broiler farms, ensuring clear emergency procedures and defined responsibilities during incidents such as fires or natural disasters. Fire safety controls were further enhanced through updated

inspection checklists for fire extinguishers, enabling systematic monitoring of equipment condition, pressure levels and strategic placement to support rapid emergency response.

The Group continued to conduct monthly Health, Safety and Environment and Loss Prevention meetings across locations to review OHS policies, evaluate operational risks and implement preventive measures to strengthen workplace safety practices.

In addition, regular vehicle safety inspections were reinforced to ensure compliance with road safety standards and safe transportation across operations.

Comprehensive annual safety and security audits were carried out to assess the effectiveness of site-level OHS practices and identify opportunities for continuous improvement. Work-at-height safety was further strengthened through targeted training programmes and refresher sessions on the correct use of Personal Protective Equipment (PPE) to reduce fall-related risks.

To enhance emergency readiness, the Group established two fully trained Emergency Response Teams (ERTs) equipped to respond to fires, coordinate evacuations and support rescue operations. A full-scale evacuation drill was also conducted at the Colombo facility to test emergency procedures and improve employee preparedness.

Additionally, fire safety inspections were conducted at breeder and broiler farms to verify the adequacy and accessibility of firefighting equipment, while ISPS-based safety risk assessments were carried out at warehouses, silos and laboratories to identify potential hazards and implement appropriate risk mitigation measures.

Employee Engagement

Building a connected and inclusive working atmosphere continues to be an outstanding focus for TAF. We recognise that opportunities for connection, cooperation, and shared experiences enhance significant employee engagement, which exceeds formal work environments. We recognise that high levels of employee engagement play a critical role in driving organisational performance. By promoting casual contacts and planning a variety of employee engagement activities that promoted teamwork, emphasized diversity, and created friendship across the organisation, we kept encouraging a sense of belonging throughout the year.

These efforts significantly contributed to the development of stronger relationships and an engaged workforce enhances productivity, strengthens motivation, encourages innovation, and supports long-term employee retention, ultimately contributing to the sustainability success of the business. During the year 2025, the Company has conducted several activities for the employees which meet the requirement of enhancing the employee commitment.

1. International Women's Day program

- In recognition of International Women's Day, the Group highlighted the efforts of its female employees and reinforced its dedication to gender equality through engagement events, inclusive discussions and awareness campaigns that support diversity and equal opportunity throughout the Company.



2. Wellness Camps

- The Company continued to give priority to programs that support physical health and preventative services as part of our continuous commitment to employee wellbeing. Employees have access to free health screenings, medical consultations, and wellness guidance during regular medical camps held at strategic areas. These programs enhance healthier lifestyles, support in the early identification of health issues, and demonstrate our strong commitment to maintaining the long-term well-being and productivity of our employees.



3. Annual Staff Gathering

- These initiatives offer employees from various teams and functions the chance to engage informally, share ideas, and build stronger professional and personal bonds across the organisation. By bringing together employees from different functions, these events encourage knowledge sharing, relationship-building, and a collaborative workplace culture. Mainly this focuses on developing interpersonal relationships to support to build better working relationships.

Human Capital



4. Inter-Department Cricket Champion

- A celebrated gathering that encourages employees to work together, embrace friendly competition, and foster a stronger sense of community.



5. Cultural and Religious Events

- TAF values the rich diversity of its workforce and recognises the importance of different cultural and religious traditions. By organising events to commemorate significant religious and cultural occasions, the Company fosters an inclusive environment that encourages mutual respect, understanding, and a sense of community among employees.



6. New year Festival Celebrations

- A spirited celebration of the Sinhala and Tamil New Year, promoting cultural heritage, team bonding, and shared enjoyment through games, performances, and traditional cuisine, creating a memorable experience for all staff.



7. Plant Donation

- We organised a plant distribution campaign for the Bulathsinhala area, with special focus on supporting the Bulathsinhala Police Station. Through this initiative, TAF distributed plant samplings to promote environmental conservation and encourage greenery within the community.



Value Creation Linked to Strategic Pillars

Strategic Pillar	Human Capital Contribution	Key FY 2025 Actions	Value Created
Sustainable Value Creation, Cost Optimisation & Efficient Operations	◈ Skilled and efficient workforce driving operational efficiency. ◈ Cost-effective farm management.	◈ Conducted training on best farm practices, operational SOPs, and resource optimisation.	◈ Improved productivity. ◈ Reduced operational costs, and enhanced overall farm efficiency.
Customer-Centric Value Delivery	◈ Employees ensuring high-quality, safe, and reliable products for customers.	◈ Implemented quality control training. ◈ Reinforced product handling protocols, and fostered a customer-focused mindset.	◈ Higher product consistency. ◈ Customer satisfaction, and strengthened market reputation.
Human Capital & Workplace Wellbeing	◈ Developing, engaging, and safeguarding employees across all farms.	◈ Rolled out H&S programs. ◈ Wellbeing initiatives, skill development, and career progression plans.	◈ Safer workplaces. ◈ Improved employee morale. ◈ Retention, and a more skilled workforce.
Environmental Sustainability & Climate Action	◈ Workforce supporting sustainable farming and compliance with environmental standards.	◈ Conducted awareness sessions on sustainable practices, biosecurity, waste management, and energy efficiency.	◈ Reduced environmental impact, stronger ESG compliance, and enhanced corporate sustainability credentials.

Key Risks

- Challenges in attracting and retaining skilled farm workers may impact the continuity and efficiency of breeder, broiler, and commercial farm operations.
- Employees working in farm environments may face occupational hazards such as manual handling, exposure to dust, biological agents, and operational equipment.
- Failure to consistently adhere to strict biosecurity protocols may increase the risk of disease outbreaks that could disrupt poultry farm operations.
- Limited access to trained personnel with specialised poultry farming knowledge may affect farm productivity, animal welfare, and operational performance.

Key Opportunities

- Providing continuous training and skill development opportunities enables employees to enhance their technical knowledge and improve farm management practices.
- Fostering a supportive work environment and employee welfare initiatives helps strengthen workforce engagement and long-term retention.
- Promoting a proactive health and safety culture contributes to safer workplaces and improved employee wellbeing across farm operations.
- A skilled and motivated workforce supports improved productivity, better flock management, and enhanced operational efficiency.

Way Forward

Risks and Responses Relating to Human Capital

During the year, TAF faced multiple challenges in managing its Human capital.

Further details , refer to Risk and Opportunity Management Report page 165.

Short Term

- Conduct targeted training on farm operations, biosecurity, and occupational health & safety.
- Improve employee engagement and wellbeing initiatives across all farm locations.
- Strengthen compliance with health, safety, and labour regulations.

Medium Term

- Develop structured talent management and succession planning programmes.
- Enhance employee retention through welfare, recognition, and career development initiatives.
- Introduce digital tools to monitor workforce performance and efficiency.

Long Term

- Build a resilient, future-ready workforce aligned with modern poultry farming practices.
- Invest in advanced technologies and continuous skill development for employees.
- Foster a strong safety, sustainability, and performance-driven organisational culture.

Natural Capital

Natural capital represents the environmental resources that underpin TAF's operations and long-term sustainability, including water, energy, materials, land, and ecosystems.

TAF's sustainability approach emphasises efficient use of water and energy, emission reduction, responsible material consumption, and the protection of biodiversity.



Management Approach

GRI 3-3, 13.15.1, 13.16.1, 13.17.1, 13.18.1, 13.19.1

TAF operates in an environment where ecological stability is fundamental to operational continuity and long-term performance. The productivity of our farms, the resilience of our workforce, and the sustainability of financial outcomes are closely linked to the health of natural systems. Climate-related risks, including floods, droughts, and changing weather patterns, directly affect breeder and commercial farm operations, while variability in agricultural outputs influences the cost and availability of feed inputs.

In response to these challenges, environmental sustainability is integrated into TAF's operational planning and decision-making processes. The Company has adopted a green farming approach that prioritises continuous efficiency improvements, prudent resource use, and progressive reduction of environmental impacts. This approach supports the gradual embedding of sustainability principles across core operations rather than treating them as stand-alone initiatives.

TAF maintains rigorous compliance with environmental regulations and guidelines issued by the Central Environmental Authority (CEA) and the Department of Agriculture. In parallel, environmental management practices are periodically reviewed and benchmarked against recognised international best practices to ensure alignment with evolving global standards. Through these measures, TAF seeks to strengthen operational resilience, manage environmental risks proactively, and uphold responsible environmental stewardship across its operations.

Key Material Matters

1. Water Management
2. Energy & Emissions
3. Waste & Resource Efficiency
4. Materials & Packaging
5. Biodiversity & Ecosystems
6. Climate Resilience
7. Corporate Citizenship and Community

Value Creation Scorecard 2025

Key Actions for FY 2025

- Calculated the carbon footprint of products Egg & DOC
- Initiated Scope 3 carbon emissions assessment
- Implemented **zero** polythene initiatives
- Reduction in waste sent to landfills owing to recycling

Zero
Poultry Litter

Stakeholder Outcomes		Impact on Other Capitals	
Employees	◈ Healthier and safer working environments through improved waste, water and emissions management. ◈ Increased environmental awareness and responsible practices through training and engagement initiatives.	Human Capital	+
Customers	◈ Increased confidence in sustainably produced and responsibly sourced products. ◈ Assurance of compliance with environmental regulations and food safety standards. ◈ Enhanced brand trust through transparent environmental stewardship.	Social and Relationship Capital	+
Shareholders	◈ Reduced environmental and regulatory risks through responsible resource management. ◈ Improved long-term business resilience against climate-related disruptions. ◈ Strengthened investor confidence driven by sustainability-aligned value creation.	Financial Capital Social and Relationship Capital	+
Suppliers	◈ Encouraged adoption of sustainable farming, sourcing and operational practices. ◈ Stronger collaboration through shared environmental standards and expectations. ◈ Improved supply chain resilience and resource efficiency.	Manufactured Capital Social and Relationship Capital	+

Outputs for TAF Group

Zero
Hazardous Waste

25%
Reduction in Non-Renewable Energy Consumption per Rs. 1 Million Turnover

Initiatives for Renewable Energy

ISO 14064-1 GHG
Certification

SDG's

- **Target 6.6:** Protect and restore water-related ecosystems, including forests, wetlands, and rivers.
- **Target 6.4:** Increase water-use efficiency and ensure sustainable freshwater withdrawals.

- **Target 12.2:** Achieve sustainable management and efficient use of natural resources.
- **Target 12.4:** Reduce chemical pollution and waste generation through responsible production.

- **Target 13.1:** Strengthen resilience and adaptive capacity to climate-related disasters.
- **Target 13.2:** Integrate climate change measures into policies and planning.

- **Target 15.1:** Ensure the conservation, restoration, and sustainable use of terrestrial ecosystems.
- **Target 15.2:** Promote sustainable management of forests and halt deforestation.

Natural Capital

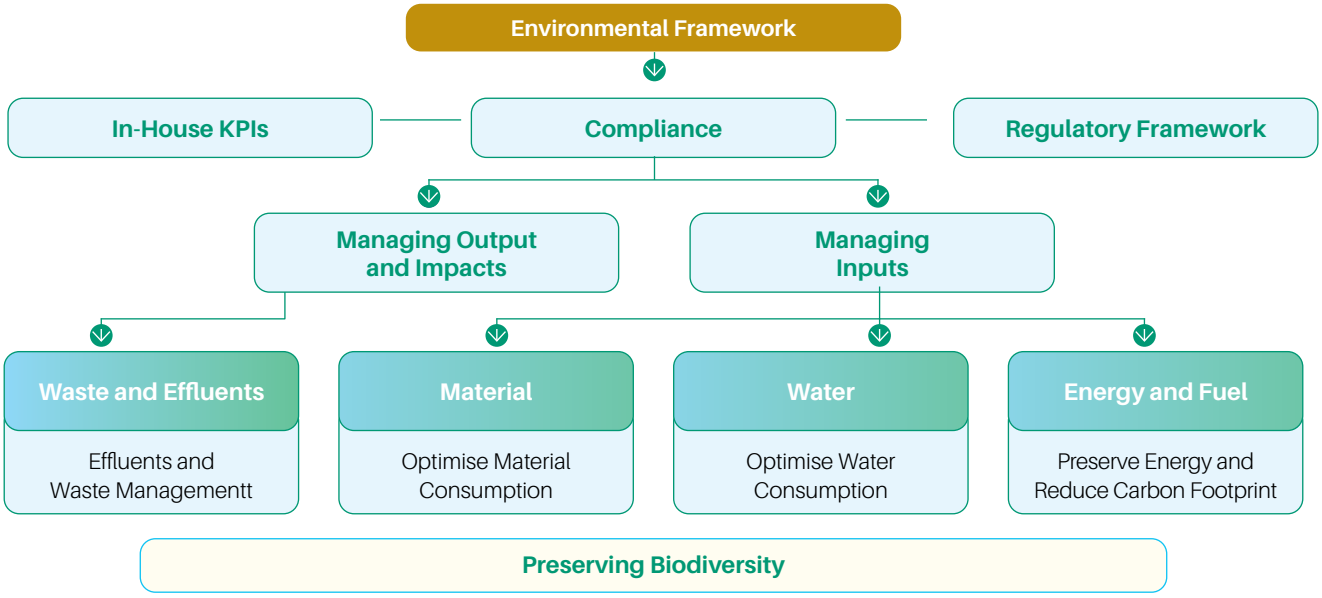
ENVIRONMENT MANAGEMENT SYSTEM

307-1

TAF operates under the CGE Group Environmental Management System (EMS), which provides a structured framework for setting environmental objectives, ensuring regulatory compliance, and reducing ecological impacts. Given the resource-intensive nature of the Company's operations, the EMS establishes clear policies and procedures to systematically manage TAF's environmental footprint.

Responsibility for day-to-day environmental management rests with unit heads, who are required to conduct operations in compliance with applicable regulations and in accordance with internal environmental policies and procedures. This approach ensures that environmental considerations are embedded across all levels of the organisation.

The CGE Group Sustainability Management Team supports this process by providing guidance to operational departments, facilitating the implementation of environmental initiatives, and enabling real-time data collection to monitor performance and track progress against defined environmental targets.



CLIMATE RESILIENCE ACROSS OPERATIONS

TAF recognises climate change as a material operational risk due to its dependence on natural resources and climate-sensitive activities. Climate resilience is therefore embedded into operational planning and environmental management to safeguard business continuity and long-term sustainability.

TAF strengthens resilience through improved energy efficiency, climate-smart water management, and the protection of biodiversity and ecosystems. These measures reduce exposure to climate variability, support resource security, and enhance the adaptive capacity of operations. Together, they enable TAF to manage climate-related risks effectively while supporting sustainable value creation.

Materials

GRI 301-1, 301-2, 301-3

TAF's poultry breeding operations depend on a range of carefully managed input materials that support both operational efficiency and responsible resource use.

These inputs include poultry feed, wood shavings, paddy husks, packaging materials, and cleaning agents such as chlorine, all of which are selected to meet strict quality and biosecurity standards.

Poultry feed is procured from approved suppliers that incorporate recycled agricultural by-products, mainly sustainably certified soy, thereby reducing reliance on virgin raw materials and supporting more sustainable supply chains. Wood shavings and paddy husks, used primarily for litter and bedding, are sourced as by-products of the timber and agricultural industries respectively, enabling the productive reuse of materials that might otherwise be discarded.

In line with its commitment to waste reduction and circular economy principles, TAF has also adopted reusable and recyclable packaging solutions across its operations.

Egg trays and transportation crates are routinely collected after use, thoroughly sanitised, and reused multiple times, reducing packaging waste while ensuring hygiene and product safety throughout the distribution process.



TAF Material and Waste Management Policy

TAF is committed to implementing a comprehensive and sustainable waste management system across all its facilities, guided by the principles of environmental responsibility and regulatory compliance. This policy ensures the effective handling, segregation, monitoring, and disposal of all waste generated through TAF operations such as including general, electronic, packaging, liquid, medical, and processing waste by adopting the 7R framework: Rethink, Refuse, Reduce, Reuse, Repair, Recycle, and Recover.

We do responsible procurement, sustainable sourcing, safe handling, efficient usage, and environmentally sound disposal of all materials used across operations. All materials shall be sourced from approved suppliers, verified for quality, and managed to minimise waste and environmental impact. Employees must follow established procedures, and regular training will be provided to ensure compliance. Continuous monitoring and periodic reviews will be conducted to uphold this policy and drive improvements.

TAF ensures that all handling of hazardous and production waste is done by trained personnel following specific protocols, with measures in place to prevent product contamination. By integrating operational discipline, employee engagement, and environmental best practices, TAF aims to lead in sustainable waste management and contribute positively to ecological well-being.

Category	Materials	2025	2024
Renewable	Wood shavings (kgs)	1,146,448	697,992
	Paddy husks (kgs)	813,730	1,272,856
Non-Renewable	Disinfectant (kgs)	6,533	2,713
	Percentage of recycled input materials	100%	100%
	Percentage of reclaimed packing materials	75%	75%

Energy Management

GRI 302-1, 302-2, 302-3, 302-4, 302-5, 305-1, 305-2

Energy management is a critical operational priority for TAF, particularly given that its hatching, breeding, and rearing activities represent the most energy-intensive segments of the business. Energy demand fluctuates in line with production volumes, directly influencing operational costs and environmental impact. In response to past fuel shortages and electricity constraints, the Company has strengthened its focus on improving energy resilience, enhancing efficiency, and reducing dependence on grid-based power sources.

To address these challenges, TAF has progressively integrated energy-efficient technologies into its operations. Investments such as the installation of gas brooders at processing plants have contributed to lower energy consumption and improved process efficiency.

Additionally, the transition from conventional open bird houses to Environmentally Controlled (EC) Houses within DOC operations marks a strategic shift toward reducing electricity consumption while enhancing environmental control, operational stability, and productivity.

In addition, TAF strictly adheres to the Standard Operating Procedures (SOPs) established under its Environmental Management System (EMS). These procedures ensure proper equipment maintenance, minimise energy losses, and optimise operational performance. Energy consumption is monitored through automated tracking systems installed at critical control points across all facilities. Performance is reviewed monthly and reported to Senior Management, reinforcing accountability and driving continuous improvement in energy management.

Energy Performance Monitoring

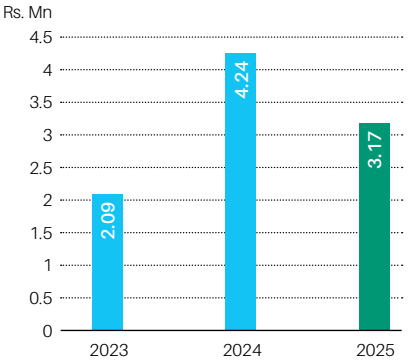
Energy consumption across the Group is monitored and reported annually, with performance evaluated through key indicators such as electricity usage, fuel consumption, and energy intensity ratios.

	2025	2024	2023
Total Diesel Usage	1,968.04	4,617.76	2,942.08
Total Petrol Usage	142.10	256.39	340.36
LP Gas	1,676.81	2,837.34	2,769.91
Electricity	15,792.73	18,579.57	17,227.85
Total in GJ	**19,579.69**	**26,291.05**	**23,280.20**

Non-renewable energy consumption to generate Rs. 1 Mn turnover (GJ) -3.17 (4.24-2024)

Natural Capital

Non-renewable energy consumption to generate Rs. 1 Mn turnover (GJ)



Energy Management Framework

TAF's approach to energy management is formalised through the Group Energy Management Policy, which serves as the guiding framework for reducing energy consumption, lowering greenhouse gas emissions, and optimising resource utilisation across all operations.

Energy Management Principles

The Group's energy management approach is guided by the following principles:

- Continuous investment in energy-efficient machinery and infrastructure, including capacity banks at farms.
- Implementation of Standard Operating Procedures (SOPs) for equipment maintenance, overseen by the Group Engineering Department and Facility Heads.
- Deployment of monitoring and control systems to track energy-intensive processes and evaluate the effectiveness of energy-saving initiatives.
- Regular monitoring of energy consumption data, with monthly performance reviews submitted to Senior Management.

Energy Efficiency Initiatives

During the year, several energy conservation and optimisation measures were implemented, including:

- Replacement of CFL bulbs with energy-efficient LED lighting
- Transition from desktop computers to energy-efficient laptops
- Replacement of air-conditioning units with higher-efficiency models, particularly in high heat-transfer areas
- Installation of motion-sensor lighting in pathways and designated areas
- Ensuring water dispensers and non-essential equipment are switched off outside office hours
- Promoting energy-conscious behaviour, such as encouraging the use of stairs instead of elevators

TAF has implemented solar decks at its farm, generating an estimated annual energy saving of approximately 545,000 kWh. This initiative is projected to deliver cost savings of around Rs. 6.0 Mn per year, while advancing the Group's commitment to renewable energy adoption and enhanced energy efficiency.

This initiative is projected to cut carbon emissions by 386 tonnes (tCO_2e) annually, equivalent to a 15% reduction compared to TAF Group's 2024 greenhouse gas (GHG) emissions.

Emission Management

GRI 305-1, 305-2, 305-3. 305-4,305-5,305-6,305-7

TAF's approach to emissions management is closely integrated with its energy efficiency strategy, enabling a systematic reduction in emission intensity across operations. The Group has established a formally documented procedure to monitor Scope 1 and Scope 2 greenhouse gas (GHG) emissions, ensuring consistency, accuracy, and accountability in reporting. Oversight of emissions monitoring is the responsibility of the Sustainability Management Team.

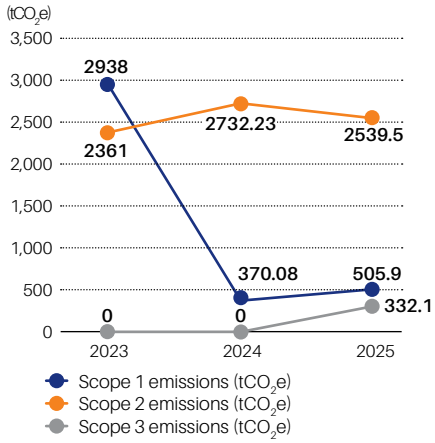
Emissions Management Initiatives - FY 2025

During FY 2025, the Group implemented several initiatives to enhance energy efficiency and reduce emissions, including:

- Conversion of open bird houses to Environmentally Controlled (EC) houses, improving energy efficiency and lowering emission intensity
- Upgrading to energy-efficient lighting, equipment, and machinery across operational facilities
- Group-wide carbon footprint assessment covering Scope 1 , Scope 2 and Scope 03 emissions
- Installation of diesel floaters and GPS tracking systems in the distribution fleet to optimise routing and fuel efficiency
- Solar decks have been installed at one of our farms, with plans to extend the installation to other farms.

Indicator	2025	2024	2023
Scope 1 emissions (tCO_2e)	505.9	370.1	2938.0
Scope 2 emissions (tCO_2e)	2539.5	2732.2	2361.0
Scope 3 emissions (tCO_2e)	332.1	N/A	N/A
Carbon emission to generate Rs. 1 Mn turnover	0.55	0.50	0.48

Carbon Emission



Energy and Emissions Performance

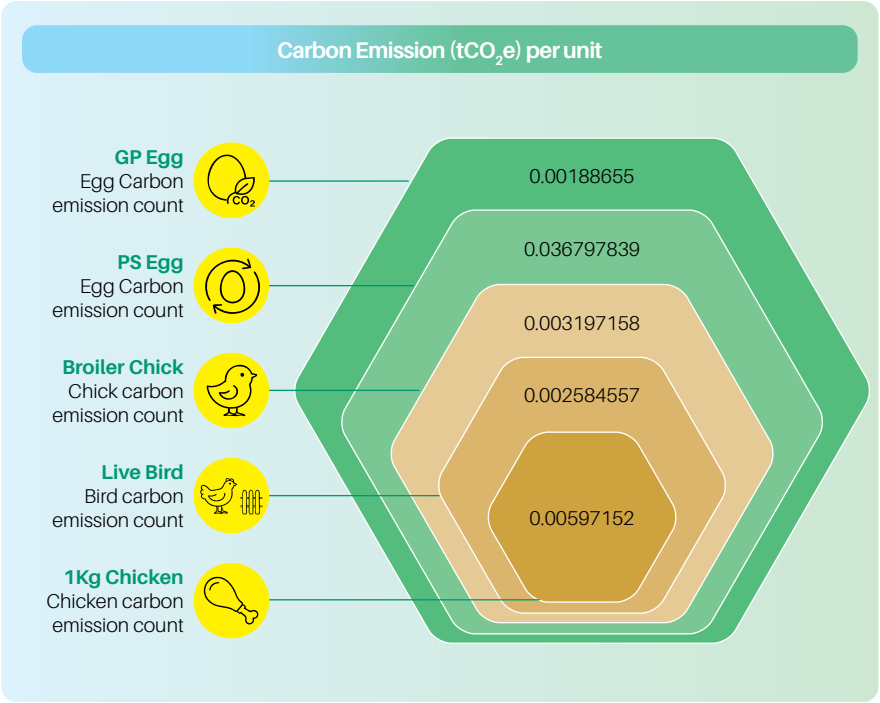
TAF continues to prioritise transparency and accountability in its environmental performance. Detailed information on the Group's energy use and emissions is provided in Section 13.2.1 – Cross-Industry Metrics of the SLFRS Sustainability Disclosures, as well as in the Notes to the Consolidated Statement of ESG Performance.

Pioneering Carbon Accounting in the Poultry Sector

As a leader in Sri Lanka's poultry industry, TAF has taken proactive steps to strengthen its climate action framework. Notable achievements include:

- **Comprehensive GHG Accounting:** Measurement and reporting of Scope 1, Scope 2, and Scope 3 emissions in alignment with ISO 14064-1 standards.
- **Product Carbon Footprint Assessment:** Calculation of the carbon footprint per Egg & Chick, following ISO 14067-1 methodology.
- **End-to-End Life Cycle Assessment:** Evaluation of emissions across feed production, processing, and distribution stages.

These initiatives provide a solid foundation for monitoring the Group's environmental impact, identifying opportunities for emission reductions, and guiding the development of future carbon prefer the word sequestration and mitigation strategies.



Product-wise Carbon Emissions

The carbon footprint of TAF's products is assessed with a focus on its core outputs — hatching eggs and Day-Old Chicks (DOCs) . In establishing a reference framework for emission assessment, internationally recognised greenhouse gas emission benchmarks for poultry production are considered, including the FAO reference value of 0.0025 tonnes of Co2 equivalent, issued by the Food and Agriculture Organisation (FAO) of the United Nations – Animal Production and Health Division.

While this FAO benchmark relates to broiler meat production, it provides an internationally accepted life cycle reference covering emissions from feed production, on-farm operations, manure management, processing, transportation, and distribution. TAF utilises this broader poultry-sector benchmark as a guiding reference in structuring its emission accounting methodology.

However, TAF's internal product-level carbon assessments are specifically calculated per hatching egg and per day-old chick, reflecting the distinct nature of its breeder and hatchery operations. Emission calculations incorporate feed production, breeder farm activities, hatchery energy use, waste management, and related upstream and downstream processes relevant to egg and chick production.

Natural Capital



Opinion No. LK/CFP/2026/013

Greenhouse Gas Verification Opinion
The inventory of Greenhouse Gas emissions from the 01.01.2025 – 31.12.2025 of the company

SGS

Three Acre Farms PLC

No.15, Rock House Lane, Colombo 15, Sri Lanka.

has been verified in accordance with ISO 14064-3:2019 with reasonable level of assurance as meeting the requirements of:

ISO 14064-1:2018

For the following boundary:

This certificate outlines all operational activities occurring at the boundaries of the below-mentioned sites

Discloses a total emission of:

Direct GHG Emissions	: 505.671 tCO_2e
Indirect GHG Emissions	: 2,871.048 tCO_2e
Total GHG Emissions	**: 3,377.419 tCO_2e**

Lead Auditor: Eng. Chamara Ariyathilaka
Independent Reviewer: Dilusha Premasiri

Date of Opinion Issuance: 22.04.2026
Validity Period: 22.04.2026 – 31.03.2027
Materiality threshold is below 5%

Authorized by:
Dilusha Premasiri
Business Manager

SGS Lanka (Pvt) Ltd
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SGS

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Water & Effluent Management

GRI 303-1, 303-2, 303-3, 303-4, 303-5

TAF's operations rely significantly on water as a critical natural capital input across our farm production processes. Water is primarily utilised for poultry activities, equipment and open-houses & EC Houses cleaning, animal drinking, cooling systems, and employee sanitation and welfare facilities. The continuity, quality, and responsible management of water resources are therefore essential to maintaining operational efficiency, animal health, food safety standards, and environmental sustainability.
To meet these operational requirements, TAF sources water through where regulatory approvals permit, from deep tube wells installed on-site. This diversified sourcing approach enables operational resilience while ensuring compliance with applicable water extraction regulations.

Recognising the heavy dependence on water for day-to-day operations, TAF places strong emphasis on responsible water stewardship and long-term resource security.

Water Management Framework

Water management at TAF is guided by structured internal policies and operational procedures designed to promote efficiency, conservation, and regulatory compliance. The framework emphasises:

- Optimising water consumption across production cycles
- Monitoring usage patterns to identify reduction opportunities
- Preventing unnecessary losses and leakages
- Ensuring safe and hygienic water use across farm facilities

Water-saving initiatives remain a key operational priority. These include the recycling and reuse of water in non-critical processes where quality parameters permit, thereby reducing overall freshwater withdrawal without compromising biosecurity or operational effectiveness.

Watershed Management and Groundwater Protection

In support of long-term environmental resilience, TAF has adopted watershed management practices across its farm locations. These practices are designed to:

- Optimise surface water utilisation
- Minimise runoff and soil erosion
- Enhance natural infiltration
- Support groundwater recharge

By integrating watershed management into farm planning and land-use practices, TAF contributes to sustaining local water tables and protecting surrounding ecosystems.

Wastewater generated from TAF operations primarily arises from cleaning activities, wash water, and routine farm sanitation processes. Effluents may contain organic matter and low concentrations of disinfectants used to maintain biosecurity standards.

TAF is committed to managing these discharges responsibly to prevent adverse environmental impacts. Wastewater treatment processes are implemented at farm level to ensure effluents are treated in accordance with applicable regulatory requirements prior to discharge or safe disposal.

Effluent quality is periodically monitored to ensure compliance with relevant environmental standards. Where required, corrective actions such as pH adjustment or neutralisation are undertaken to maintain discharge parameters within permissible limits.

Commitment to Sustainable Water Use

Through conservation-focused practices, structured monitoring, watershed management, and responsible effluent treatment, TAF aims to:

- Reduce overall freshwater consumption intensity
- Protect groundwater resources
- Minimise environmental impact
- Strengthen operational resilience against water-related risks

Water stewardship remains an integral component of TAF's broader natural capital strategy, reinforcing its commitment to environmentally responsible and sustainable farm operations.

	2025	2024	2023
Total water consumption (m^3)	287,000	287,877	251,640
Total water usage to generate Rs. 1 Mn turnover (m^3)	46.5	46	23

Water source protecting

TAF has implemented tree planting initiatives across its farm locations as part of its commitment to environmental sustainability and natural capital preservation. These initiatives are designed to enhance on-site biodiversity, restore and strengthen natural habitats, and improve the ecological balance within surrounding communities.



In addition to supporting ecosystem resilience, the tree planting programmes contribute to the protection of local water resources by reducing soil erosion, improving soil stability, and safeguarding watershed areas. Through these efforts, TAF reinforces its commitment to responsible environmental stewardship and the long-term sustainability of the natural resources that underpin its operations.



Natural Capital

GRI 13.7 Water (Sector Topic Disclosure)

In line with TAF's commitment to responsible environmental management, effluents generated from its poultry breeding operations are managed through structured and compliant treatment processes. Wastewater arising from cleaning activities, wash water, and effluents containing low concentrations of disinfectants are systematically channelled to on-site wastewater treatment facilities.

These treatment facilities are operated in accordance with the conditions stipulated in the Environmental Protection Licence (EPL) issued by the Central Environmental Authority (CEA). The treatment process is designed to ensure that all discharged effluents meet the prescribed regulatory standards prior to release.

Effluent quality is subject to regular monitoring and testing to ensure continued compliance with CEA discharge parameters. This monitoring framework enables timely identification of any deviations and the implementation of corrective measures where necessary.

During the financial year 2025, TAF recorded no harmful spills or significant non-compliance incidents related to wastewater discharge.

Through these measures, TAF reinforces its commitment to environmental stewardship, regulatory compliance, and the protection of surrounding ecosystems and water resources.

Waste Management

GRI 306-1, 306-2, 306-3, 306-4, 306-5

TAF adopts a proactive and structured approach to waste management, guided by the principles of circularity, resource efficiency, recycling, and reuse. Given the nature of its poultry breeding operations, waste generation is an inherent aspect of farm activities.

Accordingly, TAF focuses on minimising environmental impact while extracting value from waste streams wherever feasible.

Poultry waste generated at breeder farms is systematically collected and repurposed into organic fertiliser. This process supports agricultural applications such as vegetable and coconut cultivation, thereby promoting nutrient recycling and reducing reliance on synthetic fertilisers. Through this circular approach, TAF transforms operational by-products into economically and environmentally beneficial resources.

In addition, TAF prioritises the use of reusable and recyclable materials across its operations wherever practical. Certain cleaning equipment, including sprayers and containers, are thoroughly cleaned, sanitised, and reused in accordance with biosecurity and operational standards. This practice contributes to reducing material consumption and minimising waste generation at source.

To ensure effective implementation of waste management practices, TAF conducts regular awareness and training sessions for operational teams. These programmes reinforce responsible handling, segregation, recycling, and disposal practices, while fostering a culture of environmental accountability across farm locations.

Waste generation and disposal are monitored through structured tracking mechanisms, enabling data-driven oversight of volumes, treatment methods, and associated costs. This systematic monitoring supports regulatory compliance, operational efficiency, and continuous improvement in waste reduction initiatives.

Through these integrated measures, TAF remains committed to minimising waste-related environmental impacts and advancing sustainable resource management practices across its operations.

Waste Type		2025	2024	2023	Disposal Methodology
Non-hazardous waste (kg)	* Packing Waste	0	0	0	100 % sold
	* Poultry Litter	Nil	Nil	Nil	100% converted to compost to be used as organic fertliser organic fertliser
*Hazardous waste		Nil	Nil	Nil	

Solid Waste Management

GRI 306-2

Responsible solid waste management is an integral component of our environmental stewardship and operational sustainability. We recognise that effective waste management not only reduces environmental impact but also improves operational efficiency and cost management.

Our approach begins with structured waste mapping, through which we systematically identify key waste generation points across our operations. This process enables us to assess the type, volume and financial implications of waste streams, while identifying opportunities for reduction, reuse and recycling. The insights gained support data-driven decision-making and continuous improvement initiatives.

Systematic Waste Segregation and Responsible Disposal

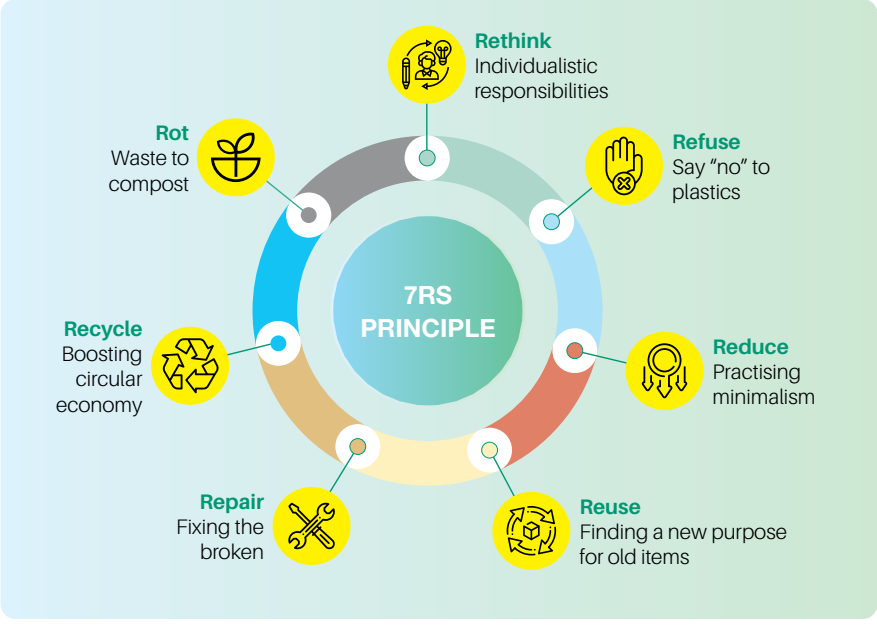
GRI 13.8 Waste and Food Loss (Sector Topic Disclosures)

TAF implements a structured waste segregation system at source to ensure effective waste handling. All solid waste generated within our operations is categorised into recyclable and non-recyclable materials, with clear procedures and staff awareness programmes in place to strengthen compliance.

- **Recyclable waste**, including paper, plastics, metals and other reusable materials, is collected separately and channelled to authorised recycling partners to support circular economy practices.
- **Non-recyclable waste** is disposed of through municipal waste management services, ensuring safe and environmentally responsible handling in accordance with local regulatory requirements.

Where applicable, we also monitor food-related waste to identify reduction opportunities, contributing to resource efficiency and minimising landfill burden.

Through these measures, TAF continues to minimise its ecological footprint, promote responsible consumption practices and align with national environmental standards and global sustainability frameworks. We remain committed to strengthening our waste management systems through ongoing monitoring, employee engagement and collaboration with responsible CEA Authorised waste management collectors.



Safe Handling and Responsible Disposal of Waste

Waste generated from our farm operations is systematically collected, segregated and managed to ensure safe and environmentally responsible disposal. TAF strictly complies with all applicable environmental laws and regulations, partnering exclusively with licensed waste management service providers to ensure proper treatment, transportation and final disposal. This approach safeguards environmental quality while maintaining high standards of operational compliance.

Sustainable Utilisation of Poultry Manure

Poultry manure (litter) is recognised not as waste, but as a valuable resource. Rather than disposing of litter bags, we repurpose it into organic fertiliser, contributing to circular resource use. This initiative reduces waste generation while enhancing soil fertility in agricultural applications, thereby supporting sustainable and regenerative farming practices.

Minimising Landfill Waste Through Recycling

We adopt specialised recycling practices across our operations to maximise resource recovery and minimise landfill disposal. By diverting recyclable materials from the waste stream, TAF significantly reduces its environmental footprint while promoting efficient resource utilisation and responsible consumption.

Redeployment of Non-Harmful By-Products

TAF further strengthens its circular economy approach by redeploying non-harmful by-products, including poultry litter, into compost and organic fertiliser. Rich in essential nutrients, poultry litter provides a sustainable alternative to chemical fertilisers, improving soil health, enhancing agricultural productivity and reducing reliance on synthetic inputs.

Re-use of PP Bags for Breeder Feed Operations

During the reporting period, TAF promoted circular resource utilisation through the re-use of used polypropylene (PP) bags for transporting breeder feed within our own farm operations. A total of 113,466 used PP bags were successfully reused, generating a cost saving of Rs. 4.6 Mn.

This initiative not only reduced packaging waste and minimised environmental impact but also delivered measurable financial benefits, demonstrating our commitment to operational efficiency and sustainable resource management.

Natural Capital

TAF has developed detailed process flow diagrams to map and clearly illustrate the inputs and outputs of material, energy, and water across our operations. These diagrams have been prepared for all key farms. By providing a comprehensive understanding of operational flows, the process flow diagrams support the identification of inefficiencies and enable targeted actions to reduce waste generation across the value chain.

Responsible Land Use and Biodiversity Protection

GRI 13.5 Soil Health (Sector Topic Disclosures)

Sustainable land management is fundamental to maintaining soil health and ensuring long-term agricultural productivity. Our operations are carefully planned to balance production efficiency with environmental stewardship, safeguarding the ecosystems surrounding our farms.

We adopt responsible land-use practices designed to prevent soil degradation and maintain natural soil fertility. Nutrient management practices, including the application of organic fertiliser derived from poultry litter, support soil enrichment while reducing reliance on synthetic chemical inputs. These measures enhance soil structure, improve moisture retention and promote long-term soil vitality.

To further strengthen environmental resilience, TAF maintains and enhances green cover within and around farm boundaries through targeted tree planting initiatives. These green belts act as natural buffers, helping to regulate temperature, reduce soil erosion, minimise dust dispersion and improve water retention capacity.

Operational activities are continuously monitored to ensure minimal disturbance to nearby habitats and local biodiversity. By integrating environmental considerations into farm planning and daily operations, TAF promotes responsible land stewardship while supporting sustainable agricultural practices.





Sustainable Land Management and Habitat Conservation

GRI 302-3

At TAF, we prioritise sustainable land management to minimise our environmental impact and safeguard surrounding ecosystems and natural habitats. We actively enhance green cover by planting trees along boundary walls, creating a shelterbelt that reduces heat, prevents soil erosion, and improves water retention in the soil. Our commitment extends to employing chemical-free soil conservation and nutrient management practices, ensuring long-term soil health.

Additionally, we actively enhance the green cover around our factory sites to support ecosystem stability. As part of this effort, we have implemented tree planting initiatives along boundary walls to serve as natural windbreaks to prevent soil erosion, reduce heat, and improve the soil's water retention capacity. These initiatives not only safeguard our land but also contribute to a healthier and more sustainable environment.

Driving Environmental Responsibility Through People and Performance

Environmental responsibility at TAF is driven by strong leadership commitment and active employee participation. We believe that sustainable operations are achieved when environmental considerations are integrated into everyday decision-making across all levels of the organisation.

TAF continuously builds internal capacity through structured training programmes and awareness initiatives focused on resource efficiency, waste reduction, responsible farming practices and regulatory compliance. These initiatives enhance employee understanding of environmental impacts and encourage proactive participation in sustainability efforts.

Accountability is strengthened by embedding sustainability-related targets into performance management systems where relevant. By aligning operational objectives with environmental goals, we ensure that sustainability remains a measurable and monitored priority.

Recognition mechanisms further reinforce this commitment. Employees who contribute innovative ideas, efficiency improvements, measurable environmental outcomes are acknowledged, fostering motivation and a culture of continuous environmental improvement across TAF.





VALUE CREATION LINKED TO STRATEGIC PILLARS

Strategic Pillar	Natural Capital Focus	Key FY 2025 Actions	Value Created
Sustainable Value Creation, Cost Optimisation & Efficient Operations	◈ Responsible management of land, water and biological resources across farms, feed mills and processing facilities ◈ Resource efficiency and waste minimisation to reduce environmental impact ◈ Monitoring of material, energy and water flows	◈ Conducted process flow mapping to identify inefficiencies and waste points ◈ Continued sustainable nutrient management using organic fertiliser from poultry litter ◈ Strengthened waste segregation and ensured authorised disposal of unavoidable waste	◈ Improved resource efficiency and reduced waste generation Lower operational costs through optimised resource use ◈ Enhanced long-term availability of natural inputs
Customer-Centric Value Delivery	◈ Sustainable sourcing of key agricultural raw materials ◈ Environmentally responsible farming practices aligned with animal welfare standards	◈ Maintained responsible sourcing of certified raw materials, including soy-based inputs ◈ Ensured compliance with environmental and animal welfare practices across farms	◈ Strengthened supply chain resilience and input quality ◈ Enhanced customer confidence in responsibly produced poultry products ◈ Reinforced brand credibility
Human Capital & Workplace Responsibility	◈ Promotion of environmental stewardship across the workforce Integration of environmental accountability into operations	◈ Conducted environmental awareness programmes and training on land, water and waste management ◈ Linked environmental KPIs to performance and recognition mechanisms	◈ Increased employee ownership of environmental responsibilities ◈ Reduced environmental incidents and resource misuse ◈ Strengthened sustainability culture
Environmental Sustainability & Climate Action	◈ Protection of ecosystems and biodiversity ◈ Climate resilience through responsible land stewardship and green initiatives ◈ Compliance with environmental regulations	◈ Expanded tree planting and maintained green buffers around farms ◈ Ensured minimal disturbance to local wildlife habitats ◈ Continued alignment with environmental and energy management practices	◈ Improved soil health and water retention ◈ Reduced environmental and climate-related risks ◈ Enhanced long-term natural capital resilience

Natural Capital

RISKS AND RESPONSES RELATING TO NATURAL CAPITAL

Risks Relating to Natural Capital

- Resource Scarcity: Climate variability and competing land uses increase pressure on land, water, and feed resources, potentially disrupting operations and raising input costs.
- Biodiversity Loss: Degradation of local ecosystems and habitats harms soil health, reduces water availability, and threatens long-term productivity, while increasing regulatory and reputational risks.
- Climate Variability & Extreme Events: Floods, droughts, and heatwaves can negatively impact farm operations, animal welfare, and production efficiency.
- Environmental Compliance: Evolving regulations on land use, water management, and waste disposal may require additional investment to ensure full compliance.

Opportunities Relating to Natural Capital

- Improved Resource Efficiency: Sustainable land and water management practices enhance soil quality, improve water retention, and boost productivity, reducing long-term operational costs.
- Biodiversity Conservation: Tree planting, green buffers, and habitat protection strengthen ecosystem services such as erosion control, temperature regulation, and microclimate stabilisation.
- Market & Reputational Benefits: Demonstrating effective natural capital stewardship builds stakeholder trust and supports access to sustainability-focused markets and investors.

Risks and Responses Relating to Natural Capital

During the year, TAF faced multiple challenges in managing its Natural capital.

Further details , refer to Risk and Opportunity Management Report page 166.

Future Roadmap

Short Term

- Strengthen baseline data on energy, water, and waste through comprehensive audits across all farms and facilities.
- Install rooftop solar systems at selected farms to generate renewable energy.
- Upgrade to energy-efficient equipment in breeding, broiler, and feed processing units.
- Enhance water recycling and responsible wastewater management practices.
- Use process flow mapping to identify opportunities to reduce material, water, and waste intensity.

Medium Term

- Incorporate natural capital considerations into capital allocation and investment decisions.
- Deploy technologies that reduce water consumption and minimise waste in poultry processing and feed milling.
- Scale up biodiversity conservation initiatives, including tree planting and habitat protection at operational sites.
- Strengthen employee engagement with targeted training programs and natural capital performance indicators.

Long Term

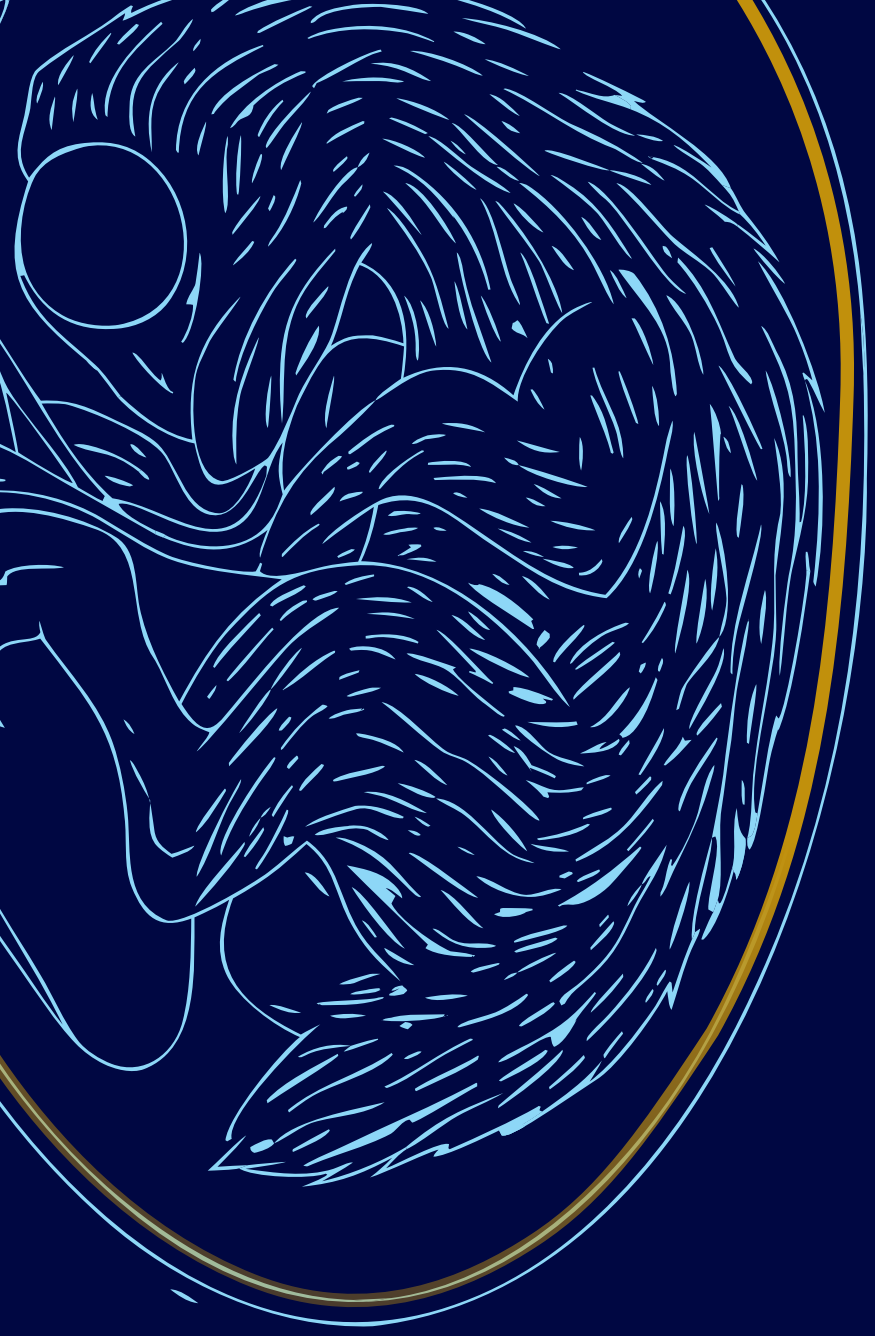
- Increase reliance on renewable energy and reduce dependence on non-renewable resources across the poultry value chain.
- Transition towards circular resource use, optimising the reuse and recycling of materials, water, and by-products.
- Achieve long-term reductions in freshwater abstraction through water reuse and alternative sources.
- Develop a nature-positive operating model that enhances ecosystem health, strengthens climate resilience, and creates sustainable long-term value.

Balancing Capital Connectivity and Trade-offs in Value Creation

TAF's operational strategy is guided by integrated thinking, recognising the strong interdependencies among the six capitals across our commercial broiler farms, hatcheries, and DOCs supply chain. As a vertically integrated poultry operation supplying DOCs primarily to the domestic market, with limited quantities for export, TAF continuously balances capital investments, operational efficiency, workforce capability, stakeholder relationships, and environmental stewardship.

The table below summarises the key capital interactions and trade-offs arising from the execution of TAF's strategic pillars during the year.

Strategic Pillars / Trade-off Area	Financial	Manufactured	Human	Intellectual	Social & Relationship	Natural
Sustainable Value Creation, Cost Optimisation & Efficient Operations						
Capital expenditure on broiler farms, hatcheries, biosecurity, cold-chain, and digital monitoring systems	↓	↑				↓
Automation and digitalisation improving hatchery efficiency, flock performance, and long-term margins	↑	↑	↓	↑		
Business growth increasing demand for feed, energy, water, and biological inputs		↑				↓
Customer-Centric Value Delivery						
Investments to enhance DOC quality, flock performance, and consistency of supply	↓	↑		↑	↑	
Supply chain optimisation to ensure timely DOC delivery to commercial growers and export customers	↑	↑			↑	
Human Capital & Workplace Wellbeing						
Investment in staff training, biosecurity awareness, animal welfare, and safe working environments	↓		↑	↑		
Employee remuneration, safety programmes, and engagement initiatives	↓		↑			
Skilled workforce improving service quality and stakeholder confidence			↑		↑	
Environmental Sustainability & Climate Action						
Strengthening partnerships with feed suppliers, breeders, and logistics providers	↑				↑	
Supplier development and climate-resilient farming practices					↑	↑
Investments in energy efficiency, waste management, litter reuse, and water conservation	↓	↑			↑	↑
Community engagement and CSR initiatives supporting licence to operate	↓				↑	↑



Strength in Emergence

From hatch to health, resilience is built step by step.

Corporate Governance Review

1. OUR APPROACH

At TAF, we recognise Corporate Governance as a vital component of our business, ensuring responsible value creation for all stakeholders and supporting long-term sustainability. Accordingly, the Company has adopted ethical, transparent, and effective governance rules, processes, and practices aligned with the guidelines of the Institute of Chartered Accountants of Sri Lanka, the Securities and Exchange Commission of Sri Lanka, the Companies Act, No. 7 of 2007, and the Listing Rules of the Colombo Stock Exchange.

TAF's Corporate Governance policies are built on the principles of integrity, fairness, transparency, and ethical conduct. Our Governance Framework is designed to reflect evolving regulatory expectations and incorporates robust assurance mechanisms that strengthen transparency, accountability, and effective stewardship across the organisation.

The Board of Directors holds primary responsibility for upholding sound Corporate Governance, supported by an internal governance structure that enables the Board to regularly monitor and evaluate the effectiveness of the framework.

TAF remains committed to continuously enhancing its governance practices, aligning with international best practices and industry standards to maintain the highest standards of corporate excellence.

The Company began its journey toward full compliance with the revised Section 9 of the CSE Listing Rules on Corporate Governance, adhering to all specified effective dates. As part of this initiative, TAF introduced 12 comprehensive governance policies designed to strengthen organisational accountability, enhance transparency, and reinforce ethical business conduct across the Company.

These policies form the foundation of a robust governance framework and address key areas essential for effective oversight and long-term sustainability.

THE FOLLOWING POLICIES WERE IMPLEMENTED TO SUPPORT THE ORGANISATION'S STRATEGIC AND SUSTAINABILITY OBJECTIVES :

GRI 2-23, 2-24

- **Policy on Matters Relating to the Board of Directors** – Defines the structure, roles, and responsibilities of the Board.
- **Policy on Board Committees** – Outlines the purpose, scope, and functioning of Board Committees that support the Board's responsibilities.
- **Policy on Corporate Governance, Nominations, and Re-Election** – Establishes criteria and processes for the nomination, election, and re-election of Directors in line with good governance standards.
- **Policy on Remuneration** – Ensures fair, transparent, and performance-aligned remuneration structures for Directors and senior management.
- **Policy on Internal Code of Business Conduct and Ethics for Directors and Employees** – Promotes ethical behaviour, integrity, and compliance, including guidelines for trading in listed securities.
- **Policy on Risk Management and Internal Controls** – Covers the identification, assessment, and mitigation of risks, ensuring effective internal control mechanisms.
- **Policy on Relations with Shareholders and Investors** – Encourages proactive, transparent engagement to strengthen trust and enhance corporate value.
- **Policy on Environmental, Social, and Governance (ESG) Sustainability** – Integrates ESG principles into business operations to support responsible and sustainable growth.
- **Policy on Control and Management of Company Assets and Shareholder Investments** – Ensures proper utilisation, protection, and stewardship of Company assets and shareholder interests.
- **Policy on Corporate Disclosures** – Establishes clear guidelines for accurate, timely, and transparent communication of financial and non-financial information as required by regulations.
- **Policy on Whistleblowing** – Provides a safe, confidential mechanism for reporting unethical behaviour, protecting whistleblowers from retaliation.
- **Policy on Anti-Bribery and Corruption** – Reinforces the Company's zero-tolerance approach to bribery and corruption in all forms.

Further, in alignment with these policies, TAF has developed and implemented all corresponding procedures and appointed responsible officers to monitor, enforce, and continuously improve adherence to each policy.

Additionally, TAF committed to adopting the new Code of Best Practice on Corporate Governance issued by the Institute of Chartered Accountants of Sri Lanka in December 2023, ensuring its governance framework remains aligned with the latest standards in 2025.

Corporate Governance Review

2. CODE OF BUSINESS CONDUCT AND ETHICS

GRI 2-16,23,24,25,26 ,3-3, 13.26.1

The Company's Code of Business Conduct lays out the standard for sustainability, accountability, integrity and transparency across all our business operations with employees Directors and Key Management Personnel expected to comply with the Code in its entirety. The Code of Conduct incorporates the following crucial aspects:

- Always act in the best interests of the Company, ensuring transparency in all matters;
- Ensure that the standards for ethical conduct represent the Company's vision, mission, goals and objectives;
- Conduct business ethically in keeping with industry standards;
- Continuous professional development along with the Company and individual compliance with all rules and regulations;
- Trust, professionalism and integrity in all partnerships and transactions undertaken by TAF.

All employees sign a declaration at the point of recruitment, to the effect that they agree to comply with the Code of Business Conduct and ethics of the Company.

The Chairman and the Company emphasise and endorse that there have been no violations of TAF's Code of Business Conduct and Ethics in the year under review.

As a member of the CGE Group, TAF is guided by a strong commitment to ethical leadership and integrity. The Board sets a clear tone at the top, ensuring that ethical principles are embedded across all aspects of the Company's operations.

This commitment is reinforced through the Company's Policy on Internal Code of Business Conduct and Ethics, which outlines the standards expected of all employees and Directors. In addition, key policies such as the Anti-Bribery and Corruption Policy and the Whistleblowing Policy play a critical role in safeguarding integrity, promoting transparency, and upholding the highest ethical standards within TAF.

All members of the organisation are expected to adhere to these principles, ensuring that responsible conduct and ethical behaviour remain central to TAF's culture and governance framework.

Policy on Anti- Bribery and Corruption

TAF maintains a strict zero-tolerance stance on bribery and corruption and is committed to conducting all business activities with integrity, transparency, and in full compliance with applicable laws. The Anti-Bribery and Corruption Policy applies to all employees, Directors, consultants, and third parties, requiring them to actively prevent and report any form of improper conduct. The Policy prohibits offering, soliciting, or accepting bribes, facilitation payments, or undue advantages, and sets clear guidelines on gifts, entertainment, political contributions, and interactions with public officials. It outlines responsibilities for maintaining accurate records, mandates regular training and awareness, and ensures confidential reporting channels for suspected breaches without fear of retaliation. Oversight, investigations, and disciplinary actions are managed in line with established governance procedures, with the Board periodically reviewing the Policy to ensure continued effectiveness and alignment with legal and industry standards.

Policy on Whistleblowing

TAF's Whistleblowing Policy encourages employees, Directors, and third parties to report any unethical, illegal, or unsafe practices across all operations and jurisdictions. The Policy complements the Company's Anti-Bribery and Corruption Policy and Code of Business Conduct, providing clear procedures for reporting concerns such as fraud, harassment, discrimination, environmental or safety violations, and other actions that may affect the Company's reputation. All reports are treated confidentially, investigated promptly and fairly, and retaliation against good-faith reporters is strictly prohibited. The Board oversees the Policy and ensures regular reviews to maintain its effectiveness and alignment with regulatory and governance standards.

Anti- Corruption

GRI 205-1,2,3, 13.26.2,13.26.3,13.26.4

During the year, there were no confirmed incidents of corruption reported within the Company, and no cases resulting in dismissals, contract terminations, or legal proceedings. The Company remains committed to fostering a culture of integrity and ethical conduct across all levels of the organisation.

To reinforce this commitment, all employees received clear guidance and comprehensive outlines of the Company's Anti-Corruption Policy. Additionally, anti-corruption training is an integral part of the induction program, ensuring that every new recruit is well-informed about the standards, responsibilities, and expectations regarding ethical behavior from the very beginning of their tenure.

	No. of People Trained
Policy on Whistleblowing	38
Policy on Anti-Bribery and Corruption	38
Policy on ESG	51

3. POLICY INTO PRACTICE

The Board of Directors assumes overall responsibility for ensuring good governance, transparency, effective stewardship, and accountability across the Company. To fulfil this mandate, the Board has established a comprehensive governance framework that outlines the governance structure and the processes required to implement its policies and evaluate their effectiveness. This framework incorporates regulatory benchmarks, defines the roles of key stakeholder groups, and is supported by robust assurance mechanisms that collectively uphold strong governance practices.

3.1. Internal Governance Structure

GRI 2-13, 2-16

The internal governance structure is a vital part of the Company's management structure and is headed by the Board of Directors. The Board of Directors is empowered to act on behalf of the Company. As such, the internal governance structure consists of:

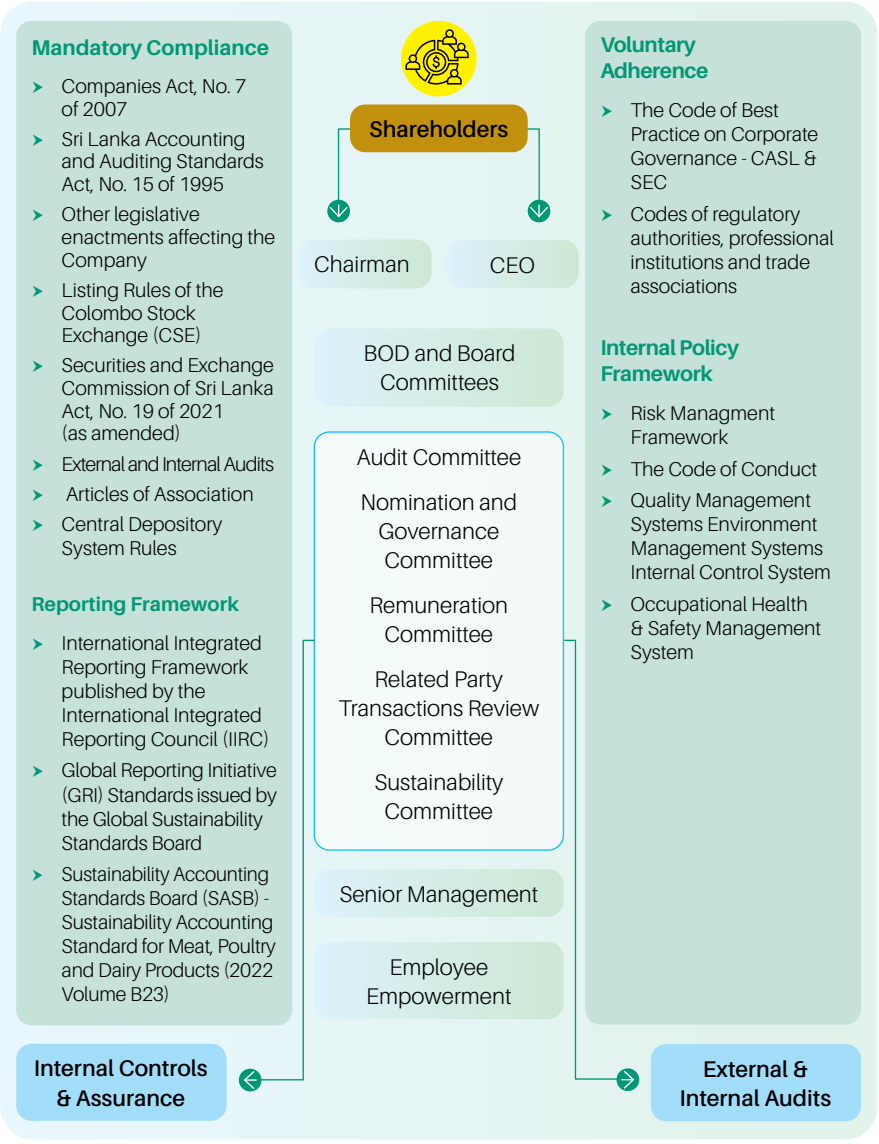
- The Board of Directors
- The Audit Committee and Other Board Committees
- The Group General Manager
- The General Manager
- Senior Management

These positions and Committees are supported by robust internal governance procedures and systems, driven by the Group's business plan. These mechanisms ensure that the Corporate Governance framework is effectively implemented and consistently executed across the organisation.

TAF's governance structure clearly outlines how the Board of Directors has designed and operationalised the governance process throughout the Company. Oversight of Corporate Governance practices rests with the Board, while the Chief Executive Officer (CEO) and functional managers hold accountability for day-to-day operations and the management of the Group's business units. Responsibilities and accountabilities for each function and business unit are defined in advance, ensuring smooth, consistent, and well-coordinated operational execution.

Internal Governance Structure

GRI 2-9



Corporate Governance Review

3.2. Governance Culture

The Board strives to implement an effective governance culture to encourage employees and stakeholders to commit to good governance practices. To encourage such Company-wide adoption of good governance practices, the TAF Board has implemented policies and procedures, including the Company's Code of Conduct to encourage employees to maintain ethical and transparent business practices.

4. THE BOARD OF DIRECTORS

4.1. Board Responsibilities

GRI 2-12

TAF's Board of Directors provides effective leadership to steer the Company towards achieving its strategic business goals and objectives. The Board is responsible for ensuring that the Company operates in full compliance with all applicable laws, regulations, and standards governing business operations. These encompass Sri Lankan laws relating to taxation, employment, Company operations, human rights, as well as industry-specific regulations and requirements set by regulatory authorities.

The Board also ensures it remains current with evolving compliance requirements through regular reviews of relevant laws and regulations. In discharging its overarching responsibility to shareholders and guiding the Company in achieving its objectives, the Board of Directors is entrusted with the following:

- Providing guidance on the formulation and implementation of a sustainable business strategy;
- Ensuring that the Executive Directors and key management team have the expertise, knowledge, and resources necessary to successfully implement the strategy, along with the appropriate succession plans;
- Conducting business functions efficiently and profitably to create shareholder value;
- Ensuring effective systems to secure the integrity of information, internal controls and risk management;
- Ensuring that the Group accomplishes its goals;
- Meeting regularly to establish and maintain the Company's direction and position;
- Providing guidance and direction to ensure the Company has adequate resources and that these are effectively utilised;
- Reviewing the Company's operating and financial performance and evaluating progress against plans and budgets;
- Ensuring that the Financial Statements are published quarterly and Annual Report is published at the end of the financial year;
- Ensuring compliance with laws, regulations, governance and ethical standards;
- Monitoring systems and Company procedures to ensure that internal controls are effectively planned and implemented;
- Ensuring all stakeholder interests are considered in corporate decision making;
- Reviewing and approving budgets, investment decisions ,Corporate Plans and major transactions including acquisitions, disposals and capital expenditures;
- Fulfilling any other function that is vital to the growth and success of the business;
- Recommending appointment/ removal of external auditor; and
- Promoting corporate citizenship.

Matters expressly reserved for Board approval are :



- Approval of Financial Statement



- Approval of Budget



- Major acquisitions, disposals and merges



- Major capital investments



- Board appointments and removals



- Remunerations of auditors and recommendations for appointment or removal of auditors.

Conflicts of the Interest

GRI 2-15

All Directors of the TAF Board are expected to uphold the highest standards of integrity and good faith in all matters conducted on behalf of the Company. In doing so, Directors must proactively avoid any situation that may result in an actual or perceived conflict of interest.

TAF has established clear and robust protocols for the identification, disclosure, and management of conflicts of interest. Directors are required to exercise due diligence in recognising potential conflicts and must disclose such interests to the Board without delay.

Each Director is required to formally declare all direct, indirect, beneficial, and non-beneficial interests in any existing or proposed contracts with the Company on annual basis. These declarations are recorded in the Directors' Interests Register, which is maintained in accordance with applicable regulatory requirements and remains available for inspection.

The Chairman of the Board

GRI 2-12

The Chairman of the Board is Mr. Wickrema Senaka Weerasooria and his main responsibility is to lead the Board to ensure good Corporate Governance is reinforced within the Company. He is also assigned the responsibility of maintaining the Board's composition which maintains the balance of power between Executive and Non- Executive Directors and facilitating the effective contribution of Non-Executive Directors to support the achievement of the Company's goals. The Chairman provides advice to the Board on the future direction of the Company. Further, the Chairman ensures that all the directors are aware of their duties and responsibilities and can effectively contribute to the benefits of the Company.

The Chief Executive Officer (CEO)

The CEO of the Company is delegated with the execution of the Company's business activities including implementation of business strategies approved by the Board. There is a clear division of responsibilities between the Chairman and the CEO, consistent with best practices that ensure no one individual has unfettered power over decision-making which confirms the balance of power and authority.

4.2. Board's Principal Roles and Functions

4.2.1. Providing Strategic Direction

The Board of Directors holds collective responsibility for shaping the Group's strategic direction, establishing corporate policies, and setting overall strategic objectives. It ensures that these corporate plans are clearly communicated to the Senior Management for effective execution.

The Board also maintains a defined schedule of matters reserved for its exclusive consideration, including overall strategy, annual budgets, business plans, management information, financial reporting, dividend declarations, major investments, and business acquisitions.

In addition, the Board is committed to continuously reviewing and monitoring the Company's performance against established objectives, while providing strategic guidance and specific directives to Senior Management as required.

4.2.2. Communication with Shareholders

GRI 2-16

At TAF, communication with shareholders is regarded as a vital component of Corporate Governance, ensuring transparency and the effective dissemination of information. The Board is responsible for providing statutory and other relevant disclosures to shareholders in a timely, accurate, and consistent manner.

In line with the Company's commitment to transparency, the Board has established clear policies for maintaining accurate accounting records and preparing Financial Statements that present a fair and balanced view of the Group's performance. The Board has also instituted measures to ensure full and timely disclosure of all major transactions and other significant information to shareholders.

Annual General Meetings and Extraordinary General Meetings are held as required to disseminate information regarding the Company's activities and to discuss shareholders views to :

- Provide an opportunity for shareholders to raise concerns and matters.
- Assess the effectiveness of TAF's engagement levels with shareholders.
- All shareholders are invited and are encouraged to attend the AGM.
- The AGM provides a platform for shareholders to seek and obtain clarifications on the company's activities.
- Participation of external auditors at the AGM.

The Group welcomes shareholders' independent advice on matters of investment and divestment while quarterly and annual results are prepared and presented in accordance with the Sri Lanka Financial Reporting Standards, the Companies Act, No.7 of 2007, the Colombo Stock Exchange (CSE) and the Securities and Exchange Commission (SEC) regulations.

In accordance with Listing Rule No. 9.4.2(a), the Company maintains a comprehensive policy to ensure effective and transparent communication with its shareholders and investors. In line with Rule No. 9.4.2(c), this policy also includes a formal procedure to keep all Directors informed of significant shareholder matters, concerns, and emerging issues.

Further details on these communication practices and related procedures are presented in the Stakeholder engagement section of this Report.



Policy on relation with shareholders and Investors

This Policy outlines the Company's commitment to transparent, fair, and effective engagement with shareholders and investors, ensuring that all communications and disclosures are accurate, timely, and in line with regulatory requirements. It applies to all personnel involved in investor relations and is supported by related governance policies. The Policy promotes equal treatment of all shareholders, protects their rights, and ensures clear communication through financial reporting, AGMs, and the corporate website. It guides the handling of material and related-party transactions, encourages constructive dialogue with institutional and individual investors, and requires internal controls and training to maintain high standards of compliance.

Corporate Governance Review

4.2.3. Overseeing Risk Management

The Board is responsible for overseeing the Group's risk management framework, with particular focus on Sustainability-Related Risks and Opportunities (SRROs). This responsibility reflects the Board's commitment to long-term value creation by guiding and monitoring the identification, assessment, and mitigation of significant risks especially those linked to environmental, social, and governance (ESG) factors and climate-related challenges.

In line with global sustainability standards, the Board integrates SRROs into the Group's overall business strategy. This includes identifying material impacts of operations on the environment and society, as well as addressing the Group's dependencies on essential environmental and social resources. ESG considerations such as physical risks from extreme weather events and transition risks arising from evolving regulatory frameworks are fully embedded into the Group's risk management processes.

By adopting this strategic approach, the Group not only minimises potential adverse impacts but also unlocks opportunities for innovation and sustainable growth. The Board plays an active role in evaluating risks, strengthening internal control systems, and providing policy guidance to address emerging challenges. This proactive involvement ensures regulatory compliance while enhancing the Company's resilience in navigating both current and future sustainability risks.

The Company's risk management framework is designed to safeguard its assets and operations comprehensively. Sustainability and climate-related risks are integrated across all business segments, supported by clear roles, responsibilities, and accountability mechanisms. Key focus areas include product safety, financial stability, health and safety, environmental protection, human resource management, operational efficiency, procurement, and engineering. By embedding SRROs across these areas, the Company aligns its risk practices with global best standards and contributes meaningfully to sustainable development.

As part of its governance mandate, the Board continuously reviews and updates the risk management process to remain aligned with regulatory changes and the evolving nature of sustainability and climate-related risks. This adaptive approach reinforces the Board's commitment to embedding sustainability as a core organisational principle driving strategic action, fostering resilience, and supporting long-term stakeholder value creation.

A comprehensive overview of the Risk Management Framework is presented in the Risk & Opportunity Management Report, available on pages 158.

4.2.4. Compliance

GRI 2-27

The Board of Directors holds the ultimate responsibility for ensuring that the Group operates in full compliance with all applicable laws, regulations, and industry standards. The Board remains continuously updated on regulatory developments and provides clear direction to Senior Management on required actions to uphold strong governance, ethical conduct, and regulatory compliance across the organisation.

4.2.5. Leadership and Succession Planning

The Board oversees leadership continuity across the organisation by reviewing executive performance, assessing leadership capabilities, and approving structured succession plans for key management positions. This ensures that the Company maintains strong and capable leadership to support long-term strategic goals.

4.2.6. Board Evaluation and Development

To uphold effective governance, the Board conducts periodic evaluations of the performance of the Board as a whole, its committees, individual Directors, and respective Chairpersons. In addition, the Board promotes continuous development by facilitating training and capacity-building programmes to enhance the skills and competencies of its members.

4.2.7.Monitoring Business Performance

The Board plays an active role in evaluating the Company's operational performance by reviewing business results, monitoring progress against key performance indicators (KPIs), and addressing operational challenges. Where required, the Board directs management to implement corrective actions to ensure sustained performance and organisational resilience.

4.2.8. Appointments to Board Committees

GRI 2-11

The responsibility for appointing members to the various Board Committees lies within the Board. The Board ensures that appointing members to Board committees is undertaken in conformity with the terms of reference of these Committees. Directors are appointed to the Audit, Remuneration, Nomination & Governance and Related Party Transactions Review Committees along with Key Senior Management personnel. Each Committee's functions as per clearly defined by its terms of reference. An overview of the operations and functions of these Board Committees is available on pages 151 to 156.

4.3. Board Composition

TAF's Board of Directors comprises six (6) members as at 31st December 2025. The Company is dedicated to maintaining a balanced Board structure with an appropriate mix of Executive, Non-Executive and Non-Executive Independent Directors that facilitates value creation to all stakeholders. These members bring in industry expertise, business and financial acumen that allow the Company to make rational and sound decisions for a sustainable and profitable future. The current TAF Board comprises one (1) Executive Directors three (3) Non-Executive Directors and two (2) Non-Executive

Independent Directors. This composition complies with the Listing Rules of the Colombo Stock Exchange, which require that a minimum of two members or one-third of the Board, whichever is higher, be Independent Directors. The names of the Directors and their detailed profiles are disclosed on Page 12 to 13 of the Annual Report.

Board Diversity and Competence

TAF recognises that a diverse and well-balanced Board is essential for strong governance, effective decision-making, and long-term value creation. In line with Listing Rule No. 9.5.1(c), the Company ensures that the Board represents an appropriate mix of skills, experience, independence, and perspectives, enabling it to oversee the organisation with clarity, objectivity, and strategic foresight.

Balanced Composition

The Board composition reflects a healthy balance between Executive and Non-Executive Directors, with the majority being Non-Executive members. This structure strengthens independence and enhances oversight across operational and strategic matters.

Similarly, the Board maintains an equal representation of Independent and Non-Independent Directors, fostering an environment of constructive challenge while ensuring robust governance processes.

Diversity of Expertise

The Board brings together a rich blend of professional expertise across key disciplines critical to TAF's business landscape. The combined skill set of the Directors includes: information technology, accountancy and finance, business management, banking and treasury, commercial law, science and industry expertise.

This diversity ensures that the Board possesses the analytical capability, technical knowledge, and sectoral insights required to guide the Company in an increasingly complex and competitive environment.

Experience and Tenure

The Board maintains a balanced mix of long-standing experience and fresh perspectives among its Non-Executive Directors.

- A majority of Non-Executive Directors have served for more than 10 years, bringing extensive institutional knowledge, continuity, and seasoned strategic insight to the Board.
- A further group of Directors with less than 5 years of service adds new insights, contemporary thinking, and added dynamism to the Board.

This blend supports continuity while encouraging innovation and adaptability within the governance framework.

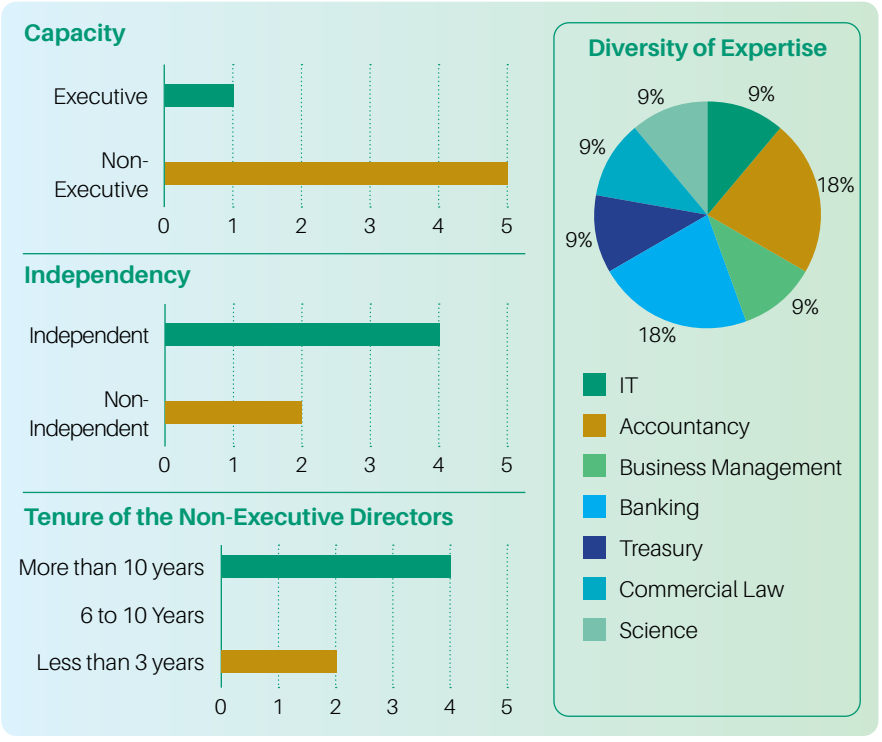
Commitment to Strong Financial Literacy

To meet the requirements of Section A.04 of the Code of Best Practice on Corporate Governance, the Board maintains adequate financial literacy among its members. Directors with backgrounds in accounting, finance, and Treasury play a vital role in ensuring that financial oversight, risk evaluation, and strategic capital allocation are managed with high competence.

A Board Equipped for the Future

The collective expertise, diversity, and balanced composition of the TAF Board ensure that it is well-positioned to steer the Company responsibly, uphold strong governance principles, and respond effectively to emerging challenges and opportunities.

Together, these attributes strengthen TAF's ability to deliver sustainable growth while meeting the expectations of its stakeholders and regulatory bodies.



Corporate Governance Review

Composition of Board and Board Committees attendance at meetings for 2025

Name of the Director	Expertise field	Age	Date Joined	Capacity	No. of Shares Held	Board			Board Committees			
						Position	No. of Meetings Held	No. of Meetings Attended	Audit Committee	Nomination and Governance Committee	Remuneration Committee	Related Party Transactions Review Committee
Mr. Wickrema Senaka Weerasooria	IT, Commerci al Law and Science	61	15-Feb-2015	Non-Executive Chairman	2000	Chairman	4	4	Member	Member	Member	Member
Mr. Cheng Chih Kwong	Accountancy and Business Management	77	Since 1998	Executive Director and Chief Executive Officer	19	Member	4	4	-	-	-	-
Mr. Bernard Cheng Koh Chuen	Business Administration	52	1-Aug-2012	Non-Executive Director	-	Member	4	4	-	-	-	-
Mr. Indrajit Asela Wickramasinghe	Managem Banking , Businessent,	72	1-Oct-2001	Non-Executive Independe nt Director	-	Appointed	4	4	Member	Chairman	Chairman	Member
Mr Timothy Allan Brent Speldewinde	Accounting	65	1-Jan-2025	Non-Executive Independe nt Director	-	Member	4	4	Chairman	member	Member	Chairman
Mr. Sunil Leeniyagoda	Banking,Business Management	59	1-Jan-2025	Non-Executive Director	-	Member	4	4	-	-	-	-

4.4. Board Evaluations and the Appraisal of the Chief Executive Officer

GRI 2-18

The Board regularly assesses its own and sub-committees' performance as well as the performance of the Chief Executive Officer to ensure assigned responsibilities are properly carried out in fairness to the Company and its stakeholders. During the year under review, an appraisal was made relating to Board composition. The Board determined that the knowledge and expertise of current Board members match the strategic demands of the Group.

Disclosure of Information in respect of directors

A brief profile of the individual members of the Board of Directors is on pages 12 to 13.

4.5. Board Skills

When formulating the balance between different members of the Board, a vital consideration is the maintenance of Board Diversity in enabling effective collective decision making. Currently, the Board comprises members who collectively offer a wide range of skills to the Company including finance, administration, management, law, economics, marketing, taxation, and human resources. Therefore, the directors possess a high level of integrity and judgment supported by these diverse skills and expertise. Besides, the Board also displays the required financial acumen and knowledge to offer guidance on these matters to the Company.

TAF is also cognisant of the necessity to maintain an appropriate mix of skills and expertise within the Board. Hence, frequent reviews of the Board are carried out in order to ensure the skills represented by the Board members match the current and future skills requirements of the Company.

In-line with the financial acumen, the Board includes one (1) Certified Practising Accountant and a fellow member of the Institute of Chartered Accountant who are better in a position to offer the guidance on financial matters who holds the Chair of the Audit committee

4.5.1. Procedure to Obtain Independent Professional Advice

The Board of Directors solicits independent professional advice that may be required in discharging its responsibilities during the business decision-making at the Company's expense, which is generally coordinated through the General Manager of the Company.

4.5.2. Continuous Training and Development

GRI 2-17

The Group is dedicated to empowering all employees including the Board of Directors by allowing them to enhance their skills, knowledge, and expertise. The Directors are given opportunities to familiarise and obtain an in-depth understanding of the Company's business, its strategies, risks and processes, at their discretion.

Training is provided to Directors to enable them to discharge their responsibilities effectively. Further, training allows directors to continuously refresh their knowledge and stay updated on the emerging trends in the industry. This includes training provided by principals, external and in-house training. Training and development needs are reviewed on a regular basis.

Directors are briefed on changes in laws and regulations, tax laws and accounting standards from time to time, either during the Board meetings or at specially convened sessions. Additional follow-up meetings are arranged for the Directors to obtain the required knowledge, if they wish to gain a greater understanding of a subject.

4.6. Changes to the Board

4.6.1. Board Tenure

Directors are appointed and recommended for re-election until they reach the age of retirement prescribed by the Company. During the year under review, there were no such retirements by members of the Board of Directors.

Re-election/ Re-appointment

One-third of the Directors retire at Annual General Meetings by rotation on the basis prescribed in the Articles of Association of the Company and remain eligible for re-election. The re-election of Directors allows the shareholders to have an opportunity to review the composition of the Board. The names of the Directors submitted for re-election are provided to the shareholders in advance, to enable them to make an informed decision concerning their election.

Names of retiring Directors eligible for re-election at the upcoming Annual General Meeting are given in the Notice of the Annual General Meeting of the Company on page 286.

Directors who retire are those who have serves the longest, since their appointment or re-election. Moreover, any new Director who has been appointed to the Board to fill a casual vacancy during the year, is also required to stand for re-election at the next Annual General Meeting.

4.7. Timely Supply of Information

All members of the Board are continually updated and supplied with timely, accurate and comprehensive information to enable them to successfully perform their duties. This includes, quarterly performance reports, along with any additional reports or documentation considered relevant. The Chairman makes sure that all Directors are well-informed on matters that come up during meetings, thus allowing Board members to engage in a healthy debate, establishing a process of improved decision-making geared towards the progress of the Company.

Directors are provided access to the following information:

- Board minutes, reports and agendas are circulated before Board meetings, providing sufficient time to review and call for any additional information and clarification;
- Clarification on any matter contained in the minutes;
- The advice of experts and professional if required;
- Advice and services provided by the Company Secretary;
- Information, wherever necessary, to carry out duties and responsibilities more effectively and efficiently; and
- Information updates from management on topical matters, formulation of new regulations and best practices, as relevant to the Company's business.

4.8. Board Meetings and Governance Practices

The Board of Directors of TAF meets at least on a quarterly basis to provide effective oversight of the Company's operations, financial performance, and strategic direction. Additional meetings are convened as necessary, depending on business priorities and emerging matters that require Board attention. These meetings enable the Board to engage in detailed discussions, review progress against key objectives, and address challenges in a timely and informed manner.

To strengthen the quality of decision-making, senior executives and relevant members of management are invited to attend Board meetings when their expertise is required, based on the agenda. Their participation ensures that the Board receives comprehensive insights into operational developments and facilitates strong collaboration between the Board and the leadership team.

The Chairman plays a pivotal role in ensuring that Board meetings are conducted efficiently and in line with best Corporate Governance practices. Responsibilities include leading discussions, setting the agenda, and ensuring that all Directors have the opportunity to express their views. By fostering an open, transparent, and constructive environment, the Chairman supports well-rounded deliberations and guides the Board in steering the Company's long-term strategic direction.

The Managing Director/Chief Executive Officer provides regular updates during Board meetings, covering business performance, operational progress, strategic initiatives, and key risks and opportunities. These insights enable the Board to make well-informed decisions and effectively monitor the implementation of strategies across the organisation.

Board Secretary

S S P Corporate Services (Private) Limited are the Company Secretaries to the Board, and are available to ensure the efficient conduct at Board meetings and provision of the necessary information to all Directors prior to meetings where Key Performance Indicators (KPIs) are reviewed.

Corporate Governance Review

The Company Secretaries holds the responsibility of ensuring that good governance requirement is discussed and implemented by the Board of Directors. The General Manager regularly updates the Board on current business matters and reports on the latest financial position of the Company at Board Meetings.

Board Minutes

The Company Secretary prepares the Board minutes. In the event of a matter not being unanimously adopted at a Board meeting, the concerns expressed in such situations are recorded in the minutes of the meeting. Minutes of the Board meetings are circulated to all Directors and adopted at the subsequent Board meeting. Follow up actions are taken on outstanding matters.

4.9. Board Committees

The Board has established five (5) Committees in order to monitor, review and enhance the accountability in selected key areas of business operations. This allows the Board to further uphold the good governance practices within the Group. The four Board Committees are:

1. Audit Committee
2. Nomination and Governance Committee
3. Remuneration Committee
4. Related Party Transactions Review Committee
5. Sustainability Committee

These Committees carry out their duties and responsibilities consistent with the terms of reference set out by the Board. The proceedings of their meetings are regularly communicated to the Board.

Audit Committee

The Audit Committee of the Company plays a pivotal role in safeguarding the integrity of financial reporting and maintaining robust internal controls. The Committee operates under a clearly defined Terms of Reference, in compliance with CSE Listing Rule No. 9.13.2. In line with Listing Rule No. 9 of the CSE, the Committee effectively fulfilled its responsibilities during the year through a series of focused activities and thoughtful deliberations.

Nomination and Governance Committee

During the year, the Nomination & Governance Committee of the Company effectively discharged its responsibilities by overseeing the Board nomination process, succession planning, and the implementation of strong governance practices. The Committee actively evaluated the performance of the Board, its committees, the respective chairpersons, and the CEO. Additionally, it recommended new Board appointments and ensured that the Company's governance frameworks remained robust, aligned with Section A.07 of the Code, and compliant with the CSE Listing Rules.

Remuneration Committee

The Remuneration Committee of the Company has diligently carried out its responsibilities throughout the year, ensuring that executive compensation is closely aligned with the Company's performance and strategic objectives. The Committee reviewed the remuneration packages of executive directors and senior management to ensure they remain competitive and reflect prevailing market standards. In addition, it assessed incentive structures to promote performance while safeguarding shareholder interests.

In compliance with CSE Listing Rule No. 9.11, the Committee's members are independent non-executive directors, as stipulated by Rule No. 9.11.1. Its composition and operations adhere to the Code of Best Practice on Corporate Governance, particularly Section 8.3, which emphasizes transparency in remuneration policies and practices.

The Committee also operates under a formally approved Terms of Reference, as required by CSE Listing Rule No. 9.12.5.

Related Party Transactions Review Committee

The Related Party Transactions (RPT) Review Committee is responsible for ensuring that all related party transactions are carried out in compliance with CSE Listing Rule No. 09 and LKAS 24, and that such transactions are conducted in the best interests of the Company and its shareholders. In adherence to the Corporate Governance requirements under Listing Rule No. 9, the Committee diligently fulfilled its duties during the year, overseeing and reviewing RPTs through a series of structured activities, evaluations, and deliberations.

Sustainability Committee

The Sustainability Committee was established for overseeing the Group's sustainability initiatives and ensuring the effective integration of Environmental, Social, and Governance (ESG) considerations into CGE's operations. The Committee is responsible for identifying and evaluating sustainability-related risks and opportunities in alignment with the latest regulatory requirements, including the SLFRS S1 and S2 standards.

In fulfilling its mandate, the Committee works closely with the Board and Corporate Management to develop, implement, and monitor sustainability strategies that support the Group's corporate objectives and meet the expectations of its stakeholders.

Management Committee / HOD Meetings

TAF has established a structured management oversight mechanism through monthly Heads of Department (HOD) Meetings, which serve as the primary platform for discussing operational matters, addressing challenges, and driving organisational improvements.

This committee-style forum strengthens internal coordination and ensures the effective implementation of Corporate Governance across the Company.

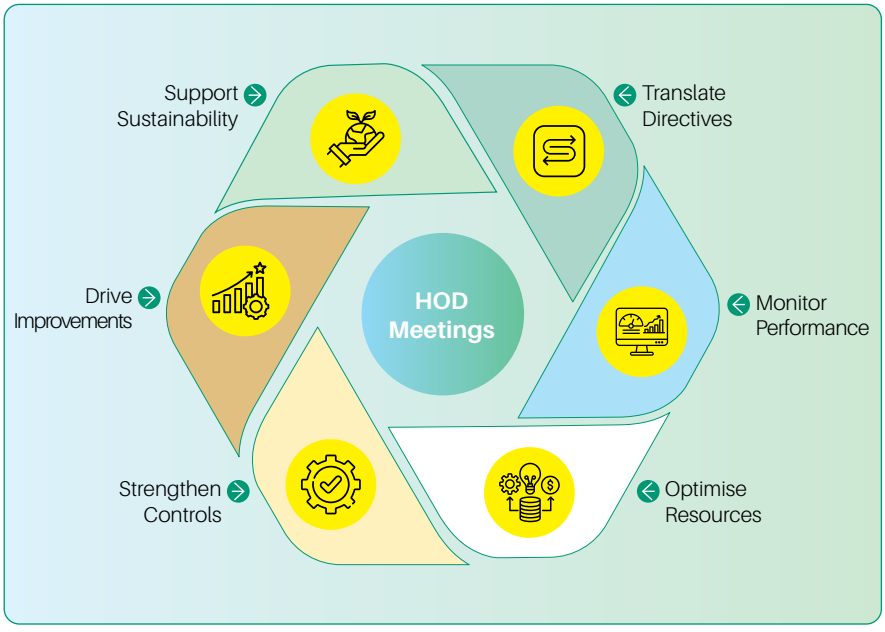
The HOD Meeting Committee consists of key members of senior management, including department heads representing all major business and support functions. The collective expertise of the group ensures that decisions are well-informed, practical, and aligned with the Company's strategic direction.

The Committee is chaired by the General Manager , who provides strategic leadership and guides discussions to ensure that the Company's priorities, performance goals, and compliance requirements are consistently met.

Role and Responsibilities

The HOD Meetings function as the Company's central management platform responsible for:

- Translating Board directives into actionable operational plans.
- Monitoring departmental performance, identifying risks, and prioritising critical issues.
- Ensuring resource optimisation and effective coordination between operational and support functions.
- Strengthening internal controls and governance practices through timely review and follow-up actions.
- Driving continuous improvements by reviewing gaps, proposing solutions, and ensuring accountability.
- Supporting the implementation of sustainability initiatives, including ESG-related objectives across departments.



Key Functions of the Committee

- Reviewing monthly operational performance, budgets, and KPIs.
- Identifying emerging challenges and ensuring prompt corrective actions.
- Enhancing inter-departmental collaboration for process efficiency and workflow improvements.
- Overseeing implementation of Company wide policies, SOPs, and regulatory requirements.
- Monitoring progress of strategic projects, digitisation efforts, and system upgrades.
- Ensuring alignment between day-to-day operations and the Company's long-term strategic goals.

Corporate Governance Review

Composition and responsibilities of board committees

Committee	Members	Responsibilities	Committee Report
Audit Committee	Three (3) members including one (1) Non-Executive Chairman and two (2) Non-Executive Independent Directors.	The Audit Committee is responsible for assisting the Board in accomplishing its oversight responsibilities in the financial reporting process.	Pages 151 to 153
Nomination and Governance Committee	Three (3) members including one (1) Non-Executive Chairman and two (2) Non-Executive Independent Directors.	The Nomination and Governance Committee makes recommendations to the Board on all new Board appointments and annually assesses Board composition to ascertain whether the combined knowledge and experience of the Board matches the strategic demands facing the Company.	Page 155
Remuneration Committee	Four (4) members including one (1) Non-Executive Chairman, one (1) Non-Executive Director and two (2) Non-Executive Independent Directors	The Remuneration Committee is responsible to the Board for determining the remuneration policy for Directors and Senior Managers.	Page 154
Related Party Transactions Review Committee	Four (3) members including one (1) Non-Executive Chairman and two (2) Non-Executive Independent Directors.	The Related Party Transactions Review Committee is responsible for the review of all the related party transactions complying with the Listing Rules of the Colombo Stock Exchange and with the Code of Best Practices on Related Party Transactions issued by the Securities and Exchange Commission of Sri Lanka.	Pages 156 to 157
Sustainability Committee	The Sustainability Committee consists of two (2) Non-Executive Independent Directors and one (1) Non- Executive Chairman.	The Board is responsible for overseeing the ESG framework of the Company and ensuring compliance with regulatory requirements.	Pages 177 to 181

5. SHAREHOLDER / INVESTOR RELATIONSHIP

TAF's Corporate Governance System considers Stakeholder Management as an important element. The primary means of communication between the Company and its Stakeholders are the Annual and Quarterly Financial Reports and the Annual General Meeting (AGM).

5.1.Release of Information to the Public and CSE

All material and price-sensitive information is communicated to the CSE in a timely and accurate manner to minimise the information gap between the shareholders / investors and the Company.

5.2. Annual General Meetings

An effective relationship with shareholders is retained by conducting AGMs where every shareholder is given a chance to vote and raise specific queries regarding the Company's operations.

5.3. Serious Loss of Capital

In the unlikely event of the net assets of the Company falling below one-half of its stated capital, all shareholders would be notified through an Extraordinary General Meeting (EGM) in terms of Section 220 of the Company's Act No. 7 of 2007.

5.4. Going Concern

The Company always maintains sufficient financial resources, along with a diversified business model and a range of related businesses. The Board of Directors, on the recommendations of the Audit Committee, is satisfied that the Company has sufficient resources to continue its operation as a going concern for the short term. Thus, the Company will continue to adopt a going concern stance in the preparation of the final accounts.

6. INTERNAL CONTROL MECHANISM

The effectiveness of the internal control system of TAF is ensured through frequent reviews and an appropriate monitoring mechanism. The Board of Directors, along with the Audit Committee, is entrusted with the responsibility for the system of internal controls of the Company and for assessing its effectiveness. This system is designed to protect the assets of the Company against unauthorised use or disposal together with a well-structured documentation procedure. The internal control mechanism is in place to ensure the proper management of all financial, operational, risk management and compliance controls of the Company.

The Group's Internal Audit Division carries out the Internal Audit function to ensure the internal control function of the Company performs accurately according to the prescribed standards of the Company.

The Audit Committee reviews the processes and effectiveness of internal control mechanisms of the Company and reports to the Board so that the Board of Directors can take the final responsibility for the disclosures on internal controls to ensure the maintenance of a sound system within the Company.

6.1. Adoption of Best Practices

TAF's governance practices are based on the core values and beliefs of the Company which are founded on ethical, transparent, and sustainable business practices. Besides, to be fully compliant with all regulatory requirements relating to good governance, the Company also strongly believes that the adoption of voluntary best practices is the mainstay of the Group's transparent and ethical business philosophy which supports sustainable business growth and shareholder value creation and satisfaction.

6.2. Regulatory Framework

TAF's Corporate Governance practices are controlled and directed by a well-structured framework that consists of statutes, regulations, codes, internal and external governance systems and control and certification mechanisms.

6.3. Compliance and Adherence

Compliance with mandatory and voluntary regulatory governance requirements is established through an effective monitoring mechanism adopted by the Group as well as the timely review of governance structures. The Board of Directors and Board sub-committees monitors the levels of adherence to specific regulations.

7. INTERNET OF THINGS AND CYBER-SECURITY

7.1. Board's Responsibility

The Board frequently monitors the latest developments in the IT field and conducts discussions on how such developments can be utilised to enhance the efficiency and the effectiveness of the Group operations. The Group is equipped with Wi-Fi and network facilities including computing equipment that allows it to send and receive information. Moreover, the Board investigates cybersecurity risks that may affect the business while designing and implementing IT General and Application controls to ensure the security of confidential information. The Board has assigned a General Manager / Country IT Head who oversees Cybersecurity Risk Management. The General Manager / Country IT head is a qualified IT professional and possesses the required expertise to ensure cybersecurity. He offers necessary information about cybersecurity and is accountable for the development of the IT Budget and IT Risk Management policies of the Group, which will consequently be evaluated and approved by the Board.

7.2. Effectiveness of the Cybersecurity Risk Management System

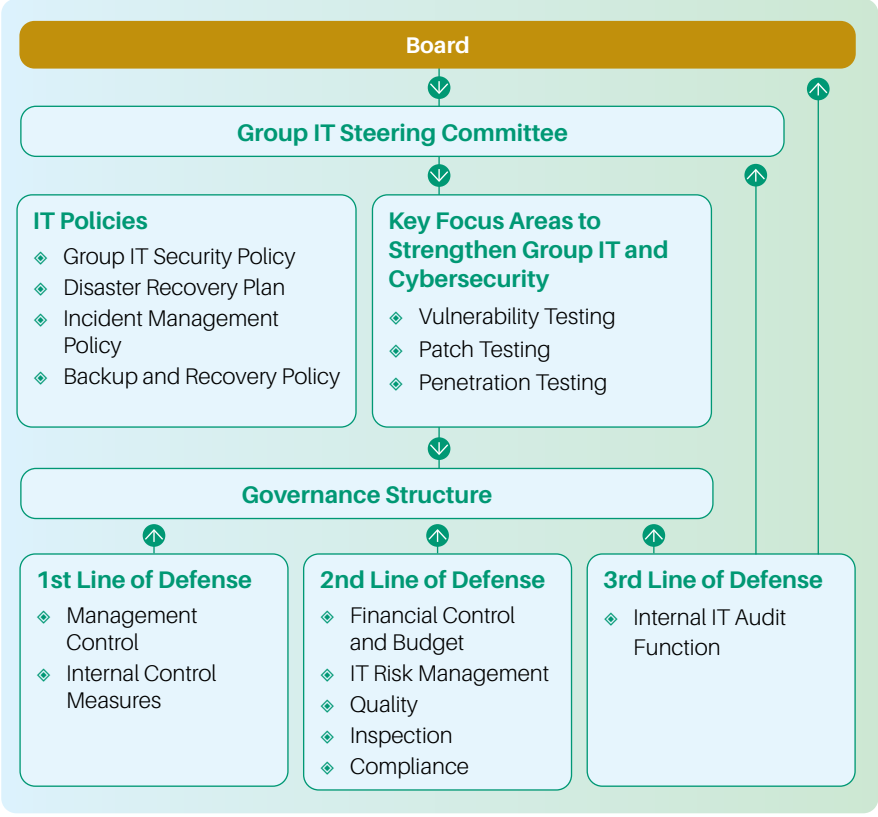
The Board ensures the effectiveness of Cybersecurity Risk Management through periodic review and assurance.

7.3. Group IT Steering Committee

The Group IT Steering Committee is responsible for ensuring the governance framework by implementing IT best practices within the Group, and minimising IT operational risk. The Committee further oversees large investments in ICT and emerging technologies to upgrate existing technology within the Group and optimise IT performance.

7.4. IT Governance Structure

The Group IT Steering Committee maintains a strong governance structure, as illustrated below, inclusive of the 3 lines of defence model of governance, policies and procedures within the Group.



Corporate Governance Review

8. ENVIRONMENT, SOCIAL AND GOVERNANCE (ESG)

GRI 2-9, 12,13, 14

By incorporating ESG principles into its risk assessment and strategic decision-making processes, the Company not only mitigates sustainability-related risks but also identifies and seizes opportunities that contribute to long-term value creation. This comprehensive and forward-thinking alignment reinforces the sustainability of operations, ensuring resilience to emerging challenges while fostering stakeholder trust and maintaining a competitive advantage in the marketplace.

ESG considerations form an integral part of TAF's long-term business strategy and overall value-creation process. Guided by the respective Sustainability Team Heads, the Board continuously reviews, identifies, and responds to ESG-related risks and opportunities that influence TAF's performance across the short, medium, and long term.

In June 2023, the International Sustainability Standards Board (ISSB) issued IFRS S1 and IFRS S2, reflecting the global shift toward elevating sustainability reporting to the same level of importance as financial reporting.

- IFRS S1 -outlines the General Requirements for Sustainability-Related Financial Information.
- IFRS S2- focuses specifically on Climate-Related Disclosures.

Recognising the relevance of these global standards, CA Sri Lanka adopted them as SLFRS S1 and SLFRS S2, incorporating local context to suit Sri Lankan business environments. Effective from 1 January 2025, these standards ensure that companies in Sri Lanka align with international best practices while maintaining local regulatory compliance.

TAF's Sustainability Governance Structure

To proactively prepare for these regulatory changes and to embed sustainability into its core business operations, TAF has established a strong internal governance framework for sustainability.

- **Establishment of the Sustainability Committee**

Formed in February 2024, the Sustainability Committee is responsible for guiding the Company's sustainability journey. The Committee ensures that TAF's practices are aligned with global sustainability frameworks, including SLFRS S1 and SLFRS S2, while driving the integration of Environmental, Social, and Governance (ESG) considerations into business operations.

- **Appointment of the Sustainability Management Team**

The Sustainability Management Team works closely with the Committee to ensure effective implementation of sustainability initiatives. Its role includes:

- Coordinating sustainability activities across departments
- Tracking progress against sustainability goals
- Ensuring that operational practices reflect the Company's long-term sustainability commitments

Together, the Sustainability Committee and the SMT provide strong oversight, promote accountability, and help TAF deliver long-term value to stakeholders.

- **Formation of Sustainability Sub-Teams**

To strengthen execution and ensure focused action in key priority areas, TAF established three specialised Sustainability Sub-Teams under the Sustainability Management Team:

a. Energy Team

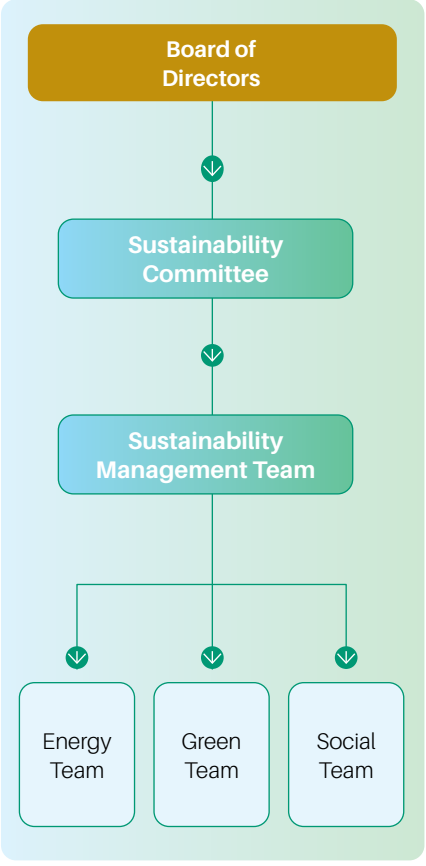
Responsible for driving energy efficiency, optimising electricity and fuel consumption, and exploring renewable energy opportunities. The team identifies saving potentials, monitors consumption trends, and proposes initiatives to reduce the Company's overall energy footprint.

b. Green Team

Focused on environmental management initiatives such as waste reduction, recycling, water conservation, pollution control, and overall resource optimisation. The team ensures alignment with environmental standards and promotes environmentally responsible practices across the Company.

c. Social Team

Handles social sustainability aspects, including employee welfare, training and development, community engagement, health and safety, and stakeholder well-being. The team strengthens TAF's commitment to being a responsible corporate citizen.



In alignment with the new Corporate Governance listing rules issued by the CSE in 2025, the Board formally approved a Policy on Environmental, Social, and Governance (ESG) Sustainability. This policy was implemented with effect from September 2024, reflecting the Company's commitment to sustainable and responsible business practices.

8.1. Provision of Information to Investors

The Company has included environmental, social and governance factors in its business models and sufficient information in the Annual Report can be found under "Approach to Sustainability and Commitment to the SDGs," available on pages 177 to 181.

8.2. The Environment

The Company adopts an integrated approach that alleviates environmental threats and enhances best practices in the Company's engagements to fulfill its obligation towards the environment. Such best practices include pollution prevention, sustainable resource use, protection of the environment and biodiversity and restoration of natural resources.

8.3. Social Factors

The Company adopts an integrated approach to build a strong relationship with the community and strives towards sustainable development.

8.4 Governance

The Group established a governance structure to support its ability to create value and manage risks on all pertinent aspects of ESG. As part of its commitment to long-term value creation, the Board actively monitors and directs the identification, evaluation, and management of Sustainability-Related Risks and Opportunities (SRROs) including Climate-Related Risks and Opportunities (CRROs) such as physical risks, from extreme weather events and transition risks related to evolving regulatory frameworks.

9. DISCLOSURES

The tables given below provide the relevant details and disclosures mandated by the Companies Act, No.7 of 2007 and the Listing Rules of the CSE.

9.1. Disclosures required by the Companies Act No.7 of 2007

Section Reference	Requirement	Insert page numbers
168 (1) (a)	The nature of the business of the Group and the Company, together with any change thereof during the accounting period	Page 229
168 (1) (b)	Signed Financial Statements of the Group and the Company for the accounting period completed	Pages 237 to 279
168 (1) (c)	Auditor's Report on Financial Statements of the Group and the Company	Pages 233 to 236
168 (1) (d)	Accounting policies and any changes therein	Pages 241 to 252
168 (1) (e)	Particulars of the entries made in the interests register during the accounting period	Page 229
168 (1) (f)	Remuneration and other benefits paid to Directors of the Company during the accounting period	Page 275
168 (1) (g)	Corporate donations made by the Company during the accounting period	Page 229
168 (1) (h)	Information on the Directorate of the Company and its subsidiaries during and at the end of the accounting period	Pages 12 to 13
168 (1) (i)	Amounts paid / payable to the External Auditor as audit fees and fees for other services rendered during the accounting period	Page 253
168 (1) (j)	Auditor's relationship or any interest in the Company and its Subsidiaries	Page 230
168 (1) (k)	Acknowledgement of the contents of this Report and Signatures on behalf of the Board	Pages 231 to 232

Corporate Governance Review

9.2. Disclosures required by Section 9 of the Listing Rules of the Colombo Stock Exchange

Rule No.	Subject	Requirement	Compliance status	Remarks
Disclosures Regarding Board of Directors				
9.2.1	Policies	Listed Entities shall establish and maintain the 12 Policies and disclose the fact of existence of such policies together with the details relating to the implementation of such policies by the Entity on its website;	Compliant	Corporate Governance Review - Page 125
9.3.3	Chairperson of the Board of Directors	Chairperson of the Board of Directors cannot be the chairperson of 1) Nominations and Governance Committee, 2) Remuneration Committee, 3) Audit Committee, 4) Related Party Transaction Review Committee	Compliant	Mr.Wickrama Senaka Weerasooria, Chairman, does not hold chairmanship in any committee
9.6.1	Chairperson and CEO duality	The Chairperson of every Listed Entity shall be a Non-Executive Director and the positions of the Chairperson and CEO shall not be held by the same individual unless otherwise a SID is appointed by such Entity.	Compliant	Mr.Wickrama Senaka Weerasooria, Chairman, is a Non-Executive Director and the positions of the Chairperson and CEO are not held by the same individual
9.7.2	Fitness of Directors and CEO	Listed Entities shall ensure that persons recommended by the Nominations and Governance Committee as Directors are fit and proper as required in terms of these Rules	Compliant	Declaration as per the listing rules related to fit and proper assessment criteria has been obtained and ensured that the said criteria are met by all the Directors
9.8.1	Minimum Directors	The Board of Directors of a Listed Entity shall, at a minimum, consist of five (05) Directors	Compliant	Corporate Governance Review - Page 132
9.8.2(a)	Independent Directors	The Board of Directors of Listed Entities shall include at least two (2) Independent Directors or such number equivalent to one third (1/3) of the total number of Directors of the Listed Group at any given time, whichever is higher.	Compliant	Corporate Governance Review - Page 132

Rule No.	Subject	Requirement	Compliance status	Remarks
9.8.3(ix)	Independence criteria	Revision to Independence Criteria as prescribed in this rule.	Compliant	Mr.Wickrama Senaka Weerasooria, ceased from an Independent Non-Executive Chairman with effect from 31st December 2024 and was positioned as Non-Executive Chairman with effect from 1st January 2025. Mr. I.A. Wickramasinghe and Mr. T.A.B. Speldewinde were appointed as the new Independent Non-Executive Directors with effect from 1st January 2025
9.8.5 (a)	Independent Directors	Each Non-Executive Director should submit a declaration of independence / non-independence in the prescribed format annually.	Compliant	Non-Executive Directors have submitted declarations during the year 2025
9.10.2 (i-iii)	New appointment of Directors	A brief resume of the newly appointed Directors should be provided to the Colombo Stock Exchange for dissemination to the public.	Compliant	Board of Directors - Pages 12 to 13
9.10.4(a-i)	The disclosure relating to Directors	1. A brief resume of each Director should be included in the Annual Report including the area of his / her expertise. 2. Disclosure on material business relationship with other directors of the Company 3. Committee Meeting Attendance & the position bearing of each board committee	Compliant	Board of Directors - Pages 12 to 13 Report of the Board of Directors on the State of Affairs of the Group - Pages 229 to 231 Committee Reports -Pages 151 to 156
Disclosures Regarding the Nomination & Governance Committee				
9.11.1	Nomination & Governance Committee	Listed Entities shall have a Nominations and Governance Committee	Compliant	Nomination and Governance Committee Report - Page 155
9.11.4	Composition of Nomination & Governance Committee	The members of the Nominations and Governance Committee shall comprise a minimum of three (03) Directors of the Listed Entity, out of which a minimum of two (02) members shall be Independent Directors of the Listed Entity and not comprise of Executive Directors of the Listed Entity.	Compliant	Nomination and Governance Committee Report - Page 155

Corporate Governance Review

Rule No.	Subject	Requirement	Compliance status	Remarks
9.11.5	Functions of the Nomination & Governance Committee	i. Evaluate the appointment of Directors to the Board of Directors and Board Committees of the Listed Entity. ii. Consider and recommend the re-appointment/re-election of current Directors iii. Establish and maintain formal and transparent procedure/criteria to evaluate, select and appoint/ re-appoint Directors of the Listed Entity. iv. Develop succession plan for Board of Directors and Key Management Personnel of the Listed Entity v. Review and recommend the overall corporate governance framework of the Listed Entity taking into account the Listing Rules of the Exchange, other applicable regulatory requirements and industry/ international best practices.	Compliant	Nomination and Governance Committee Report - Page 155
9.11.6	Disclosure in Annual Report	a) the names of the Chairperson and members of the Committee and the nature of directorships held by such members); b) the date of appointment to the Committee; c) whether a documented policy and processes are in place when nominating Directors; d) whether all directors should be required to submit themselves for re-election at regular intervals and at least once in every three (3) years; e) a disclosure on Board diversity in the range of experience, skills, age, and gender as an essential factor for effective Board performance;	Compliant	Nomination and Governance Committee Report - Page 155

Rule No.	Subject	Requirement	Compliance status	Remarks
Disclosures Regarding the Remuneration Committee				
9.12.2	Remuneration Committee	A Listed Company shall have a Remuneration Committee.	Compliant	Remuneration Committee Report - Page 154
9.12.6(1)(a)	Composition of Remuneration Committee	The members of the Remuneration Committee shall comprise of a minimum of three (03) Directors of the Listed Entity, out of which a minimum of two (02) members shall be Independent Directors of the Listed Entity.	Compliant	Remuneration Committee Report - Page 154
9.12.7 (2)	Functions of the Remuneration Committee	The Remuneration Committee shall recommend the remuneration of the Chief Executive Officer and Executive Directors.	Compliant	Remuneration Committee Report - Page 154
9.12.8	Disclosure in Annual Report	(a) Names of the Chairperson and members of the Remuneration Committee and the nature of directorships held by such members (b) A statement regarding the remuneration policy (c) The aggregate remuneration of the Executive and Non-Executive Directors	Compliant	Remuneration Committee Report - Page 154
Disclosures Regarding the Audit Committee				
9.13.1	Audit Committee	A Listed Company shall have an Audit Committee.	Compliant	Audit Committee Report - Pages 151 to 153
9.13.3 (1) & 9.13.3 (7)	Composition of the Audit Committee	The Committee shall comprise of Non-Executive Directors, the majority of whom shall be independent. The Chairman of the Committee should be a Member of a recognised professional accounting body	Compliant	Audit Committee Report - Pages 151 to 153
9.13.4(1)	Functions of the Audit Committee	a. Oversee the Entity's compliance with financial reporting requirements, information requirements under these Rules, the Companies Act and the SEC Act and other relevant financial reporting related regulations and requirements.	Compliant	Audit Committee Report - Pages 151 to 153

Corporate Governance Review

Rule No.	Subject	Requirement	Compliance status	Remarks
		b. Review the quarterly results and year-end Financial Statements with special reference to major accounting policy changes, significant management judgments, conflict of interest situation and external auditor resignation and re-appointment.	Compliant	Audit Committee Report - Pages 151 to 153
		c. To make recommendations to the Board pertaining to appointment, re-appointment and removal of external auditors and to approve the remuneration and terms of engagement of the external auditors.	Compliant	Audit Committee Report - Pages 151 to 153
		d. Obtain and review the assurance received from CEO and FC on the financial records which have been properly maintained and given a true and fair view of the Company's operations and finances.	Compliant	Audit Committee Report - Pages 151 to 153
		e. Review processes to ensure the adequacy of TAF internal controls and risk management procedures, risk policies to meet the requirements of the Sri Lanka Auditing Standards and to prevent the leakage of material information to unauthorised persons.	Compliant	Audit Committee Report - Pages 151 to 153
9.13.5	Disclosure in Annual Report relating to the Audit Committee	a. Names of Directors comprising the Audit Committee.	Compliant	Audit Committee Report - Pages 151 to 153
		b. The Audit Committee shall make a determination of the independence of the Auditor and disclose the basis for such determination.	Compliant	Audit Committee Report - Pages 151 to 153
		c. The Annual Report shall contain a Report of the Audit Committee setting out the manner of compliance with their functions.	Compliant	Audit Committee Report - Pages 151 to 153
Disclosures Regarding Related Party Transactions Review Committee				
9.14.2	Composition of the Related Party Transactions Review Committee (RPTRC)	The Related Party Transactions Review Committee shall comprise a minimum of three (03) Directors of the Listed Entity, out of which two (02) members shall be Independent Directors of the Listed Entity	Compliant	Related Party Transactions Review Committee Report - Pages 156 to 157

Rule No.	Subject	Requirement	Compliance status	Remarks
9.14.3	Functions of the Related Party Transactions Review Committee (RPTRC)	1. Reviewing the Related Party Transactions, as set out 2. Ensuring interests of shareholders as a whole are taken into account by a Listed Entity when entering into Related Party Transactions and to prevent Directors, CEOs or Substantial Shareholders taking advantage of their positions. 3. Ensuring the objective and the economic and commercial substance of the Related Party Transactions should take precedence over the legal form and technicality. 4. Establishing and maintaining a clear policy, procedure and process in place for the identification, clarification and reporting the Related Party Transactions on an end-to-end basis across the Entity's operations.	Compliant	Related Party Transactions Review Committee Report - Pages 156 to 157
9.14.4	General Requirements	1. The Related Party Transactions Review Committee shall meet at least once a calendar quarter. It shall ensure that the minutes of all meetings are properly documented and communicated to the Board of Directors. 2. The members of the Related Party Transactions Review Committee should ensure that they have, or have access to, enough knowledge or expertise to assess all aspects of proposed Related Party Transactions, and where necessary, should obtain appropriate professional and expert advice from an appropriately qualified person. 3. Where necessary, the Committee shall request the Board of Directors to approve the Related Party Transactions which are under review by the Committee. In such instances, the approval of the Board of Directors should be obtained prior to entering into the relevant Related Party Transaction.	Compliant	Related Party Transactions Review Committee Report - Pages 156 to 157

Corporate Governance Review

Rule No.	Subject	Requirement	Compliance status	Remarks
9.14.5	Review of Related Party Transactions by the Related Party Transactions Review Committee	Subject to the exemptions given in terms of Rule 9.14.10, the Related Party Transactions Review Committee shall review in advance all proposed Related Party Transactions	Compliant	Related Party Transactions Review Committee Report - Pages 156 to 157
Disclosures required by Section 9.14.7 of the Listing Rules of the Colombo Stock Exchange (CSE)				
9.14.7 (1)	Immediate disclosure	(a) of any non-recurrent Related Party Transaction with a value exceeding 10% of the Equity or 5% of the Total Assets, whichever is lower, of the Entity as per the latest Audited Financial Statements; or (b) of the latest transaction, if the aggregate value of all non-recurrent Related Party Transactions entered into with the same Related Party during the same financial year amounts to 10% of the Equity or 5% of the Total Assets, whichever is lower, of the Entity as per the latest Audited Financial Statements.	Compliant	Related Party Transactions Note in the Financial Statements Page 275
9.14.8 (1)	Disclosure in the Annual Report	In the case of non-recurrent Related Party Transactions, if the aggregate value of the non-recurrent Related Party Transactions exceeds 10% of the equity or 5% of the Total Assets, whichever is lower, of the Listed Entity according to the latest Audited Financial Statements.	Compliant	Related Party Transactions Note in the Financial Statements Page 275
9.14.8 (2)	Disclosure in the Annual Report	In the case of recurrent Related Party Transactions, if the aggregate value of the recurrent Related Party Transactions exceeds 10% of the Gross revenue/ income as per the latest Audited Financial Statements	Compliant	Related Party Transactions Note in the Financial Statements Pages 275 to 279

Rule No.	Subject	Requirement	Compliance status	Remarks
9.14.8 (3)	Disclosure in the Annual Report	Annual Report shall contain a report compiled by the RPTR Committee including the following: ◈ Names of the Directors who are in the Committee; ◈ Statement about related party transactions reviewed during the financial year; ◈ Policies and procedures adopted by the RPTRC.	Compliant	Related Party Transactions Review Committee Report Pages 156 to 157
9.14.8 (4)	Disclosure in the Annual Report	A declaration by the Board of Directors as an affirmative statement of compliance with the rules pertaining to Related Party Transactions or a negative statement in the event the Entity has not entered into any Related Party Transactions.	Compliant	Report of the Board of Directors on the State of Affairs of the Company Pages 229 to 231
9.14.9	Acquisition and disposal of assets from /to related parties	◈ Acquisition and disposal of assets from /to related parties ◈ except for transactions set out in Rule 9.14.10 shall be obtained competent independent advice and referred to board approval	Compliant	No acquisition or disposal of substantial assets from/to related parties took place during the year under review. - Page 275 to 279
9.17	Additional Disclosures	(i) All material interests in contracts involving in the Entity and whether they have refrained from voting on matters in which they were materially interested; (iv) Disclosure of relevant areas of any material non-compliance with law or regulation and any fines	Compliant	Report of Board of Directors on the State of Affairs of the Group - Page 229 to 231 Statement of the Directors' Responsibility - Page 232

Corporate Governance Review

9.3. Disclosures required by the Code of Best Practice on Corporate Governance jointly issued by SEC and CA Sri Lanka 2017

Rule	Subject	Compliance Status	Reference
A. Directors			
A.1	The Board	Yes	Corporate Governance Review - section 4
A.2	Chairman and Chief Executive Officer	Yes	No individual has unfettered powers of decision-making.
A.3	Chairman's Role	Yes	Corporate Governance Review - section 4.1
A.4	Financial Acumen	Yes	Corporate Governance Review
A.5	Board Balance	Yes	Corporate Governance Review - section 4.3
A.6	Supply of Information	Yes	Corporate Governance Review - section 4.7
A.7	Appointments to the Board	Yes	Corporate Governance Review - section 4.9, Nomination and Governance Committee Report - page 155 Board of Directors - pages 12 to 13
A.8	Re-election	Yes	Corporate Governance Review - section 4.6.3
A.9	Appraisal of Board Performance	Yes	Corporate Governance Review – section 4.4
A.10	Disclosure of Information in respect of Directors	Yes	Board of Directors – pages 12 to 13
A.11	Appraisal of Chief Executive Officer	Yes	Corporate Governance Review - section 4.4
B. Director's Remuneration			
B.1	Remuneration Procedure	Yes	Corporate Governance Review - section 4.9, Remuneration Committee Report - page 154
B.2	The level and makeup of Remuneration	Yes	Corporate Governance Review – section 4.9, Remuneration Committee Report - page 154
B.3	Disclosure of Remuneration	Yes	Corporate Governance Review – section 4.9, Remuneration Committee Report - page 154
C. Relations with Shareholders			
C.1	Constructive use of the AGM and conduct of general meetings	Yes	Corporate Governance Review - section 5
C.2	Communication with shareholders	Yes	Corporate Governance Review - section 5
C.3	Major and material transactions	Yes	Notes to the Financial Statements
D. Accountability and Audit			
D.1	Financial and Business Reporting (The Annual Report)	Yes	Corporate Governance Review - section 4.1, Report of the Board of Directors on the State of Affairs of the Company, Statement of the Directors' Responsibility, Independent Auditor's Report, Management Discussion and Analysis, Notes to the Financial Statements relating to Related Party Transactions.
D.2	Risk Management and Internal Control	Yes	Risk Management Review, Corporate Governance Review - section 6
D.3	Audit Committee	Yes	Audit Committee Report - pages 151 to 153
D.4	Risk Committee	Yes	Risk and Opportunity Management Report - Pages 158 to 172
D.5	Related Party Transaction Review Committee	Yes	Related Party Transaction Review Committee Report - pages 156 to 157
D.6	Code of Business Conduct and Ethics	Yes	Corporate Governance Review - section 2
D.7	Corporate Governance Disclosures	Yes	Corporate Governance Review
E. Institutional Investors			
E.1	Shareholder Voting	Yes	Corporate Governance Review - section 5, Institutional Investors are encouraged to provide any feedback on the governance arrangements.

Rule	Subject	Compliance Status	Reference
E.2	Evaluation of Governance Disclosures	Yes	Corporate Governance Review
F. Other Investors			
F.1	Investing/ Divesting Decisions	Yes	The extensive nature of the information given in the annual report assists the shareholders in carrying out adequate analysis when making their decisions.
F.2	Shareholder Voting	Yes	Proxy Form
G	Internet of Things and Cybersecurity	Yes	Corporate Governance Review - section 7
H	Environmental, Social, and Governance (ESG)	Yes	Corporate Governance Review - section 8
I	Special Considerations for Listed Entities	Yes	Corporate Governance Review - Section 9.2

9.4. Disclosures Specified by section 7.6 of the Listing Rules of the Colombo Stock Exchange

1. Disclosures specified by section 7.6 of Listing Rules of the Colombo Stock Exchange are contained in this Annual Report.
2. There is no evidence of the book value being substantially different from the market value of land and other fixed assets of the Company or its subsidiaries.

10. ASSURANCE

Assurance

Assurance forms an essential pillar of the Company's governance and risk management structure. It plays a critical role in maintaining the integrity of operations, protecting organisational assets, and reinforcing the confidence of stakeholders. Through a structured and well-established assurance framework, TAF evaluates the effectiveness of its systems, internal controls, reporting mechanisms, and compliance processes.

To uphold the highest standards of transparency and accountability, the Company adopts a multi-layered assurance approach that includes internal audits, management reviews, and independent external audits. These processes ensure that financial and non-financial information is accurate, reliable, and aligned with regulatory and industry best practices.

Assurance activities also provide valuable insights that support continuous improvement, strengthen internal control frameworks, and facilitate informed and responsible decision-making at all levels of the organisation. By drawing on both internal and external assurance sources, the Company ensures the robustness of its operational, governance and sustainability reporting structures.

11. HUMAN RESOURCE GOVERNANCE

TAF adheres to the CGE Human Resource Governance framework, structured to ensure that employees have seamless access to all levels of management. Continuous dialogue is encouraged, covering a wide spectrum of topics from work-related concerns to matters of general interest affecting employees and their families. The Company actively promotes an open-door policy across all levels, fostering transparency, trust, and engagement within the workplace.

TAF leverages a state-of-the-art, cloud-based Human Resource Information System (HRIS) that efficiently manages the entire employee lifecycle from onboarding to off boarding ensuring streamlined processes and enhanced employee experience.

Further comprehensive Report can be found under " Human Capital ," available on pages 90 to 109.

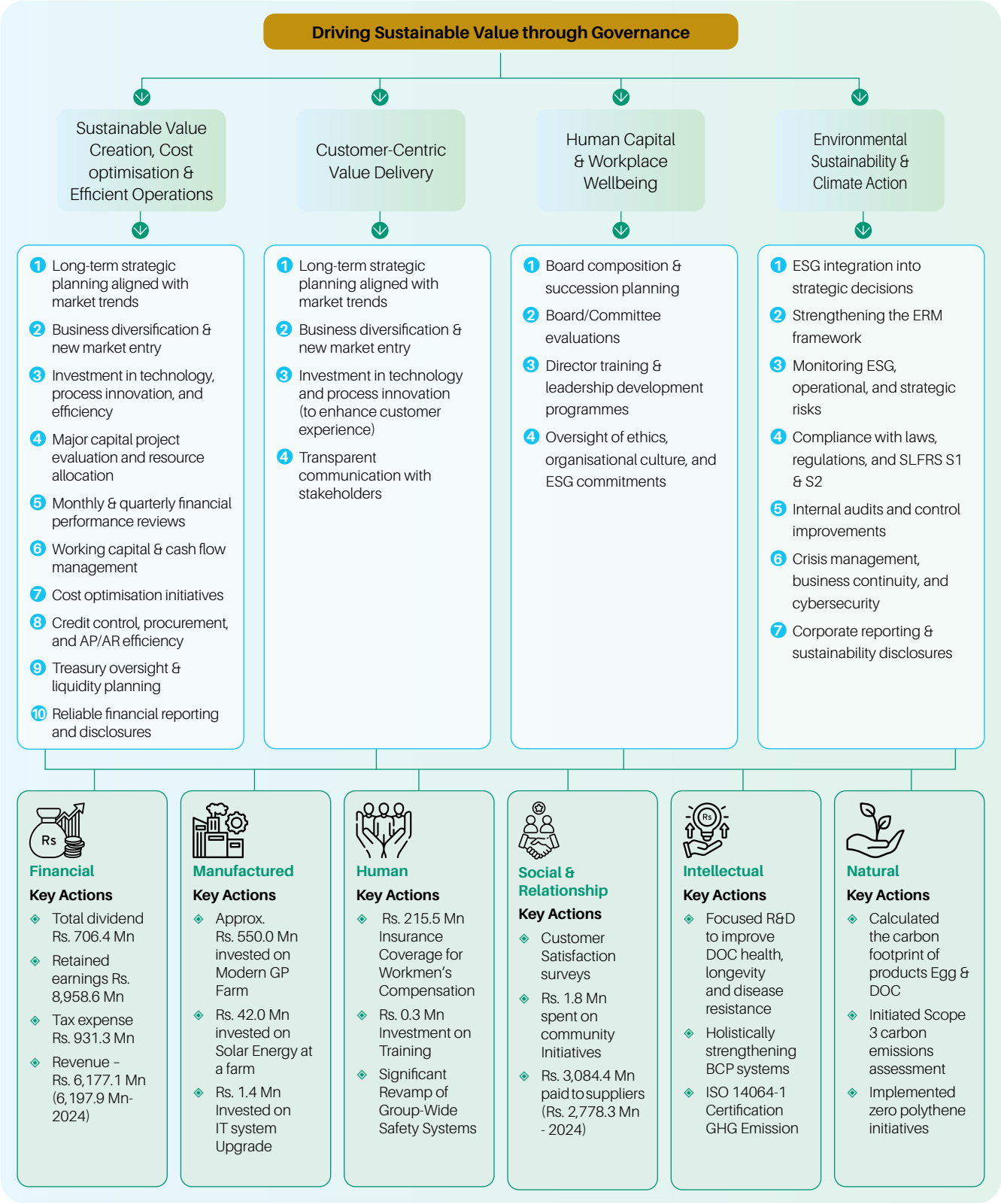
12. TAX GOVERNANCE

TAF promotes responsible tax practices and aligns closely with the Group's broader ESG commitments. The framework emphasises compliance, transparency, and strong stakeholder engagement, ensuring that all tax-related decisions support sustainable business practices, uphold societal expectations, and reflect ethical corporate conduct.

Key elements of the framework include:

- Continuous compliance with local and international tax laws to prevent non-compliance and reputational risk.
- Transparent tax disclosures, providing stakeholders with clear insight into the Company's tax strategy and practices.
- Strong accountability, ensuring tax obligations are fulfilled responsibly, balancing the interests of shareholders with wider societal responsibilities.
- Voluntary compliance and efficient tax management as central pillars of the Group's tax strategy.
- A decentralised tax structure, through which specialised expertise is developed within each industry group. This ensures effective execution of the tax strategy, full compliance with evolving legislation, and proactive management of tax risks across the Group.

Corporate Governance Review



Audit Committee Report

ROLE OF THE COMMITTEE

The Audit Committee functions as a sub-committee of the Main Board and plays a key role in overseeing the organisation's financial and related activities. It provides additional assurance on the reliability of the Financial Statements through an independent and objective review process. The Committee is also responsible for ensuring the quality of financial reporting and the accuracy of related communications issued to shareholders and the public.

COMPOSITION OF THE COMMITTEE

The Audit Committee comprises two (2) Non-Executive Independent Directors as at 31st December 2025 complying with Listing Rule No. 9.13.3 of the Colombo Stock Exchange.

Committee Members

Mr. T. A. B. Speldewinde
Chairman
Non-Executive Independent Director

Mr. Wickrema Senaka Weerasooria
Member
Non-Executive Chairman

Mr. I. A. Wickramasinghe
Member
Non-Executive Independent Director

Mr. Dharshana De Silva
Secretary to the Committee
Assistant Group General Manager

The Group General Manager,General Manager,Financial Controller and any other officers as may be required by the Committee attend the meetings by invitation.

FINANCIAL ACUMEN OF THE COMMITTEE

Members of the Audit Committee possess the necessary financial expertise to review, interpret, and evaluate financial and related information, enabling them to identify any deviations, non-compliance with reporting requirements, or potential misuse of Company assets.

The Chairman of the Committee, Mr. T. A. B. Speldewinde, is a Fellow Member of the Institute of Chartered Accountants of Sri Lanka (ICASL) and a Fellow of the Chartered Institute of Management Accountants, United Kingdom (CIMA). His profile, together with those of the other Committee members, is presented on pages 12 to 13.

FUNCTIONS OF THE COMMITTEE

The Audit Committee reports to the Board and its key function is to assist the Board in the following:

1. Preparation, fair presentation and adequate disclosures in the Financial Statements of the Company and the Group, in accordance with the Sri Lanka Accounting Standards (LKAS/SLFRS);
2. Ensure compliance with financial reporting requirements and information requirements of the Companies Act, SEC Act and other relevant financial reporting requirements;
3. Review the quarterly results and year-end financial statements with special reference to major accounting policy changes, significant management judgements, conflict of interest situation and external auditor resignation and re-appointment;
4. Obtain and review the assurance received from the Chief Executive Officer and the Chief financial Officer (CFO) that the financial records have been properly maintained and provide a true and fair view of the Company's operations and finances.
5. Review processes to ensure the adequacy of TAF's internal controls and risk management procedures to meet the requirements of the Sri Lanka Auditing Standards and to prevent the leakage of material information to unauthorised persons;
6. Assessing the Company's ability to continue as a going concern in the foreseeable future;
7. Evaluate the adequacy, performance and objectivity of the Company's internal audit function;
8. Ensure independence, performance and objectivity of the Company's external audit function and make recommendations to the Board on the appointment, re-appointment, removal and remuneration of external auditors;
9. Develop and implement the policy on engagement of the external auditor to supply non-audit services;
10. Establish procedures to identify, monitor and manage significant business and financial risks and to update the Business Continuity Plan (BCP) to ensure ongoing action to mitigate the effects of specific risks;
11. Review the risk policies adopted by the Company;
12. Assist in performing special investigations and any other assignments.

MEETINGS

The Audit Committee met four (4) times during the year. Members' attendance to the meetings held during the year ended 31 December 2025 is given below:

Name	Attended/ Eligible to Attend
Mr. T. A. B. Speldewinde	4/4
Mr. Wickrema Senaka Weerasooria	4/4
Mr. I. A. Wickramasinghe	4/4

ACTIVITIES IN 2025

1. Financial reporting

The Committee reviewed and discussed the Company's quarterly reports and their explanatory notes, with the Management to determine any deviations, before presenting to the Board for publication. In this connection, the Committee partnered with the Board in ensuring that the financial and non-financial information that is reported to the stakeholders presents a fair assessment of the position of the Company.

Audit Committee Report

The Committee further reviewed the Audited Financial Report for the year ended 2025 including Independent Auditors' report thereon and recommended it to the Board for circulation.

Salient Features of the Review:

- Evaluation of the appropriateness of Accounting Standards and the Policies adopted by the Company in the preparation and presentation of Financial Statements while considering completeness and consistency.
- Compliance with the relevant reporting standards, laws and regulations.
- Assessment of the adequacy and validity of the estimates and judgments made by the Management on significant and complex accounting transactions and regulatory pronouncements and understanding their impact on the Financial Statements.
- Assessment of the Company's ability to continue as a going concern in the foreseeable future.
- Discussion of key audit matters pertaining to the preparation of Financial Statements and evaluation of the extent of internal and external auditors' involvement.
- Assessing the follow-up actions taken by the Management to enhance the fair presentation of Financial Reports.
- Reviewing the assurance received from Chief Executive Officer and Financial Controller on the financial records which have been properly maintained and given a true and fair view of the Company's operations and finances.

2. Internal Controls and Risk Management

The Audit Committee is responsible for reviewing the adequacy and effectiveness of the Company's internal control systems and risk management procedures. Based on its evaluations, the Committee recommended and facilitated the implementation of appropriate risk-mitigating strategies to address internal and external threats impacting the business environment.

The Committee also reported on regulatory matters that could significantly affect the Financial Statements, including any instances of non-compliance with ethical guidelines or misappropriation of assets.

3. Internal Audit

The Audit Committee is responsible for assessing the effectiveness of the Internal Audit function and making recommendations for its continuous improvement. The internal auditors have direct access to the Committee and submit their reports on a quarterly basis. The Committee reviewed the audits conducted by the Internal Audit Department, discussed the findings, and evaluated the corresponding management action plans. The adequacy of the audit scope and the appropriateness of the judgements made by the internal auditors were also examined.

With respect to TAF Audit, reviews were carried out on key control elements and procedures followed across the Group, as outlined in the Annual Audit Plan. The Annual Internal Audit Plan is approved by the Audit Committee and its progress is reviewed quarterly to reflect the evolving business environment and to ensure that new and emerging risks are appropriately addressed.

During the financial year 2025, two audits were completed. The Committee reviewed the findings and recommendations presented by the internal auditors, along with management's responses, and provided further guidance and recommendations for improvement where necessary.

4. External Audit

The Audit Committee reviewed the independence, performance and objectivity of the external auditors:

- Making recommendations to the Board regarding the appointment, re-appointment and removal of the external auditors at the Annual General Meeting;
- Approving the remuneration and terms of the external auditor's engagement;
- Discussion and review of the external audit's scope and plan including the coordination with internal audit prior to the commencement of external audit;
- Discussion with the external auditors and management on the key audit findings and their recommendations and ensuring that the management has taken appropriate actions to satisfactorily resolve highlighted issues;
- Discussion of the Company's Annual Financial Statements, the current developments in respect of reporting and compliance in view of the changes in the Accounting Standards, Auditing Standards, and Inland Revenue Act etc;
- Review of the non-audit services provided by the external auditors, evaluating the impact on objectivity and independence and disclosing the basis for such determinations.

COMPLIANCE AND OTHER RESPONSIBILITIES

The Audit Committee is held responsible for compliance with applicable laws and regulations and reports to the Board regarding committee activities on a regular basis. Accordingly, the committee:

- Reviewed the effectiveness of the system of monitoring and compliance with the applicable laws and regulations by the Group;
- Obtained regular updates regarding compliances from the Management;

- Addressed any non-compliance identified by the Management, internal and external auditors and actions taken to rectify those matters; and
- Monitored and evaluated letters received from regulatory institutions and follow-up actions taken by the Management.

STRENGTHENING ETHICAL STANDARDS AND GOVERNANCE

The Committee continued to place strong emphasis on upholding ethical values among staff members. To support this, the Internal Code of Business Conduct and Ethics, along with the Whistleblowing and Anti-Bribery and Corruption Policies, were implemented and reinforced through ongoing awareness and training for all employees.

Appropriate procedures have been established to ensure that any incidents reported through the Whistleblowing mechanism identified through other channels are subject to independent and impartial investigation. The Whistleblower Policy also ensures strict confidentiality of the identity of individuals who report concerns.

EVALUATION OF THE FUNCTIONS OF THE COMMITTEE

The Board evaluates the functions of the Audit Committee throughout the year. The Board has concluded that the Committee has satisfied its responsibilities to the complete satisfaction of the Board and seeks the continued support of the Committee in future in achieving the expectations of the stakeholders.

T. A. B. Speldewinde
Chairman, Audit Committee

Remuneration Committee Report

The Remuneration Committee, established as a sub-committee of the Board, is responsible for formulating and maintaining a formal and transparent policy on the remuneration of individual Board Directors. In line with the Board-approved Terms of Reference, the Committee ensures that its members remain free from any business, personal, or other relationships that could compromise their independent and objective judgement. Accordingly, no Director participates in decisions regarding his or her own remuneration.

COMPOSITION OF THE COMMITTEE

The Remuneration Committee comprises four (4) members including two (2) Non-Executive Independent Directors and one (2) Non-Executive Director as required by rule 9.12.6 of the Listing Rules of the Colombo Stock Exchange whose profiles are given on pages 12 to 13.

Committee Members

Mr. I. A. Wickramasinghe
Chairman
Non-Executive Independent Director

Mr. Wickrema Senaka Weerasooria
Member
Non-Executive Chairman

Mr. T. A. B. Speldewinde
Member
Non-Executive Independent Director

Mr. Sunil Leeniyagoda
Member
Non-Executive Director

S S P Corporate Services (Pvt) Ltd
Secretary to the Committee

The Group General Manager ,General Manager and any other officers as may be required by the Committee attend the meetings by invitation.

MEETINGS

The Remuneration Committee met one (1) time during the year.

Attendance of members at meetings held during the year ended 31 December 2025 is given below:

Name	Attended/ Eligible to Attend
Mr. I. A. Wickramasinghe	1/1
Mr. Wickrema Senaka Weerasooria	1/1
Mr. Sunil Leeniyagoda	1/1
Mr. T. A. B. Speldewinde	1/1

FUNCTIONS OF THE COMMITTEE

- Recommend to the Board the overall remuneration framework for Executive Directors and Non –Executive directors.
- Evaluate the compensation packages of the Executive Directors, and Non-Executive Directors.
- Review the Group's compensation guidelines and structures, ensuring alignment with industry standards and best practices.
- Periodically review information relating to payments made to Executive and Non-Executive Directors to ensure competitiveness with market benchmarks.
- Assess the performance of the Executive Directors and Non –Executive Directors against Board-approved targets and objectives.
- Support the Board in succession planning.
- Recommend annual salary increments, and other relevant remuneration adjustments.

ACTIVITIES IN 2025

During the year, the Committee focused on the following key areas:

- Reviewed and updated the Company's Remuneration Policy to ensure alignment with industry standards and confirmed its effective application to the Chairman, Chief Executive Officer and the Executive Directors.
- Evaluated and recommended the remuneration packages including annual salary adjustments and performance-based incentives for the above personnel.

The Committee is satisfied that the Directors and Senior Management are compensated fairly and equitably, and that their performance-linked remuneration supports the effective execution of the Company's strategy while fostering long-term value creation.

THE REMUNERATION POLICY

GRI 2-19

The Remuneration Policy is structured to attract and retain highly qualified, innovative, and experienced individuals to the Board, and to reward them in line with prevailing industry standards. Compensation packages are aligned with the expertise, responsibilities, and contributions of each Director, reflecting both business performance and value delivered to stakeholders.

DISCLOSURE

The total sum that was paid as Director's Remunerations in the year under review is set out in Note 25 to the Financial Statements.

I. A. Wickramasinghe
Chairman, Remuneration Committee

Nomination and Governance Committee Report

GRI 2-10

The Nomination and Governance Committee is responsible for continuously reviewing the composition of the Board and overseeing a formal, transparent process for all new Board appointments.

COMPOSITION OF THE COMMITTEE

The Nomination & Governance Committee, as of the end of 2025, consisted of two (2) Non-Executive Independent Directors as required by rule 9.11 of the Listing Rules of the Colombo Stock Exchange whose profiles are given on pages 12 to 13.

Committee Members

Mr. I. A. Wickramasinghe
Chairman
Non-Executive Independent Director

Mr. Wickrema Senaka Weerasooria
Member
Non-Executive Chairman

Mr. T. A. B. Speldewinde
Member
Non-Executive Independent Director

S S P Corporate Services (Pvt) Ltd
Secretary to the Committee

The Group General Manager ,General Manager and any other officers as may be required by the Committee attend the meetings by invitation.

MEETINGS

The Nomination & Governance Committee met one time during the year. Members and attendance at meetings held during the year ended 31 December 2025 are given below;

Name	Attended/ Eligible to Attend
Mr. I. A. Wickramasinghe	1/1
Mr. Wickrema Senaka Weerasooria	1/1
Mr. T. A. B. Speldewinde	1/1

Terms of Reference

The Nomination & Governance Committee functions as per the Board approved Terms of Reference, setting out the Committee's purpose, duties, and responsibilities.

The Nomination and Governance Committee has acted within the parameters set by its terms of reference including the following;

- Consideration of re-election of current Directors in view of the applicable laws or their re-appointment at the end of the specified term;.
- Review the structure, size, composition, and competencies of the Board.
- Establishing and maintaining suitable process for the periodic evaluation of the performance of Board of Directors.
- Evaluating the independence of the Non-Executive Directors and the performance of the Board.
- Developing a succession plan for the Board of Directors and Key Management Personnel of the Company.
- Ensuring that no member of the Nomination & Governance Committee is involved in deciding his own appointment.
- Reviewing and recommending the overall corporate governance framework of the Company by taking into account the Listing Rules of the Exchange, other applicable regulatory requirements, industry /international best practices.
- Recommending on any other matter referred to it by the Board of Directors.

I.A .Wickramasinghe
Chairman, Nomination and Governance Committee

Related Party Transaction Committee Report

The Related Party Transactions Review Committee was established by the Board to oversee the Group's Related Party Transactions in relation to transactions as defined by LKAS 24. The Committee also acts on behalf of the Board in ensuring compliance with the Listing Rules of the Colombo Stock Exchange and the Code of Best Practices ("the Code") on Related Party Transactions issued by the Securities and Exchange Commission of Sri Lanka. In carrying out its responsibilities, the Committee has additionally adopted the best practices recommended by the Institute of Chartered Accountants of Sri Lanka.

COMPOSITION OF THE COMMITTEE

The Related Party Transactions Review Committee comprises two (2) Non-Executive Independent Directors and an Executive Director complying with Listing Rule No. 9.14.2of the Colombo Stock Exchange whose profiles are given on pages 12 to 13.

Committee Members

Mr. T. A. B. Speldewinde
Chairman
Non-Executive Independent Director

Mr. Wickrema Senaka Weerasooria
Member
Non-Executive Chairman

Mr. I. A. Wickramasinghe
Member
Non-Executive Independent Director

S S P Corporate Services Pvt Ltd
Secretary to the Committee

The Group General Manager,General Manager,Financial Controller and any other officers as may be required by the Committee attend the meetings by invitation.

MEETINGS

The Related Party Transactions Review Committee met four (4) times during the year.

Members' attendance to the meetings held during the year ended 31 December 2025 are given below:

Name	Attended/ Eligible to Attend
Mr. T. A. B. Speldewinde	4/4
Mr. Wickrema Senaka Weerasooria	4/4
Mr. I. A. Wickramasinghe	4/4

Policies and Procedures

The members of the Board of Directors have been designated as Key Management Personnel (KMP) to promote greater transparency and strengthen good governance practices. In accordance with the Company's Related Party Transactions Policy, declarations were obtained from each KMP to identify any related party relationships or transactions and to ensure that all required compliance disclosures were accurately determined.

Responsibilities

The Committee's primary focus is to review all proposed Related Party Transactions prior to their execution in accordance with the procedures prescribed under Section 9.14 of the Listing Rules of the Colombo Stock Exchange. Throughout the year, the responsibilities and mandate of the Committee remained unchanged.

Functions of the Committee

The primary function of the Related Party Transactions Review Committee (RPTRC) is to ensure, on behalf of the Board, that all Related Party Transactions undertaken by the Company and its listed subsidiaries are carried out in a manner consistent with the Code of Best Practices on Related Party Transactions. The Committee plays a vital role in safeguarding the interests of the Company and its minority shareholders by maintaining transparency, fairness, and integrity in all such transactions.

In fulfilling its mandate, the Committee undertakes the following key responsibilities:

- Adopting policies and procedures to ensure that all related party transactions of the entity are transacted on normal commercial terms and are not prejudicial to the interests of the entity and its minority shareholders;
- Reviewing and overseeing existing policies and procedures for related party transactions;
- Reviewing in advance all proposed related party transactions of the Company except those explicitly exempted in the Code;
- Determining whether related party transactions to be entered into by the Company require the approval of the Board or shareholders of the Company;
- Establishing procedures and processes for identification, clarification and reporting recurrent and non-recurrent related party transactions on end-to-end basis across the Company's operation and obtain required approvals from the Board or Shareholders of the Company;
- Ensuring that no Director/Substantial Shareholder of the Company participates in any discussion of a proposed related party transaction for which he or she is a related party unless such Director/Substantial Shareholder is requested to do so by the Committee for the expressed purpose of providing information concerning the related party transaction to the Committee;
- If there is any potential conflict in any related party transaction, the Committee may recommend the creation of a special committee (including an independent consultant, if necessary) to review and approve the proposed related party transaction;
- Meeting with the Management, Internal Auditors/ External Auditors as necessary to carry out the assigned duties;
- Reviewing the transfer of resources, services or obligations between related parties regardless of whether a price is charged;

- Reviewing the economic and commercial substance of both recurrent/non-recurrent related party transactions, precedence over the legal from and technicality;
- Sharing information with the Audit Committee, as necessary and appropriate, to permit the Audit Committee to carry out its statutory, regulatory and other responsibilities with regard to related party transactions; and
- Ensuring that immediate market disclosures and disclosures in the Annual Report as required by the Code are made in a timely and detailed manner;.
- Updating the Board on Related Party Transactions of the Company on quarterly basis.

Activities in 2025

- Obtained all required disclosures relating to post-quarter confirmations and proposed Related Party Transactions, and carefully reviewed these submissions at each quarterly Committee meeting to ensure accuracy, completeness, and compliance with the Company's policies and regulatory requirements.
- Assessed the applicable thresholds for Related Party Transactions that necessitate shareholder approval or immediate market disclosure, in line with regulatory guidelines. The Committee also reviewed and reaffirmed the criteria used for determining Key Management Personnel to ensure consistent and transparent identification.
- Ensured that Committee members remained independent and free from conflicts of interest in relation to all proposed Related Party Transactions, thereby upholding the integrity and objectivity of the Committee's deliberations and decisions.

The Related Party Transactions Review Committee convenes quarterly. The minutes of all meetings are properly documented and communicated to the Board of Directors.

Disclosures

A comprehensive disclosure of all Related Party Transactions, including both recurrent and non-recurrent transactions required under Section 9.14.8 of the Listing Rules of the Colombo Stock Exchange, has been provided in Note 25 to the Financial Statements, presented on pages 275 to 279 of this Report.

Declaration

A declaration by the Board of Directors as an affirmative statement of compliance with the rules set out in the CSE Listing Rules 9.14.8(4) pertaining to RPTs is given on page 139 of this Annual Report.

T. A. B. Speldewinde
Chairman, Related Party Transactions Review Committee

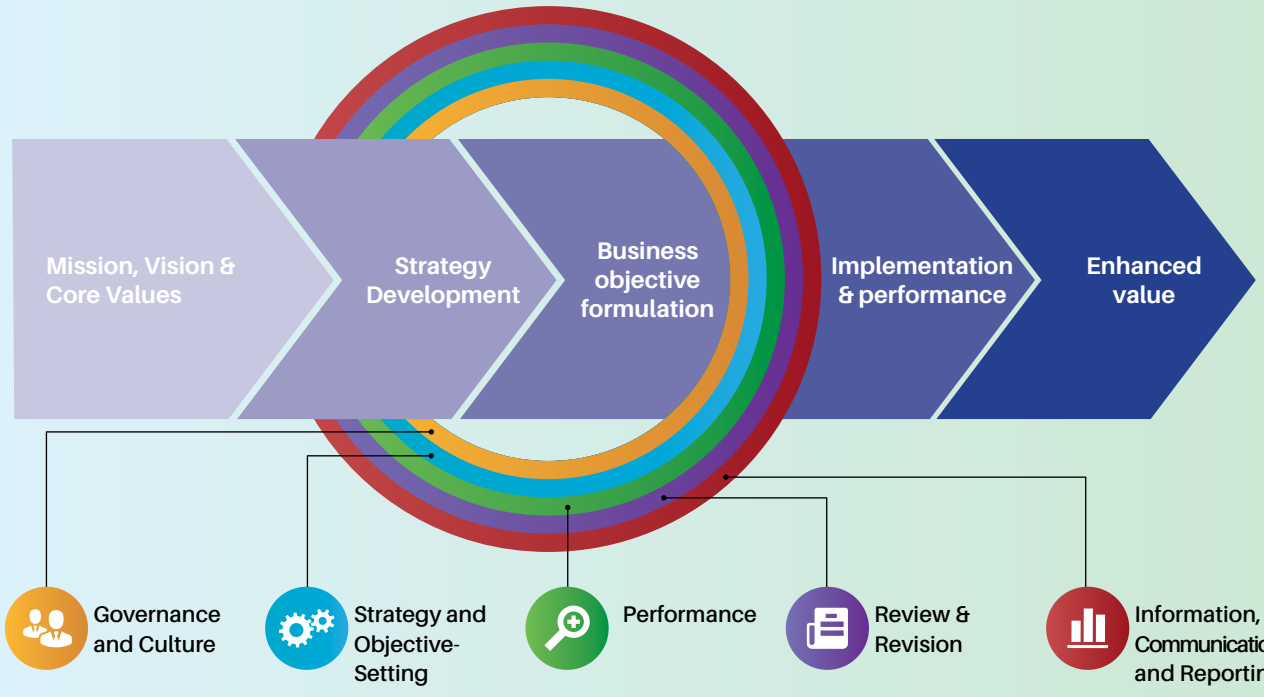
Risk & Opportunity Management Report

At TAF, effective management of risks and opportunities underpins our ability to remain resilient, competitive, and future-ready. Operating within the evolving poultry industry, we continuously assess factors that may affect our performance and value creation across the short, medium, and long term.

Our governance framework incorporates Sustainability-Related Risks and Opportunities (SRROs) and Climate-Related Risks and Opportunities (CRROs) as integral elements of enterprise risk management. By embedding these considerations into core business processes, TAF strengthens alignment with regulatory developments, stakeholder expectations, and recognised industry practices.

Oversight is provided by the Board of Directors, supported by the Management Team and operational units, who work collaboratively to identify, assess, and manage material risks and opportunities throughout the value chain. This integrated, organisation-wide approach ensures informed decision-making, enhances operational efficiency, and enables TAF to capitalise on opportunities that support sustainable growth and long-term value creation.

Coso's Enterprise Risk Management Framework

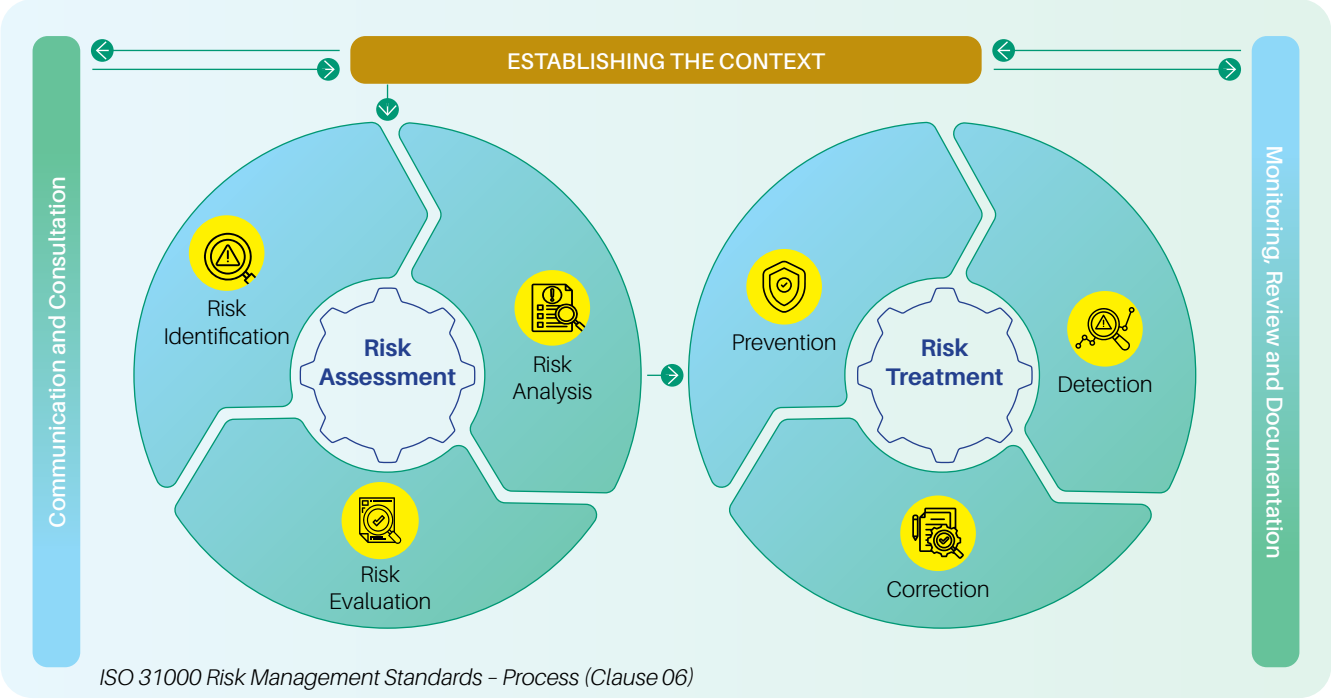


Enterprise Risk and Opportunity Management (EROM) Framework

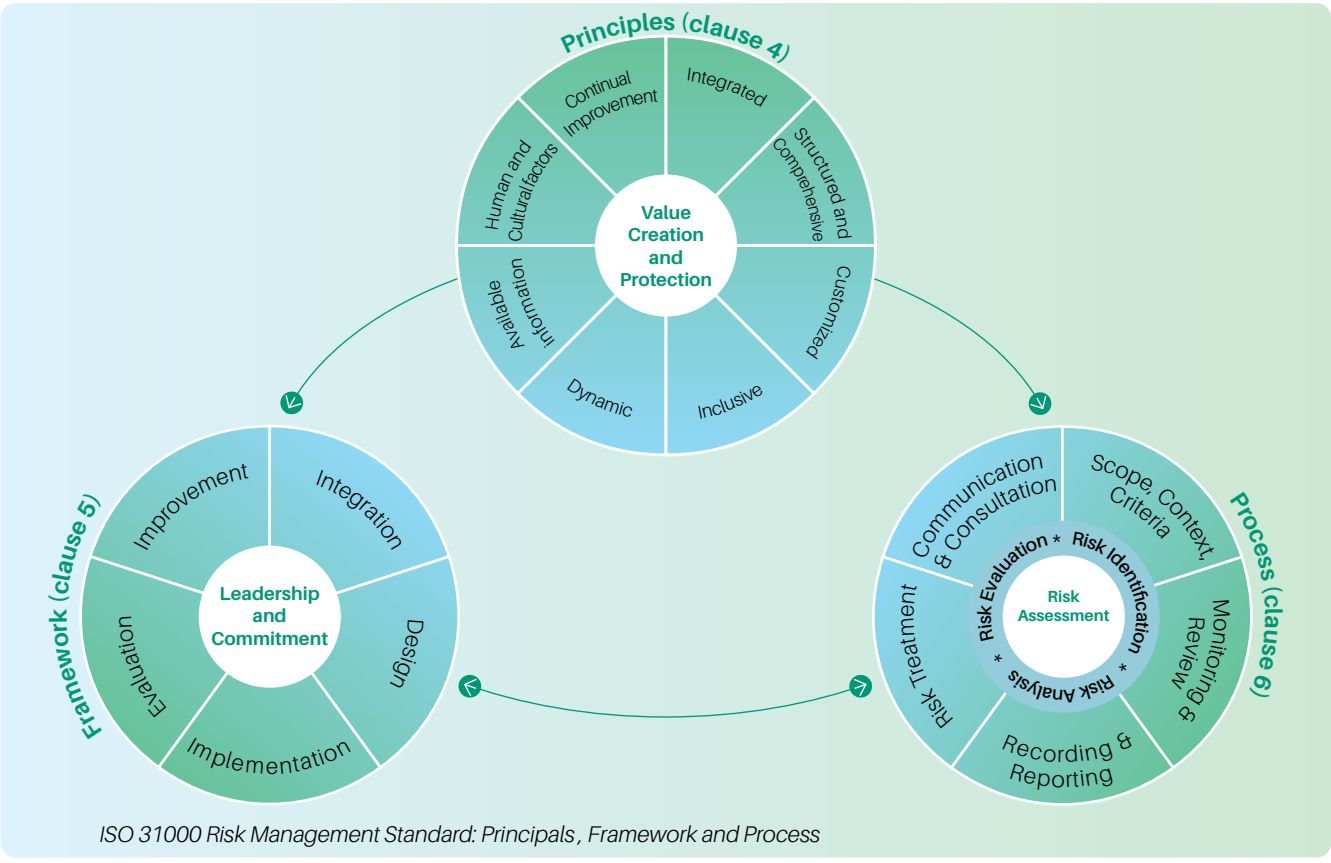
TAF adopts an integrated Enterprise Risk and Opportunity Management (EROM) Framework designed to support decision-making and long-term business sustainability. The framework is benchmarked against internationally accepted standards, including the COSO Enterprise Risk Management Framework and ISO 31000, ensuring consistency with global best practices.

Through this framework, TAF systematically identifies and evaluates risks and opportunities arising from environmental factors, operational activities, and product-related aspects. By embedding risk considerations into strategic and operational planning, the Group enhances its ability to anticipate change and respond effectively within a dynamic operating environment.

The EROM Framework is supported by policies, defined roles, and standardised processes that govern how risks are identified, assessed, treated, and reported. Risks are prioritised using a structured assessment of likelihood and potential impact, enabling the development of targeted mitigation actions. Ongoing monitoring and review mechanisms ensure that controls remain effective and that emerging risks and opportunities are addressed in a timely and disciplined manner.



ISO 31000 Risk Management Standards - Process (Clause 06)



ISO 31000 Risk Management Standard: Principals, Framework and Process

Risk & Opportunity Management Report

RISK AWARENESS CULTURE IN TAF

Risk awareness is embedded into the way the organisation operates and makes decisions. Rather than being treated as a standalone function, risk management is integrated into everyday activities, reinforcing a proactive approach to identifying, assessing, and managing potential uncertainties across the business.

TAF's risk culture is shaped through shared accountability across all levels of the organisation. Strategic oversight and direction are provided by the Board of Directors, while operational teams across farms, processing facilities, and support functions actively contribute by identifying and communicating risks encountered in day-to-day operations. This combined top-down and bottom-up approach ensures that both strategic and operational risks are captured in a timely and structured manner.

To strengthen engagement and awareness, TAF has introduced a range of initiatives aimed at building employee capability and ownership in risk management. These include regular risk discussions with operational teams, structured induction programmes that introduce new employees to TAF's risk management principles, and clear channels for escalating emerging risks to management. In addition, enterprise risk management policies and procedures are consistently communicated across the organisation, supported by focused training sessions and workshops to enhance understanding and practical application.

RISK Governance



Board of Directors

The Board of Directors bears ultimate accountability for TAF's risk management framework. It provides strategic direction and oversight to ensure that risk considerations are embedded within decision-making and operational processes across the organisation. The Board sets the tone for a strong risk-aware culture, approves the Company's Risk Appetite, and periodically reviews the risk profile to ensure alignment with TAF's strategic objectives. In doing so, the Board provides guidance to the Audit Committee and Management on strengthening policies, systems and internal controls related to risk management.

Audit Committee

The Audit Committee supports the Board by independently overseeing the effectiveness of TAF's risk management and internal control environment. It evaluates the adequacy of processes established for the identification, assessment and monitoring of key risks and ensures that the Company's risk exposure remains within the approved Risk Appetite. The Committee also reports emerging risks, significant control gaps and notable changes in the risk landscape to the Board in a timely manner.

Management

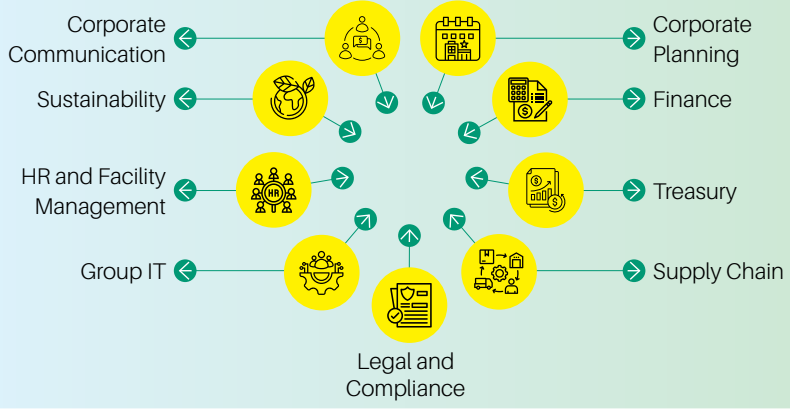
Management is responsible for implementing the risk management framework approved by the Board and embedding it throughout the organisation. This includes communicating relevant policies and procedures, monitoring internal and external developments, and assessing potential risks that may affect financial performance, asset values, compliance obligations or the Company's reputation. Management also designs and executes appropriate risk mitigation measures, while ensuring regular reporting on risk exposures and control effectiveness to the Audit Committee and the Board.

Employees

Employees play a vital role in TAF's risk management process as the first line of defence. Through appropriate training, guidance and access to documented procedures, employees are encouraged to remain alert to potential risks in their day-to-day activities. They are expected to promptly report control weaknesses, irregularities or emerging risks and to work closely with Management in maintaining a strong and effective risk management environment across the organisation.

Strategic business leaders are accountable for fostering the sustainable growth and profitability of their respective ventures, with support provided by Group functions.

Comprehensive Risk and Opportunity Management

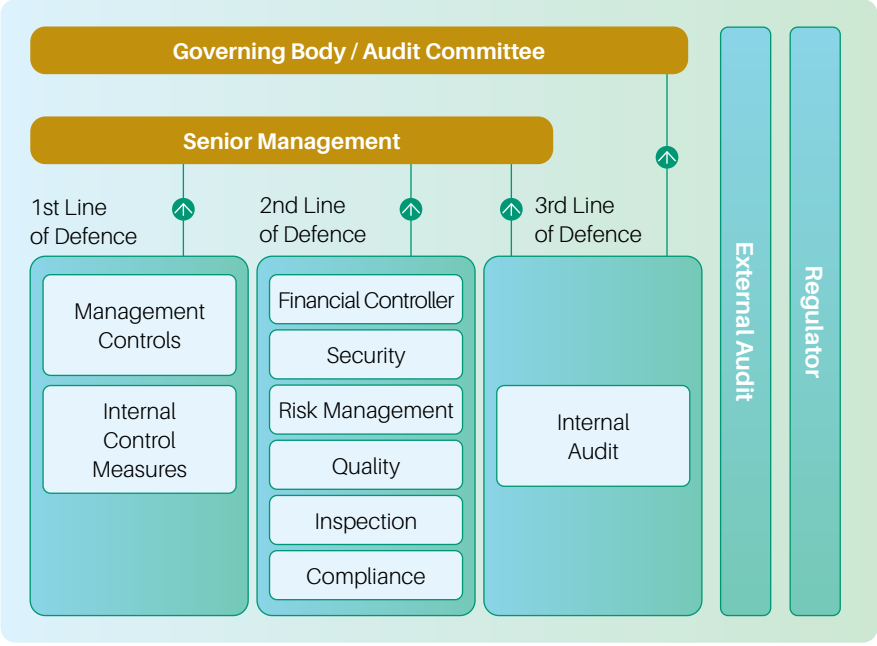


Departments	Key Responsibilities in Risk & Opportunity Management
Corporate Planning & New Business Development	Identify strategic risks and opportunities.
Finance	Assess the financial implications of various risks and opportunities. Identify, mitigate, and prevent risks that could lead to financial losses, reputational damage, or operational disruptions.
Treasury	Manage liquidity and cost of funding.
Supply Chain Management	Leverage group synergies to optimise pricing and availability.
Legal and Compliance	Ensure adherence to laws, regulations, internal policies, and voluntarily committed standards.
Group IT	Manage cybersecurity risks, data privacy risks, data security, and other technology-related risks and opportunities.
HR and Facility Management	Ensure operational continuity, employee safety, regulatory compliance, and disaster preparedness. Identify and manage risks and opportunities related to human capital.
Sustainability	Drive continuous improvement in ESG risk management, fostering a culture of sustainability and resilience.
Corporate Communication	Communicate corporate and employer brand equity in an appropriate and consistent manner.

Three Lines of Defence (Three Lines of Model)

format the sub headings under this , accordinlgly Sub headings are First line Defencer, second line defence, third line defence

To further strengthen risk oversight, the Board utilises a systematic approach through the three-lines-of-defence model. This framework gives particular roles and oversight across multiple levels of the business, enabling a systematic and complete technique for detecting, managing, and mitigating risks appropriately.



The Three Lines of Defence Model forms the cornerstone of our risk management framework, ensuring comprehensive oversight and accountability across all levels of the organisation.

Operational Management -First Line of Defence

Risk ownership at TAF begins at the operational level, where management teams are responsible for identifying, assessing and managing risks arising from day-to-day activities. Business units design, implement and maintain appropriate controls to address operational, financial and compliance risks within their respective functions. This approach promotes early risk identification, effective mitigation and accurate reporting, ensuring that risks are managed at source.

Key control practices include:

- Embedding corporate values, policies and ethical standards through adherence to the Code of Business Ethics.
- Maintaining effective internal control structures, including segregation of duties, documented procedures, standardised workflows and performance management mechanisms.
- Integrating quality, safety and operational excellence principles into routine business processes.

Risk & Opportunity Management Report

Risk Oversight and Compliance -Second Line of Defence

The second line of defence provides independent oversight and specialist support to operational teams. Risk management and compliance functions establish frameworks, policies and guidelines while monitoring adherence to applicable laws, regulations and internal standards. These functions also assist management in identifying emerging risks and in strengthening control measures where required.

Key responsibilities include:

- Oversight of Quality, Environmental and Occupational Health and Safety Management Systems to ensure consistent application and effectiveness.
- Monitoring regulatory compliance and advising management on changes in legal or regulatory requirements to protect the organisation's integrity and reputation.

Independent Assurance -Third Line of Defence

Internal Audit forms the third line of defence by delivering independent and objective assurance on the adequacy and effectiveness of TAF's risk management framework, governance practices and internal controls. Through systematic reviews and audits, Internal Audit evaluates the performance of both operational management and oversight functions, identifies control gaps and recommends improvements. Findings are reported directly to the Audit Committee and the Board, ensuring transparency and independence.

Areas of assurance focus include:

- Reviews of the Quality Management System, Environmental Management System and Occupational Health and Safety practices.
- Periodic internal audits aimed at strengthening compliance, enhancing controls and supporting continuous improvement.

Risk Appetite

TAF's risk appetite defines the nature and extent of risk the organisation is willing to undertake in pursuit of its strategic goals. It provides a clear framework that guides decision-making while ensuring risks are managed in a balanced and disciplined manner.

To support this framework, TAF has implemented well-defined mechanisms for the identification, assessment, and management of risks. Risks are integrated into core business processes and operational activities, and are prioritised according to their potential impact on organisational performance and sustainability.

This approach enables TAF to:

- Promote a consistent and shared understanding of risk across all levels of the organisation.
- Strengthen competitiveness by anticipating and proactively managing emerging challenges.
- Optimise operational efficiency by minimising avoidable costs and improving the use of internal resources.
- Support the Board of Directors with timely and relevant insights for sound strategic oversight.
- Encourage a resilient risk culture that underpins sustainable, long-term growth.

By clearly articulating and applying its risk appetite, TAF demonstrates a proactive commitment to protecting its business interests while creating enduring value for stakeholders in a dynamic operating environment.

Risk Evaluation

The Company systematically evaluates each risk based on its probability of occurrence and the potential impact such events may have on the business.

- **Probability of Occurrence:**
  The likelihood of a risk event is assessed using past experience, prevailing industry conditions, and the effectiveness of existing risk mitigation mechanisms. A rating scale from 1 to 5 is applied: 1 – Rare to Occur, 2 – Unlikely to Occur, 3 – Possible to Occur, 4 – Likely to Occur, and 5 – Almost Certain to Occur.
- **Impact Assessment:**
  The potential impact of an event is evaluated by estimating the damage it may cause and its overall effect on business operations. A rating scale from 1 to 5 is used:1 – Insufficient, 2 – Minor, 3 – Moderate, 4 – High, and 5 – Extreme.

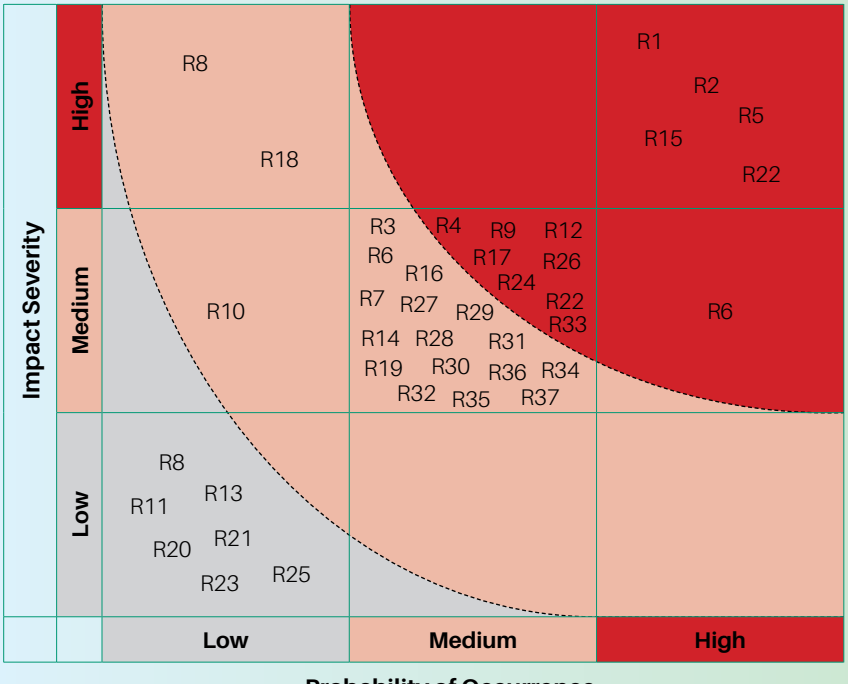
Once the likelihood of occurrence and the extent of the impact are determined for each risk, they are plotted on a risk matrix to guide appropriate actions. Based on the combined risk factor, a ranking of Insufficient, Minor, Moderate, High, or Extreme is assigned to determine the nature and extent of the response required.

This structured approach ensures that risks are effectively prioritised and managed, supporting informed decision-making and safeguarding business continuity.

Governing Body / Audit Committee						
IMPACT	Extreme	5	5	10	15	20	25
	High	4	4	8	12	16	20
	Moderate	3	3	6	9	12	15
	Minor	2	2	4	6	8	10
	Insignificant	1	1	2	3	4	5
			Rare to Occur	Unlikely to Occur	Possible to Occur	Likely to Occur	Almost Certain to Occur
			1	2	3	4	5
			PROBABILITY				
Risk Rating			Insignificant	Low	Medium	High	Ultra High

Further to above, upon assessment of the likelihood of occurrence and the extent of the business impact of each risk, it is plotted in the following matrix too to identify the nature and extent of action required. A ranking of high, moderate, low is assigned based on the risk factor derived through probability and impact.

Risk Heat Map



Risk and Opportunity Management

To ensure a comprehensive view of the external environment, TAF applies the PESTEL framework, which evaluates Political, Economic, Social, Technological, Environmental, and Legal factors. This structured analysis allows the Company to recognise emerging risks as well as potential opportunities, ensuring that mitigation actions are forward-looking, relevant, and aligned with the operating context.

The ERM framework is fully integrated into TAF's strategic and operational planning processes, enabling risk-informed decision-making across all levels of the organization. This integration strengthens stakeholder confidence, enhances operational effectiveness, and supports the continuity and sustainability of the business.

The table below presents an overview of the key risks identified under the PESTEL dimensions, together with the corresponding mitigation measures, reflecting TAF's strong commitment to effective risk and opportunity management.

Risk & Opportunity Management Report

Risk and Opportunity Management Process

1 Risk Identification

- Potential risks across operations, finance, compliance, the environment, and strategic activities are systematically identified through assessments, employee inputs, internal audits, and external developments.
- This ensures that emerging threats and opportunities are recognized early.

2 Risk Measurement

- Once identified, each risk is evaluated to determine its likelihood and potential impact on the organization.
- This includes assessing financial consequences, operational disruptions, reputational implications, and regulatory exposures.
- The measurement process helps prioritize risks based on their significance.

3 Risk Monitoring

- TAF continuously tracks key risks and risk indicators to detect changes in their severity or likelihood.
- Regular reviews, reporting mechanisms, and performance dashboards help management stay informed and ensure timely responses to evolving risk conditions.

4 Risk Control

- Appropriate risk mitigation strategies are implemented to minimize the impact or likelihood of identified risks.
- These controls may include policy enhancements, process improvements, internal controls, contingency planning, and risk transfer mechanisms.
- Each control is designed to align with the organization's overall risk appetite and strategic goals.

Key Risks	Impact to TAF (Risk and Opportunity)	Impacted Capital	Risk Mitigation Strategy	Risk Rating
Political Risks				
R1) Sourcing of Grandparent Stock DOC at the right time	◈ Delays in sourcing grandparent stock could disrupt production cycles, impacting overall operations and profitability. ◈ Limited supply options may lead to higher costs and reduced flexibility.	Financial Capital	◈ Maintaining multiple supply sources locally and internationally to ensure uninterrupted availability and mitigate risks associated with single suppliers. ◈ Building strong supplier relationships to secure reliable delivery schedules and reduce dependency on any one supplier. ◈ Conducting regular market analysis to identify and engage with new suppliers as a contingency.	 High
R2) Frequent Changes in Regulations and Policies	◈ Changes in regulations could affect operational compliance, increase costs, and disrupt processes. ◈ Non-compliance may lead to legal penalties and reputational damage.	Financial Capital	◈ Conducting periodic evaluations and upgrades of internal policies to align promptly with regulatory changes, ensuring continuous compliance. ◈ Seeking independent professional advice to interpret complex regulations and implement necessary adjustments effectively. ◈ Training internal teams on updated regulations to ensure alignment across the organization.	 High

Key Risks	Impact to TAF (Risk and Opportunity)	Impacted Capital	Risk Mitigation Strategy	Risk Rating
Economic Risks				
R3) Exchange rate fluctuations	◈ Fluctuating exchange rates may increase the cost of imports, affecting profitability and cost structures.	Financial Capital	Monitoring international transactions to track currency movements and using forward exchange contracts to hedge against unfavorable fluctuations. ◈ Sourcing local substitutes to reduce dependency on foreign currencies and minimize exposure to exchange rate risks. ◈ Building strong partnerships with financial institutions to gain access to expert advice and favorable exchange terms. ◈ Maintaining positive cash and cash equivalents to absorb potential forex-related impacts. ◈ Staying informed on macroeconomic trends to adjust procurement and pricing strategies proactively.	
R4) Interest rate fluctuations	◈ Rising interest rates could increase borrowing costs, limiting financial flexibility and affecting growth opportunities.	Financial Capital	◈ Maintaining a balanced investment portfolio to reduce exposure to interest rate fluctuations and protect overall financial health. ◈ Effective cash flow management to ensure sufficient liquidity for meeting financial obligations without relying heavily on high-cost borrowing. ◈ Monitoring macroeconomic trends to make informed decisions about financing, investments, and risk management.	
R5) Price Volatility	◈ Fluctuations in market prices for raw materials or products may reduce profitability and create uncertainties in financial planning. ◈ Unstable pricing may disrupt customer and supplier relationships, impacting operational continuity.	Financial Capital	◈ Conducting continuous market surveillance to monitor trends, predict fluctuations, and make informed decisions regarding pricing and procurement. ◈ Optimizing production planning to align with market demand, reduce waste, and maintain cost-efficiency during periods of price volatility.	
Social Risks				
R6) Recruiting and retaining skilled employees	◈ Challenges in attracting and retaining skilled employees may lead to reduced productivity, innovation, and operational inefficiencies.	Human Capital	◈ Maintaining and updating the competencies and skills pool to identify gaps and plan recruitment effectively. ◈ Maintaining a succession plan to ensure leadership continuity and business resilience. ◈ Adopting HR best practices for recruitment, onboarding, and employee engagement. ◈ Conducting periodic remuneration reviews to remain competitive and address workforce expectations. ◈ Providing continuous training and development programs to enhance employee skills and satisfaction.	

Risk & Opportunity Management Report

Key Risks	Impact to TAF (Risk and Opportunity)	Impacted Capital	Risk Mitigation Strategy	Risk Rating
R7) Sourcing of Skilled Labour	◈ Limited availability of skilled labour can delay operations and affect the quality of production.	Human Capital	◈ Engaging with multiple labour suppliers to ensure a steady supply of skilled workforce. ◈ Entering into agreements with suppliers to secure long-term labour arrangements.	
R8) Low productivity and employee engagement	◈ Low productivity and engagement can increase operational costs, reduce efficiency, and hinder overall business performance.	Human Capital	◈ Implementing an open-door policy to encourage employees to share grievances and feedback. ◈ Offering livelihood development programs and training to enhance employee well-being and motivation. ◈ Conducting employee council meetings to foster communication and collaboration between employees and management.	
R9) Employee Health & Safety	◈ Unsafe working conditions may lead to accidents, legal liabilities, and reduced employee morale.	Human Capital	◈ Issuing health and safety guidelines in adherence with to government regulations. ◈ Providing Personal Protective Equipment (PPE) and disinfectants for employees and visitors. ◈ Following good hygiene practices such as extensive cleaning regimes and hand-sanitizing stations. ◈ Establishing a Health & Safety Committee to oversee safety measures and continuously improve health and safety practices.	
Technological Risks				
R10) Risk of technological obsolescence	◈ Outdated technology may result in inefficiencies, higher costs, and reduced competitiveness.	Intellectual Capital	◈ Investing regularly in new technology to enhance efficiency, maintain industry standards, and remain competitive. ◈ Upgrading existing systems and processes to prevent obsolescence and improve operational reliability.	
R11) Cybersecurity and IT system failures	◈ System breaches or IT failures may lead to loss of critical data, operational disruptions, and reputational damage. ◈ Increased risk of financial losses due to cyber-attacks or data theft.	Intellectual Capital	◈ Implementing robust controls over IT infrastructure, including access controls, firewalls, and secure user ID management, to enhance system security. ◈ Regularly backing up data to ensure critical information is recoverable in the event of a breach or failure. ◈ Conducting continuous training for employees to improve awareness of cybersecurity threats and best practices. ◈ Maintaining a disaster recovery plan to minimize downtime and restore operations promptly. ◈ Upgrading preventive software on a timely basis to counter emerging cyber threats.	
Environmental Risks				
R12) Natural Catastrophes Adversely Affecting Operations	◈ Extreme weather events may disrupt operations, damage infrastructure, and increase recovery costs.	Natural Capital, Financial Capital	◈ Building Environmentally Controlled Houses to ensure stable operations during adverse weather conditions. ◈ Maintaining lightning arresters and surge protectors to safeguard infrastructure. ◈ Securing insurance coverage to mitigate financial impacts from natural disasters. ◈ Adopting ESG frameworks to align with climate-resilient operational practices and promote sustainability.	

Key Risks	Impact to TAF (Risk and Opportunity)	Impacted Capital	Risk Mitigation Strategy	Risk Rating
R13) Negative Impact on the Environment from Operations	◈ Environmental harm caused by operations may lead to reputational damage, legal penalties, and higher operational costs.	Financial Capital	◈ Considering environmental factors in decision-making and adopting sustainable practices to reduce the impact of operations. ◈ Obtaining all required approvals for business operations to ensure compliance with environmental regulations. ◈ Assessing the carbon footprint and restructuring processes to minimize emissions. ◈ Promoting energy-saving initiatives to conserve resources and enhance operational efficiency.	
R14) Waste and Disposal Management	◈ Improper waste management can lead to environmental damage, legal issues, and loss of stakeholder trust.	Natural Capital, Financial Capital	◈ Adopting a central drainage system, incineration mechanisms, and processes for disposing of liquid waste in a dilutive and cleansed manner. ◈ Conducting frequent quality checks on wastewater to meet regulatory standards and minimize environmental risks.	
R15) Disease Outbreaks caused by Existing & New Pathogens	◈ Potential loss of bird health, reduced production, and increased costs due to disease outbreaks. ◈ Enhanced biosecurity practices and disease control measures can improve overall bird health and operational efficiency.	Financial Capital	◈ Internal veterinary investigations to ensure optimum bird health, disease diagnosis, and treatments. ◈ Regular reviews of biosecurity practices and policies. ◈ Adherence to environmental safety standards, biosecurity measures, and sustainability practices. ◈ Use of updated and well-recognized vaccines and medicines for effective disease control.	
Legal Risks				
R16) Damage to Physical Assets due to Acts of Strike, Riot, and Civil Commotion	◈ Physical damage to assets, equipment, and property could lead to operational disruptions and financial loss.	Manufactured Capital	◈ Obtaining insurance coverage to protect physical assets against damage caused by strikes, riots, and civil commotion.	
R17) Business Probity Risk – Increase of Fraudulent Activity Due to Economic Pressures	◈ Increased likelihood of fraudulent activities, leading to financial loss, reputational damage, and regulatory scrutiny.	Social & Relationship Capital	◈ Engage in continuous monitoring and implement process improvements by strengthening internal controls.	
R18) Risk on Developing Residential Settlements Closer to Farms	◈ Potential environmental impacts,community opposition, and regulatory challenges could disrupt farm operations.	Social & Relationship Capital	◈ Re-evaluate the environmental impacts of the operation and planning. ◈ Maintain a good relationship with regulatory bodies. ◈ Foster public relations with the community and neighborhood.	

Risk & Opportunity Management Report

Opportunities Identified for TAF

TAF operates within an evolving poultry environment where many operational and external risks also create meaningful opportunities. By proactively addressing these risks, TAF can enhance resilience, improve efficiency across farming and DOC production operations, and generate sustainable long-term value for stakeholders.

1. Sustainable Farming Practices and Input Optimisation

Environmental and regulatory risks associated with farming activities present an opportunity for TAF to strengthen sustainable agricultural practices. By optimising feed usage, improving biosecurity measures, and adopting responsible waste and manure management practices, TAF can reduce environmental impacts while enhancing farm productivity. These initiatives support regulatory compliance, improve animal welfare standards, and reinforce TAF's commitment to sustainable farming.

2. Energy Management and Cost Stability

Energy-related risks provide an opportunity for TAF to invest in energy-efficient technologies and renewable energy solutions across farms and hatcheries. Initiatives such as solar power adoption, improved ventilation systems, and energy monitoring can reduce operating costs, manage price volatility, and lower greenhouse gas emissions, supporting long-term cost stability and ESG objectives.

3. Supply Chain Strengthening and Input Security

Volatility in the availability and pricing of feed raw materials and other critical inputs highlights opportunities to strengthen supply chain resilience. By diversifying suppliers, establishing long-term procurement arrangements, and enhancing supplier sustainability standards, TAF can reduce dependency risks, ensure continuity of operations, and promote responsible sourcing across the value chain.

4. Quality, Biosecurity, and Customer Confidence

Biosecurity, animal health, and quality-related risks present opportunities to further strengthen TAF's market reputation. By consistently maintaining high standards in DOC quality, disease prevention, and traceability, TAF can enhance customer trust, reduce operational disruptions, and position itself as a reliable and preferred supplier within the poultry farming ecosystem.

5. Human Capital and Skills Development

Workforce-related risks highlight opportunities for targeted investment in employee training, health and safety, and technical skill development in farming and hatchery operations. A skilled and engaged workforce supports productivity improvements, reduces operational errors, and strengthens organisational resilience.

6. Strategic ESG Integration and Regulatory Readiness

Integrating ESG considerations into TAF's core strategy presents a significant opportunity to enhance long-term resilience and regulatory preparedness. By aligning farming and DOC production practices with climate risk management, animal welfare, and environmental stewardship requirements, TAF can strengthen stakeholder confidence and support sustainable value creation.

SUSTAINABILITY AND CLIMATE-RELATED RISKS AND OPPORTUNITIES (SRROS & CRROS)

Sustainability and climate considerations are embedded at the core of TAF's operational and strategic decision-making. Acknowledging their growing influence on business continuity, stakeholder confidence, and environmental stewardship, TAF has systematically integrated Sustainability-Related Risks and Opportunities (SRROs) and Climate-Related Risks and Opportunities (CRROs) into its Enterprise Risk Management (ERM) framework. This approach is aligned with the requirements of SLFRS S1 and S2 and enables the Company to effectively respond to both current and emerging sustainability and climate-related challenges.

Sustainability-Related Risks and Opportunities (SRROs)

TAF is exposed to sustainability-related risks arising from evolving regulatory requirements, resource constraints, environmental impacts of operations, biosecurity and animal welfare expectations, and increasing stakeholder scrutiny.

If not appropriately managed, these risks may result in operational disruptions, increased costs, reputational impacts, or compliance-related challenges.

Conversely, SRROs present opportunities to enhance operational efficiency, strengthen governance, and reinforce TAF's sustainability credentials. Improvements in resource and energy efficiency, responsible farming practices, waste management, and workforce wellbeing contribute to cost optimization and productivity gains. Aligning operations with sustainability expectations also supports market access, customer confidence, and brand reputation.

TAF integrates ESG considerations into strategic planning and operational decision-making to proactively manage sustainability-related risks and capture emerging opportunities. Ongoing engagement with employees, suppliers, regulators, and other stakeholders ensures alignment with evolving ESG expectations and supports responsible growth.

Performance is monitored through defined ESG indicators and internal reporting mechanisms, enabling transparency, accountability, and continuous improvement. Through this structured approach, TAF strengthens operational resilience, supports sustainable agriculture, and delivers long-term value to its stakeholders.

Climate-Related Risks and Opportunities (CRROs)

CRROS refer to the potential risks and benefits arising from climate change that may impact TAF's farming operations, DOC production, value chain, and key stakeholders. Integrating these considerations into operational and strategic planning is essential to safeguarding long-term business resilience while supporting national and global climate action objectives.

Climate-related risks faced by TAF fall into two main categories: physical risks and transition risks. Physical risks arise from direct climate impacts such as extreme weather events, prolonged heat stress, changes in rainfall patterns, and water scarcity. These factors may affect farm productivity, bird health, feed availability, energy and water consumption, and may lead to infrastructure damage, operational disruptions, or increased maintenance and biosecurity costs.

Transition risks emerge from regulatory changes, carbon-related policies, evolving market expectations, and advancements in low-carbon technologies. Compliance with emerging environmental regulations, increased energy costs, and growing demand for sustainably produced poultry products may require operational adjustments and capital investment to remain competitive and compliant.

In parallel, climate change presents several opportunities for TAF. The adoption of energy-efficient technologies, improved farm management practices, and renewable energy solutions can reduce operating costs while lowering greenhouse gas emissions. Climate-smart farming techniques and sustainable sourcing practices enhance operational resilience and productivity.

CLIMATE-FOCUSED STRATEGIES

GRI 13.2 Climate Adaptation and Resilience (Sector Topic Disclosures)

TAF is dedicated to proactively managing climate-related risks while leveraging opportunities to enhance sustainability and operational resilience. Its climate-focused strategies are embedded across operations and long-term planning.

1. Managing Carbon Footprint

TAF continually evaluates and implements measures to reduce greenhouse gas emissions. By prioritizing energy-efficient operations and exploring renewable energy solutions, the Company seeks to minimize environmental impact while optimizing operational efficiency.

2. Building Climate Resilience

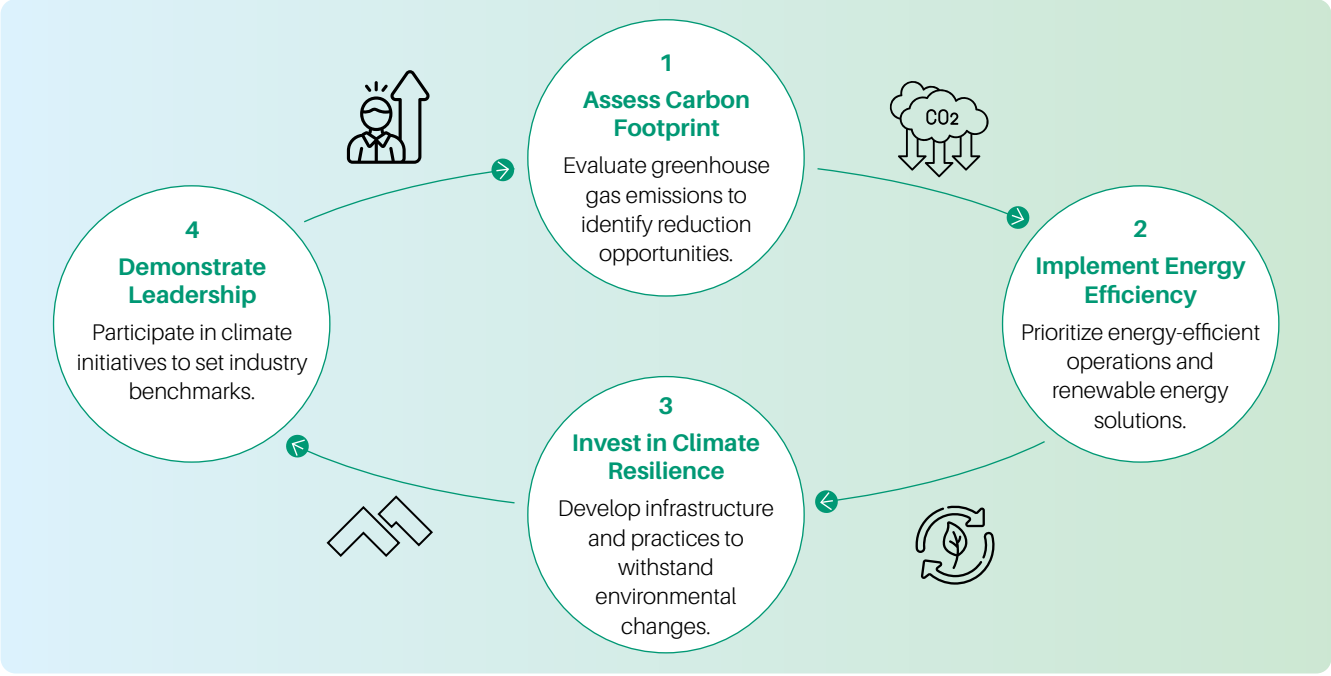
Investments in climate-adaptive infrastructure, such as environmentally controlled housing systems, and the adoption of resilient operational practices help TAF mitigate the effects of extreme weather, temperature variations, and other climate-related disruptions. These measures ensure continuity, safeguard productivity, and protect animal welfare.

3. Driving Leadership in Climate Action

TAF actively engages in national and international climate initiatives, demonstrating leadership in sustainability. By fostering collaboration with industry peers, regulators, and stakeholders, the company sets benchmarks, encourages collective action, and contributes to the broader climate agenda.

Together, these strategies reflect TAF's commitment to sustainable development goals, operational resilience, and long-term value creation in a changing climate .

Risk & Opportunity Management Report



TAF'S COMMITMENT TO SUSTAINABILITY AND CLIMATE RESILIENCE

We firmly believe that addressing sustainability and climate-related challenges is not just a responsibility but an opportunity to drive innovation and create lasting value. The Company's approach is rooted in the following principles:

Proactive Adaptation

Continuously evolving business processes to align with sustainability and climate goals.

Long-Term Resilience

Strengthening the Group's ability to withstand and thrive amid environmental, social and economic changes.

Collaboration and Innovation

Partnering with stakeholders, including employees, suppliers and customers, to foster a collective commitment to sustainability and climate action.

Transparent Reporting

Regularly disclosing progress on SRROs and CRROs to ensure accountability and build stakeholder trust.

TAF Sustainability Related Risk & Opportunities

Key Risk Events of 2025	Impacted Capital	Impacts to TAF (Risks and Opportunities)	Risk Mitigation Strategy	Risk Rating
R19) Physical Climate Risks (Extreme weather due to climate change)	Natural Capital	◈ Disruptions in production and supply chain due to extreme weather, leading to delays and potential revenue loss. ◈ Weather conditions may affect workers' income, reducing market demand and causing oversupply in certain products.	◈ Constructing environmentally controlled houses to ensure stable production conditions regardless of weather changes. ◈ Installing lightning arresters and surge protectors to safeguard infrastructure. ◈ Securing insurance coverage to mitigate financial losses from extreme weather events. ◈ Adopting the ESG framework to enhance preparedness for climate-related challenges.	Medium
R20) Supply Chain Stability (Risk of losing suppliers or disrupted supply chain)	Social and Relationship Capital	◈ Supply chain disruptions can delay production and increase costs. ◈ Loss of reliable suppliers may impact the availability of key inputs.	◈ Conducting supplier grading surveys to ensure reliability and performance. ◈ Building long-term collaborative relationships with suppliers. ◈ Regularly evaluating supplier satisfaction levels to identify and resolve issues proactively.	Low
R21) Transition Climate Risks (Challenges in shifting to low-carbon operations)	Natural Capital	◈ High costs and complexities in adopting low-carbon technologies. ◈ Increased regulatory pressures for sustainable operations.	◈ Prioritising R&D for sustainable technology integration. ◈ Evaluating renewable energy investments for financial and environmental benefits. ◈ Positioning TAF as a sustainability leader through transparent communication of achievements.	Low
R22) Machine Breakdown and System Failures (Operational disruptions)	Manufactured Capital	◈ Machine failures may lead to productivity losses and operational delays, increasing costs.	◈ Regular maintenance and upgrades to ensure operational reliability. ◈ Adhering to maintenance schedules for timely servicing. ◈ Replacing machinery proactively to avoid breakdowns. ◈ Conducting downtime analysis to identify and address inefficiencies.	High
R23) Energy Risk	Manufactured Capital	◈ Uncertainty of energy supply for production due to price volatility and non-availability of stocks would generate operational disruption. ◈ Focusing on energy efficient practices would enhance the savings of the Company.	◈ Maintaining sufficient fuel stock with enhanced capacity covering all locations would reduce the adverse impact on production. ◈ Further investing in energy-efficient equipment and technologies would enhance operational performance and sustainable business practices. ◈ Conducting regular energy audits to identify efficiency opportunities would lead to cost-effectiveness and profit maximisation. ◈ Production planning by considering planned power outages is another risk mitigation strategy which followed by the Company.	Low

Risk & Opportunity Management Report

Key Risk Events of 2025	Impacted Capital	Impacts to TAF (Risks and Opportunities)	Risk Mitigation Strategy	Risk Rating
R24) Water Scarcity (Water shortages or interruptions)	Natural Capital	◈ Reduced water supply due to droughts or flooding may disrupt production and increase costs.	Developing internal water storage infrastructure to ensure consistent supply. Adopting water-saving techniques to conserve resources.	Medium
R25) Reputational Risk and Corporate Brand Equity	Intellectual Capital	◈ TAF's brand value and stakeholder trust are closely tied up with adherence of standards, rules and the practice of ethical behaviour. This would affect the long-term sustainability of the business.	◈ Adhering to corporate governance principles to comply with CSE regulations. ◈ Adoption of ethical practices in supply chain and manufacturing processes would ensure the trust of stakeholders. ◈ Obtaining international quality standards (ISO 9001, ISO 22000, GMP, HACCP, HALAL) would ensure the compliance requirement for Company operations. ◈ Conducting CSR and brand activities would facilitate attempts to initiate the brand equity of the Company. ◈ Promoting responsible ESG practices to stakeholders through transparent communication. ◈ Strengthening brand loyalty by demonstrating leadership in sustainability and corporate responsibility.	Low
R26) Renewable Energy Initiatives (Transition to sustainable energy sources)	Manufactured Capital	◈ Transitioning to renewable energy can reduce long-term operational costs and enhance TAF's ESG profile. ◈ Renewable energy investment decision will position TAF as a forward-thinking, environmentally responsible leader.	◈ Installing solar power systems on new EC houses to adopt sustainable energy solutions. ◈ Exploring additional renewable energy investments to drive operational efficiency and environmental sustainability.	Medium
R27) Non-Availability of Spare Parts for Continuous Operation	Manufactured Capital	◈ Operational delays and increased downtime due to unavailability of critical spare parts may affect production continuity and efficiency.	◈ Maintaining adequate spare parts inventory to ensure uninterrupted operations. ◈ Minimising supplier delivery times through long-term agreements and strong partnerships. ◈ Conducting planned maintenance activities to reduce wear and tear and ensure timely replacement of critical components.	Medium

Our approach emphasizes proactive risk management, focusing not only on mitigating potential challenges but also on leveraging opportunities to improve efficiency, drive innovation, and strengthen long-term stakeholder trust. By addressing climate-related risks, governance considerations, and operational challenges, while embracing technological advancements and sustainable practices, TAF integrates resilience and adaptability into every aspect of its operations.

In a dynamic and evolving business environment, TAF remains committed to continuously refining its risk management strategies. This ensures the protection and enhancement of enterprise value, while reinforcing our position as a responsible, forward-looking, and trusted leader in the poultry and agricultural sector.

Climate Risk Report

Our Climate Ecosystem

As an integrated poultry company, climate risk is a critical consideration for TAF's operations. Climate-related risks impact TAF's farming activities, day-old chick (DOC) production, logistics, and overall value chain in multiple ways. Recognizing the importance of embedding climate risk into strategic planning, TAF takes a proactive approach to identifying and managing both physical and transition risks, while also seeking to capitalize on climate-related opportunities to maintain a competitive edge.

Given TAF's reliance on climate-sensitive agricultural inputs, biological assets, and energy-intensive operations, assessing climate-related risks is essential to ensure operational continuity, regulatory compliance, and long-term resilience. Beyond regulatory obligations, the urgency of climate action and the transition toward a low-carbon economy require TAF to take structured, forward-looking measures. As a responsible corporate entity, TAF is committed to strengthening climate resilience and demonstrating leadership in addressing climate-related challenges.

Commitment to a Low-Carbon Transition

TAF is dedicated to gradually transitioning to a low-carbon operational model, aligning with evolving regulatory requirements and global best practices. The Company has strengthened the integration of climate considerations into its corporate strategy, focusing on reducing energy consumption, greenhouse gas emissions, and the environmental impact of its farming and DOC production.

Our Climate Journey So Far

TAF continues to embed climate considerations into core business processes, ensuring that climate-related risks and opportunities are assessed alongside other operational and strategic risks. This approach supports informed decision-making at management and Board levels, enabling the company to prioritize climate risks and implement targeted mitigation measures across its operations.

Climate Governance Structure

Oversight of climate-related risks and opportunities is integrated within TAF's existing governance framework. The same bodies responsible for enterprise risk management monitor climate-related matters, with technical support provided by sustainability, operational, and farm management teams. This ensures that climate considerations are factored into strategic and operational decisions effectively.

Structured Climate Risk Assessment and Scenario-Based Approach

To strengthen climate risk management and align with SLFRS S2 and global best practices, TAF adopts a structured, scenario-based approach that considers multiple climate pathways and time horizons. This methodology allows TAF to evaluate potential impacts under various future conditions, incorporating the evolving regulatory environment in Sri Lanka and global climate developments.

Scenario Analysis

TAF applies a scenario-based framework to climate risk assessment, drawing from the Intergovernmental Panel on Climate Change (IPCC) Representative Concentration Pathways (RCPs):

- RCP 8.5 – Business-as-usual scenario (BAU)
- RCP 6.0 and RCP 4.5 – Intermediate transition scenario
- RCP 2.6 – Low-carbon scenario

To ensure relevance to our poultry and farming operations, TAF also considers additional business-specific scenarios:

- **Severe Physical Risk Scenario:** Intensified heat waves, droughts, and water stress affecting farms, DOC production, feed supply, and operational continuity.
- **Accelerated Policy & Regulatory Transition Scenario:** Rapid tightening of environmental regulations, carbon pricing, and compliance requirements.
- **Energy Price Shock Scenario:** Sudden increases in energy costs affecting farms, feed mills, and production facilities.
- **Technology & Innovation Acceleration Scenario:** Rapid adoption of renewable energy, energy-efficient equipment, and sustainable farm practices, highlighting climate-related opportunities.
- **Supply Chain Disruption Scenario:** Climate-induced disruptions affecting feed, packaging, logistics, and the broader value chain.

Scenario	Description	Focus
Severe Physical Risk	Intensified heatwaves, droughts, and water stress	Physical risks
Accelerated Policy & Regulatory Transition	Tightening regulations and carbon pricing	Transition risks
Energy Price Shock	Sudden increase in fossil fuel costs	Transition risks
Technology & Innovation Acceleration	Rapid adoption of renewable energy and sustainable practices	Opportunities
Supply Chain Disruption	Impacts on feed, packaging, and logistics	Physical and transition risks

Climate Risk Report

Climate Risk Management and Scenario Framework

TAF employs a comprehensive scenario-based framework to evaluate climate-related risks and opportunities across our farming, DOC production, and supply chain operations. This approach enables the Company to assess both physical and transition risks under multiple future pathways, consider potential operational and financial impacts, and identify strategic opportunities. It supports informed decision-making while aligning with SLFRS S2 and TCFD guidance.

Managing Climate Risks and Opportunities

TAF strengthens climate risk mitigation through targeted operational improvements, energy efficiency initiatives, and effective resource management. Opportunities arising from climate action such as renewable energy adoption, decarbonization of operations, and climate-smart farm practices are evaluated alongside risks to ensure balanced, forward-looking decision-making.

A structured process guides climate risk management across all operations. Sector-specific assessments identify material climate risks, which are then reviewed at the enterprise level for potential impact and likelihood. These risks are collaboratively discussed within dedicated risk teams and committees, ensuring robust mitigation plans and the recognition of climate-related opportunities.

All climate risks are classified in line with TCFD and SLFRS S2 standards. Risks fall into two primary categories:

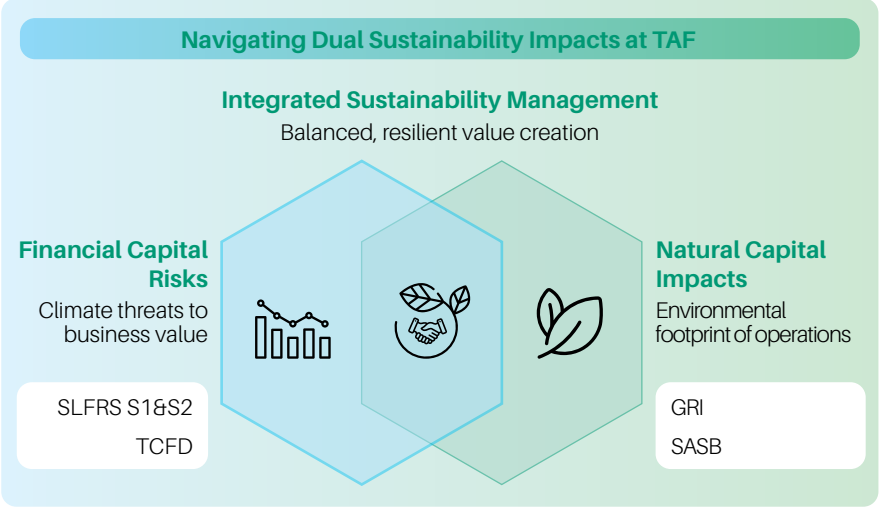
- **Physical risks:** Further divided into acute (e.g., extreme heat, floods, droughts) and chronic (e.g., gradual temperature rise, water scarcity).
- **Transition risks:** Categorized into policy and legal, technology, market, and reputational risks, reflecting shifts in regulations, consumer demand, and industry practices.

Physical risks are identified through tools such as national disaster vulnerability maps, climate projections, and cross-functional workshops. Transition risks are assessed using global climate scenarios (RCPs), anticipated policy developments, and market shifts, with inputs gathered across operations, sustainability, and supply chain teams.

Double Materiality of Climate Risks

TAF adopts a double materiality perspective in managing climate risks. On one hand, climate risks can disrupt operations and affect financial capital. On the other, TAF's activities influence natural capital through resource use, emissions, and other environmental impacts.

To manage these dual aspects, TAF aligns with international best practices. SLFRS S1/S2 and TCFD frameworks guide the evaluation of climate-related impacts on business performance, while GRI and SASB standards support measurement and management of environmental effects. This integrated approach ensures a comprehensive understanding of sustainability performance across financial, natural, and social capital, enabling informed decisions and strengthening long-term resilience.



Climate-Related Risks and Opportunities (CRRO)

Risk	Category Risk	Impacted Operations	BAU Scenario (ST/MT/LT)	Intermediate Scenario (ST/MT/LT)	Low-Carbon Scenario (ST/MT/LT)	Mitigation / Opportunity Actions	Risk Rating
R28) Reduced poultry productivity due to rising temperatures affecting bird health and feed conversion ratios	Physical – Chronic	Farms, Hatcheries	H H M	M M L	L L L	◈ Constructing environmentally controlled houses to ensure stable production conditions despite weather changes. ◈ Installing lightning arresters and surge protectors to protect infrastructure from climate-induced damages. ◈ Securing insurance coverage to mitigate financial losses from extreme weather events. ◈ Adopting the ESG framework to enhance preparedness for climate-related challenges.	M
R29) Increased mortality and operational disruptions due to extreme weather events (floods, heatwaves)	Physical – Acute	Farms, Processing Facilities,	H H M	M M L	L L L	◈ Strengthening farm infrastructure; emergency preparedness plans; diversification of farm locations.	M
R30) Erratic rainfall and drought, impacting feed crop availability and raw material costs	Physical – Chronic	Feed Mills, Supply Chain	H H M	M M L	L L L	◈ Supplier diversification; contract farming; sourcing from multiple regions; inventory planning.	M
R31) Water stress in drought-prone areas affecting farming	Physical – Chronic	Farms, Processing Facilities	H H M	M M L	L L L	◈ Developing internal water storage infrastructure to maintain supply during shortages. ◈ Adopting water-saving techniques to conserve resources and ensure sustainable operations. ◈ Water efficiency measures.	M
R32) Rising energy costs and exposure to fossil fuel price volatility	Transition – Market	Farms, Feed Mills, Processing	H H M	M M L	L L L	◈ Investment in renewable energy (solar); energy efficiency improvements; monitoring energy intensity KPIs.	M
R33) Increased regulatory and compliance costs related to emissions, waste, and environmental standards	Transition – Policy & Legal	Group-wide	H H M	M M L	L L L	◈ Alignment with SLFRS S1 & S2; strengthening ESG governance; proactive compliance monitoring.	L
R34) Supply chain disruptions due to climate impacts on suppliers and transport networks	Physical – Acute	Supply Chain, Logistics	H H M	M M L	L L L	◈ Enhancing supply chain resilience; alternative logistics planning; supplier risk assessments.	M
R35) Changing customer and retailer preferences toward low-carbon and sustainable products	Transition – Market	Sales, Branding	M M Opportunity	M M Opportunity	Opportunity Opportunity Opportunity	◈ Prioritizing R&D for sustainable manufacturing technologies to reduce emissions. ◈ Evaluating financial and environmental returns on renewable energy investments to maximise value. ◈ Establishing TAF as a sustainability leader by marketing achievements in low-carbon transitions- and Sustainable packaging initiatives,	L
R36) Increased operational costs related to waste management and packaging materials	Transition – Market	Processing, Distribution	M M Opportunity	M M Opportunity	Opportunity Opportunity Opportunity	◈ Sustainable packaging innovation; reuse of feed bags; biodegradable and food-grade materials.	M
R37) Decarbonisation requirements impacting long-term competitiveness	Transition-Technology	Group-wide	M M Opportunity	M M Opportunity	Opportunity Opportunity Opportunity	◈ Energy transition strategy; solar adoption; emissions measurement and reduction roadmap.	M

H High Risk M Medium Risk L Low risk

Climate Risk Report

Key Opportunities

TAF has identified several strategic opportunities that support sustainability, operational efficiency, and long-term resilience:

Energy Transition:

Adoption of solar power and energy-efficient technologies across farms .

Decarbonisation:

Alignment with emerging SLFRS S2 climate disclosure expectations to reduce carbon footprint.

Operational Resilience and Cost Optimisation:

Enhancing productivity while mitigating risks associated with climate, biosecurity, and supply chain disruptions.

Enhanced ESG Performance:

Strengthening governance, social responsibility, and stakeholder confidence.

Sustainable Practices:

Innovations in sustainable packaging, waste reduction, and resource-efficient operations.

Supply Chain Resilience and Food Security:

Building a reliable, sustainable, and transparent supply chain to support long-term business continuity.

Strategy

Identifying material risks and opportunities is central to guiding TAF's strategic priorities and ensuring resilience across our farming. Operating in a dynamic environment influenced by regulatory changes, climate-related challenges, biosecurity requirements, and market demand, TAF integrates proactive risk management with opportunity-focused planning.

Strengthening resilience involves improving biosecurity measures, enhancing supply chain stability, adopting climate-adaptive farming practices, and leveraging technology to increase efficiency, traceability, and operational transparency. At the same time, rising consumer demand for responsibly produced protein and value-added poultry products creates new avenues for growth.

TAF is committed to transparent reporting, providing clear insights into how operations impact stakeholders and how external developments affect the business. In line with SLFRS S1 and S2 expectations, this transparency reinforces accountability, builds trust, and supports sustainable long-term performance.

Metrics and Targets

Establishing measurable metrics and targets is key to evaluating the effectiveness of TAF's sustainability and risk management initiatives. Indicators cover areas such as environmental footprint, energy use, greenhouse gas emissions, biosecurity standards, animal welfare, workforce well-being, and governance practices.

A structured measurement framework enables TAF to track progress, assess the tangible outcomes of initiatives, and identify areas for improvement. Metrics also quantify the benefits of improved resource efficiency, reduced emissions, strengthened biosecurity, responsible waste management, and positive community impact.

Integrating risk-related metrics with targets ensures alignment with TAF's Enterprise Risk Management (ERM) process. By linking key risks such as disease outbreaks, feed and energy cost volatility, regulatory changes, supply chain disruptions, and climate impacts to measurable performance indicators, TAF ensures risk mitigation is proactive, data-driven, and transparent.

Through clear disclosure of metrics and targets, TAF demonstrates accountability, responsible stewardship, and a commitment to continuous improvement, while aligning sustainability goals with stakeholder expectations and regulatory requirements.

Forward Focus

TAF will continue to enhance climate governance, refine scenario analysis, and integrate climate-related metrics into strategic and capital allocation decisions. By balancing risk mitigation with the capture of emerging opportunities, TAF aims to protect long-term value while fostering a resilient, sustainable, and future-ready business model.

Further details can be found in SLFRS Sustainability Disclosures on Page 186

Approach to Sustainability and Commitment to SDGs

Sustainability Overview

Sustainability continues to be a key driver of TAF's long-term value creation, guiding how the Group manages its environmental, social, and governance (ESG) responsibilities while delivering sustainable growth. Building on the progress achieved in prior years, TAF has further embedded sustainability across its operations, ensuring that business decisions are aligned with responsible and resilient practices.

During the year, the Group strengthened its focus on operational efficiency, resource optimisation, and stakeholder responsiveness. Sustainability considerations are increasingly integrated into core business processes, enabling TAF to proactively address emerging risks and opportunities while contributing to broader economic and social development. This approach reinforces the Group's commitment to responsible business conduct and positions TAF as a forward-looking and sustainable enterprise.

Sustainability Governance

Effective governance underpins TAF's sustainability journey. The Board of Directors provides strategic direction and oversight, ensuring that ESG considerations are incorporated into decision-making processes and aligned with the Group's overall business strategy.

In 2025, the Board further enhanced its focus on sustainability by supporting the adoption of structured reporting and governance practices in line with SLFRS S1 and S2. This ensures greater transparency, accountability, and consistency in managing sustainability-related risks and opportunities. The Board works closely with Corporate Management to monitor progress and ensure that sustainability remains integral to long-term value creation.

Sustainability Committee

The Sustainability Committee continues to play a central role in advancing TAF's ESG agenda. The Committee is responsible for overseeing the implementation of sustainability strategies, ensuring alignment with regulatory requirements, and promoting best practices across the organisation.

During the year, the Committee focused on strengthening frameworks for identifying, assessing, and managing sustainability-related risks and opportunities, with particular attention to climate change, resource efficiency, and social impact. It also supported the enhancement of sustainability disclosures in line with evolving reporting standards, improving the quality and credibility of reported information.

Working in close coordination with the Board and management, the Committee ensures that sustainability priorities are effectively integrated into business operations, supporting TAF's commitment to responsible growth and long-term stakeholder value.

Composition of the Committee

The Sustainability Committee comprises Non-Executive Independent Directors with diverse expertise in governance, risk management, and sustainability. Their collective experience provides strong guidance in shaping CGE's sustainability strategy and overseeing its effective implementation.

Following changes effective 1 January 2025, the Committee composition reflects a blend of continuity and refreshed leadership to further strengthen governance and oversight.

Committee Members

- **Mr. I. A. Wickramasinghe**
  Chairman
  Non-Executive Independent Director
- **Mr. Wickrema Senaka Weerasooria**
  Member
  Non-Executive Chairman
- **Mr. T. A. B. Speldewinde**
  Member
  Non-Executive Independent Director

Sustainability Governance Structure

GRI 2-14

A detailed overview of the governance structure, including the roles and responsibilities of the Board and the Sustainability Committee, is provided in the SLFRS Disclosures, Note 6: Sustainability and Climate-related Governance (Page No. 190).

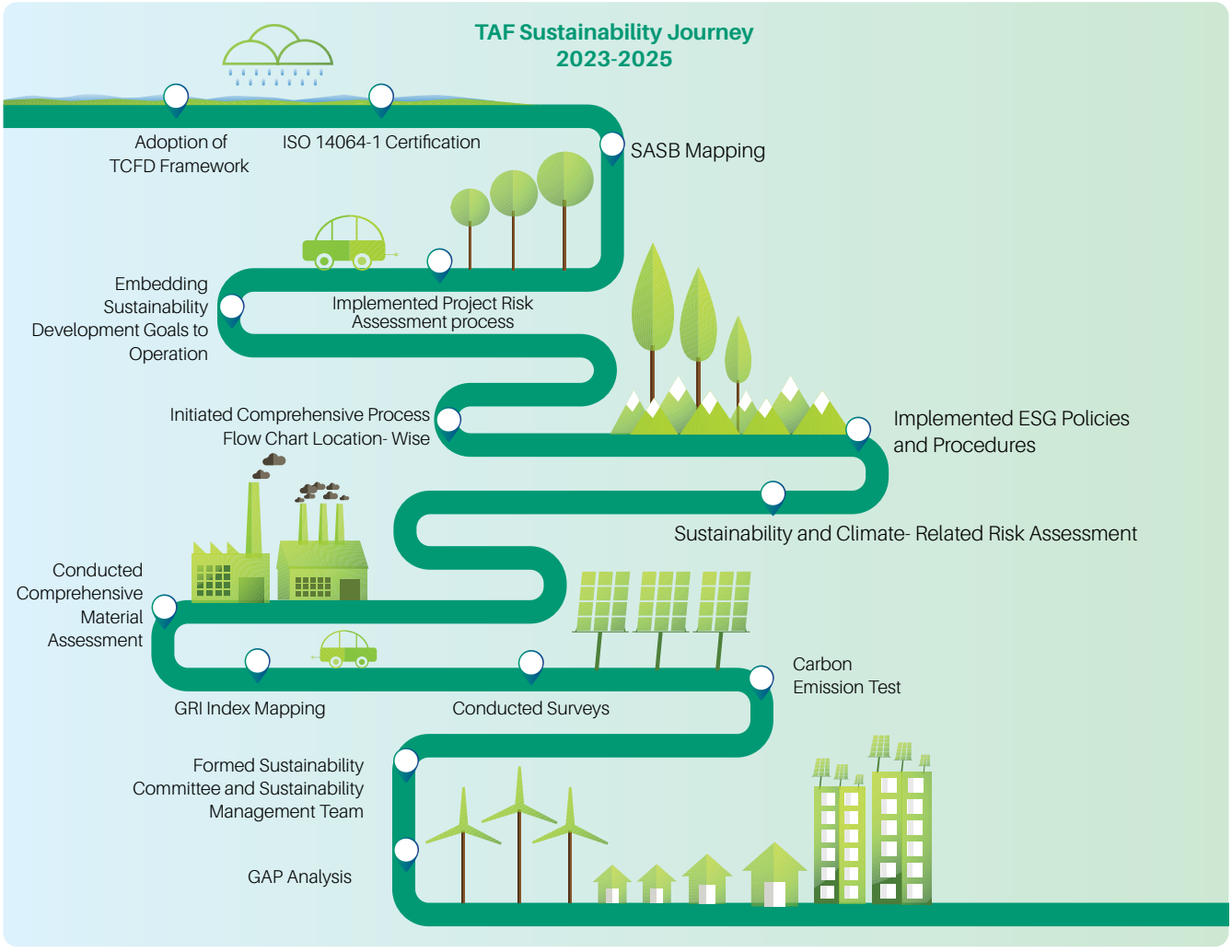
Sustainability Strategy

During 2025, TAF advanced its sustainability agenda through the formal adoption of a comprehensive Environmental, Social, and Governance (ESG) Policy, aligned with Section 9.2 of the Colombo Stock Exchange (CSE) Listing Rules on Corporate Governance. This marks a significant step in strengthening the integration of sustainability into the Group's strategic and operational framework.

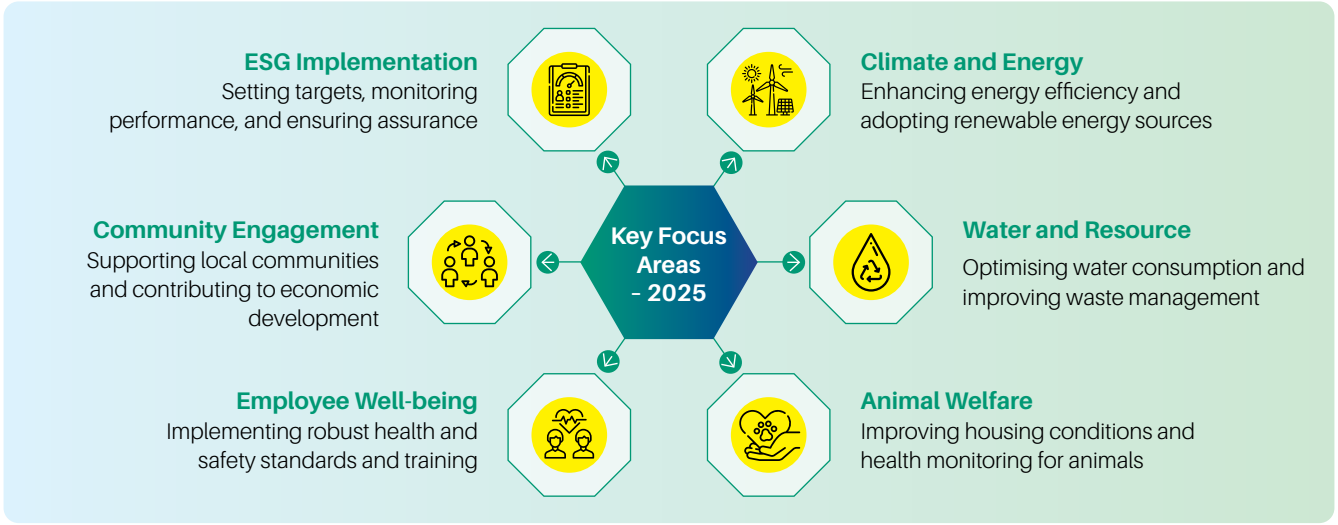
The policy provides a clear and structured approach for embedding ESG considerations into business decisions, enabling the Group to effectively manage environmental and social risks while capitalising on emerging opportunities. It supports a balanced approach to value creation, benefiting both the organisation and its wider stakeholder base.

To reinforce this framework, TAF has operationalised a set of supporting policies covering key areas such as energy management, materials and waste management, water stewardship, and occupational health and safety. These policies ensure that sustainability principles are consistently applied across daily operations.

Approach to Sustainability and Commitment to SDGs



Key Focus Areas - 2025



Key Sustainability Metrics and Targets (2025)

A detailed overview of the Sustainability Metrics and Targets is provided in the SLFRS Disclosures, Note 13: Metrics and Targets (Page No. 204).

Monitoring and Review

Progress against these targets is reviewed periodically by the Sustainability Committee and the Board, ensuring alignment with TAF's strategic priorities and evolving regulatory requirements. Performance outcomes and updates will continue to be disclosed transparently in future reporting cycles.

Double Materiality Approach

A detailed overview of the Double Materiality Approach is provided in the Material Topic (Page No. 204).

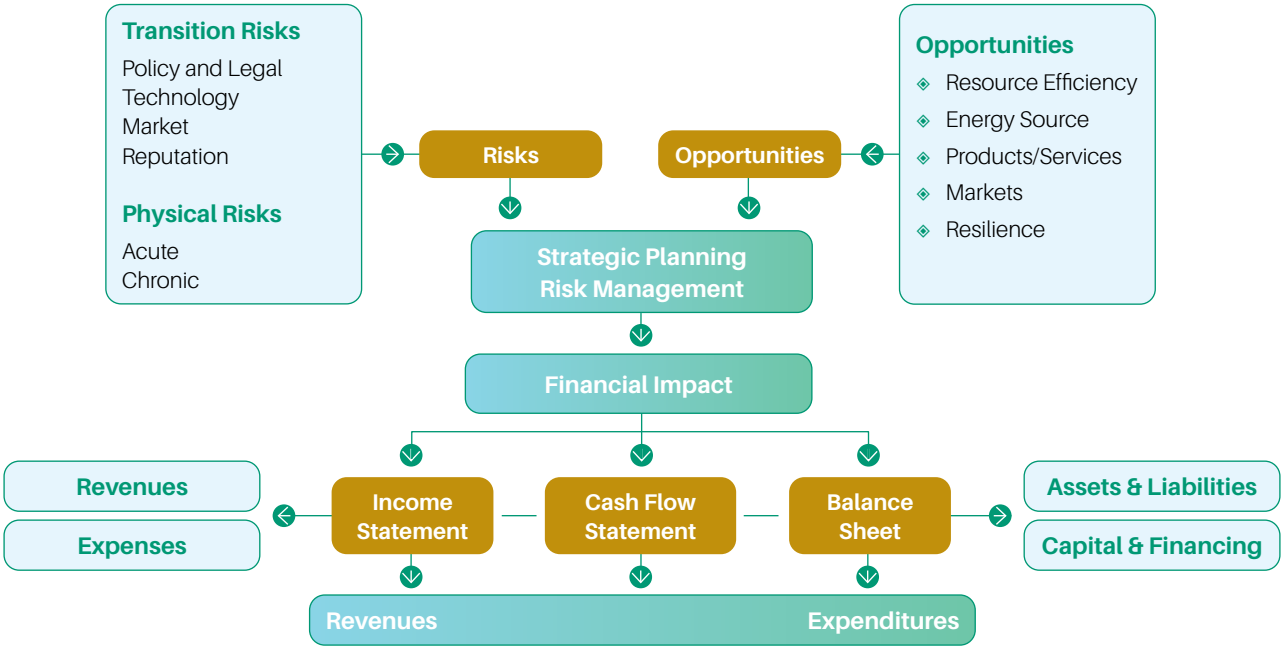
Climate Risk and Opportunity Management (SLFRS S2 Alignment)

TAF recognises climate change as a key driver influencing its operational resilience, supply chain stability, and long-term value creation. In alignment with SLFRS S2, the Group has adopted a structured approach to identifying, assessing, and managing climate-related risks and opportunities across its value chain.

The Group remains identifying of physical risks, including extreme weather events, water stress, and temperature fluctuations, which may affect agricultural outputs and operational performance. In parallel, transition risks such as evolving regulatory requirements, changing stakeholder expectations, and the shift towards low-carbon practices are actively considered within strategic planning processes.

At the same time, TAF continues to pursue climate-related opportunities by enhancing energy efficiency, increasing the adoption of renewable energy, and promoting sustainable agricultural practices that strengthen resilience while reducing environmental impact.

Climate considerations are embedded within the Group's enterprise risk management framework, with ongoing oversight from the Sustainability Committee and the Board. This integrated approach supports proactive, informed decision-making and reinforces TAF's commitment to building a climate-resilient and sustainable business.



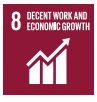
A detailed overview of the Sustainability and Climate Risk & Opportunity is provided in alignment of SLFRS Sustainability Related Financial Disclosures page No. 186.

Alignment with the United Nations Sustainable Development Goals (SDGs)

TAF recognises the importance of contributing to the United Nations Sustainable Development Goals (SDGs) by aligning its operations and business practices with global sustainability priorities. As part of this approach, the Group has mapped its key activities and initiatives against relevant SDGs, ensuring that its operations support meaningful environmental, social, and economic outcomes.

This alignment reflects TAF's integrated approach to sustainability, encompassing responsible resource utilisation, efficient production practices, employee well-being, and community engagement. By embedding SDG principles into its strategic framework, TAF continues to enhance its resilience, address emerging risks, and create sustainable value for its stakeholders while contributing positively to society and the environment.

Approach to Sustainability and Commitment to SDGs

SDG	SDG Sub-Goals (Target & Name)	GRI Reference	CGE Practices and Contributions
1. No Poverty 	1.1 Eradicate extreme poverty; 1.2 Reduce poverty; 1.4 Equal access to resources.	GRI 202, 203, 207	◈ Providing employment to local communities Sourcing from local suppliers ◈ Supporting out-grower farms ◈ Contributing to national income through taxes ◈ Complying with government minimum wage regulations
2. Zero Hunger 	2.1 End hunger; 2.3 Support small-scale producers; 2.4 Sustainable food production.	GRI 413	◈ Cultivating coconut and banana within farms ◈ Operating out-grower farms ◈ Supplying DOCs, eggs, and chicken ◈ Supporting community nutrition with protein-rich products
3. Good Health & Well-being 	3.8 Access to healthcare; 3.9 Reduce pollution-related health risks.	GRI 403, 305, 306	◈ Medical insurance ◈ Maintaining safe workplaces ◈ No GMO use ◈ No hazardous waste generation; ◈ Low carbon emissions ◈ Zero fatalities
4. Quality Education 	4.3 Access to education; 4.4 Skills for employment; 4.7 Sustainability awareness.	GRI 404	◈ CSR initiative "Empowering Tomorrow's Children" ◈ vocational training; employee development programmes
5. Gender Equality 	5.1 End discrimination; 5.5 Equal participation.	GRI 405, 406	◈ Equal opportunity employment ◈ Non-discriminatory hiring and promotions ◈ Equal pay (1:1 ratio) ◈ Leadership inclusivity
6. Clean Water & Sanitation 	6.3 Improve water quality; 6.4 Water efficiency.	GRI 303, 306	◈ Wastewater treatment plants ◈ Natural filtration through trees ◈ Responsible water discharge practices
7. Affordable & Clean Energy 	7.2 Renewable energy; 7.3 Energy efficiency.	GRI 302	◈ Installation of capacitor banks ◈ Improving energy efficiency across all operational locations
8. Decent Work & Economic Growth 	8.5 Full employment; 8.8 Safe workplaces.	GRI 401, 404	◈ Low employee turnover ◈ Safe working conditions ◈ Fair labour practices ◈ Training and development ◈ Performance and career reviews
9. Industry, Innovation & Infrastructure 	9.1 Infrastructure development; 9.4 Sustainable industrialisation.	GRI 203	◈ Continuous investment in infrastructure and technology to enhance efficiency and value creation

SDG	SDG Sub-Goals (Target & Name)	GRI Reference	CGE Practices and Contributions
10. Reduced Inequalities 	10.2 Social inclusion; 10.3 Equal opportunity.	GRI 405	◈ No discrimination based on location, nationality, caste, or religion; inclusive workforce practices
11. Sustainable Cities & Communities 	11.2 Rural-urban linkages.	GRI 203	◈ Developing rural farms to generate employment and promote local economic growth
12. Responsible Consumption & Production 	12.2 Resource efficiency; 12.4 Waste management; 12.5 Waste reduction.	GRI 301–306	◈ Zero waste initiatives ◈ Rendered meal production ◈ By-product reuse ◈ GHG measurement across operations ◈ Water recycling and treatment
13. Climate Action 	13.1 Climate resilience; 13.2 Climate integration into strategy.	GRI 201, 302–306	◈ Carbon reduction strategies ◈ Monitoring energy and emissions ◈ Identifying climate risks and opportunities ◈ Planning mitigation actions
14. Life Below Water 	14.1 Reduce marine pollution.	GRI 304	◈ Compliance with environmental standards ◈ Responsible discharge to minimise water pollution
15. Life on Land 	15.1 Ecosystem conservation; 15.5 Biodiversity protection.	GRI 304, 305	◈ Reforestation and land conservation ◈ Sustainable farming; biodiversity protection; environmental impact assessments
16. Peace, Justice & Strong Institutions 	16.5 Reduce corruption; 16.6 Accountable institutions.	GRI 206, 403, 307, 416	◈ Strong compliance culture ◈ Workplace safety ◈ Environmental law adherence ◈ Customer data protection; no anti-competitive behaviour or legal violations
17. Partnerships for the Goals 	17.16 Partnerships; 17.17 Public-private collaboration.	GRI 207	◈ Collaboration with government, universities, and industry partners ◈ Participation in sustainability policy discussions

Future Outlook

TAF remains focused on strengthening its sustainability journey by enhancing both its practices and disclosures in line with evolving regulatory requirements and stakeholder expectations. Looking ahead, the Group aims to further develop its ESG data management systems, expand climate-related disclosures, and establish more defined targets to track and drive performance.

Through continued emphasis on innovation, operational efficiency, and strong governance, TAF is well-positioned to deliver long-term sustainable value while supporting environmental stewardship, social progress, and economic growth.

ESG Performance of Consolidated Statement

Category	Indicator	Note	2025	2024	2023
Environmental Performance					
Energy	Non-renewable energy consumption (GJ)	2.1	19,579.69	26,291.05	23,280.20
	Non-renewable energy consumption to generate Rs. 1 Mn turnover (GJ)	2.1	3.17	4.24	2.09
	Renewable energy consumption (% of total energy use)	2.1	N/A	N/A	N/A
Water	Total water consumption (m^3)	2.2	287,000	287,877	251,640
	Total water usage to generate Rs. 1 Mn turnover (m^3)	2.2	46.5	46	23
Waste	**Non-hazardous waste (kg)**				
	*Packing Waste	3.1	Nil	Nil	Nil
	* Poultry Litter	3.1	Nil	Nil	Nil
	*Hazardous waste	3.1	Nil	Nil	Nil
Emission	Scope 1 emissions (tCO_2e)	4.1	505.9	370.08	2,938
	Scope 2 emissions (tCO_2e)	4.2	2,539.5	2732.23	2,361
	Scope 3 emissions (tCO_2e)	4.3	332.1	N/A	N/A
	Carbon emission to generate Rs. 1 Mn turnover	4.4	0.55	0.50	0.48
Social Performance					
Empolyees & People	Total employees as at 31 December	5.1	234	248	247
	Employee turnover (%)	5.1	7.3	5.2	5.2
	Female employees (%)	5.1	46%	49%	49%
	Employee engagement score (out of 5)	5.1	4.8	4.7	4.45
	Employee Trust Index (out of 100) (%)	5.1	86	85	82
	Employee Satisfaction Index (%)	5.1	88	87	86
	Absenteeism rate (%)	5.1	2.0%	1.6%	2.8%
	Leadership development participation%	5.1	19%	36%	2%
	Internal promotion rate (%)	5.1	5%	5%	5%
	Average tenure of employees (%)	5.1	77%	80%	67%
	Total number of fatalities	5.1	Nil	Nil	Nil
	Major injuries	5.1	Nil	Nil	Nil
	Average training hours per employee (hrs)	5.1	3.0	5.8	1.5
	Investment in training	5.1	311,000	624,000	671,000
	Total Employee Benefits Distributed ('000)	5.1	888,212	774,859	717,370
	Volunteer hours by employees (hrs)	5.1	1663	1,746	1,179
	Number of apprenticeships provided for technical education	5.1	65	12	Nil

Category	Indicator	Note	2025	2024	2023
Customer & Society	Duty and tariff paid (Rs.000)	5.2	2,310,874	1,823,449	2,057,851
	Product recalls	5.2	Nil	Nil	Nil
	Number of community projects supported	5.2	08	07	Nil
	Incidents of non-compliance related to marketing communications	5.2	Nil	Nil	Nil
	Incidents of non-compliance with labelling requirements	5.2	Nil	Nil	Nil
	Suppliers' payment (Rs.'000)	5.2	3,084,381	2,778,347	2,258,073
Governance Performance					
Values & Ethics	Whistleblower cases reported & solved	6.1	Nil	Nil	Nil
	Anti-harassment helpline cases reported & solved	6.1	Nil	Nil	Nil
	Number of regulatory fines or penalties	6.1	Nil	Nil	Nil
	Internal investigations initiated & closed	6.1	Nil	Nil	Nil
Management Systems	Total audits conducted	6.2	9	8	8
	Major non-compliances reported	6.2	Nil	Nil	Nil
	% corrective actions implemented after audits	6.2	100%	100%	100%
	Data privacy / cybersecurity incidents reported & resolved	6.3	Nil	Nil	Nil
	Audit recommendations closure rate (%)	6.3	90%	90%	90%

SECTION 01 – BASIS OF PREPARATION

Reporting Scope and Framework

This consolidated ESG Performance Statement has been prepared for TAF PLC and its subsidiaries over which TAF exercises management control. Information relating to associates is included where relevant to understanding the Group's overall ESG performance.

The ESG indicators disclosed reflect TAF's sustainability priorities and operational focus within the poultry and feed value chain. These indicators support both operational performance monitoring and long-term sustainability objectives.

Standards, Guidelines and References

TAF has aligned this ESG statement with internationally recognised frameworks, including:

- GRI Standards and GRI 13: Agriculture, Aquaculture and Fishing (2022)
- CA Sri Lanka Guidelines for Annual Reports (2025)
- International Integrated Reporting Framework (2021)
- SASB Standards – Meat, Poultry and Dairy (2022)
- GHG Protocol (Scopes 1, 2 and 3)
- SLFRS S1 & S2
- TCFD Guidance (2021)
- ISO 14064-1:2018

Reporting Principles

Disclosures are prepared in accordance with GRI, SASB and <IR> principles to ensure accuracy, consistency, comparability and reliability.

Materiality

TAF adopts a double materiality approach, considering:

- Operational impacts on environment and society
- Financial risks and opportunities arising from ESG factors

Material topics are identified through stakeholder engagement and internal risk assessments.

ESG Performance of Consolidated Statement

Stakeholder Inclusiveness

TAF engages stakeholders through structured and informal mechanisms, including surveys and management reviews, ensuring ESG priorities reflect evolving expectations.

Accuracy, Completeness and Verifiability

Data is supported by internal systems and subject to verification through management controls and audit processes.

Comparability, Responsiveness and Impact

TAF ensures consistency in methodologies while enhancing disclosures in response to regulatory developments and stakeholder expectations. Both positive and negative ESG impacts are presented.

SECTION 02 – ENVIRONMENTAL PERFORMANCE

2.1 Energy Consumption Profile

TAF's energy consumption is primarily derived from non-renewable sources including fuel and electricity used in its farms operations, and logistics.

For FY 2025, total non-renewable energy consumption decreased to 19,579.69 GJ from 26,291.05 GJ in 2024, reflecting improved operational efficiency and optimisation of fuel usage.

However, energy intensity per Rs. 1 million of turnover reduced to 3.17 GJ from 4.24 GJ, indicating improved energy efficiency despite fluctuations in production and revenue levels. The comparatively lower intensity in 2023 (2.09 GJ) reflects variations in operational scale and turnover composition.

Renewable energy consumption remains not applicable as at reporting period .

(Refer Natural Capital Report Page 113 to 122 for further details)



Reporting Methodology

Energy data is compiled from fuel records and operational logs and converted to GJ using standard conversion factors.

2.2 Water Consumption Profile

Water is primarily used in processing and operational activities.

Total water consumption remained relatively stable at 287,000 m^3 in 2025, compared to 287,877 m^3 in 2024, indicating controlled usage despite operational demands.

Water intensity increased slightly to 46.5 m^3 per Rs. 1 million turnover (2024: 46 m^3), reflecting marginal changes in revenue relative to water usage.



Reporting Methodology

Data is sourced from utility bills, meter readings, and operational estimates where required.

(Refer Natural Capital Report Page 117 to 122 for further details)

3.1 Waste Generation Profile

Waste generation remains minimal across TAF operations.

- No packing waste or poultry litter was recorded during the reporting period.
- Hazardous waste generation was negligible.

This reflects the nature of TAF's operations and effective waste management practices.



Reporting Methodology

Waste data is compiled from operational records and internal reporting systems.

(Refer Natural Capital Report Page 118 to 122 for further details)

4.1 Emissions Profile

TAF's emissions arise mainly from fuel consumption and electricity usage.

- Scope 1 emissions reduced to 370.08 tCO_2e in 2025 from 505.87 tCO_2e in 2024, representing a notable improvement compared to 2,938 tCO_2e in 2023, reflecting enhanced fuel efficiency and operational optimisation.
- Scope 2 emissions increased slightly to 2,732.23 tCO_2e in 2025 from 2,539.47 tCO_2e in 2024, though remaining lower than 2,361 tCO_2e recorded in 2023, indicating relatively stable electricity consumption over the period.
- Scope 3 emissions were quantified for the first time in 2025 at 332.08 tCO_2e, strengthening the completeness of emissions reporting.

Carbon intensity increased to 0.50 tCO_2e per Rs. 1 million turnover (2024: 0.55; 2023: 0.48), indicating a marginal increase compared to the previous year while remaining broadly aligned with historical levels.



Reporting Methodology

Emissions are calculated using GHG Protocol methodologies based on fuel and electricity consumption data.

(Refer Natural Capital Report Page 114 to 122 for further details)

SECTION 03 – SOCIAL PERFORMANCE

5.1 Employees

As at 31 December 2025, TAF employed 234 employees (2024: 248), reflecting workforce optimisation.

- Employee turnover increased to 7.3% (2024: 5.2%), indicating higher workforce movement.
- Female representation declined slightly to 46% (2024: 49%).

Employee Engagement and Wellbeing

- Engagement score improved to 4.8/5
- Trust Index increased to 86%
- Satisfaction Index reached 88%

These improvements indicate strong employee sentiment despite workforce adjustments.

Health and Safety

TAF maintained zero fatalities and zero major injuries, with absenteeism at 2.0%, slightly higher than 2024.

Learning and Development

- Training hours reported at 3.0 hours per employee
- Training investment increased to Rs. 0.3 Mn, reflecting continued focus on capability building
- Leadership participation declined to 19% (2024: 36%), indicating reduced programme engagement

Other Workforce Indicators

- Internal promotion rate remained stable at 5%
- Average tenure improved to 77%
- Volunteer hours stood at 1,663 hours
- Apprenticeships increased significantly to 65, supporting technical skill development



Reporting Methodology

Data is sourced from HRIS, payroll systems, and training records.

5.2 Customer & Society Performance

Economic Contribution

Duty and tariff paid increased to Rs. 2,310.9 Mn in 2025 from Rs. 1,823.4 Mn in 2024, reflecting a significant increase of Rs. 487.5 Mn (26.7%). In contrast, 2024 recorded a decrease compared to 2023, where the amount stood at Rs. 2,057.9 Mn, indicating a reduction of Rs. 234.4 Mn.

Supplier payments decreased to Rs. 1,092 Mn from Rs. 2,624 Mn, reflecting procurement and operational adjustments.

Product Responsibility

TAF maintained zero product recalls and no non-compliance incidents related to marketing or labelling.

Community Engagement

Community initiatives increased to 08 projects in 2025 (2024: 07), demonstrating enhanced social engagement.



Reporting Methodology

Data is obtained from finance, compliance, and sustainability records.

SECTION 04 – GOVERNANCE PERFORMANCE

6.1 Values, Ethics and Compliance

TAF maintained strong ethical standards with:

- Zero whistleblower cases
- Zero harassment cases
- Zero regulatory fines



Reporting Methodology

Ethics and compliance data (whistleblower cases, anti-harassment reports, investigations, and penalties) are tracked through internal reporting and compliance registers. Audit-related data is obtained from internal audit reports, external certification audits, and management system records.

6.2 Management Systems and Controls

- Total audits conducted: 09
- No major non-compliances reported
- 100% corrective action closure rate maintained
- Audit recommendation closure rate: 90%



Reporting Methodology

Corrective action and audit closure rates are calculated based on actions completed against those identified during audits.

6.3 Data Protection and Cyber Security

No data privacy or cybersecurity incidents were reported during the period.

Reporting Methodology

Corrective action and audit closure rates are calculated based on actions completed against those identified during audits. Data privacy and cyber security incidents are monitored through IT and risk management systems.

SLFRS Sustainability-Related Financial Disclosures

NOTE 01 : BASIS FOR THE PREPARATION

1.1 Application of SLFRS Sustainability Disclosure Standards

These sustainability-related financial disclosures have been prepared in accordance with the Sri Lanka Financial Reporting Standards (SLFRS) Sustainability Disclosure Standards issued by the Institute of Chartered Accountants of Sri Lanka, namely:

- SLFRS S1 – General Requirements for Disclosure of Sustainability-related Financial Information, and
- SLFRS S2 – Climate-related Disclosures, which are aligned with IFRS S1 and IFRS S2 issued by the International Sustainability Standards Board (ISSB).

TAF has adopted the SLFRS Sustainability Disclosure Standards for the financial year ended 31 December 2025. These disclosures provide a comprehensive view of sustainability-related risks and opportunities that could reasonably be expected to affect the Group's Financial performance, Financial Position , cash flows, access to finance, and cost of capital over the short, medium, and long term.

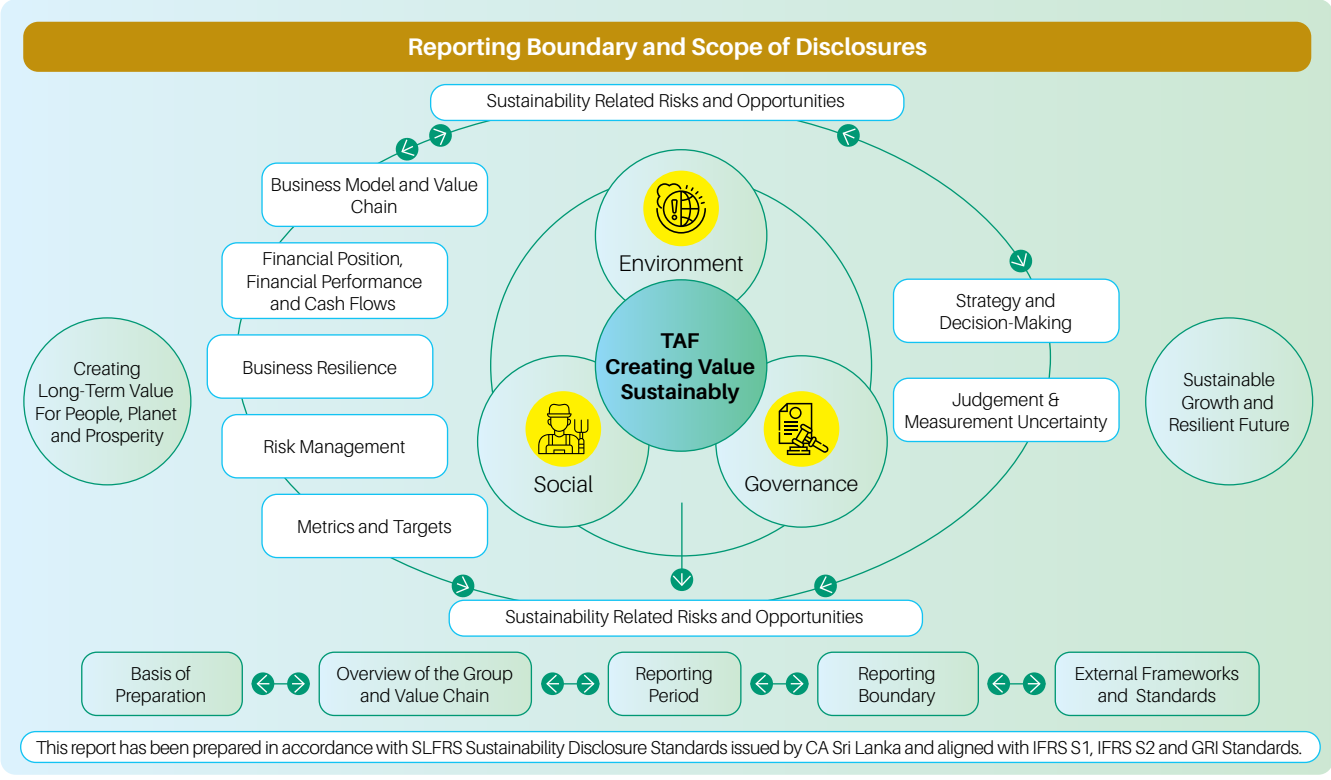
The Group has not applied any transitional reliefs available under SLFRS S1 or SLFRS S2. Accordingly, the disclosures extend beyond climate-related matters and encompass a broader range of environmental, social, and governance (ESG) risks and opportunities identified as financially material to the Group.

In preparing these disclosures, TAF has considered relevant guidance, where applicable, from the following frameworks and standards to enhance the robustness and comparability of disclosures:

- TCFD Guidance (October 2021), including the Supplemental Guidance for Non-Financial Groups - Agriculture, Food, and Forest Products, ensuring relevance to the nature and scale of our operations.
- Sustainability Accounting Standards Board (SASB) Standards, particularly those relevant to climate-related and sustainability-related financial disclosures and Meat Poultry and Dairy Standard (2022 Volume B23) under the IFRS Foundation.
- Global Reporting Initiative (GRI) Standards
- GRI 13: Agriculture, Aquaculture and Fishing Sectors (2022)
- These frameworks have been used as complementary references and do not replace the requirements of SLFRS Sustainability Disclosure Standards.

1.2 Reporting Period and Reporting Boundary

These sustainability-related financial disclosures cover the financial year from 1 January 2025 to 31 December 2025, consistent with the Group's general-purpose financial statements.



The disclosures apply to Three Acre Farms PLC and its subsidiaries and are prepared on a consolidated basis, unless otherwise stated. The reporting boundary is aligned with the Group's financial reporting boundary and includes all operations, assets, and activities over which the Group exercises control.

Where sustainability-related risks and opportunities arise from upstream or downstream value chain activities that are outside the Group's direct financial reporting boundary, such exposures are included where they are considered material to the Group's financial prospects. These inclusions are clearly identified in the relevant disclosures.

The primary users of these sustainability-related financial disclosures are existing and potential investors, lenders, and other creditors who rely on general-purpose financial reports to make decisions about providing resources to the Group.

1.3 Materiality Basis

In accordance with SLFRS S1, the Group discloses only those sustainability-related risks and opportunities that could reasonably be expected to affect its Financial Performance, Financial Position, cash flows, access to finance, or cost of capital over the short, medium, or long term.

TAF applies a financial materiality lens, while recognising that certain environmental and social matters may have indirect or longer-term financial implications. The determination of material sustainability-related risks and opportunities is based on a structured materiality assessment process that includes:

- Evaluation of the magnitude and likelihood of potential financial impacts
- Consideration of relevant time horizons (short, medium and long-term)
- Engagement with internal stakeholders and subject-matter experts
- Assessment across environmental, social, and governance dimensions
- Alignment with disclosure pillars under SLFRS Sustainability Disclosure Standards

Sustainability topics assessed but determined not to be financially material have been excluded from these disclosures. A record of assessed topics is maintained internally and reviewed periodically to reflect evolving business conditions, regulatory requirements, and stakeholder expectations.

1.4 Use of Estimates, Judgements, and Forward-looking Information

The preparation of sustainability-related financial disclosures requires the use of estimates, assumptions, and professional judgement, particularly given the forward-looking nature of sustainability-related risks and opportunities.

The Group has used reasonable and supportable information available at the reporting date . Where quantitative information is disclosed, it is based on methodologies, assumptions, and data sources that are considered appropriate and proportionate to the nature of the underlying risk or opportunity.

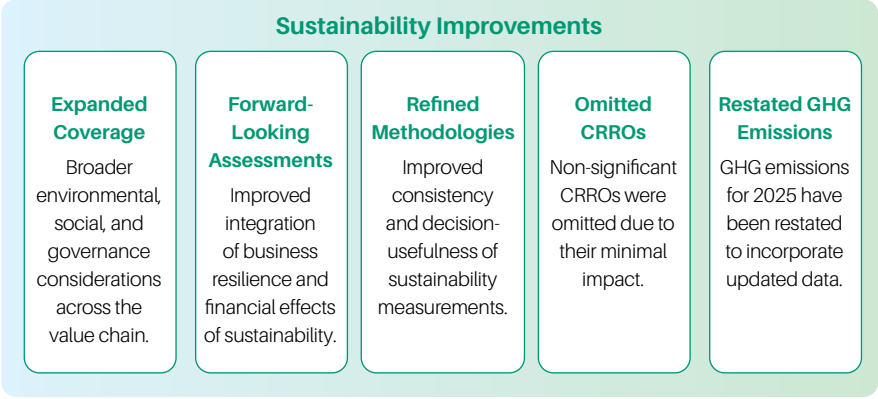
Areas involving significant judgement, estimation uncertainty, or forward-looking assumptions include, but are not limited to, climate-related risk assessment, scenario analysis, greenhouse gas emissions estimation, and the evaluation of value chain exposures.

1.5 Changes from Previous Reporting Periods

The financial year ended 31 December 2025 represents an enhanced phase in the Group's sustainability-related financial reporting in First time.

Key developments compared to prior reporting practices include:

- Expanded coverage of sustainability-related risks and opportunities beyond climate-related matters, encompassing broader environmental, social, and governance considerations across the Group's value chain.
- Improved integration of forward-looking assessments, including business resilience considerations and potential financial effects of material sustainability-related risks and opportunities.
- Refinement of methodologies, assumptions, and data sources used in sustainability-related measurements to improve consistency and decision-usefulness.
- Non-significant CRROs were omitted due to their minimal impact.
- GHG emissions for 2025 have been restated this year to incorporate updated emission factors and enhanced Scope 3 activity data and quantification methodologies.



SLFRS Sustainability-Related Financial Disclosures

1.6 Statement of Compliance

These sustainability-related financial disclosures represent a complete and fair presentation of the sustainability-related financial information of Three Acre Farms PLC and its subsidiaries for the year ended 31 December 2025.

The disclosures have been prepared in compliance with the SLFRS Sustainability Disclosure Standards as issued by the Institute of Chartered Accountants of Sri Lanka and are intended to be read together with the Group's consolidated financial statements.

NOTE 2: OVERVIEW OF THE VALUE CHAIN

TAF operates an integrated value chain encompassing Farms operations and supporting services across its diversified business operations in Sri Lanka. The Group's activities are supported by a network of suppliers, service providers, logistics partners, and distribution channels, all of which play a critical role in value creation and the management of sustainability-related risks and opportunities. TAF's value chain reflects its strategic focus on operational efficiency, product quality, regulatory compliance, and responsible business practices.

Upstream Value Chain

TAF PLC's upstream value chain encompasses the sourcing of key inputs required for its farming, broiler, and breeder operations. This includes day-old chicks, breeder stock, feed inputs, veterinary supplies, packaging materials, utilities (including energy and water), outsourced services, and labour.

Key sustainability considerations at this stage include input cost volatility (particularly feed raw materials), biosecurity risks, animal health and welfare standards, supplier reliability, and responsible sourcing practices. Resource availability, especially feed ingredients and water, also remains critical to operational continuity.

These risks are managed through structured supplier selection and evaluation processes, diversification of sourcing, adherence to internal procurement and biosecurity standards, and ongoing engagement with suppliers to ensure compliance with regulatory and ESG requirements. TAF also focuses on maintaining strong relationships with contract farmers and input suppliers to ensure consistency in quality and operational efficiency.

Downstream Value Chain

TAF's downstream value chain includes the distribution, and sale of broiler products, as well as the supply of chicks and related outputs from breeder operations. Products are distributed to local markets through a network of distributors, retailers, and business partners, supported by logistics and cold chain management systems.

Sustainability-related risks in the downstream segment include changing customer expectations on food safety, quality, and ESG performance, regulatory compliance requirements, and emissions associated with transportation and distribution. Maintaining product integrity across the cold chain is also a key operational priority.

TAF addresses these risks by strengthening quality assurance and traceability systems, ensuring compliance with food safety and regulatory standards, improving logistics efficiency, and aligning its operations with evolving market and customer sustainability expectations.

Stakeholders Across the Value Chain

TAF operates within a broad stakeholder ecosystem that includes employees, suppliers, customers, regulators, service providers, communities, investors, and other business partners. These stakeholders influence TAF's sustainability performance across the value chain, particularly in areas such as ethical business conduct, occupational health and safety, environmental management, and regulatory compliance.

Structured engagement mechanisms, including internal communication channels, supplier interactions, customer engagements, and regulatory reporting are used to maintain alignment with stakeholder expectations, manage emerging risks, and support informed decision-making.

Value Chain-related Risks and Opportunities

TAF's value chain gives rise to sustainability-related risks and opportunities with potential financial implications.

Key upstream risks include:

- Volatility in utility costs
- Resource constraints related to energy and water availability
- Workforce availability, skills retention, and labour cost pressures

Downstream risks include:

- Increasing ESG-related requirements from customers and business partners
- Regulatory developments affecting market access and product compliance
- Emissions and cost impacts associated with transportation and logistics

At the same time, TAF identifies several opportunities across its value chain, including:

- Operational efficiency improvements that reduce resource consumption and costs
- Energy efficiency initiatives and the increased use of cleaner energy sources to lower GHG emissions
- Strengthened ESG performance supporting customer confidence, market competitiveness, and access to sustainable financing

NOTE 3: REPORTING BOUNDARY

TAF PLC's sustainability-related financial disclosures for the year ended 31 December 2025 are prepared using the same boundary as the consolidated financial statements, covering all operations under Group control, including breeder and broiler farms, hatcheries, processing facilities, logistics, and corporate functions.

The Group applies an operational control approach, including all activities where TAF has authority to manage operations and implement sustainability practices. Activities outside direct control such as contract farmers, suppliers, and third-party service providers are excluded from the reporting boundary but considered within value chain assessments where material.

TAF also considers upstream and downstream value chain impacts, including feed sourcing, veterinary inputs, energy and water use, processing, distribution, and customer requirements, where these influence financial performance or risk exposure.

Certain elements are excluded due to data limitations or lack of control; however, related risks are assessed qualitatively or through estimates where feasible.

Boundary determinations are based on materiality, operational control, and data availability, with judgements reviewed periodically to reflect changes in operations and reporting practices.

NOTE 4: JUDGEMENTS AND UNCERTAINTIES

The preparation of TAF PLC's sustainability-related financial disclosures involves the use of professional judgement and estimation due to the forward-looking nature of ESG risks, evolving regulatory expectations, and data limitations across farming, broiler, and breeder operations.

Judgement is primarily applied in assessing material sustainability-related risks and opportunities, including biosecurity and animal health risks, energy and water usage, regulatory compliance, and changing customer expectations on food safety and ESG performance. Certain disclosures, particularly those relating to value chain activities such as contract farmers, feed suppliers, and logistics providers, involve estimation due to limited availability of consistent data.

Climate-related disclosures require additional judgement, especially in the measurement of GHG emissions (Scopes 1 and 2, and developing Scope 3), selection of emission factors, and assessment of climate-related risks such as extreme weather impacts on farming operations and supply chains, as well as transition risks linked to energy use and regulatory changes.

Scenario analysis and forward-looking assessments involve uncertainty due to long-term time horizons and external variables. These are used to support strategic decision-making rather than precise forecasting.

TAF applies judgement in determining the reporting boundary, time horizons, and materiality, particularly in relation to upstream and downstream activities.

Certain sustainability-related impacts are not reasonably quantifiable due to data gaps or uncertainty; in such cases, TAF provides qualitative disclosures explaining the nature and direction of impacts.

Key areas of estimation uncertainty include GHG emissions (especially Scope 3), climate risk projections, regulatory developments, and expected benefits from efficiency and operational improvements.

TAF follows a structured approach to managing uncertainty by using reasonable and supportable information, conservative assumptions, periodic review of methodologies, and enhanced data collection practices, ensuring transparency and continuous improvement in sustainability-related financial disclosures.

NOTE 5: MATERIALITY ASSESSMENT

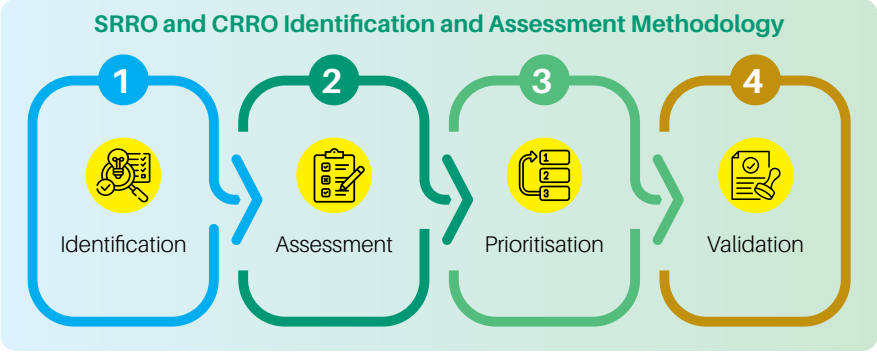
TAF PLC's sustainability-related financial disclosures focus on ESG matters that are relevant to its farming, broiler, and breeder operations, as well as its wider value chain, including climate-related risks and opportunities under SLFRS S2.

In line with SLFRS S1, information is considered material where it could reasonably influence the Group's cash flows, access to finance, or cost of capital over the short, medium, or long term. Accordingly, TAF prioritises sustainability-related risks and opportunities that have direct or indirect financial implications, such as feed cost volatility, biosecurity and animal health, resource usage (energy and water), regulatory compliance, and evolving customer expectations on food safety and ESG performance.

Material topics are identified through a structured process incorporating management judgement, risk assessments, and stakeholder considerations, including impacts across upstream activities.

Sustainability matters that are primarily of general stakeholder interest but do not have a material financial impact are excluded from these disclosures and may be addressed separately in other sections of the Annual Report.

SLFRS Sustainability-Related Financial Disclosures



5.3 Identification and Assessment Methodology

Identification

- Internal operational and financial reviews across all business units
- Analysis of industry benchmarks, international sustainability standards, and best practices
- Stakeholder feedback, including investors, customers, suppliers, regulators, and local communities

Assessment

- Likelihood of occurrence
- Potential financial impact on revenue, cost, capital expenditure, cash flows, or market access
- Qualitative considerations, including reputational or regulatory significance

Prioritisation

- Strategic relevance, regulatory obligations, or long-term resilience objectives
- Relative magnitude of financial or operational impact, even where monetary effects are moderate

Validation

- Reviewed by the Sustainability Committee
- Approved by the Board to ensure alignment with risk management and reporting standards

Material sustainability-related information and its implications for TAF's operations and financial performance are provided in Notes 7–9, with related financial considerations detailed in Note 12.

5.4 Quantitative and Qualitative Judgement Criteria

TAF PLC determines material sustainability-related risks and opportunities using a combination of quantitative thresholds and qualitative judgement, focusing on matters that could impact financial performance, cash flows, or long-term value.

Materiality is assessed based on:

- **Financial impact** on revenue, costs, capital expenditure, or assets (e.g., feed cost volatility, energy costs)
- **Likelihood of occurrence,** including risks such as disease outbreaks or climate-related disruptions to farming operations
- **Strategic and regulatory relevance**, including compliance with food safety standards, certifications, and ESG requirements
- **Professional judgement,** particularly where reliable data is limited (e.g., value chain and Scope 3 exposures)

TAF applies indicative financial thresholds (e.g., impacts around ~1% of revenue or significant effects on cash flows or assets), while also considering qualitative factors such as reputational risks, certification requirements (food safety, quality standards), and regulatory compliance.

Where uncertainty exists, TAF adopts a precautionary approach, including matters that may reasonably become material. Non-material items are monitored continuously for changes in risk exposure or financial impact.

NOTE 6: SUSTAINABILITY AND CLIMATE RELATED GOVERNANCE

GRI 2-9, 12,13,14,17,18

Governance Structure and formation can be referred Corporate Governance Page 127.

6.1 ESG Sub-Team & ESG Management Committee

Composition, Expertise and Contributions to the Sustainability Roadmap

The multidisciplinary expertise within the ESG Sub-Team and ESG Management Committee enables an integrated and practical approach to implementing the Company's sustainability roadmap, ensuring environmental stewardship, social responsibility, and strong governance across the value chain.

Area of Expertise	Key Roles Represented	Contribution to the Company's Sustainability Roadmap
Finance Professionals	Financial Controller , Senior Finance Manager and Finance Manager	Integrate ESG considerations into financial planning, capital allocation, risk management, and long-term value creation initiatives.
Environmental Science Expertise	Environmental Officers	Assess environmental impacts, manage climate-related risks, monitor emissions, water and waste performance, and support compliance with environmental regulations and best practices.
Quality & Nutrition Management	Quality Assurance Managers, Nutrition Specialists	Ensure product quality, food safety, and nutritional integrity while supporting responsible production and customer compliance requirements.
Veterinary Doctors	Veterinarians, Animal Health Specialists	Safeguard animal health and welfare, oversee biosecurity and disease prevention, and enhance productivity through ethical livestock management.
Engineering Expertise	Head of production and Engineering , Engineers, Technical Managers	Drive energy efficiency, water optimization, waste reduction, and the adoption of environmentally efficient and resilient technologies across operations.
Human Resources (HR) Professionals	Head of HR ,HR Managers, Learning & Development Teams	Promote employee wellbeing, occupational health and safety, diversity and inclusion, ethical labour practices, and skills development aligned with ESG priorities.
Logistics Expertise	Senior Logistic Managers	Improve transportation efficiency, reduce fuel consumption and emissions, and enhance traceability across the value chain.
Procurement Expertise	AGM Procurement , Managers, Sourcing Teams	Implement responsible sourcing practices, supplier ESG assessments, ethical procurement standards, and sustainable supplier engagement.
Sales Expertise	HOD Sales , Sales & Marketing Teams	Align sustainability initiatives with customer expectations, support responsible branding, and communicate ESG value creation to stakeholders.
Production Expertise	Operations & Production Managers	Improve resource efficiency, minimize waste, ensure environmental and biosecurity compliance, and embed sustainability into day-to-day operations.
Warehouse & Supply Chain Expertise	Warehouse Managers, Supply Chain & Planning Teams	Strengthen inventory management, reduce losses and waste, improve supply chain resilience, and support end-to-end sustainability performance.

NOTE 07: SUSTAINABILITY AND CLIMATE-RELATED RISKS AND OPPORTUNITIES

7.1 Overview

TAF identifies and assesses sustainability- and climate-related risks and opportunities that may materially impact its operations, financial performance, and long-term value creation, in line with SLFRS S1 and S2. The assessment covers breeder and broiler farming, hatchery, processing, and distribution operations.

Risks and opportunities are assessed based on their potential impact on revenue, operating costs, CAPEX, biological asset productivity, regulatory compliance, biosecurity, animal welfare, energy and water availability, and supply chain resilience. Climate-related physical and transition risks, as well as related opportunities, are specifically considered under SLFRS S2.

7.2 Materiality Thresholds

TAF applies defined financial and qualitative thresholds to determine material sustainability- and climate-related risks and opportunities:

Operational & Strategic Impact

- Disruption to critical operations Framing ,Hatchery and logistics
- Impact on animal productivity, food safety, or supply chain continuity
- Alignment with TAF's long-term strategy and sustainability roadmap

Regulatory & Compliance Impact

- Risk of non-compliance with environmental, ESG, or food safety regulations
- Exposure to penalties, licence restrictions, or enhanced regulatory scrutiny

SLFRS Sustainability-Related Financial Disclosures

Reputational & Stakeholder Impact

- Adverse effects on corporate brand or stakeholder trust
- Customer, supplier, or community consequences

Where quantitative measurement is limited, management judgement is applied. A precautionary approach is adopted when impacts are reasonably foreseeable.

7.3 Time Horizons

All risks and opportunities are assessed over:

- Short term: up to 3 years
- Medium term: 3 to 6 years
- Long term: beyond 6 years

7.4 Alignment of Key Sustainability Risks & Opportunities (FY 2025)

Impact Area	Quantified Threshold
Operating cost impact	≥ LKR 50 Mn per annum
Capital expenditure (CAPEX)	≥ LKR 50 Mn per project
Revenue impact	≥ 1% of annual revenue
Business disruption / recovery cost	≥ LKR 50–60 Mn per annum
Labour-related cost escalation	≥ LKR 100 Mn per annum
Strategic investment for transition	≥ LKR 50 Mn over medium–long term

Where financial impacts cannot be precisely quantified, management judgment is applied, supported by operational data, industry benchmarks, and regulatory trends. TAF adopts a prudent inclusion approach where impacts are reasonably foreseeable.

7.5 APPLICATION OF QUANTIFIED THRESHOLDS

Selected Sustainability and Climate-Related Risks

Type	Impact Topic / Risk	Time Horizon	Materiality Basis
Sustainability Risk(R06)	Labour Scarcity and Wage Escalation	Short–Medium Term	Financial impact exceeding Rs. 100 Mn per annum or significant disruption to workforce stability and productivity, impacting enterprise value
Environmental Risk(R14)	Waste and Disposal Management	Medium Term	CAPEX, penalties, or compliance costs exceeding Rs.50 Mn, or exposure to regulatory non-compliance and reputational risk
Operational Risk (R22)	Machine Breakdown and System Failures	Short–Medium Term	Downtime and productivity losses exceeding Rs. 50 Mn per annum or critical disruption to operations
Physical Climate Risk – Chronic (R28)	Reduced poultry productivity due to rising temperatures	Short–Medium Term	Revenue loss or cost inefficiencies exceeding Rs. 75 Mn per annum, including sustained impacts on biological assets and output quality
Physical Climate Risk – Acute (R29)	Floods, heatwaves (mortality & disruptions)	Short–Medium Term	Event-based losses exceeding Rs. 75–100 Mn per occurrence, including asset damage, livestock mortality, and operational downtime
Physical Climate Risk – Chronic (R30)	Erratic rainfall / drought affecting feed supply	Medium Term	Cost increases exceeding 5–10% of feed cost base , with implications on supply chain stability
Environmental Risk(R31)	Water Stress	Medium Term	Operational or capital impacts exceeding Rs. 50 Mn, or significant constraints on water availability affecting production continuity

Type	Impact Topic / Risk	Time Horizon	Materiality Basis
Transition Risk – Market (R32)	Energy price volatility	Short–Medium Term	Cost increases exceeding Rs. 75 Mn annually or material margin erosion impacting profitability
Transition Risk – Policy & Legal(R33)	Regulatory and compliance requirements	Medium–Long Term	Compliance costs exceeding Rs. 50 Mn or material exposure to regulatory restrictions, penalties, or licence-to-operate risks
Physical Risk – Acute (R34)	Supply chain disruptions	Short–Medium Term	Event-driven disruptions exceeding Rs. 50–75 Mn, or significant interruption to procurement and distribution networks
Transition Opportunity – Market (R35)	Demand for sustainable products	Medium–Long Term	Revenue opportunities or losses exceeding Rs. 100 Mn annually, or strategic impact on market positioning and brand value
Transition Risk – Market (R36)	Packaging and waste-related cost increases	Medium Term	Cost increases exceeding Rs. 50 Mn or impact on cost competitiveness and margins
Transition Risk / Opportunity – Technology (R37)	Decarbonisation and technology transition	Long Term	Strategic investments exceeding Rs. 100 Mn, or significant impact on long-term competitiveness and emissions profile

7.6 Disclosure Consistency Statement

Based on the above quantified materiality thresholds, TAF identifies and discloses sustainability- and climate-related risks and opportunities that are financially material in accordance with SLFRS S1 and SLFRS S2. These thresholds are applied consistently across risk identification, scenario assessment, strategic planning, and capital allocation decisions.

NOTE 08 : BUSINESS MODEL AND VALUE CHAIN ACTIVITIES

8.1 Strategy & Value Creation

- TAF operates as an integrated poultry company covering breeder farms, broiler farms, hatchery operations, and distribution.
- The business model focuses on long-term value creation through animal welfare, biosecurity, operational efficiency, and sustainability integration.
- End-to-end integration from breeding stock to processed poultry products.
- Centralised governance over biosecurity, veterinary management, food safety, environmental performance, and climate risk.
- Multidisciplinary expertise across veterinary, environmental, engineering, nutrition, quality assurance, logistics, procurement, and HR functions.
- Integration of sustainability risks and opportunities into strategic planning, capital allocation, and performance monitoring.

8.2 Key Resources and Relationships

- **Biological & Manufactured Capital**: Breeding stock, feed, vaccines, veterinary medicines, poultry houses, hatcheries, and processing equipment.
- **Human Capital**: Skilled veterinarians, farm and processing staff, engineers, nutritionists, QA specialists, logistics, and procurement teams.
- **Natural Capital**: Water, energy, and land resources, subject to climate variability.
- **Social & Relationship Capital**: Strong relationships with regulators, breeders, suppliers, customers, and local communities.

8.3 Value Chain Activities

Upstream

- Sourcing of feed, breeding stock, vaccines, medicines, and other farm inputs.
- Exposure to supply chain disruptions and price volatility.
- Risk of disease transmission and reliance on international suppliers.
- Scope 3 emissions from feed production and transportation.

Midstream - Breeding, Farming, and Processing

- Breeder and hatchery operations sensitive to temperature fluctuations and extreme weather events.
- Exposure to biosecurity risks, animal welfare concerns, and labour productivity challenges.
- Dependence on energy and water availability.
- Broiler farming and processing include slaughtering, chilling, processing, and cold storage.
- Exposure to food safety risks, high energy and water usage, waste management, occupational health and safety, and climate impacts.

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Downstream

- Distribution of day-old chicks, live birds, and processed poultry products.
- Focus on food safety, cold chain integrity, and product traceability.
- Increasing customer ESG requirements and reputational risk considerations.
- Scope 3 emissions associated with logistics and distribution.

8.4 Dependencies and Impacts

- Impact on employees and local communities through welfare, occupational health and safety, and skills development.
- Dependence on regulatory frameworks covering animal health, environmental compliance, ESG, and labour practices.
- Interaction with ecosystems and climate-sensitive resources such as water availability, heat stress, and disease prevalence.
- Increasing influence of customer expectations and certification requirements related to ESG performance.

8.5 STRATEGY AND RISK EXPOSURE

In accordance with SLFRS S2, TAF has identified climate-related risks and opportunities that could reasonably be expected to affect its business model, value chain, and financial performance.

Climate-Related Risks and Opportunities and Their Impacts

Climate-Related Risk / Opportunity	Impacted Capital	Current Effects on Business Model and Value Chain	Anticipated Effects and Strategic Response
Sustainability Risk (R06)	Human, Financial	Labour shortages across broiler farms, layer operations, hatcheries, and processing facilities leading to higher dependence on skilled labour and rising wage costs.	Workforce optimisation through farm mechanisation, productivity improvements, retention strategies, and structured workforce planning.
Environmental Risk (R14)	Natural, Financial, Manufactured	Increasing volumes of poultry litter, manure, hatchery waste, effluents creating operational and compliance challenges.	Implementation of integrated waste management systems, composting, waste-to-fertilizer initiatives, and strengthened environmental monitoring and compliance.
Operational Risk (R22)	Manufactured, Financial	Equipment failures in hatcheries, EC houses leading to downtime and inefficiencies.	Preventive maintenance programmes, system upgrades, automation, and real-time monitoring to improve reliability.
Physical Climate Risk – Chronic (R28)	Natural, Financial, Biological	Rising temperatures affecting bird health, hatchability, feed conversion ratios (FCR), and productivity across broiler and layer farms.	Expansion of environmentally controlled housing, improved ventilation and cooling systems, and climate-resilient farming practices.
Physical Climate Risk – Acute (R29)	Natural, Financial, Manufactured	Extreme weather events disrupting farms, hatchery performance, DOC supply, and logistics, increasing mortality rates.	Investment in resilient infrastructure, diversification of farm locations, and enhanced business continuity planning.
Physical Climate Risk – Chronic (R30)	Natural, Financial	Disruptions in feed crop availability impacting CGE feed production and increasing raw material costs.	Supplier diversification, contract farming, and multi-region sourcing strategies to strengthen resilience.
Environmental Risk (R31)	Natural, Financial	Water scarcity affecting broiler farms, layer farms, hatcheries, and processing operations.	Water stewardship initiatives including storage, recycling .
Transition Risk – Market (R32)	Financial, Manufactured, Natural	Rising energy costs impacting farm operations, hatcheries, processing, and cold chain distribution.	Investment in renewable energy , energy efficiency improvements, and energy intensity monitoring.
Transition Risk – Policy & Legal (R33)	Financial, Social & Relationship	Increasing regulations on animal welfare, environmental compliance, food safety, and ESG disclosures.	Strengthened ESG governance, proactive compliance monitoring, and alignment with SLFRS S1 & S2.

Climate-Related Risk / Opportunity	Impacted Capital	Current Effects on Business Model and Value Chain	Anticipated Effects and Strategic Response
Physical Risk – Acute (R34)	Financial, Social & Relationship	Climate disruptions affecting suppliers of feed, DOC inputs, vaccines, and logistics networks.	Supplier risk assessments, alternative sourcing strategies, and logistics contingency planning.
Transition Opportunity – Market (R35)	Financial, Social & Relationship	Growing demand for safe, traceable, and sustainably produced poultry products.	ESG-led product development, improved traceability, sustainable packaging, and stronger market positioning.
Transition Risk – Market (R36)	Financial, Manufactured	Increasing costs related to sustainable packaging and waste management in processing operations.	Adoption of circular economy practices, sustainable packaging solutions, and material optimisation.
Transition Risk / Opportunity – Technology (R37)	Manufactured, Financial, Natural	Pressure to adopt low-carbon and resource-efficient technologies across operations.	Solar adoption, emissions tracking, and investment in sustainable technologies.

NOTE 9: STRATEGY AND DECISION-MAKING

9.1 Strategic Integration of Sustainability-Related Risks and Opportunities

TAF systematically integrates material sustainability and climate-related risks and opportunities into its strategic planning, capital allocation, and operational decision-making across farms, logistics, and sales functions. This integrated approach supports long-term value creation, strengthens operational resilience, and ensures alignment with evolving ESG and market expectations. Key risks and opportunities identified through the materiality assessment are embedded within the corporate strategy, annual operating plans, and investment roadmaps.

9.2 Impact on Value Chain and Strategic Planning

TAF assesses sustainability and climate-related risks and opportunities across its entire value chain, considering baseline, intermediate, and low-carbon scenarios over short term,medium term and long term horizons. Strategic responses are focused on enhancing climate resilience, advancing energy transition initiatives, improving water efficiency, strengthening supply chain resilience, and positioning the business to meet increasing ESG-driven market demands.

9.3 Impact on Strategic Planning, Capital Allocation, and Financial Planning

TAF integrates material sustainability- and climate-related risks and opportunities (refer Note 7) into its strategic planning, capital allocation, and financial management processes. This integrated approach supports both long-term resilience and short-term operational decision-making across broiler and layer farms, hatcheries, processing facilities, logistics, and distribution operations.

Capital Expenditure (CapEx) Allocation

Capital investments are prioritised to enhance climate resilience, operational efficiency, and transition readiness across TAF's value chain:

- **Renewable Energy Investments - Solar Power**
  Solar installations across selected farm and operational locations form a key component of TAF's energy transition strategy. These initiatives reduce Scope 2 emissions, mitigate energy price volatility, and enhance energy security, while supporting alignment with SLFRS S2 climate-related objectives.
- **Climate-Resilient Infrastructure**
  Capital allocation supports the expansion of environmentally controlled (EC) poultry houses, improved ventilation and cooling systems, and upgrades to hatchery and processing infrastructure. Investments also include flood mitigation, drainage improvements, and climate-resilient logistics and storage facilities to address increasing physical climate risks.

Operating Cost Planning

Sustainability-related risks and regulatory requirements are incorporated into annual operating budgets across all operations:

- **Carbon Emissions Measurement and Certification**
  Operating expenditure includes carbon footprint assessments, emissions monitoring, verification, and certification costs, supporting transparent disclosure of Scope 1 and Scope 2 emissions and readiness for Scope 3 reporting.
- **Certification and Compliance Costs**
  Budget provisions are made for compliance with food safety standards, environmental management systems, animal welfare requirements, ISO certifications, internal audits, assurance engagements, and sustainability data system enhancements.
- **Animal Welfare and Farm Management**
  Ongoing costs are incurred for bird health, veterinary care, biosecurity measures, and occupational health and safety practices, ensuring sustainable and responsible farm operations.

SLFRS Sustainability-Related Financial Disclosures

REVENUE, MARKET ACCESS, AND VALUE PROTECTION

- **Market Access and Customer Expectations**
  TAF's sustainability initiatives and enhanced disclosures support continued access to institutional and export markets, where ESG performance, traceability, and certification compliance are increasingly embedded in procurement criteria.
- **Pricing and Contract Stability**
  Progress in energy transition, operational efficiency, and emissions management strengthens customer confidence, supports long-term contracts, and mitigates reputational and transition risks.

Rolling Strategic Review and Governance Oversight

Sustainability-related considerations are embedded within TAF's governance and planning framework and are reviewed through:

- The annual strategic planning and budgeting cycle
- The CapEx evaluation and approval process, ensuring alignment with climate and sustainability priorities
- Board and Board Committee oversight, including the review of sustainability-related financial implications and disclosure readiness (refer Note 6.1)

NOTE 10: FINANCIAL POSITION, FINANCIAL PERFORMANCE AND CASH FLOWS

GRI 3-3, 201-2, 13.2.1, 13.2.2

10.1 Current Period Financial Effects

During the reporting period ended 31 December 2025, TAF experienced identifiable financial impacts arising from climate-related and sustainability-related risks and opportunities across its operations.

Cash Flow Impacts

- Increased cash outflows were incurred for renewable energy investments, climate-resilient infrastructure, and operational continuity measures across farms and processing facilities.
- Additional operating cash requirements arose from occupational health and safety initiatives, environmental and social compliance costs, and ongoing expenditure related to bird health, welfare, and biosecurity.

Financial Performance Impacts

- Operating margins were affected by short-term productivity variability linked to temperature fluctuations, rainfall variability, and climate-sensitive farm conditions.
- Operating expenditure increased due to wage adjustments, input cost pressures, and investments in productivity and resilience improvements.

Balance Sheet Impacts

- Capital expenditure during the year was directed towards renewable energy assets, environmentally controlled housing, hatchery upgrades, and animal welfare-related infrastructure.
- No material asset impairments or write-downs were identified during the reporting period.
- Management has not identified any significant risk of material adjustments to the carrying amounts of assets or liabilities in the next reporting period; however, exposure to climate risks, labour availability, and cost inflation continues to be actively monitored.

Expected Trends

- Capital expenditure is expected to remain focused on climate adaptation, operational efficiency, biodiversity considerations, and energy transition initiatives.
- Cash flows and operating performance are moderately exposed to climate variability, supply chain disruptions, and labour cost pressures in the short to medium term.
- Over the long term, investments in renewable energy, automation, and efficiency improvements are expected to stabilise cost structures, reduce energy-related expenditure, and enhance resilience to market and climate volatility.

10.2 Estimation Uncertainty and Quantification Limitations

In certain areas, the financial effects of sustainability-related risks and opportunities cannot yet be quantified with sufficient reliability. In line with SLFRS S1, TAF provides qualitative disclosures where quantitative measurement remains constrained due to evolving methodologies, data availability, and uncertainty in long-term climate projections.

Key Areas of Estimation Uncertainty

Functional Area	Sustainability & Climate-Related Risk	Nature of Estimation Uncertainty	Reason Quantification is Limited
Human Resources (HR)	Heat stress, changing weather patterns affecting labour productivity, workforce health and availability	Indirect and long-term impacts on productivity, absenteeism, and labour costs	Multiple external and social factors influence outcomes; financial effects cannot be isolated with sufficient reliability
Logistics & Distribution	Extreme weather disruptions, fuel price volatility, potential future low-carbon transport requirements	Difficulty separating climate-driven cost impacts from market-driven cost fluctuations	Dependence on third-party transport providers and volatile fuel markets
General Operations	Transition risks from evolving climate regulations, sustainability reporting requirements, and governance expectations	Costs embedded within overall administrative and compliance expenditures	Indirect risk mitigation benefits and lack of standalone cost attribution
Cross-Functional	Reputational risk and long-term resilience related to sustainability performance	Forward-looking impacts subject to high uncertainty	Benefits accrue over extended time horizons and are not readily monetisable

Where quantification is not feasible, TAF discloses expected financial effects using qualitative narratives, supported by management judgement.

10.3 Link to Financial Planning and Capital Allocation

Sustainability-related financial effects are embedded within TAF's financial management framework through:

- The annual capital expenditure approval process, where climate resilience, energy efficiency, animal welfare, and environmental compliance across farms, hatcheries, and processing operations are evaluated alongside financial returns.
- ESG-linked project screening and prioritisation, ensuring capital is directed towards initiatives that mitigate material sustainability and climate risks, including renewable energy adoption, environmentally controlled housing, resource efficiency, and workforce resilience.
- Integration into operating budgets, where sustainability-related costs such as environmental compliance, food safety, occupational health and safety, biosecurity, training, and logistics efficiency are incorporated into routine financial planning.
- The use of internal risk assessments and scenario analysis to evaluate the potential financial implications of physical and transition climate risks on farm productivity, asset performance, supply chain continuity, and operating costs.
- Alignment with long-term strategic planning, ensuring capital allocation supports regulatory compliance, operational continuity, and sustained market access in line with evolving ESG expectations.
- A risk-adjusted financial approach that balances short-term financial performance with long-term resilience, supporting stable operations and sustained value creation across the poultry value chain.

SLFRS Sustainability-Related Financial Disclosures

10.4 Anticipated Effects - Short , Medium and Long Term

Topic / Category	Sustainability & Climate-Related Risk / Opportunity	Financial Statement Line Items Impacted	Nature of Expected Financial Effects	2025 Impact (CF / FP / FPn)	Short, Medium & Long-Term Impacts
Sustainability Risk (R06)	Sourcing of skilled labour across farms, hatcheries, and supply chain operations	Cost of Sales; Employee Benefit Expenses; Administrative Expenses	Increased labour costs due to wage escalation and reliance on skilled labour. Additional investments in training, retention, and PPE to maintain workforce productivity and biosecurity standards.	CF: Training & retention (Rs.0.3 Mn) + PPE (Rs.2.23 Mn) FP: Margin pressure FPn: Minor asset increase	ST: Labour cost increase MT: Productivity constraints LT: Workforce stability improves efficiency; neutral impact on cost of capital
Environmental Risk (R14)	Waste and disposal management across farms, hatcheries, and processing operations	Cost of Sales; Administrative Expenses; PPE; Provisions	Costs related to poultry litter, hatchery waste, effluent treatment, and compliance. Poultry litter is partially monetised through sales, generating income, while additional CapEx is required for waste infrastructure and monitoring systems.	CF: Litter sales income (Rs. 10.2 Mn) FP: Increased operating cost (partially offset) FPn: Asset additions	ST: Compliance burden MT: CapEx for waste systems LT: Improved ESG profile and access to sustainable financing
Operational Risk (R22)	Equipment failures in, hatcheries, EC houses, and processing facilities	Cost of Sales; Repairs & Maintenance; PPE; Depreciation	Increased repair and maintenance costs and production downtime affecting efficiency. Managed through replacement and upgrade programmes.	CF: Machinery cost increased FP: Efficiency pressure FPn: High asset base	ST: Maintenance cost increase MT: Downtime risk LT: Efficiency gains from automation and upgrades
Physical Climate Risk - Chronic (R28)	Rising temperatures impacting bird health, hatchability, and feed conversion ratios (FCR)	Cost of Sales; PPE; Depreciation; Insurance	Higher operating costs due to cooling, feed inefficiencies, and bird health management. CapEx on EC housing and climate control systems.	CF: Insurance (Rs.11.1 Mn) + Fire protection (Rs.1.42 Mn) FP: Margin pressure FPn: CapEx increase	ST: Increased operating cost MT: Productivity losses LT: Climate-resilient infrastructure improves stability and financing profile
Physical Climate Risk - Acute (R29)	Extreme weather events (floods, heatwaves) affecting farms, hatcheries, and logistics	Cost of Sales; Repairs & Maintenance; PPE; Insurance Recoveries	Event-driven costs including mortality losses, infrastructure repairs, and contingency operations, partially mitigated through insurance.	CF: EC housing investment (Rs.215.0 Mn) FP: Neutral (preventive) FPn: Significant asset increase	ST: Limited immediate impact MT: Reduced disruption risk LT: Improved resilience and asset strength
Physical Climate Risk - Chronic (R30)	Feed supply disruptions due to climate variability affecting broiler and layer operations	Cost of Sales; Inventories; Working Capital	Increased feed costs and procurement volatility, requiring higher inventory buffers and diversified sourcing.	CF: Embedded in procurement cost FP: Margin pressure FPn: Working capital increase	ST: Cost volatility MT: Supply instability LT: Stabilisation through supplier diversification
Transition Risk - Market (R32)	Energy price volatility across farms, hatcheries, processing, and cold chain	Cost of Sales; Energy & Utilities; PPE	Rising energy costs impacting margins; investments in solar and energy efficiency to reduce long-term exposure.	CF: Energy (Rs.1.0Mn) + Solar (Rs.42.0 Mn) FP: Margin pressure FPn: Asset growth	ST: Energy cost increase MT: Partial stabilisation LT: Lower energy cost, improved margins, green financing benefits

Topic / Category	Sustainability & Climate-Related Risk / Opportunity	Financial Statement Line Items Impacted	Nature of Expected Financial Effects	2025 Impact (CF / FP / FPn)	Short, Medium & Long-Term Impacts
Transition Risk - Policy & Legal (R33)	Increasing ESG, environmental, and food safety regulatory requirements	Administrative Expenses; Professional Fees; Intangibles	Increased expenditure on compliance systems, ESG governance, and reporting frameworks.	CF: Compliance (Rs.0.3 Mn) FP: Minor cost increase FPn: No significant impact	ST: Neutral MT: Compliance cost increase LT: Improved ESG alignment and reduced cost of capital
Physical Risk - Acute (R34)	Climate-related disruptions affecting suppliers, DOC inputs, and logistics networks	Cost of Sales; Logistics Costs; Working Capital	Potential increase in logistics costs and delays, requiring contingency sourcing and higher working capital buffers.	CF: Not quantified FP: Potential disruption FPn: Working capital impact	ST: Minimal impact MT: Cost volatility LT: Supply chain resilience stabilises costs
Transition Opportunity - Market (R35)	Growing demand for sustainable, traceable poultry products	Revenue; Marketing & Distribution; PPE	Strategic investments in ESG-led branding, traceability, and sustainable product offerings with long-term revenue upside.	CF: Not quantified FP: Neutral (current) FPn: Asset addition	ST: Limited impact MT: Investment phase LT: Revenue growth and improved margins
Transition Risk - Market (R36)	Increasing costs of sustainable packaging and waste compliance	Cost of Sales; Administrative Expenses	Higher packaging and waste handling costs, partially offset by recycling and scrap income.	CF: Scrap income (~Rs.10.2 Mn) FP: Net positive FPn: No major impact	ST: Cost increase offset MT: Margin stabilisation LT: Circular economy benefits
Transition Risk / Opportunity - Technology (R37)	Decarbonisation and adoption of low-carbon technologies across operations	PPE; Administrative Expenses; Intangibles	Initial investments in emissions measurement and transition technologies, supporting long-term efficiency and compliance.	CF: GHG measurement (Rs.0.3 Mn) FP: Minimal impact FPn: CapEx increase	ST: Low cost impact MT: Investment phase LT: Lower cost of capital and improved competitiveness

- The Group has applied the transitional relief available under IFRS S1 and IFRS S2 in relation to the disclosure of quantitative information on anticipated financial effects of sustainability-related risks and opportunities.
- Accordingly, while qualitative and partially quantified assessments of climate-related and sustainability risks have been provided across short, medium, and long-term horizons, full quantitative financial estimation of all anticipated effects is still under development due to the evolving nature of, modelling capabilities, and external assumptions.
- The Group expects to progressively enhance its measurement frameworks and will provide more comprehensive quantification of anticipated financial effects within the permitted transitional relief period of up to two annual reporting cycles from initial application of the standards.

11. APPROACH TO SCENARIO ANALYSIS

TAF applies scenario analysis to assess the potential impacts of climate-related and sustainability-related risks and opportunities across its integrated poultry operations, including breeder and broiler farms, hatcheries, feed operations, processing facilities, and distribution networks. The analysis supports strategic decision-making, capital allocation, and risk management, ensuring long-term operational resilience and financial sustainability.

The approach incorporates plausible short, medium, and long-term scenarios, reflecting both transition risks (such as regulatory changes, energy transition, feed cost volatility, and evolving market expectations) and physical climate risks (including acute events such as floods and heatwaves, as well as chronic impacts such as rising temperatures, water stress, and feed supply variability). Scenarios are informed by international climate pathways, industry benchmarks, and local operating conditions relevant to Sri Lanka's poultry sector.

SLFRS Sustainability-Related Financial Disclosures

For operational assessments, TAF evaluates the potential effects of each scenario on:

- Production continuity across broiler, layer, and DOC operations,
- Operating costs including feed, energy, labour, and veterinary inputs,
- Energy consumption, emissions intensity, and resource efficiency,
- Supply chain reliability including feed, vaccines, and logistics, and
- Capital expenditure requirements for climate adaptation, biosecurity, and infrastructure resilience.

Financial impacts are assessed both qualitatively and, where data is available, quantitatively, focusing on implications for revenue, operating expenditure (OPEX), capital expenditure (CAPEX), asset performance, working capital, and cash flows.

The outcomes of scenario analysis are integrated into TAF's risk management framework, budgeting process, and long-term strategic planning, ensuring alignment between sustainability-related risks and financial decision-making.

Scenarios

- Scenario 01 RCP 8.5 – Business-as-usual scenario (BAU)
- Scenario 02 RCP 6.0 and RCP 4.5 – Intermediate transition scenario
- Scenario 03 RCP 2.6 – Low-carbon scenario

Further Details on Scenario Analysis can be found on Climate Risk Report page 173

FINANCIAL IMPLICATION OF SCENARIO ANALYSIS

Topic / Category	Sustainability & Climate-Related Risk / Opportunity	Financial Statement Line Items Impacted	Nature of Expected Financial Effects	Short, Medium & Long-Term Impacts (Scenario-Integrated)
Sustainability Risk (R06)	Sourcing of skilled labour across broiler farms, layer farms, hatcheries, processing, and supply chain operations	Cost of Sales; Employee Benefit Expenses; Administrative Expenses	Increased labour costs due to wage escalation and reliance on skilled workforce. Training and PPE investments (Rs. 0.3 Mn + Rs. 2.23 Mn) to support productivity and biosecurity.	BAU (RCP 8.5): High wage inflation and persistent labour shortages increase cost pressure. Intermediate (RCP 6.0/4.5): Moderate constraints with gradual productivity gains. Low-carbon (RCP 2.6): Automation improves productivity, stabilising labour cost base.
Environmental Risk (R14)	Waste and disposal management across farms, hatcheries, feed operations, and processing (including poultry litter utilisation)	Cost of Sales; Administrative Expenses; PPE; Provisions	Waste handling costs including litter, hatchery waste, and effluent treatment. Litter sales generate Rs. 10.2 Mn income, partially offsetting costs. CapEx required for waste systems.	BAU: Rising disposal costs and stricter regulations. Intermediate: Structured waste systems with moderate CapEx. Low-carbon: Circular economy reduces disposal cost and increases by-product value recovery.

Topic / Category	Sustainability & Climate-Related Risk / Opportunity	Financial Statement Line Items Impacted	Nature of Expected Financial Effects	Short, Medium & Long-Term Impacts (Scenario-Integrated)
Operational Risk (R22)	Equipment failures in feed mills, hatcheries, EC houses, and processing facilities	Cost of Sales; Repairs & Maintenance; PPE; Depreciation	Maintenance cost increases and production downtime affecting efficiency. Machinery-related costs escalate with ageing infrastructure.	BAU: Frequent breakdowns and rising maintenance cost. Intermediate: Partial automation reduces downtime. Low-carbon: Predictive maintenance and smart systems significantly improve efficiency.
Physical Climate Risk – Chronic (R28)	Rising temperatures affecting bird health, hatchability, and FCR across broiler and layer operations	Cost of Sales; PPE; Depreciation; Insurance	Higher cooling costs, feed inefficiencies, and productivity losses. Insurance and fire protection costs (Rs. 11.1 Mn + Rs. 1.42 Mn). EC housing investments increase asset base.	BAU: Severe heat stress reduces productivity and increases mortality risk. Intermediate: Partial mitigation through cooling and EC systems. Low-carbon: Controlled environment systems stabilise productivity and reduce climate sensitivity.
Physical Climate Risk – Acute (R29)	Extreme weather events affecting farms, hatcheries, DOC supply, and logistics	Cost of Sales; Repairs & Maintenance; PPE; Insurance Recoveries	Event-driven losses including mortality, infrastructure damage, and emergency response. Large preventive CapEx in EC housing (Rs. 215 Mn).	BAU: High frequency of disruptions and operational losses. Intermediate: Reduced impact through resilience investments. Low-carbon: Strong infrastructure significantly limits disruption and stabilises asset performance.
Physical Climate Risk – Chronic (R30)	Feed supply volatility due to climate impacts on raw material sourcing	Cost of Sales; Inventories; Working Capital	Increased feed procurement costs and higher inventory requirements due to supply instability.	BAU: High price volatility and supply disruption. Intermediate: Supplier diversification stabilises supply chain. Low-carbon: Climate-resilient sourcing reduces volatility and improves cost predictability.
Transition Risk – Market (R32)	Energy price volatility across farms, hatcheries, processing, and cold chain logistics	Cost of Sales; Energy & Utilities; PPE	Rising energy costs impact margins. Solar and energy efficiency investments (Rs. 1.0 Mn + Rs. 42.0 Mn) reduce long-term exposure.	BAU: High fossil fuel dependency drives cost volatility. Intermediate: Partial renewable adoption stabilises costs. Low-carbon: High renewable penetration reduces energy cost exposure and improves margins.

SLFRS Sustainability-Related Financial Disclosures

Topic / Category	Sustainability & Climate-Related Risk / Opportunity	Financial Statement Line Items Impacted	Nature of Expected Financial Effects	Short, Medium & Long-Term Impacts (Scenario-Integrated)
Transition Risk – Policy & Legal (R33)	ESG, environmental, animal welfare, and food safety compliance requirements	Administrative Expenses; Professional Fees; Intangibles	Compliance costs (Rs. 0.3 Mn) for ESG reporting, governance, and assurance systems.	BAU: Rising compliance burden. Intermediate: Structured ESG systems improve efficiency. Low-carbon: ESG embedded in operations reduces marginal compliance costs and improves financing access.
Physical Risk – Acute (R34)	Climate-related disruptions affecting suppliers, DOC inputs, vaccines, and logistics	Cost of Sales; Logistics Costs; Working Capital	Potential logistics delays and higher working capital requirements due to supply chain disruptions.	BAU: Frequent disruption and cost volatility. Intermediate: Partial resilience through diversification. Low-carbon: Digitised supply chain improves stability and reduces cost shocks.
Transition Opportunity – Market (R35)	Growing demand for sustainable and traceable poultry products	Revenue; Marketing & Distribution; PPE	Investments in ESG branding, traceability, and sustainable product positioning supporting long-term revenue growth.	BAU: Limited ESG-driven demand. Intermediate: Increasing customer preference supports revenue growth. Low-carbon: Strong ESG positioning enables premium pricing and higher margins.
Transition Risk – Market (R36)	Packaging and waste compliance cost increases in processing operations	Cost of Sales; Administrative Expenses	Packaging and waste management costs partially offset by scrap income (~Rs. 10.2 Mn).	BAU: Rising packaging costs. Intermediate: Recycling reduces net cost impact. Low-carbon: Circular packaging reduces long-term costs and improves efficiency.
Transition Risk / Opportunity – Technology (R37)	Decarbonisation and low-carbon technology adoption across poultry operations	PPE; Administrative Expenses; Intangibles	Emissions measurement (Rs. 0.3 Mn), solar adoption, and future automation investments supporting long-term efficiency.	BAU: Slow adoption increases future transition risk. Intermediate: Gradual decarbonisation reduces emissions intensity. Low-carbon: Full decarbonisation improves efficiency, competitiveness, and cost of capital.

The Group has applied climate-related scenario analysis to assess the potential financial implications of identified climate-related risks and opportunities across its integrated poultry operations, including broiler and layer farms, hatcheries, feed operations, processing facilities, and distribution networks. The analysis considers short, medium, and long-term horizons and incorporates multiple scenarios, including

a baseline (business-as-usual) pathway as well as alternative climate transition and physical risk scenarios.

These scenarios are used to evaluate potential impacts on production continuity, operational costs, supply chain stability, asset performance, capital expenditure requirements, and overall financial performance. Key drivers assessed include feed cost volatility, energy price movements, climate-related productivity changes, water availability, regulatory compliance requirements, and investments in infrastructure resilience such as environmentally controlled housing and renewable energy systems.

The financial implications derived from scenario analysis are presented primarily in qualitative and directional terms, supported by partial quantification where reliable data and estimation methodologies are available. These include potential impacts on cost of sales, operating expenses, capital expenditure, working capital requirements, and cash flow movements across key operating entities within the Group.

The Group will progressively enhance its scenario-based financial impact modelling in alignment with the ongoing implementation of SLFRS S1 and SLFRS S2 requirements, ensuring improved integration of climate considerations into financial decision-making over time.

NOTE 12: RISK MANAGEMENT FRAMEWORK

12.1 Key Features of TAF's ERM Framework

TAF's Enterprise Risk Management (ERM) framework ensures early identification, prioritisation, and consistent management of material ESG and climate-related risks across farms, hatcheries, feed mills, processing plants, logistics, and corporate functions. Key features include:

- Early detection of ESG and climate risks.
- Uniform risk assessment across all operations using likelihood, financial impact, and time horizon.
- Structured governance enabling informed decision-making by the Board and senior management.
- Periodic reassessment through scenario analysis and monitoring emerging sustainability trends.

12.2 Governance Structure

Board-Level Oversight

- The Board, through the Audit Committee, oversees material ESG and climate risks.
- Reviews risk exposure, mitigation progress, and financial implications quarterly.

Executive Management Oversight

- The ESG / Sustainability Steering Committee (senior management-led, supported by Finance and Sustainability teams) is responsible for:
  - Maintaining the sustainability risk register.
  - Monitoring ESG performance and controls across operations.
  - Aligning sustainability risk management with strategy and financial planning.
- Committee meets quarterly and escalates key risks to the Board.

Operational Risk Ownership

- Designated managers at farms, hatcheries, processing, and logistics monitor:
  - Climate and environmental factors affecting productivity.
  - Labour availability, health, and safety risks.
  - Compliance, biosecurity, and biodiversity risks.
- Material risks are escalated using standardized reporting templates for executive and Board review.

12.3 Risk Identification & Prioritisation

TAF identifies sustainability-related risks using:

- Climate, environmental, and disease data.
- Internal audits, certifications, and compliance reviews.
- Operational performance metrics and workforce feedback.
- Market and regulatory developments (food safety, animal welfare, emissions).
- Scenario analysis of physical and transition risks.

12.4 Risk Assessment, Escalation & Integration

- Material ESG risks are incorporated into TAF's Enterprise Risk Register and assessed using the same thresholds as financial and operational risks.
- Board oversight is focused on material risks, while site-level teams manage operational risks.
- Integration ensures consistent cross-functional risk treatment and informs:
  - Strategic planning and capital allocation.
  - Operational improvements across farming, processing, and supply chain.
  - Financial planning, sensitivity analysis, and contingency measures.

12.5 Risk Mitigation & Controls

- Tiered mitigation approach with controls at operational and strategic levels.
- Mitigation actions are assigned to responsible units and reviewed quarterly by the Sustainability Committee.
- Future focus includes:
  - Integrating climate-scenario triggers into annual risk reviews.
  - Enhancing farm-level early warning systems.
  - Expanding risk-linked performance indicators.

12.6 Integration with Strategy & Operations

- ESG and climate risk management supports strategic objectives, including:
  - Capital expenditure sequencing and investment prioritisation.

SLFRS Sustainability-Related Financial Disclosures

- Refinement of the business model across breeder and broiler farms, feed milling, and processing.
- Operational resilience and long-term value creation.

Reference: Risk and Opportunity Management Report (Page 158).

NOTE 13: METRICS AND TARGETS

GRI 302, 303, 305, 306, 307, 401, 403, 404, 405, 406, 413, 201, 419

Building on the ESG commitments disclosed in the previous Annual Report, TAF strengthened its sustainability framework during the year by establishing clear, measurable targets aligned with the Sustainability Agenda 2030. These targets translate strategic priorities into actionable indicators, enabling effective monitoring, accountability, and continuous improvement across estate and factory operations.

Environmental Performance

TAF continues to enhance environmental stewardship through initiatives in energy efficiency, emissions reduction, water conservation, and waste management.

Energy and Emissions

- Non-renewable energy consumption to decrease by 20% by 2030 (3.33% annually).
- Energy efficiency to improve by 12% by 2030 (2% annually).
- Scope 1 and 2 emissions to reduce by 12% by 2030 (2% annually).

Water Management

- Total water usage to reduce by 6% by 2030 (1% annually).

Waste Management

- Packaging and organic waste maintained at near-zero through reuse and recycling.
- Process waste targeted for full reduction by 2030.
- Hazardous waste maintained at zero.

Social Performance

TAF recognises its workforce and communities as central to long-term value creation.

People and Employees

- Employee turnover maintained at 6%.
- Female representation targeted at 30%.
- Zero fatalities and major injuries across operations.
- Training averages 12 hours per employee, with annual improvement.

Customers and Communities

- Customer satisfaction maintained at 96%, ensuring quality and reliability.
- Ongoing community development through training and livelihood initiatives.

Governance Performance

Strong governance supports accountability, transparency, and ethical conduct.

- Zero unresolved whistleblower or harassment cases.
- 10 management system audits conducted annually.
- Zero major non-compliances across management systems.

Looking Ahead

These metrics and targets mark TAF's shift from qualitative commitments to measurable, time-bound ESG performance management. Progress is reviewed regularly through governance structures, including quarterly Sustainability Committee oversight and ESG dashboard monitoring, supported by internal audits and selected external (ISO-based) verifications.

Climate-Related Metrics and Targets

TAF discloses climate-related metrics to demonstrate how it identifies, measures, and manages climate risks and opportunities, aligned with national and global climate goals, including its Net Zero ambition.

Key disclosures include GHG emissions across operations and the value chain, climate risk indicators, climate-related investments, and progress against targets.

GHG Emissions

- Measured in line with SLFRS S2, GHG Protocol, and ISO 14064-1:2018 under the operational control approach.
- Covers Scope 1 and Scope 2 emissions, with Scope 3 introduced from FY 2025 as the baseline year.
- FY 2025 Scope 3 emissions independently verified by SGS.

Overall, the framework strengthens transparency, accountability, and alignment with evolving regulatory and stakeholder expectations.

Category No.	Category	Description	Emissions (tCO_2e)
6	Indirect Emissions from Upstream and Downstream Transportation and Distribution	Waste Transport	38.4
7		Land Transportation	45.2
8		Air Freight Transportation	0.0
8		Drinking Water Transportation	0.3
8		Fuel Transportation	1.1
9		T & D Loss	-
			247.0
Total			**332.0**

Notes:

- Scope 3 emissions were not calculated or disclosed prior to FY 2025.
- Independent verification for FY 2025 was conducted by SGS in accordance with recognised GHG assurance standards.
- TAF will progressively enhance Scope 3 data coverage, estimation methodologies, and supplier engagement in subsequent reporting periods.

Methodology for the Measurement and Disclosure of GHG Emissions

TAF measures and discloses its greenhouse gas (GHG) emissions using internationally recognised and widely accepted methodologies, ensuring consistency, comparability, and accuracy across Scope 1, Scope 2, and Scope 3 emissions. The GHG inventory is prepared in alignment with global best practices and relevant regulatory disclosure requirements.

GHG Measurement Standards Applied

The following standards and guidance documents form the basis of TAF's GHG accounting framework:

- Greenhouse Gas (GHG) Protocol – Corporate Accounting and Reporting Standard (2004)
- GHG Protocol Scope 2 Guidance, as an amendment to the Corporate Standard
- Corporate Value Chain (Scope 3) Accounting and Reporting Standard, supplementing the Corporate Accounting and Reporting Standard
- Technical Guidance for Calculating Scope 3 Emissions (Version 1.0), supporting the Scope 3 Standard
- SLFRS S2 – Climate-related Disclosures, for climate-related financial and non-financial reporting

Internal Verification and Guidance Frameworks

To strengthen the robustness and credibility of emissions data, TAF applies the following verification and sector-specific guidance frameworks:

- ISO 14064-1:2018 – for internal GHG emissions quantification, assurance, and verification processes

Key Assumptions, Data Sources, and Emission Factors Used for GHG Measurement

TAF uses activity-based data sourced from operational records, financial systems, and surveys. Where direct measurement is not feasible, estimation methodologies and expenditure-based approaches are applied in line with GHG Protocol guidance.

SLFRS Sustainability-Related Financial Disclosures

Scope	Emission Category	Sub-Category / Activity	Activity Data	Activity Data Source	Emission Factor (EF) Source	Source of GWP Values
Scope 1	Stationary Combustion	Diesel, petrol used for stationary applications	Fuel consumption	Fuel invoices, estate-level logs	2006 IPCC Guidelines; DEFRA	IPCC AR6 (2021)
Scope 1	Mobile Combustion	Fuel used in company vehicles	Fuel consumption	Fuel bills, transport logs	DEFRA; IPCC 2006	IPCC AR6 (2021)
Scope 2	Purchased Electricity	Grid electricity (CEB)	Electricity consumption	Monthly electricity bills	SLSEA (location-based EF)	IPCC AR6 (2021)
Scope 3	Category 1: Purchased Goods & Services	Fertiliser, packaging	Procurement data	Purchase orders, ledger	DEFRA 2024; GZA (spend-based)	IPCC AR5 (2014)
Scope 3	Category 3: Fuel & Energy Related	Fuel transport (3.8)	Fuel-related upstream emissions	Fuel purchase data	GZA; SLSEA	IPCC AR5 (2014)
Scope 3	Category 3: Fuel & Energy Related	T&D losses (6.2)	Electricity losses	Electricity consumption	SLSEA	IPCC AR5 (2014)
Scope 3	Category 4: Upstream Transport	Waste transport (3.2)	Transport distances	Waste logs	DEFRA 2024	IPCC AR5 (2014)
Scope 3	Category 4: Upstream Transport	Drinking water transport (3.7)	Water delivery	Supplier records	DEFRA / proxies	IPCC AR5 (2014)
Scope 3	Category 6: Business Travel	Air travel (3.3)	Flight distances	Travel records	ICAO; DEFRA	IPCC AR5 (2014)
Scope 3	Category 7: Employee Commuting	Employee commuting (3.1)	Distance & mode	Surveys	DEFRA 2024	IPCC AR5 (2014)
Scope 3	Category 4 / 9	Sea freight exports (3.4)	Export logistics	Shipping records	DEFRA / IMO factors	IPCC AR5 (2014)
Scope 3	Category 4 / 9	Air freight exports (3.5)	Export logistics	Airway bills	ICAO	IPCC AR5 (2014)
Scope 3	Category 13: Downstream Leased Assets	Sub-leased land	Land data	Hectarage records	Local EF	IPCC AR5 (2014)

Global Warming Potential (GWP):

TAF applies IPCC AR5 (2014) GWP values for Scope 3 emissions, as the selected emissions calculation tools and corresponding emission factors are aligned to AR5. Where applicable, IPCC AR6 (2021) values are applied for Scope 1 emissions.

Internal Carbon Pricing

As at FY 2025, TAFhas not implemented an internal carbon pricing mechanism. The Company is currently assessing the feasibility of introducing a shadow carbon price to support future capital allocation decisions, decarbonisation planning, and the evaluation of climate-related risks and opportunities.

Remuneration Linkage These metrics and targets mark TAF's shift from qualitative commitments to measurable, time-bound ESG performance management. Progress is reviewed regularly through governance structures, including quarterly Sustainability Committee oversight and ESG dashboard monitoring, supported by internal audits and selected external (ISO-based) verifications.

Climate-Related Metrics and Targets

TAF discloses climate-related metrics to demonstrate how it identifies, measures, and manages climate risks and opportunities, aligned with national and global climate goals, including its Net Zero ambition.

Key disclosures include GHG emissions across operations and the value chain, climate risk indicators, climate-related investments, and progress against targets.

GHG Emissions

- Measured in line with SLFRS S2, GHG Protocol, and ISO 14064-1:2018 under the operational control approach.
- Covers Scope 1 and Scope 2 emissions, with Scope 3 introduced from FY 2025 as the baseline year.
- FY 2025 Scope 3 emissions independently verified by SGS.

Overall, the framework strengthens transparency, accountability, and alignment with evolving regulatory and stakeholder expectations.

TAF is in the process of reviewing the integration of climate-related performance considerations into its remuneration framework. As at FY 2025, executive and management remuneration is not formally linked to specific sustainability-related risks or opportunities.

Use of Carbon Credits

As at FY 2025, TAF does not use carbon credits to meet its greenhouse gas reduction targets.

Any potential future use of carbon credits will be strictly aligned with Science Based Targets initiative (SBTi) requirements.

TAF will continue to monitor regulatory developments and best practices to ensure that any future application of carbon credits supports its long-term decarbonisation strategy and climate commitments.

GRI Content Index

Three Acre Farms PLC presents Global Reporting Initiatives (GRI-2021) Standards which reflects our commitment to sustainability reporting guidelines. It presents the economic, social and environmental performance of the entire group including its subsidiaries for the financial year beginning 1 January 2025 and ending 31 December 2025. This has been expanded with voluntary disclosures in line with GRI 13 Agriculture Aquaculture and Fishing Sectors 2022

GRI 2: General Disclosures

GRI Standard	Disclosure	Report Section	Page Reference	Ommission			Explanation
				Requirement (S) Omitted	Omission	Reason	
GRI 2: 2021	2-1 Organisational details	About the Report / Corporate Profile	7	-	-	-	-
	2-2 Entities included in sustainability reporting	About the Report / Group Structure	10	-	-	-	-
	2-3 Reporting period, frequency and contact point	About the Report	2 and 5	-	-	-	-
	2-4 Restatements of information	About the Report	2	-	-	-	-
	2-5 External assurance	About the Report	5	-	-	-	-
	2-6 Activities, value chain & relationships	Social & Relationship Capital	82 and 83	-	-	-	-
	2-7 Employees	Human Capital	95 and 98	-	-	-	-
	2-8 Workers who are not employees	Human Capital	98	-	-	-	-
	2-9 Governance structure	Corporate Governance Review	126 and 138	-	-	-	-
	2-10 Nomination & selection of Board	Nomination Committee Report	155	-	-	-	-
	2-11 Chair of Board	Corporate Governance Review	130	-	-	-	-
	2-12 Board oversight	Corporate Governance Review	128 and 129	-	-	-	-
	2-13 Delegation of responsibility	Corporate Governance Review	127	-	-	-	-
	2-14 Board role in sustainability reporting	Sustainability Governance / Strategy	177	-	-	-	-
	2-15 Conflicts of interest	Corporate Governance Review	128	-	-	-	-
	2-16 Communication of concerns	Stakeholder Engagement / Governance	26, 126, 127 and 129	-	-	-	-
	2-17 Collective knowledge of Board	Corporate Governance Review	132	-	-	-	-
	2-18 Board evaluation	Corporate Governance Review	132	-	-	-	-
	2-19 Remuneration policies	Human Capital / Remuneration Committee	99 and 154	-	-	-	-
	2-20 Remuneration process	Human Capital	99	-	-	-	-
	2-21 Compensation ratio	Human Capital	99	-	-	-	-
	2-22 Sustainable development strategy	Chairman's Statement / Business Strategy and Resource Allocation	20 and 40	-	-	-	-
	2-23 Policy commitments	Intellectual Capital/ Human Capital / Governance	68, 92, 96 and 125	-	-	-	-
	2-24 Embedding policy commitments	Human Capital / Governance	68, 92, 96 and 125	-	-	-	-
	2-25 Remediation processes	Stakeholder Engagement / Social and Relationship Capital / Human Capital	26, 80 and 105	-	Partial	Partially Reported	Disclosure of outcomes being strengthened
	2-26 Grievance mechanisms	Social & Relationship Capital / Human Capital	80 and 101	-	-	-	-
	2-27 Compliance with laws	Social and Relationship Capital/ Human Capital/ Corporate	78, 99 and 130	-	-	-	-
	2-28 Membership associations	Intellectual / Social / Human Capital	72, 88 and 92	-	-	-	-
	2-29 Stakeholder engagement	Stakeholder Engagement / Social and Relationship Capital/ Human Capital	28, 76 and 101	-	-	-	-
	2-30 Collective bargaining	Human Capital	96, 97 and 101	-	-	-	-

GRI 3: Material Topics

GRI Standard	Disclosure	Report Section			Omission	Reason	Explanation
GRI 3: 2021	3-1 Materiality process	Material Topic	32	-	-	-	-
	3-2 List of material topics	Material Topic	32	-	-	-	-
	3-3 Management of material topics	Socio Economic Impact/ Material Topic / Financial Capital/ Social and Relationship Capital/ Human Capital/ Natural Capital/ Corporate Governance Review	17, 32, 50, 74, 85, 90, 110 and 126	-	-	-	-

GRI 200: Economic

GRI Standard	Disclosure	Report Section			Omission	Reason	Explanation
GRI 201	201-1 Economic value generated	Socio Economic Impact/ Statement of Value Added	17 and 281	-	-	-	-
	201-2 Financial implications and other risks and opportunities due to climate change	Financial disclosures	196	-	-	-	-
	201-3 Defined benefit plan obligations and other retirement plans	Notes to the financial statements		-	-	-	-
GRI 202	202-1 Wage ratios	Human Capital	99	-	-	-	-
	202-2 Local hiring	Human Capital	94 and 97	-	-	-	-
GRI 203	203-1 Infrastructure investments	Social & Relationship Capital	85	-	-	-	-
	203-2 Indirect impacts	Social & Relationship Capital	85	-	-	-	-
GRI 204	204-1 Local procurement	Social & Relationship Capital	82, 83 and 85	-	-	-	-
GRI 205	205-1 Operations assessed for risks related to corruption	Corporate Governance Review	126	-	-	-	-
	205-2 Communication and training about anti-corruption policies and procedures	Corporate Governance Review	126	-	-	-	-
	205-3 Confirmed incidents of corruption and actions taken	Corporate Governance Review	126	-	-	-	-
GRI 206	206-1 Anti-competitive behaviour	Social and Relationship Capital	79	-	-	-	-
GRI 207	207-1 Approach to tax	Financial Capital	54	-	-	-	-
	207-2 Tax governance	Financial Capital	54	-	-	-	-
	207-3 Tax stakeholder engagement	Financial Capital	-	-	Yes	Not Reported	Formal disclosure not available
	207-4 Country-by-country reporting	Financial Capital	-	-	Yes	Not Applicable	Operations limited to Sri Lanka

GRI Standard	Disclosure	Report Section / Capitals	Page Reference	Omission	Reason	Explanation	GRI Sector Standard Ref. No.
GRI 301: Materials 2016	301-1 Materials used by weight/volume	Natural Capital	112	-	-	-	13.5.1
	301-2 Recycled input materials used	Natural Capital	112	-	-	-	13.5.1
	301-3 Reclaimed products and packaging	Natural Capital	112	-	-	-	13.5.1
GRI 302: Energy 2016	302-1 Energy consumption within organization	Natural Capital	113	-	-	-	13.1.1
	302-2 Energy consumption outside organization	Natural Capital	-	Yes	Not Reported	-	13.1.1
	302-3 Energy intensity	Natural Capital	113 and 120	-	-	-	13.1.5
	302-4 Reduction of energy consumption	Natural Capital	113	-	-	-	13.1.6
	302-5 Reductions in energy requirements of products & services	Natural Capital	113	-	-	-	13.1.6
GRI 303: Water and Effluents 2018	303-1 Interactions with water as a shared resource	Natural Capital	117	-	-	-	13.7.2
	303-2 Management of water discharge impacts	Natural Capital	117	-	-	-	13.7.3
	303-3 Water withdrawal	Natural Capital	117	-	-	-	13.7.4
	303-4 Water discharge	Natural Capital	117	-	-	-	13.7.5
	303-5 Water consumption	Natural Capital	117	-	-	-	13.7.6
GRI 305: Emissions 2016	305-1 Direct (Scope 1) GHG emissions	Natural Capital	113 and 114	-	-	-	13.1.2
	305-2 Energy indirect (Scope 2) GHG emissions	Natural Capital	113 and 114	-	-	-	13.1.3
	305-3 Other indirect (Scope 3) GHG emissions	Natural Capital	114	-	-	-	13.1.4
	305-4 GHG emissions intensity	Natural Capital	114	-	-	-	13.1.5
	305-5 Reduction of GHG emissions	Natural Capital	114	-	-	-	13.1.6
	305-6 Emissions of ozone-depleting substances (ODS)	Natural Capital	114	-	-	-	13.1.7
	305-7 NOx, SOx & other significant air emissions	Natural Capital	114	-	-	-	13.1.8
GRI 306: Effluents and Waste 2016	306-3 Significant spills	Natural Capital	114	-	-	-	13.8.1
GRI 306: Waste 2020	306-1 Waste generation & significant impacts	Natural Capital	118	-	-	-	13.8.2
	306-2 Management of significant waste-related impacts	Natural Capital	118	-	-	-	13.8.3
	306-3 Waste generated	Natural Capital	118	-	-	-	13.8.4
	306-4 Waste diverted from disposal	Natural Capital	118	-	-	-	13.8.5
	306-5 Waste directed to disposal	Natural Capital	118	-	-	-	13.8.6
GRI 308: Supplier Environmental Assessment 2016	308-1 New suppliers screened using environmental criteria	Social and Relationship Capital	85	-	-	-	13.23.1
	308-2 Negative environmental impacts in supply chain & actions taken	Social and Relationship Capital	85	-	-	-	13.23.2

GRI Content Index

GRI Standard	Disclosure	Report Section / Capitals	Page Reference	Omission	Reason	Explanation	GRI Sector Standard Ref. No.
GRI 401: Employment 2016	401-1 New employee hires & turnover	Human Capital	95 and 97	-	-	-	13.20.1
	401-2 Benefits provided to full-time employees	Human Capital	99	-	-	-	13.20.1
	401-3 Parental leave	Human Capital	99	-	-	-	13.20.1
GRI 402: Labor/ Management Relations 2016	402-1 Minimum notice periods regarding operational changes	Human Capital	101	-	-	-	13.20.1
GRI 403: Occupational Health and Safety 2018	403-1 OHS management system	Human Capital	103 and 104	-	-	-	13.19.2
	403-2 Hazard identification, risk assessment & investigation	Human Capital	103 and 104	-	-	-	13.19.3
	403-3 Occupational health services	Human Capital	103	-	-	-	13.19.4
	403-4 Worker participation, consultation & communication	Human Capital	103	-	-	-	13.19.5
	403-5 Worker training on OHS	Human Capital	103	-	-	-	13.19.6
	403-6 Promotion of worker health	Human Capital	103	-	-	-	13.19.7
	403-7 Prevention & mitigation of OHS impacts	Human Capital	103 and 104	-	-	-	13.19.8
	403-8 Workers covered by OHS system	Human Capital	103	-	-	-	13.19.9
	403-9 Work-related injuries	Human Capital	103 and 104	-	-	-	13.19.10
	403-10 Work-related ill health	Human Capital	103	-	-	-	13.19.11
GRI 404: Training and Education 2016	404-1 Average hours training per year	Human Capital	101	-	-	-	13.21.1
	404-2 Programs for upgrading skills & transition assistance	Human Capital	100 and 101	-	-	-	13.21.2
	404-3 % employees receiving regular performance & career development reviews	Human Capital	99 and 100	-	-	-	13.21.3
GRI 405: Diversity and Equal Opportunity 2016	405-1 Diversity of governance bodies & employees	Human Capital	96 and 98	-	-	-	13.15.2
	405-2 Ratio of basic salary & remuneration of women to men	Human Capital	96 and 98	-	-	-	13.15.3
GRI 406: Nondiscrimination 2016	406-1 Incidents of discrimination & corrective actions	Human Capital	96	-	-	-	13.15.4
GRI 407: Freedom of Association and Collective Bargaining 2016	407-1 Operations & suppliers where freedom of association may be at risk	Social and Relationship Capital / Human Capital	85 and 96	-	-	-	13.18.2
GRI 408: Child Labor 2016	408-1 Operations & suppliers at significant risk for child labor	Social and Relationship Capital / Human Capital	85, 96 and 97	-	-	-	13.17.2
GRI 409: Forced or Compulsory Labor 2016	409-1 Operations & suppliers at significant risk for forced/compulsory labor	Social and Relationship Capital / Human Capital	85 and 96	-	-	-	13.16.2
GRI 413: Local Communities 2016	413-1 Operations with local community engagement, impact assessments & development programs	Social and Relationship Capital	85	-	-	-	13.12.2
	413-2 Operations with significant negative impacts on local communities	Social and Relationship Capital	85	-	-	-	13.12.3
GRI 414: Supplier Social Assessment 2016	414-1 New suppliers screened using social criteria	Social and Relationship Capital	85	-	-	-	13.23.3
	414-2 Negative social impacts in the supply chain & actions taken	Social and Relationship Capital	85	-	-	-	13.23.4
GRI 416: Customer Health and Safety 2016	416-1 Assessment of health & safety impacts of product/service categories	Social and Relationship Capital	77 and 82	-	-	-	13.10.2
	416-2 Incidents of non-compliance concerning health & safety of products/services	Social and Relationship Capital	77 and 82	-	-	-	13.10.3
GRI 417: Marketing and Labeling 2016	417-1 Requirements for product and service information and labeling	Social and Relationship Capital	79	-	-	-	-
	417-2 Incidents of non-compliance concerning product and service information and labeling	Social and Relationship Capital	79	-	-	-	-
	417-3 Incidents of non-compliance concerning marketing communnications	Social and Relationship Capital	79	-	-	-	-
GRI 418: Customer privacy 2016	418-1 Substantiated complaints concerning breaches of customer privacy and losses of customer data	Social and Relationship Capital	77 and 82	-	-	-	-
GRI 419	419 Socioeconomic compliance 2016	Financial disclosures	204	-	-	-	-

GRI Standard	Topic	Report Section	Page Reference	Omission	Reason for Omission	GRI Sector Standard Ref. No.
13.1	Emissions	Natural Capital	114	-	-	
13.2	Climate adaptation	Socio Economic Impact/ Financial Disclosures	17 and 196	-	-	13.2.1, 13.2.2
13.3	Biodiversity	Natural Capital	120	-	-	13.3.1, 13.3.2, 13.3.3, 13.3.4, 13.3.5
13.4	Conversion of natural ecosystems	Natural Capital	120	-	-	13.4.1, 13.4.2, 13.4.3, 13.4.4, 13.4.5
13.5	Soil health	Natural Capital	120	Partial	Partially reported; indirect relevance to operations	13.5.1
13.6	Use of pesticides	Natural Capital		-	-	13.6.1, 13.6.2
13.7	Water	Natural Capital	118	-	-	13.7.1, 13.7.2, 13.7.3, 13.7.4, 13.7.5, 13.7.6
13.8	Waste	Natural Capital	119	-	-	13.8.1, 13.8.2, 13.8.3, 13.8.4, 13.8.5, 13.8.6
13.9	Food security	Social & Relationship Capital	77 and 82	-	-	13.9.1, 13.9.2
13.10	Food safety	Social & Relationship Capital	77 and 82	-	-	13.10.1, 13.10.2, 13.10.3
13.11	Animal health & welfare	Intellectual Capital	71	-	-	13.11.1, 13.11.2
13.12	Smallholder inclusion	-	-	Not Material	TAF does not operate a smallholder-based supply chain model	-
13.13	Land & resource rights	-	-	Not Material	No significant land acquisitions, disputes, or related risks identified during the reporting period	-
13.14	Rights of Indigenous Peoples	-	-	Not Material	No operations located in or impacting areas with Indigenous communities	-
13.15	Non-discrimination	Human Capital	97, 98 and 110	-	-	13.15.1, 13.15.2, 13.15.3, 13.15.4
13.16	Forced labour	Human Capital / Natural Capital	96 and 110	-	-	13.16.1, 13.16.2
13.17	Child labour	Human Capital / Natural Capital	97 and 110	-	No identified risks or incidents; full compliance with labour regulations	13.17.1, 13.17.2
13.18	Freedom of association and collective bargaining	Human Capital	85 and 100	-	-	13.18.1 ,13.18.2
13.19	Occupational health & safety	Human Capital / Natural Capital	103, 104 and 110	-	-	13.19.1–13.19.11
13.20	Employment practices and working conditions	Human Capital	98	-	-	13.20.1
13.21	Living income and living wage	Human Capital	99 and 101	-	-	13.21.1, 13.21.2, 13.21.3
13.22	Economic inclusion and access to markets	Socio Economic Impact / Social & Relationship Capital	17 and 85	-	-	13.22.1, 13.22.2, 13.22.3
13.23	Supply chain traceability	Social & Relationship Capital	82 and 83	-	-	13.23.1, 13.23.2, 13.23.3, 13.23.4
13.24	Public policy	-	-	Not Material	Limited influence on public policy and low stakeholder concern	-
13.25	Anti-competitive behaviour	-	-	Not Material	Minimal risk exposure and no reported incidents	-
13.26	Anti-corruption	Corporte Governance	126	-	-	13.26.1, 13.26.2, 13.26.3, 13.26.4

SASB Index

Topic	Metric	Category	Unit of Measure	Code	Page Reference	
Greenhouse Gas Emissions	Gross global Scope 1 emissions	Quantitative	Metric tonnes (t) CO -e	FB-MP-110a.1	114	
	Discussion of long- and short-term strategy or plan to manage Scope 1 emissions, emissions reduction targets, and an analysis of performance against those targets	Discussion and Analysis	N/A	FB-MP-110a.2	114	
	Fleet Fuel consumed, precentage Renewable	Quantitative	Gigajoules (GJ), Percentage (%)	FB-AG-110a.3		
Energy Management	(1) Total energy consumed, (2) percentage grid electricity and (3) percentage renewable	Quantitative	Gigajoules (GJ), Percentage (%)	FB-MP-130a.1	114	
Water Management	(1) Total water withdrawn, (2) total water consumed; percentage of each in regions with High or Extremely High Baseline Water Stress	Quantitative	Thousand cubic metres (m^3), Percentage (%)	FB-MP-140a.1	-	
	Description of water management risks and discussion of strategies and practices to mitigate those risks	Discussion and Analysis	N/A	FB-MP-140a.2	117	
	Number of incidents of non-compliance associated with water quality permits, standards and regulations	Quantitative	Number	FB-MP-140a.3	117	
Land Use & Ecological Impacts	Amount of animal litter and manure generated, percentage managed according to a nutrient management plan	Quantitative	Metric tonnes (t), Percentage (%)	FB-MP-160a.1	117	
	Percentage of pasture and grazing land managed to conservation plan criteria	Quantitative	Percentage (%) by hectares	FB-MP-160a.2	-	
	Animal protein production from confined animal feeding operations	Quantitative	Metric tonnes (t)	FB-MP-160a.3	-	

	Response
	Scope 01 and Scope 02 - 3,042.40
	TAF has strategies to progressively progressively reduce Scope 1 emissions in alignment with our ESG roadmap and Sustainability Agenda 2030. Our approach combines immediate operational improvements with long-term transformational initiatives, supporting our target of achieving a 12% reduction in Scope 1 emissions by 2030, aligned to an annual reduction trajectory of approximately 2%. ◈ Short-Term Strategies ◆ Enhanced fuel-management practices across farm and operational sites. ◆ Expansion of solar power usage, particularly in new environmentally controlled poultry houses . ◆ Installation of LED lighting across all TAF locations to reduce electricity consumption. ◆ Fitting diesel floaters and GPS tracking devices in the distribution fleet to support route optimisation and fuel savings. ◈ Long-Term Strategies ◆ Scaling up solar installations and assessing opportunities for hybrid renewable energy solutions ◆ Strengthening low-carbon farming models, including improved litter management practices, precision feeding approaches, and resource-efficient farm layouts.
	Fleet Fuel consumed (GJ)- 3,786.85 , Precentage Renewable (%)- 0%
	1) Operational Energy Consumed (GJ): 19,579.69 2) Percentage Grid Electricity (%): 81% 3) Percentage Renewable (%): 0%
	1) Total water withdrawn: 287,000 2) total water consumed: 287,000 3) percentage of each in regions with High or Extremely High Baseline Water Stress: water stress where are farms are located is low .
	◈ Water Scarcity & Availability: Higher water demand in farming and operations may cause shortages and affect activities. ◈ Climate Change Impact: Unpredictable rainfall and droughts could limit water for farming and processing. Monitoring & Compliance: Water usage and quality are regularly tracked to meet environmental regulations and support sustainability goals.
	Zero Incidents
	◈ Total animal litter and manure generated: 100% converted to compost to be used as organic fertiliser ◈ Percentage managed under a nutrient management plan: 100% Our nutrient management plan includes controlled collection, composting, and application of manure as organic fertilizer to reduce waste and enhance agricultural productivity. We strictly adhere to national environmental guidelines for waste management to prevent soil and water contamination.
	◈ Total pasture and grazing land area: 0 hectares ◈ Percentage managed under conservation criteria: 0 %
	Unable to disclose due to the sensitive nature of the market environment

SASB Index

Topic	Metric	Category	Unit of Measure	Code	Page Reference	
Food Safety	Global Food Safety Initiative (GFSI) audit (1) non-conformance rates and (2) associated corrective action rates for (a) major and (b) minor non-conformances	Quantitative	Rate	FB-MP-250a.1	-	
	Percentage of supplier facilities certified to a Global Food Safety Initiative (GFSI) food safety certification programme	Quantitative	Percentage (%)	FB-MP-250a.2	-	
	(1) Number of recalls issued and (2) The weight of products recalled 1	Quantitative	Number, Metric tonnes (t)	FB-MP-250a.3	77	
	Discussion of markets that ban imports of the entity's products	Discussion and Analysis	N/A	FB-MP-250a.4	-	
Antibiotic Use in Animal Production	Percentage of animal production that received (1) medically important antibiotics and (2) not medically important antibiotics, by animal type	Quantitative	Percentage (%) by weight	FB-MP-260a.1	-	
Workforce Health & Safety	(1) Total recordable incident rate (TRIR) and (2) fatality rate for (a) direct employees and (b) contract employees	Quantitative	Rate	FB-MP-320a.1	103	
	Description of efforts to assess, monitor, and mitigate acute and chronic respiratory health conditions	Discussion and Analysis	N/A	FB-MP-320a.2	-	
Animal Care & Welfare	Percentage of pork produced without the use of gestation crates	Quantitative	Percentage (%) by weight	FB-MP-410a.1	-	
	Percentage of cage-free shell egg sales	Quantitative	Percentage (%)	FB-MP-410a.2	-	
	Percentage of production certified to £t third-party animal welfare standard	Quantitative	Percentage (%) by weight	FB-MP-410a.3	-	
Environmental & Social Impacts of Animal Supply Chain	Percentage of livestock from suppliers implementing conservation plan criteria	Quantitative	Percentage (%) by weight	FB-MP-430a.1	-	
	Percentage of supplier and contract production facilities verified to meet animal welfare standards	Quantitative	Percentage (%)	FB-MP-430a.2	-	

	Response
	Compliance with local and international food safety regulations. ◈ Zero product recalls recorded in 2025.
	Only Packing material Suppliers adhered to comply with GFSI
	Zero
	Zero
	Zero
	Zero fatalities in 2025. ◈ Workplace safety training provided at all processing facilities.
	◈ Health & safety policy includes PPE usage and emergency protocols are in place
	N/A .TAF is not engaged in any porcine-related operations.
	N/A. TAF primarily operates conventional poultry farms and, as of 2025, does not produce or sell cage-free eggs. All egg production is carried out in controlled cage-based systems designed to meet animal welfare standards.
	All farms are 100% audited for Animal care & welfare
	N/A . Our livestock supplied by our owned farms are progressively aligning with TAF's conservation plan criteria.
	TAF is a main supplier of CGE and its comply Animal welfare standards 100%

SASB Index

Topic	Metric	Category	Unit of Measure	Code	Page Reference	
Animal and Feed Sourcing	Percentage of animal feed sourced from regions with high or extreamly High baseline water stress	-	-	-	-	
	Percentage of contracts with producers located in regions with high or extremely high baseline water stress	-	-	-		
	Discussion on strategy to manage opportunities and risks to feed sourcing and livestock supply presented by climate change	Disscussion & Analysis	N/A	FB-MP-440a.3	173	
Product Labelling and Market	Revenue from products labelled as (1] containing genetically modified organisms (GM0s] and (2] non-GM0	Quantitative	Presentation currency	FB-NB-270a.2	-	
	Number of incidents of non- compliance with industry or regulatory labelling or marketing codes	Quantitative	Number	FB-NB-270a.5	-	
	Total amount of monetary losses as a result of legal proceedings associated with marketing or labelling practices	quantitative	Presentation currency	FB-NB-270a.4	-	
Packaging Lifecycle Management	(1) Total weight of packaging, (2) percentage made from recycled or renewable materials, and (3) percentage that is recyclable, reusable, or compostable	Quantitative	Metric tons(t), Percentage (%)	FB-NB-410a.1	-	
	Discussion of strategies to reduce the environmental impact of packaging throughout its lifecycle	Discussion and Analysis	N/A	FB-NB-410a.2	-	

Table 2. Activity Metrics

Activity metric	Category	Unit of Measure	Code		
Number of processing and manufacturing facilities	Quantitative	No	FB-MP-00.A	258	
Animal Protein production, by category, percentage outsourced	Quantitative	Various, Percentage (%)	FB-MP-000.B	-	

	Response
	Feed is supplied by CGE . CGE Head office baseline water stress is low
	0% . TAF operates owned farms to ensure consistent and responsible production.
	Our Parent company CGE has a proper plan on keeping a buffer stock on the feed. International relationship with Experts provide the livestocks to CGE within various locations .Hence climte impact is not effected to the supplying the Livestock to the operation.
	0%
	0%
	0%
	(1) Total weight of packaging, (MT): 0.12 (2) percentage made from recycled or renewable materials (%), and – 100% (3) percentage that is recyclable, reusable, or compostable (%) – 75%
	The primary packing material is cardboard, which is fully recyclable and sourced to ensure minimal environmental footprint.All packing materials used by our outgrower farms are 100% reused, significantly reducing waste and promoting a circular approach to resources.

	Owned manufactured building facilities are 534
	Market sensitive information, Outsourced -0%

TCFD Framework

TASK FORCE ON CLIMATE-RELATED FINANCIAL DISCLOSURES (TCFD)

TAF recognises that climate change presents both risks and opportunities with the potential to significantly impact our operations, supply chains, financial performance, and long-term value creation. As a key participant in Sri Lanka's Poultry sector, TAF is exposed to climate-related impacts across agricultural sourcing, manufacturing, logistics, and distribution networks.

The Group has voluntarily adopted the recommendations of the Task Force on Climate-related Financial Disclosures (TCFD) to enhance transparency of climate-related risks and opportunities.

The Group's disclosures are aligned with SLFRS S2 – Climate-related Disclosures, which is based on the TCFD framework.

The Group has considered both physical and transition climate-related risks and undertaken scenario analysis to assess potential impacts over the short, medium, and long term.

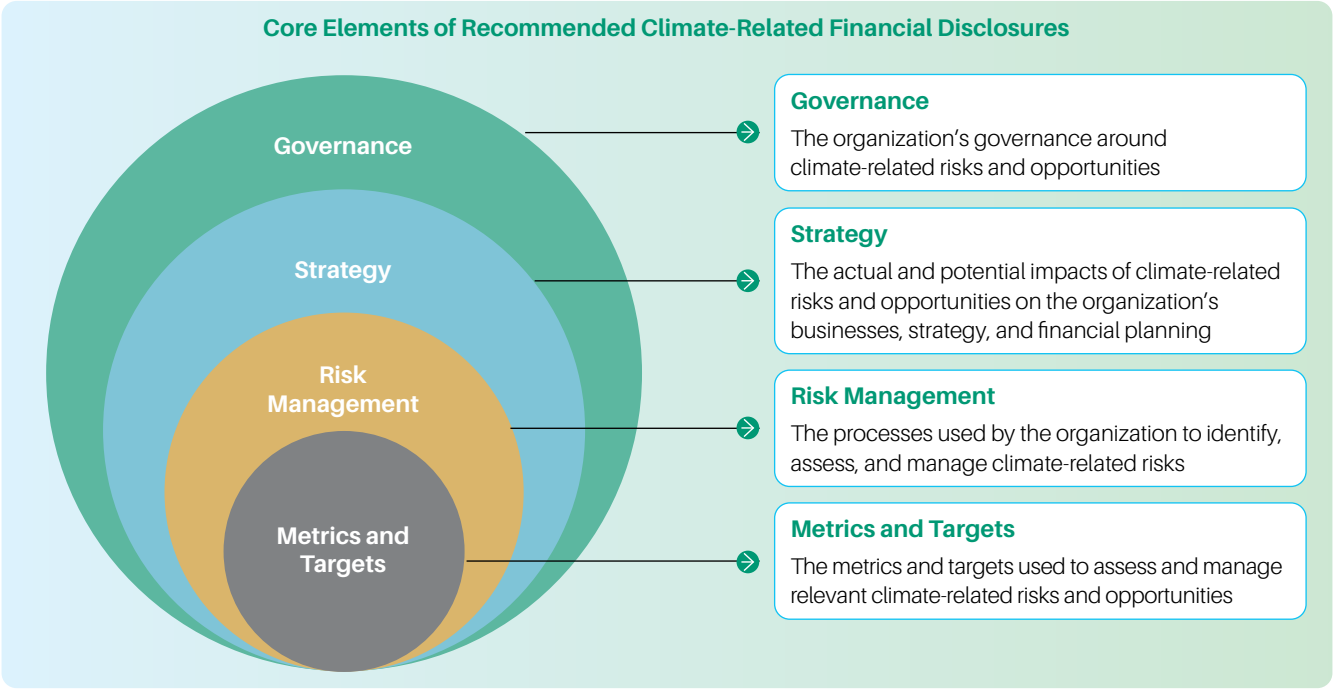
As this is an evolving area, certain disclosures are based on available data and include qualitative and partially quantified information. The Group will continue to enhance its disclosures over time.

To address these challenges and opportunities, TAF has adopted the Task Force on Climate-related Financial Disclosures (TCFD) recommendations as a guiding framework. Our disclosures follow the TCFD Guidance (October 2021) and the Supplemental Guidance for Non-Financial Groups – Agriculture, Food, and Forest Products, ensuring they are relevant to the scale and nature of our operations.

The TCFD framework allows TAF to integrate climate considerations into strategic planning, governance, risk management, and performance measurement. It provides a structured approach to assessing physical risks, such as extreme weather, climate variability, and water stress, as well as transition risks including regulatory changes, market shifts, and evolving stakeholder expectations. At the same time, we continue to explore climate-related opportunities, including operational efficiencies, energy optimisation, supply chain resilience, and sustainable product innovation.

Our climate-related disclosures are organised around the four TCFD pillars: Governance, Strategy, Risk Management, and Metrics and Targets. This structured approach strengthens the resilience of our business model, builds stakeholder confidence, and supports national and global climate objectives while fostering long-term sustainable growth.

TAF remains committed to progressively enhancing the depth and quality of its climate-related reporting as data availability, analytical capabilities, and regulatory expectations evolve, reinforcing our dedication to climate resilience and responsible value creation.



TCFD Disclosures

Governance		
Topic	**Recommended Disclosures**	**Response and Reference**
Disclose the organization's governance around climate-related risks and opportunities.	a) Describe the board's oversight of climate-related risks and opportunities.	The Board of Directors of TAF holds ultimate responsibility for overseeing climate-related risks and opportunities, supported by a structured governance framework that ensures effective monitoring, informed decision-making, and accountability. Day-to-day management of climate matters is led by the Sustainability Management Team, which coordinates initiatives across the Group and reports quarterly to the Board-appointed Sustainability Committee. This Committee oversees all sustainability and climate-related issues, escalating material risks, opportunities, and strategic recommendations to the Board to maintain consistent executive-level visibility. Climate considerations are integrated into the Board's review of the Company's strategy, risk management policies, annual budgets, business plans, and performance objectives. They are also factored into decisions regarding significant capital investments, including energy efficiency and resilience projects, as well as major acquisitions or divestitures. Progress against climate-related goals is tracked through regular reports and performance reviews submitted by the Sustainability Management Team. Oversight is reinforced by defined metrics and key performance indicators covering energy use, greenhouse gas emissions, resource efficiency, and the implementation of mitigation and adaptation measures. The Board monitors trends in these areas and provides strategic guidance to address gaps or enhance performance.
	b) Describe management's role in assessing and managing climate-related risks and opportunities.	At TAF, management takes an active role in identifying and managing climate-related risks and opportunities through a clearly defined organisational structure and established management processes. **Assignment of responsibilities** Responsibility for climate-related matters rests with the Sustainability Management Committee, which brings together representatives and subject-matter experts from key functional areas across the Group. The Committee coordinates initiatives related to energy management, emissions reduction, resource efficiency, and climate awareness, while assessing and managing emerging climate-related risks and opportunities. **Organisational structure** Roles, responsibilities, and reporting lines for climate governance are embedded within TAF's sustainability governance framework. This structure facilitates cross-functional collaboration and ensures that climate considerations are incorporated into both operational and strategic decision-making. Details of the Committee's composition and reporting lines are provided in the Sustainability Report (refer Page 173). **Management processes and information flow** Management receives updates on climate-related matters through regular internal reporting, operational reviews, and sustainability performance updates coordinated by the Sustainability Management Committee. Data is gathered across operations, including energy consumption, emissions, water usage, compliance with environmental requirements, and relevant regulatory and industry developments. The Committee meets regularly to review this information, evaluate ongoing initiatives, and discuss emerging risks and opportunities. **Monitoring and capacity building** Climate-related risks and opportunities are monitored through defined metrics, internal assessments, and periodic reviews. Progress against targets and action plans is tracked and reported to the Sustainability Committee, ensuring accountability and informed decision-making. Additionally, the Committee conducts staff awareness programs and training sessions to embed climate considerations into daily operations and strengthen organisational capacity for effective implementation of climate initiatives. Through this structured, management-led approach, TAF systematically identifies, assesses, and monitors climate-related risks and opportunities, supporting informed decisions and aligning with the Group's sustainability and risk management objectives.

TCFD Framework

Strategy		
Topic	**Recommended Disclosures**	**Response and Reference**
Disclose the actual and potential impacts of climate-related risks and opportunities on the organization's businesses, strategy, and financial planning where such information is material.	a) Describe the climate-related risks and opportunities the organization has identified over the short, medium, and long term.	**Climate-Related Risks and Opportunities** TAF operates in the poultry industry, which is directly exposed to climate variability, resource availability, energy costs, and evolving regulatory and market expectations. The Group has identified climate-related risks and opportunities across short, medium, and long-term horizons, taking into account the nature of poultry operations, supply chain dependencies, and the lifespan of production and processing assets. **Time Horizons** ◈ **Short term (up to 3 years):** Focuses on immediate operational planning, annual budgeting cycles, and near-term regulatory or market developments. ◈ **Medium term (3–6 years):** Aligns with strategic planning, capital investments, and the expected useful life of production and processing infrastructure. ◈ **Long term (beyond 6 years):** Considers long-lived facilities, evolving climate patterns, policy transitions, and structural changes in poultry production, feed supply, and energy systems. These horizons recognise that some climate-related impacts may arise quickly, while others may emerge progressively over time, requiring medium- to long-term planning. **Identified Climate -Related Risks and Opportunities** ◈ The identified climate-related risks and opportunities are set out in Note 08 of the SLFRS Sustainability Disclosures.. **Process for Identification and Management** TAF assesses climate-related risks and opportunities through its enterprise risk management and sustainability governance framework. Inputs are drawn from operational assessments, sustainability performance metrics, regulatory monitoring, and stakeholder engagement. Risks and opportunities are evaluated based on potential financial impact, likelihood, and relevance across operations. Material issues are prioritised for integration into management reviews and Board-level oversight through the Sustainability governance structure. Further details on TAF's climate-related risks and opportunities are provided in the Climate Report (Page 175), aligned with TCFD Strategy Disclosure tables A1.1 and A1.2 under scenario analysis.
	b) Describe the impact of climate-related risks and opportunities on the organization's businesses, strategy, and financial planning.	**Impact of Climate-related Risks and Opportunities on TAF's Business, Strategy, and Financial Planning** TAF integrates climate-related risks and opportunities into its overall business strategy, operational planning, and financial management to safeguard long-term resilience and sustainable value creation. Building on the risks identified in prior disclosures and scenario analyses under RCP 8.5, RCP 6.0/4.5, and RCP 2.6 pathways, TAF ensures its strategic and operational decisions are climate-informed.

Strategy		
Topic	Recommended Disclosures	Response and Reference
	c) Describe the resilience of the organization's strategy, taking into consideration different climate-related scenarios, including a 2°C or lower scenario.	**Products and Services** TAF's farming operations are directly influenced by climate variability, including supply chain disruptions and shifting consumer expectations. The Group leverages opportunities by introducing energy-efficient production methods, sustainably sourced feed, and innovative practices that reduce emissions and resource consumption. These initiatives not only enhance revenue growth but also strengthen brand reputation and competitiveness, particularly under low-carbon transition scenarios aligned with RCP 2.6. **Supply Chain and Value Chain** TAF's vertically integrated operations enable proactive management of climate-related risks across material sourcing, logistics, and distribution. Scenario analysis indicates that under high-emission pathways (RCP 8.5), extreme weather events and chronic physical risks could disrupt supply chains, increase operational costs, and affect production capacity. Transition-focused scenarios (RCP 6.0/4.5) underscore the importance of engaging suppliers, investing in resilient infrastructure, and diversifying sourcing strategies to ensure continuity and reduce potential losses. **Adaptation and Mitigation Measures** TAF addresses both physical and transition risks through energy efficiency improvements, water optimisation, renewable energy adoption, and low-emission production technologies. Actions are prioritised based on operational relevance and potential financial impact, with performance monitored via KPIs reported to the Sustainability Committee. Scenario-based planning informs the timing and scale of these measures across short, medium, and long-term horizons. **Research and Development (R&D) Investments** Climate-driven opportunities guide R&D efforts toward sustainable feed formulations, efficient farming systems, and eco-friendly packaging. Investments align with low-carbon transition scenarios (RCP 2.6), ensuring regulatory compliance, product differentiation, and long-term competitive advantages in the market.

TCFD Framework

Strategy		
Topic	**Recommended Disclosures**	**Response and Reference**
		Operational Planning TAF incorporates climate considerations throughout its production, storage, and logistics networks. High-risk scenarios (RCP 8.5) highlight the potential for increased operating and capital costs due to extreme weather, while transition scenarios (RCP 6.0/4.5 and RCP 2.6) necessitate operational adjustments aimed at improving energy efficiency, reducing emissions, and meeting future regulatory requirements. **Acquisitions and Divestments** Climate factors are embedded in due diligence processes, assessing the exposure of potential or existing assets to physical and transition risks. This ensures that strategic investment decisions reinforce resilience while supporting sustainable value creation. **Financial Planning and Access to Capital** Climate-related risks and opportunities are a core consideration in TAF's financial planning. Potential impacts on revenue, costs, capital expenditure, asset valuations, and liabilities are assessed under the three RCP scenarios to inform capital allocation, budgeting, and investment decisions. Effective climate risk management also enhances access to sustainability-focused financing and partnerships. **Holistic Value Creation** By embedding climate considerations across products, operations, supply chains, and financial planning, TAF ensures a comprehensive approach to value creation. Continuous assessment of interdependencies between operational, strategic, and financial factors enables the Group to remain competitive, mitigate risks, and deliver long-term value to stakeholders under diverse climate futures.

Risk Management		
Topic	**Recommended Disclosures**	**Response and Reference**
Disclose how the organisation identifies, assesses, and manages climate-related risks.	a) Describe the organisation's processes for identifying and assessing climate-related risks.	TAF identifies climate-related risks through a structured, multi-layered approach led by the Sustainability Management Team and overseen by the Board-appointed Sustainability Committee. Each risk is evaluated for its potential impact and likelihood, considering both quantitative factors such as production costs, asset valuations, and revenue exposure and qualitative dimensions, including reputational and strategic implications. The significance of each risk is assessed against other operational and financial risks using TAF's established risk classification framework, ensuring that material climate-related risks are prioritized in strategic planning and operational decision-making.
	b) Describe the organization's processes for managing climate-related risks.	TAF manages climate-related risks through a combination of mitigation, adaptation, and strategic planning measures: ◈ Mitigation: Initiatives include improving energy efficiency, adopting renewable energy, investing in low-emission technologies, and optimising production processes across farming operations. ◈ Adaptation: Measures focus on enhancing supply chain resilience, diversifying sourcing strategies, and upgrading infrastructure to withstand extreme weather events.

Risk Management		
Topic	**Recommended Disclosures**	**Response and Reference**
		◈ Risk transfer and control: TAF employs insurance coverage for climate-sensitive assets and maintains contingency plans to manage potential operational disruptions. Prioritisation of climate-related risks is guided by materiality and informed by scenario analyses under RCP 8.5 (Business-as-Usual), RCP 6.0/4.5 (Intermediate Transition), and RCP 2.6 (Low-Carbon) pathways, covering short, medium, and long-term horizons. This ensures that both physical and transition risks with the greatest potential impact are actively monitored and addressed in investment, operational, and strategic decisions. TAF's climate risk management processes encompass all identified risks and opportunities, in alignment with TCFD recommendations, ensuring a comprehensive approach to resilience and sustainable value creation.
	c) Describe how processes for identifying, assessing, and managing climate-related risks are integrated into the organization's overall risk management.	Processes for identifying, assessing, and managing climate-related risks are fully embedded within TAF's enterprise risk management framework. Key integration points include: ◈ **Board oversight:** Climate-related risks are regularly reviewed by the Sustainability Management Team and escalated to the Board-appointed Sustainability Committee, ensuring alignment with TAF's strategic objectives. ◈ **Enterprise risk registers:** Climate risks are captured alongside operational, financial, and strategic risks, providing a comprehensive view of the Group's overall risk profile. ◈ **Financial and operational planning:** Insights from climate risk assessments guide capital allocation, budgeting, and strategic initiatives, ensuring that financial planning reflects both potential costs and opportunities arising from climate considerations. ◈ **Monitoring and reporting:** KPIs and risk indicators covering energy efficiency, emissions, water use, and supply chain resilience are tracked quarterly, enabling timely detection of emerging risks and prompt mitigation actions.

Metrics and Targets		
Topic	**Recommended Disclosures**	**Response and Reference**
Disclose the metrics and targets used to assess and manage relevant climate-related risks and opportunities where such information is material.	a) Disclose the metrics used by the organization to assess climate-related risks and opportunities in line with its strategy and risk management process.	TAF employs a defined and consistent set of climate-related metrics and targets to assess, monitor, and manage material climate-related risks and opportunities across its integrated poultry value chain. These metrics underpin TAF's climate strategy, enterprise risk management framework, and long-term financial planning, and are reviewed periodically by senior management and the Board-appointed Sustainability Committee. In alignment with TCFD guidance (Tables A1.1, A1.2) and cross-industry metric categories (Table A2.1), TAF tracks both operational and strategic climate metrics, covering energy use, greenhouse gas emissions, water consumption, waste management, and supply chain resilience. This systematic monitoring ensures that climate considerations are embedded in operational and strategic decision-making, supporting sustainable value creation across the business.

TCFD Framework

Metrics and Targets		
Topic	Recommended Disclosures	Response and Reference

Category	Indicator	Note	2025	2024	2023
Environmental Performance					
Energy	Non-renewable energy consumption (GJ)	2.1	19,579.69	26,291.05	23,280.20
	Non-renewable energy consumption to generate Rs. 1 Mn turnover	2.1	3.17	4.24	2.09
	Renewable energy consumption (% of total energy use)	2.1	N/A	N/A	N/A
Water	Total water consumption (m^3)	2.2	287,000	287,877	251,640
	Total water usage to generate Rs. 1 Mn turnover	2.2	46.5	46	23
Waste	Non-hazardous waste (kg)				
	*Packing Waste	3.1	0	0	0
	* Poultry Litter	3.1	Nil	Nil	Nil
	*Hazardous waste	3.1	Nil	Nil	Nil
Emission	Scope 1 emissions (tCO_2e)	4.1	505.9	370.08	2,938
	Scope 2 emissions (tCO_2e)	4.2	2,539.5	2732.23	2,361
	Scope 3 emissions (tCO_2e)	4.3	332.1	N/A	N/A
	Carbon emission to generate Rs. 1 Mn turnover	4.4	0.55	0.50	0.48

Further details can be found in Natural Capital section on Water ,Energy and Waste page No .113

Climate-related Opportunity Metrics

TAF tracks climate-related opportunities using a set of measurable indicators, including:

- Energy savings: Cost reductions achieved through energy efficiency initiatives across feed production, broiler operations, and processing facilities.
- Capital investment: Expenditure on low-emission technologies and climate-resilient infrastructure.
- Operational efficiency gains: Improvements resulting from climate adaptation measures, such as supply chain resilience and resource optimization.

These metrics are reported for historical periods to enable trend analysis and are progressively incorporated into forward-looking planning and investment decisions. Climate-related performance indicators are increasingly integrated into management performance monitoring, strengthening accountability for emissions reduction, energy efficiency, and sustainable resource use.

Methodologies for calculating these metrics are based on operational data, fuel and electricity consumption records, utility bills, and recognized emission factors in line with the GHG Protocol.

Metrics and Targets		
Topic	**Recommended Disclosures**	**Response and Reference**
	b) Disclose Scope 1, Scope 2, and, if appropriate, Scope 3 greenhouse gas (GHG) emissions, and the related risks.	TAF calculates and reports GHG emissions in accordance with the GHG Protocol, ensuring transparency, consistency, and comparability. ◈ **Scope 1:** Direct emissions from fuel combustion in boilers, generators, company-owned vehicles, hatcheries, and processing operations. ◈ **Scope 2:** Indirect emissions from purchased electricity consumed across all operational facilities. ◈ **Scope 3:** Initiated in 2025 as a phased approach, covering below priority categories: 1. Upstream transportation and logistics 2. Waste generated in operations 3. Fuel- and energy-related activities 4. Downstream distribution

Scope 1 ,2 and 3 Emissions Performance (Trend Disclosure)

Scope Category	2025	2024	2023	2025 Vs 2024
Scope 1 emissions (tCO_2e)	505.871	370.08	2,938	37%
Scope 2 emissions (tCO_2e)	2,539.47	2732.23	2,938	-7%
Scope 3 emissions (tCO_2e)	332.078	-	-	-
Carbon emission to generate Rs. 1 Mn turnover	0.55	0.50	0.48	9%

TAF also monitors industry-relevant GHG efficiency ratios, such as emissions per one million of turnover to assess carbon efficiency improvements over time.

Climate-related risks associated with emissions include energy price volatility, regulatory changes, supply chain emissions exposure, and shifting customer and investor expectations. These risks are evaluated using TAF's climate scenario analysis under RCP 8.5 (Business-as-Usual), RCP 6.0 / 4.5 (Intermediate Transition), and RCP 2.6 (Low-Carbon) pathways.

Further details on the risk can be found in Climate report page No. 173.

TCFD Framework

Metrics and Targets		
Topic	**Recommended Disclosures**	**Response and Reference**
	c) Describe the targets used by the organization to manage climate-related risks and opportunities and performance against targets.	TAF has established medium- and long-term climate targets to manage climate-related risks and opportunities in line with its operational footprint and anticipated regulatory and market developments.

GHG Emissions Reduction Targets

Target Element	Description
Target Type	Absolute and intensity-based
Base Year	2023
Scope Coverage	Scope 1 & Scope 2 (Scope 3 baseline initiated in 2025)
Long-term Target	12% reduction in Scope 1 & 2 emissions by 2030
Interim Target	~2% year-on-year emissions reduction
Monitoring KPIs	Total emissions (tCO_2e), emissions intensity, energy efficiency indicators

Supporting Environmental Targets

- Improved energy efficiency across feed mills and processing facilities
- Progressive adoption of low-emission and energy-efficient technologies
- Reduction in water intensity in processing and DOC production
- Increased recovery and beneficial use of organic waste

Scope 3 emissions are being progressively assessed from 2025, with baseline development to support future reduction targets across the value chain.

Monitoring and Governance

Performance against targets is monitored annually and reviewed by senior management, the Sustainability Committee, and the Board. Target-setting methodologies consider operational baselines, scenario analysis outcomes, anticipated regulatory requirements, and market expectations, ensuring alignment with TAF strategy and long-term financial planning.

The Cycle Renewed

Maturity creates new beginnings, sustaining progress for generations to come.



Financial Calendar

Financial year ended	**31-Dec-25**
Announcements of results to the Colombo Stock Exchange	
1st Quarter End	31-Mar-25
Publication of Interim Financial Statements	8-May-25
2nd Quarter End	30-Jun-25
Publication of Interim Financial Statements	15-Aug-25
3rd Quarter End	30-Sep-25
Publication of Interim Financial Statements	12-Nov-25
4th Quarter End	31-Dec-25
Publication of Interim Financial Statements	25-Feb-26
Annual Report	
Publication of Annual Report for 2024	29-Apr-25
Publication of Annual Report for 2025	5-May-26
Meetings TAF	
63rd Annual General Meeting	27-May-25
64th Annual General Meeting	27-May-26

Report of the Board of Directors on the State of Affairs of the Company

The Board of Directors is pleased to present their Report and the Audited Financial Statements of the Company for the year ended 31 December 2025. The details set out herein provide pertinent information required by the Companies Act No.7 of 2007, Listing rules issued by the Colombo Stock Exchange and are guided by recommended best accounting practices.

1. PRINCIPLE ACTIVITIES

The principle activities of the Company are:

- The hatching and sale of Day Old Chicks,
- The operation of poultry breeder farms, raising Grandparent and Parent Stock and hatcheries; and
- Commercial broiler farming.

2.REVIEW OF PERFORMANCE FOR THE YEAR ENDED 31 DECEMBER 2025 AND FUTURE DEVELOPMENTS

A review of the Company's performance during the year, with comments on financial results for the year ended 31st December 2025 and future developments is contained in the Chairman's Message (page 20 to 21), Chief Executive Officer's Review (page 22 to 23) and financial highlights (page15). These reports, together with the Financial Statements, reflect the state of affairs of the Company.

3. FINANCIAL STATEMENTS

The Financial Statements of the Company are given in pages 237 to 279.

4. INDEPENDENT AUDITOR'S REPORT

The Independent Auditor's Report on the Financial Statements is given on pages 233 to 236.

5. ACCOUNTING POLICIES

The accounting policies adopted in preparation of Financial Statements are given on pages 241 to 252. There were no material changes in the Accounting Policies adopted by the entity during the year under review.

6. INTEREST REGISTER

The Company maintains an Interest Register and the particulars of those Directors who were directly or indirectly interested in a contract of the Company are stated therein.

7. DIRECTORS' INTEREST

None of the Directors had a direct or indirect interest in any contracts or proposed contracts with the Company other than as disclosed in the Note 25 - Related Party Transactions, to the Financial Statements. As a practice and in terms of Corporate Governance requirement, the directors have refrained from voting on matters in which they have a material interest.

8. DIRECTORS REMUNERATION AND OTHER BENEFITS

Directors' remuneration in respect of the Company for the financial year ended 31 December 2025 is given in Note 25 - Related Party Transactions to the Financial Statements.

9. CORPORATE DONATIONS

Donations made by the Company amounted to Rs. 165,280/- (2024- Rs. 203,075 /-). No donations were made for political purposes.

10. DIRECTORATE

The names of the Directors who held office as at 31 December 2025 are given below.

Mr. Wickrema Senaka Weerasooria
Non-Executive Chairman

Mr. Cheng Chih Kwong
Executive Director and Chief Executive Officer

Mr. Bernard Cheng Koh Chuen
Non-Executive Director

Mr. Sunil Leeniyagoda
Non-Executive Director

Mr. Indrajit Asela Wickramasinghe
Non-Executive Independent Director

Mr. Timothy Allan Brent Speldewinde
Non-Executive Independent Director

In accordance with the provisions of Article 87 of the Articles of Association of the Company, Mr. Indrajit Asela Wickramasinghe, retires by rotation and being eligible, offers himself for re-election.

A resolution for the re-appointment of Mr. Cheng Chih Kwong, who is 77 years of age will be proposed at the Annual General Meeting in terms of Section 211 of the Companies Act No.07 of 2007. Mr. Cheng Chih Kwong's re-appointment is recommended by the Directors.

A resolution for the re-appointment of Mr. Sunil Leeniyagoda, who is 72 years of age will be proposed at the Annual General Meeting in terms of Section 211 of the Companies Act No.07 of 2007. Mr. Sunil Leeniyagoda's re-appointment is recommended by the Directors.

Report of the Board of Directors on the State of Affairs of the Company

11. DIRECTORS' SHAREHOLDINGS

	As at 31/12/2025	As at 31/12/2024
Mr. Wickrema Senaka Weerasooria	2,000	2,000
Mr. Cheng Chih Kwong	19	19
Mr. Bernard Cheng Koh Chuen	Nil	Nil
Mr. Sunil Leeniyagoda	Nil	Nil
Mr. Indrajit Asela Wickramasinghe	Nil	Nil
Mr. Timothy Allan Brent Speldewinde	Nil	Nil

12. MATERIAL BUSINESS RELATIONSHIPS

Based on the individual declarations obtained from the Directors, it is confirmed that none of the Directors or their close family members have any business material relationships with other Directors of the Company.

13. AUDITORS

The Financial Statements for the year ended 31 December 2025 have been audited by Messrs KPMG, Chartered Accountants, who express their willingness to continue in office. In accordance with the Companies Act No.7 of 2007, a resolution relating to their re-appointment and authorising the Directors to determine their remuneration, will be proposed at the forth coming Annual General meeting.

Details of the Audit fees are set out in Note 06 – Operating Profit of the Financial Statement.

As far as the Directors are aware, the Auditors do not have any relationship (other than that of an Auditor) with the Company, other than those disclosed above. The Auditors also do not have any interest in the Company.

14. TURNOVER

Group Turnover amounted to Rs. 6,177.1 Mn (2024 - Rs. 6,197.9 Mn) and the Company Turnover amounted to Rs. 4,802.2 Mn (2024 - Rs. 4,972.9 Mn).

15. DIVIDENDS

The Directors declared a Final Dividend of Rs 40/- per share for the year ended 31 December 2025 which was paid on 26 February 2026.

16. INVESTMENT

Details of investments held by the Company are disclosed in Note 11 - Investment in subsidiary companies, to the Financial Statements.

17. PROPERTY, PLANT AND EQUIPMENT

An analysis of the property, plant and equipment of the Company, additions and disposals made during the year and depreciation charged during the year are set out in Note 10 - Property, plant and equipment, to the Financial Statements. The market values of assets are not significantly different to those disclosed.

18. CAPITAL COMMITMENTS

Capital expenditure contracted for as at 31 December 2025 for which no provision has been made in the accounts are set out in Note 23 - Commitments, to the Financial Statements.

19. STATED CAPITAL

The issued and fully paid up stated capital of the Company is Rs. 623,604,000/- divided into 23,545,000 ordinary shares. There was no change in the stated capital of the Company during the year.

20. RESERVES

Total reserves as at 31December 2025 amounted to Rs. 8,958.6Mn (2024 - Rs. 8,128.2 Mn). The movement of retained earnings is shown in the Consolidated Statement of Changes in Equity on page 239.

21. EVENTS AFTER TO THE REPORTING PERIOD

No significant events have occurred since the reporting period date other than those disclosed in Note 26 - Events after the reporting period, to the Financial Statements.

22. EMPLOYMENT POLICIES

The Company identifies Human Resources as one of the most important factors in contributing to the survival and growth of them Company in the current competitive business environment. While appreciating and valuing the service of our employees, a greater effort is made to hire the best talent from external sources, to bolster weak areas and continue to maintain the highest standards of the industry. The Human Resource Head Count is considered as a key indicator and recruitment is based on annual manpower planning and the Company provides equal opportunities.

Greater emphasis is given to the areas of training, professional development and ethical business practices. All rewards and career opportunities are based on merit, and on performance.

23. TAXATION

The tax position of the Company is given in Note 08 - Taxation, to the Financial Statements.

24. SHARE INFORMATION

Information relating to earnings, dividend, net assets, No. of shares traded and market price per share is given on page 280.

25. DISCLOSURE AS PER CSE RULE NO.7.6 (XI)

	2025	2024
Last Traded Price	592.25	298.25
Highest share price	680.00	324.50
Lowest share price	290.00	230.50
Basic earnings per share	107.80	61.92
Dividend per share (proposed/paid)	40.00	55.00
Dividend payout ratio (%)	37.10	88.82
Net assets per share	403.98	326.31
Price earnings ratio (No .of times)	5.49	4.82

26. SHAREHOLDINGS

The number of registered shareholders of the Company as at 31 December 2025 was 3,232. The distribution and analysis of shareholdings are given on page 282.

27. MAJOR SHAREHOLDERS

The twenty largest shareholders of the Company as at 31st December 2025, together with an analysis are given on page 283.

28. STATUTORY PAYMENTS

The Directors, to the best of their knowledge and belief, are satisfied that all statutory payments in relation to the Government and the employees have been made on time.

29. ENVIRONMENT, HEALTH AND SAFETY

The Company policy continues to ensure that all environmental, health and safety regulations are strictly adhered to, minimising any adverse effects to the environment. Recycling of waste is carried out where ever possible. Employees are provided with all personal protective equipment as the health and wellbeing of the employees which are our prime concerns. Firefighting and safety systems are in place to safeguard Company interest.

30. CORPORATE GOVERNANCE / INTERNAL CONTROL

The Corporate Governance and Internal Control Policies are given on pages 125 to 150.

31. CONTINGENT LIABILITIES

Contingent Liabilities as at 31 December 2025 are set out in Note 22 - Contingent Liabilities to the Financial Statements.

32. RELATED PARTY TRANSACTIONS

The Company's Transactions with Related Parties, given in the Note 25 to the Financial Statements, have complied with Colombo Stock Exchange listing rule 9.14.8.

33. GOING CONCERN

The Board adopts a going concern basis in the preparation of Financial Statement since the Company holds adequate resources to continue its operations in the foreseeable future.

34. ANNUAL GENERAL MEETING

The 64th Annual General Meeting of the Company will be held at Sri Lanka Foundation Institute Auditorium, No. 100, Sri Lanka Padanama Mawatha, Independence Square, Colombo 07 on Wednesday, 27 May 2026 at 10.00 a.m.

By Order of the Board of
Three Acre Farms PLC

(Sgd.)
Wickrema Senaka Weerasooria
Non-Executive Chairman

(Sgd.)
Cheng Chih Kwong
Executive Director and Chief Executive Officer

(Sgd.)
S S P Corporate Services (Private) Limited
Secretaries

Colombo, Sri Lanka
5 May 2026

Statement of The Directors' Responsibility

The responsibility of the Directors in relation to the Financial Statements of the Company and the Group is set out in the following statement. The responsibility of the Auditors, in relation to the Financial Statements, is set out in their report appearing on pages 233 to 236.

The Companies Act No. 7 of 2007 requires the Directors to prepare Financial Statements for each financial year which give a true and fair view of the status of affairs of the Company and the Group and of the profit or loss for that year.

In preparing these Financial Statements, the Directors are required to:

- Select appropriate accounting policies and then apply them consistently;
- Make judgements and estimates that are reasonable and prudent;
- State whatever applicable accounting standards that have been followed, subject to any material departures as explained in the Financial Statements; and
- Prepare the Financial Statements on a going concern basis, unless it is inappropriate to presume that the Group will continue in business.

The Directors are responsible for keeping proper accounting records that disclose with reasonable accuracy of anything that might affect the Financial Position of the Company and the Group and to ensure that the Financial Statements comply with the Sri Lanka Financial Reporting Standards, Companies Act and the Listing Rules of the Colombo Stock Exchange.

The Directors are also responsible for taking such steps as they deemed reasonable or required in order to safeguard the assets of the Company and the Group, and in this regard, to give proper consideration to the establishment of appropriate internal control systems, with a view to prevent and detect fraud and other irregularities.

The Directors are required to prepare the Financial Statements and to provide the Auditors with every opportunity to take whatever steps and undertake whatever inspections they may consider to be appropriate to enable them to express their audit opinion.

The Directors are also required to ensure that the Company has adequate resources to continue in operation to justify applying the going concern basis in preparing these Financial Statements.

As required by Section 56(2) of the Companies Act No. 7 of 2007, the Board of Directors has authorised the distribution of the dividend, being satisfied, based on information available to it, that the Company would satisfy the Solvency Test after such distributions, in accordance with section 57 of the Companies Act No. 7 of 2007 and have sought, a Certificate of Solvency from its Auditors.

COMPLIANCE STATEMENT

The Directors are of the view that they have discharged their responsibilities as set out in this statement. They also confirm that to the best of their knowledge, all statutory payments payable by the Company and its subsidiaries, as at the reporting date, have been paid or where relevant, provided for. Further confirm that there are no material non-compliances attached to the Company and its subsidiaries and comply with applicable laws,regulations,guidelines.

By Order of the Board of
Three Acre Farms PLC

(Sgd.)
Wickrema Senaka Weerasooria
Non-Executive Chairman

(Sgd.)
Cheng Chih Kwong
Executive Director and Chief Executive Officer

Colombo, Sri Lanka
5 May 2026

Independent Auditor's Report

KPMG
(Chartered Accountants)
32A, Sir Mohamed Macan Markar Mawatha,
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TO THE SHAREHOLDERS OF THREE ACRE FARMS PLC

Report on the Audit of Financial Statements

Opinion

We have audited the financial statements of Three Acre Farms PLC ("the Company") and the consolidated financial statements of the Company and its subsidiaries ("the Group"), which comprise the statement of financial position as at 31 December 2025, and the statement of profit or loss and other comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and notes to the financial statements, including material accounting policies and other explanatory information.

In our opinion, the financial statements of the Company and the Group give a true and fair view of the financial position of the Company and the Group as of 31 December 2025, and of their financial performance and cash flows for the year then ended in accordance with Sri Lanka Accounting Standards.

Basis for Opinion

We conducted our audit in accordance with Sri Lanka Auditing Standards ("SLAuSs"). Our responsibilities under those standards are further described in the Auditor's responsibilities for the audit of the financial statements section of our report. We are independent of the Group in accordance with the Code of Ethics for professional Accountants issued by CA Sri Lanka (Code of Ethics) and we have fulfilled our other ethical responsibilities in accordance with the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the Company financial statements and the consolidated financial statements of the current period. These matters were addressed in the context of our audit of the Company financial statements and the consolidated financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

Measurement of Biological Assets

Refer to the accounting policies in "Note 3.7 to the Financial Statements: Biological assets", "Note 2.4. to the Financial Statements: Significant Accounting Judgments and Estimates" and "Note 12. To the Financial Statements: Biological assets".

Risk Description	Our responses
The carrying value of bearer and consumable biological assets measured at fair value less cost to sell, is Rs. 1,261.2 Mn and Rs. 97.5 Mn respectively as at 31 December 2025, with a gain arising from changes in fair value less costs to sell recorded in the Consolidated Statement of Profit or Loss and Other Comprehensive Income amounting to Rs. 253.9 Mn. The Group's consumable biological assets comprise of Hatchable eggs and commercial Day-Old Chicks (DOCs). The Group has identified grandparent, parent, and livestock as bearer biological assets as they are self-regenerating.	Our audit procedures included: ◈ Obtaining an understanding, evaluating of and assessing the design, implementation and operating effectiveness of management's key controls over the valuation of biological assets. ◈ On sample basis, testing the capitalized amounts and reasonableness of the inputs used in valuation of biological assets. ◈ Evaluating the reasonableness of cash flows and related assumptions associated with deriving the fair value of breeder biological assets.

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Independent Auditor's Report

Risk Description	Our responses
Management performed an internal valuation of the biological assets of the Company as at reporting date. The calculation of the fair value involves a significant judgments and assumptions particularly in respect of DOC yield, DOC selling price, selecting appropriate discounting rate, and mortality. We focused on this area because the valuation of biological assets is dependent on certain key assumptions, which require the exercise of significant judgments and are subject to an inherent risk of error or potential management bias.	◈ Challenging the key assumptions used in the valuation, in particular the discount rate, DOC yield, DOC market price and mortality. ◈ Challenging the methodologies adopted in the valuation of biological assets with reference to the requirements of the accounting standards. ◈ Assessing the adequacy of the related disclosures in the financial statements and consistency with the accounting policies.

Carrying value of Inventories

Refer to the accounting policies in "Note 3.8 to the Financial Statements: Inventories", "Note 2.4 to the Financial Statements: Significant Accounting Judgments and Estimates" and "Note 13. To the Financial Statements: Inventories

Risk Description	Our responses
The Inventory balance comprise of raw materials, packing materials, finished goods, general items, poultry items, drugs and vaccines, petroleum products and engineering items which forms a significant part of the Group's assets, amounting to Rs.402.1 Mn as at 31 December 2025. Carrying value of inventories is identified as a Key Audit matter because establishing a provision for slow-moving, obsolete and damaged inventory and valuation of inventories involve significant judgments and assumptions exercised by the management.	Our audit procedures included: ◈ Obtaining an understanding of an assessing the design, implementation and operating effectiveness of management's key internal controls over the supply chain and testing selected key controls over recognition and measurement of inventory and inventory provisioning. ◈ On sample basis, testing the net realizable value by comparing the actual cost with relevant market data. ◈ For a sample of warehouses, attending the physical stock-take procedures or reconciling third party confirmations with the accounting records of the Group. ◈ Gaining an understanding of the movements in the inventory for the year and assess the adequacy of the provision for nonmoving and slow-moving inventory. ◈ Assessing whether the group's accounting policies had been consistently applied and the adequacy of the group's disclosures in respect of the judgment and estimation made in respect of inventory provisioning.



Other Information

Management is responsible for the other information. The other information comprises all the information included in the annual report, but does not include the financial statements and our auditor's report thereon.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated.

If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of Management and Those Charged with Governance for the Financial Statements

Management is responsible for the preparation of financial statements that give a true and fair view in accordance with Sri Lanka Accounting Standards, and for such internal control as the management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the management either intend to liquidate the Group or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Company's and the Group's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SLAuSs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SLAuSs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company and the Group's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern.
- Evaluate the overall presentation, structure, and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

Independent Auditor's Report

- Plan and perform the group audit to obtain sufficient appropriate audit evidence regarding the financial information of the entities or business units within the group as a basis for forming an opinion on the group financial statements. We are responsible for the direction, supervision and review of the audit work performed for purposes of the group audit. We remain solely responsible for our audit opinion.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, actions taken to eliminate threats or safeguards applied.

From the matters communicated with those charge with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on Other Legal and Regulatory Requirements

As required by section 163 (2) of the Companies Act No. 07 of 2007, we have obtained all the information and explanations that were required for the audit and as far as appears from our examination, proper accounting records have been kept by the Company.

CA Sri Lanka membership number of the engagement partner responsible for signing this independent auditor's report is 3707.

CHARTERED ACCOUNTANTS
Colombo, Sri Lanka
5 May 2026

Statement of Profit or Loss and other Comprehensive Income

All amounts in Sri Lankan Rupees thousands

		Group		Company	
For the year ended 31 December	**Notes**	**2025**	**2024**	**2025**	**2024**
Revenue	4	6,177,126	6,197,882	4,802,235	4,972,935
Cost of sales		(4,524,082)	(4,762,480)	(3,494,220)	(3,759,542)
Gross profit		1,653,044	1,435,402	1,308,015	1,213,393
Other operating income	5	264,881	122,561	1,510,869	76,350
Selling and distribution expenses		(17,999)	(20,733)	(17,999)	(20,733)
Administrative expenses		(42,535)	(40,741)	(35,558)	(32,539)
Operating profit	6	1,857,391	1,496,489	2,765,327	1,236,471
Interest income		617,163	831,959	530,085	797,342
Net finance cost	7	(3,370)	(8,745)	(2,730)	(68,199)
Profit before tax		2,471,184	2,319,703	3,292,682	1,965,614
Taxation	8	(931,327)	(618,441)	(754,444)	(507,694)
Profit for the year		1,539,857	1,701,262	2,538,238	1,457,920
Other comprehensive expense					
Items that will not be re-classified to profit or loss in subsequent periods					
Actuarial loss arising from defined benefit obligation	19	(4,437)	(12,377)	(4,437)	(11,757)
Taxation on other comprehensive expense	18	1,331	3,713	1,331	3,527
Total other comprehensive expense for the year		(3,106)	(8,664)	(3,106)	(8,230)
Total comprehensive income for the year		1,536,751	1,692,598	2,535,132	1,449,690
Profit for the year attributable to:					
Equity holders of the parent		1,539,857	1,701,262	2,538,238	1,457,920
Total comprehensive income attributable to:					
Equity holders of the parent		1,536,751	1,692,598	2,535,132	1,449,690
Earnings per share - basic and diluted (Rs.)	9	65.40	72.26	107.80	61.92
Dividend per share (Rs.)	29			40.00	55.00

The notes on pages 241 to 279 form an integral part of these Financial Statements.

Figures in bracket indicate deductions.

Statement of Financial Position

All amounts in Sri Lankan Rupees thousands

As at 31 December	Notes	Group 2025	Group 2024	Company 2025	Company 2024
ASSETS					
Non-current assets					
Property, plant and equipment	10	1,375,742	1,151,748	1,156,381	927,483
Investment in subsidiary companies	11	-	-	-	-
Biological assets	12	1,261,172	962,567	1,017,000	765,579
Total non-current assets		2,636,914	2,114,315	2,173,381	1,693,062
Current assets					
Biological assets	12	97,484	106,927	89,984	101,302
Inventories	13	402,145	363,105	361,791	315,152
Trade and other receivables	14	249,465	129,662	229,761	115,504
Amount due from related companies	21.1	1,666	1,573	123,123	1,573
Short-term investment	15	-	7,488,913	-	6,751,580
Cash and cash equivalents	16	8,422,155	64,459	7,943,333	59,962
Total current assets		9,172,915	8,154,639	8,747,992	7,345,073
Total assets		11,809,829	10,268,954	10,921,373	9,038,135
EQUITY					
Stated capital	17	623,604	623,604	623,604	623,604
Retained earnings		8,958,556	8,128,155	8,888,221	7,059,439
Total equity		9,582,160	8,751,759	9,511,825	7,683,043
LIABILITIES					
Non-current liabilities					
Deferred tax liabilities	18	435,116	372,560	321,959	268,914
Employee benefits	19	79,417	66,868	75,372	63,362
Total non-current liabilities		514,533	439,428	397,331	332,276
Current liabilities					
Trade and other payables	20	1,458,176	974,491	969,371	787,659
Amount due to related companies	21.2	254,960	103,276	42,846	235,157
Total current liabilities		1,713,136	1,077,767	1,012,217	1,022,816
Total liabilities		2,227,669	1,517,195	1,409,548	1,355,092
Total equity and liabilities		11,809,829	10,268,954	10,921,373	9,038,135
Net asset per share (Rs.)	28	406.97	371.70	403.98	326.31

The notes on pages 241 to 279 form an integral part of these Financial Statements.

These Financial Statements have been prepared in compliance with the requirements of the Companies Act No. 7 of 2007.

(Sgd.)
K. A. R. S. Perera
General Manager

The Board of Directors is responsible for the preparation and presentation of these Financial Statements.

(Sgd.)
Wickrema Senaka Weerasooria
Non-Executive Chairman

(Sgd.)
Cheng Chih Kwong
Executive Director and Chief Executive Officer

5 May 2026
Colombo

Statement of Changes in Equity

All amounts in Sri Lankan Rupees thousands

GROUP

	Stated capital	Retained earnings	Total equity
Balance as at 1 January 2024	623,604	7,400,902	8,024,506
Dividend paid	-	(965,345)	(965,345)
Profit for the year	-	1,701,262	1,701,262
Other comprehensive income			
Actuarial loss arising from defined benefit obligation, net of tax	-	(8,664)	(8,664)
Balance as at 31 December 2024	623,604	8,128,155	8,751,759
Balance as at 1 January 2025	623,604	8,128,155	8,751,759
Dividend paid	-	(706,350)	(706,350)
Profit for the year	-	1,539,857	1,539,857
Other comprehensive income			
Actuarial loss arising from defined benefit obligation, net of tax	-	(3,106)	(3,106)
Balance as at 31 December 2025	623,604	8,958,556	9,582,160

COMPANY

	Stated capital	Retained earnings	Total equity
Balance as at 1 January 2024	623,604	6,575,094	7,198,698
Dividend paid	-	(965,345)	(965,345)
Profit for the Year	-	1,457,920	1,457,920
Other comprehensive income			
Actuarial loss arising from defined benefit obligation, net of tax	-	(8,230)	(8,230)
Balance as at 31 December 2024	623,604	7,059,439	7,683,043
Balance as at 1 January 2025	623,604	7,059,439	7,683,043
Dividend paid	-	(706,350)	(706,350)
Profit for the year	-	2,538,238	2,538,238
Other comprehensive income			
Actuarial loss arising from defined benefit obligation, net of tax	-	(3,106)	(3,106)
Balance as at 31 December 2025	623,604	8,888,221	9,511,825

The retained earnings represent reserves available for distribution.

The notes on pages 241 to 279 form an integral part of these Financial Statements.

Figures in bracket indicate deductions.

Statement of Cash Flows

All amounts in Sri Lankan Rupees thousands

For the year ended 31 December	Notes	Group 2025	Group 2024	Company 2025	Company 2024
Cash flows from operating activities					
Profit before tax		2,471,184	2,319,703	3,292,682	1,965,614
Adjustments for:					
Depreciation on property, plant and equipment	10	122,617	110,492	106,993	94,875
Usage of biological assets	12	925,468	763,153	670,858	548,747
Loss on disposal of property, plant and equipment	5	23	6,768	23	6,768
Change in fair value less cost to sell on biological assets	12	(253,881)	(114,526)	(84,129)	(68,306)
Impairment (reversal) / provision on amount due from related companies	5	-	-	(215,583)	1,059
Dividend income	5	-	-	(1,200,000)	-
Exchange gain / (loss)	7	(5,335)	6,773	(5,335)	6,773
Interest income		(617,163)	(831,959)	(530,085)	(797,342)
Interest expenses	7	8,705	1,972	8,065	61,426
provision for slow moving and obsolete items	13	697	424	697	424
Employee benefits	19	13,317	10,416	12,778	9,980
Changes in working capital					
- Trade and other receivables		(515,273)	(120,873)	(509,394)	(114,953)
- Inventories		(39,737)	18,045	(47,336)	11,452
- Trade and other payables		256,564	(139,768)	79,652	(129,307)
- Amount due from related companies		(93)	89,779	94,033	213,837
- Amount due to related companies		151,684	1,265,808	(192,311)	1,213,491
Cash generated from operations		2,518,777	3,386,207	1,481,608	3,024,538
Exchange (loss) / gain		5,335	(6,773)	5,335	(6,773)
Interest received		660,125	732,281	574,267	697,997
Interest paid		(8,705)	(1,972)	(8,065)	(61,426)
Employee benefits paid	19	(5,205)	(910)	(5,205)	(910)
Tax paid		(460,319)	(460,423)	(418,008)	(408,586)
Net cash generated from operating activities		2,710,008	3,648,410	1,629,932	3,244,840
Cash flows from investing activities					
Purchase of property, plant and equipment	10	(346,634)	(28,791)	(335,914)	(27,285)
Proceeds from dividend income		-	-	1,200,000	-
Purchase of biological assets	12	(960,749)	(969,950)	(826,832)	(708,509)
Net cash (used in) / generated from investing activities		(1,307,383)	(998,741)	37,254	(735,794)
Cash flows from financing activities					
Dividend paid		(706,350)	(965,345)	(706,350)	(965,345)
Short term investments		7,661,421	(7,273,443)	6,922,535	(6,536,443)
Net cash generated from / (used in) financing activities		6,955,071	(8,238,788)	6,216,185	(7,501,788)
Increase / (decrease) in cash and cash equivalents		8,357,696	(5,589,119)	7,883,371	(4,992,742)
Movement in cash and cash equivalents					
Cash and cash equivalents as at 1 January		64,459	5,653,578	59,962	5,052,704
Increase / (decrease) in cash and cash equivalents		8,357,696	(5,589,119)	7,883,371	(4,992,742)
Cash and cash equivalents as at 31 December	16	8,422,155	64,459	7,943,333	59,962

The notes on pages 241 to 279 form an integral part of these Financial Statements.
Figures in bracket indicate deductions.

Notes to the Financial Statements

All amounts in Sri Lankan Rupees thousands

1. CORPORATE INFORMATION

1.1. Reporting Entity

Three Acre Farms PLC (the 'Company') is a 'Quoted Public Company' with limited liability, incorporated and domiciled in Sri Lanka. The address of the Company's registered office is No.15, Rock House Lane, Colombo - 15, Sri Lanka. The Company was listed in the Colombo Stock Exchange on 20 March 1995 in the Food and Beverage Sector. The Company is in the agriculture industry.

Three Acre Farms PLC (TAF) was incorporated in 1963, primarily as a commercial layer farm. The Company's name was derived from the original three acres of land on which the farm was situated. On 2 September 1992, TAF was acquired by Ceylon Grain Elevators PLC for the purpose of expanding their own production facility.

1.2. Financial Statements

The Financial Statements of the Group as at and for the year ended 31 December 2025 comprise the Company and its subsidiaries.

The Company has two fully owned subsidiaries; Ceylon Pioneer Poultry Breeders Limited (CPPBL) (incorporated on 24 September 1993), which terminated its operation in 2009 and is renting the farms to Three Acre Farms PLC and Millennium Multibreeder Farms (Private) Limited (incorporated on 10 August 1999), which employs advanced technology farming in producing Broiler Day-Old Chicks (DOCs).

The immediate parent Company, Ceylon Grain Elevators PLC, holds 57.21% (as at 31 December 2025) of the stated capital of the Company. Prima Limited Singapore is the ultimate Parent Company of the Company.

1.3. Principal Activities and Nature of the Operation

The principal place of business, principal business activities of the Company and subsidiaries are as follows;

Entity	Principal Place of Business	Principal Business Activities
The Company		
Three Acre Farms PLC	Sri Lanka	Operating of poultry breeder farming, raising of grandparent and parent stocks and hatcheries, hatching and selling of Day-Old Chicks, operations of commercial farms.
Subsidiaries		
Millennium Multibreeder Farms (Private) Limited	Sri Lanka	Operating of poultry breeder farming and hatcheries, hatching and selling of Day-Old Chicks.
Ceylon Pioneer Poultry Breeders Limited	Sri Lanka	Renting of the farm operation

There were no significant changes in the nature of the Principal business activities of the Group and the Company during the financial year under review.

1.4. Approval of Financial Statements by Directors

The Financial Statements were authorised for issue by the Board of Directors on 5 May 2026.

These Financial Statements include the following components:

- A Statement of Profit or Loss and other Comprehensive Income providing the information on the financial performance of the Group and the Company for the year under review. Refer page 237;
- A Statement of Financial Position providing the information on the financial position of the Group and the Company as at the year end. Refer page 238;
- A Statement of Changes in Equity depicting all changes in shareholders' funds during the year under review of the Group and the Company. Refer page 239;
- A Statement of Cash Flows providing the information to the users, on the ability of the Group and the Company to generate cash and cash equivalents and utilisation of those cash flows. Refer page 240;
- Notes to the Financial Statements comprising significant accounting policies and other explanatory information. Refer pages 241 to 252.

1.5. Responsibility for the Financial Statements

The Board of Directors acknowledges their responsibility for Financial Statements, as set out in the "Statement of Directors' Responsibilities" in the Annual Report and the certification on the Statement of Financial Position.

Notes to the Financial Statements

All amounts in Sri Lankan Rupees thousands

2. BASIS OF PREPARATION

2.1. Statement of Compliance

The Financial Statements have been prepared in accordance with Sri Lanka Accounting Standards (SLFRS) as issued by the Institute of Chartered Accountants of Sri Lanka (CA Sri Lanka).

Statement of Preparation

The requirements of the Companies Act No. 07 of 2007 and provide appropriate disclosures as required by the Listing Rules of the Colombo stock exchange (CSE). These Financial Statements except for information on cash flows have been prepared following the accrual basis of accounting.

2.2. Basis of Measurement

The Financial Statements have been prepared on a historical cost basis except for the valuations of defined benefit obligation and the valuation of biological assets which are disclosed in Note 3.9 - Employee benefits and Note 3.7 - Biological assets, to the Financial Statements.

2.3. Functional and Presentation Currency

The Financial Statements are presented in Sri Lankan Rupees, which is the Company's functional and presentation currency, rounded to the nearest thousand, unless otherwise stated.

2.4. Significant Accounting Estimates, Judgements and Assumptions

The preparation of Financial Statements in conformity with Sri Lanka Accounting Standards (SLFRS) requires the Management to make judgements, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses. Actual results may differ from these estimates.

Underlying estimates, judgements and assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised prospectively.

A. Judgement

Going Concern

In determining the basis of preparing the Financial Statements for the year ended 31 December 2025, management has considered all available information, the consequences of current macro economic conditions of the country, climate related risks, other events and conditions. It is the view of the management that there are no material uncertainties that may cast significant doubt on the Company's ability to continue to operate as a going concern due to the improving operating environment, developments to product strategies and actions taken to mitigate the impact of economic crisis.

Further, in determining the going concern, the management performed multiple stress tested scenarios; considering cost management practices, ability to continue operations under current economic crisis, cash reserves, ability to secure additional funding to finance the adverse effects to the cash flows, ability to secure required human resources, expected revenue streams, credit and collection management practices and expense management and curtailment practices including ability to defer non-essential capital expenditure.

Accordingly, the Management has assessed its ability to continue as a going concern and is satisfied that it has adequate resources to continue in the business for the foreseeable future. Further, the Management is not aware of any material uncertainties that may cast significant doubt upon the Company's ability to continue as a going concern. Therefore, the Financial Statements of the Company are continued to be prepared on a going concern basis.

B. Assumptions and estimation uncertainties

Information about assumptions and estimation uncertainties and critical judgements in applying accounting policies that have the most significant effect on the amounts recognised in the Financial Statements is included in the following notes:

- Note 3.16 - Deferred tax liabilities
- Note 3.9 - Employee benefits
- Note 12 (b) (iii) – Valuation technique and significant unobservable units.
- Note 3.7 - Biological assets
- Note 3.3.4 – Impairment
- Notes 3.10 and 3.20 - Provisions, commitments and contingencies

Measurement of Fair Value

A number of the Group's accounting policies and disclosures require the measurement of fair value, for both financial and non-financial assets and liabilities. The Group has an established control framework with respect to the measurement of fair value.

This includes a valuation team that has overall responsibility for overseeing all significant fair value measurements, including level 3 fair value (as explained below) and reports directly to the Management. The valuation team regularly reviews significant unobservable inputs and valuation adjustments.

If third party information, such as broker quotes or pricing services, is used to measure fair value, then the valuation team assesses the evidence obtained from the third parties to support the conclusion that such valuations meet the requirements of SLFRS, including the level in the fair value hierarchy in which such valuations should be classified.

Significant valuation issues are reported to the Group's Audit Committee. When measuring the fair value of an asset or

liability, the Company uses observable market data as far as possible. Fair values are categorised into different levels in a fair value hierarchy, based on the inputs used in the valuation techniques as follows:

- **Level 1:** quoted prices (unadjusted) in active markets for identical assets or liabilities.
- **Level 2:** inputs other than quoted prices included in Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices).
- **Level 3:** inputs for the asset or liability that are not based on observable market data (unobservable inputs).

If the inputs used to measure the fair value of an asset or aliability fall into different levels of the fair value hierarchy, then the fair value measurement is categorised in its entirety at the same level of the fair value hierarchy as the lowest level input that is significant to the entire measurement.

The Group recognises transfers between levels of the fairvalue hierarchy at the end of the reporting period during which the change has occurred. Further information about the assumptions made in measuring fair value is included in Note12 - Biological assets.

2.5. Use of Materiality, Offsetting and Rounding

2.5.1. Materiality and Aggregation

Each material class of similar items is presented separately in the Financial Statements. Items of a dissimilar nature or function are presented separately, unless they are immaterial.

Notes to the Financial Statements are presented in systematic manners which ensure the understandability and comparability of Financial Statements of the Group.

Understandability of the Financial Statements is not compromised by observing material information or by aggregating material items that have different nature of functions.

2.5.2. Off-setting

Assets and liabilities and income and expenses in the Financial Statements are not set-off unless regained by Sri Lanka Accounting Standards.

2.5.3. Rounding

The amounts in the Financial Statements have been rounded off to the nearest rupees thousands, except where otherwise indicated.

2.5.4. Current versus non-current classification

The Group presents assets and liabilities in the statement of Financial position based on current / non-current classification. An asset is current when it is expected to be realised or intended to be sold or consumed in the normal operating cycle and held primarily for the purpose of trading.

Or

Is cash or cash equivalent unless restricted from being exchanged or used to settle a liability for at least twelve months after the reporting period.

All other assets are classified as noncurrent.

A liability is current when it is expected to be settled in the normal operating cycle and is held primarily for the purpose of trading and is due to be settled within twelve months after the reporting period.

Or

There is no unconditional right to defer the settlement of the liability for at least twelve months after the reporting period.

The Group classifies all other liabilities as non-current.

2.6. Statement of Cash Flows

The Statement of Cash Flows has been prepared by using the "Indirect Method" of preparing cash flows in accordance with Sri Lanka Accounting Standards - LKAS 7 on Statement of Cash Flows, whereby operating activities, investing activities and financing activities are separately recognised.

Cash and cash equivalents comprise of short-term, highly liquid investments that are readily convertible to known amounts of cash and are subject to an insignificant risk of changes in value.

3. MATERIAL ACCOUNTING POLICIES

The Group has consistently applied the following material accounting policies to all periods presented in the Financial Statements by the Group and the Company, except as mentioned otherwise.

The Institute of Chartered Accountants of Sri Lanka has issued number of new amendments to Sri Lanka Accounting Standards (SLFRSs / LKASs) that are effective for the current financial year. These amendments and interpretations did not have any significant impact on the reported financial statements of the Group.

3.1. Basis of Consolidation

3.1.1. Business Combinations

The Group accounts for business combinations using the acquisition method when the acquired set of activities and assets meets the definition of a business and control is transferred to the Group. In determining whether a particular set of activities and assets is a business, the Group assesses whether the set of assets and activities acquired includes, at a minimum, an input and substantive process and whether the acquired set has the ability to produce inputs.

Notes to the Financial Statements

All amounts in Sri Lankan Rupees thousands

The Group has an option to apply a 'concentration test' that permits a simplified assessment of whether an acquired set of activities and assets is not a business. The optional concentration test is met if substantially all of the fair value of the gross assets acquired is concentrated in a single identifiable asset or group of similar identifiable assets.

The Group measures goodwill at the acquisition date as:

- The fair value of the consideration transferred; plus
- The recognised amount of any non-controlling interests in the acquisition; plus
- If the business combination is achieved in stages, the fair value of the pre-existing equity interest in the acquisition; less
- The net recognised amount (generally fair value) of the identifiable assets acquired and liabilities assumed.

When the excess is negative, a bargain purchase gain is recognised immediately in profit or loss.

The consideration transferred does not include amounts related to the settlement of pre-existing relationships such amounts are generally recognised in profit or loss. Transactions costs, other than those associated with the issue of debt or equity securities, that the Group incurs in connection with a business combination are expensed as incurred.

3.1.2. Subsidiaries

Subsidiaries are entities controlled by the Group. The Group "Controls" an entity when it is exposed to or has right to, variable returns from its involvements with the entity and has the ability to affect those returns through its powers over the entity. The Financial Statements of subsidiaries are included in the Group Financial Statements from the date that control commences, until the date that control ceases.

3.1.3. Loss of Control

When the Group losses control over the subsidiary, the Group derecognises the assets and liabilities of the subsidiary, any non-controlling interests and the other components of equity related to the subsidiary. Any surplus or deficit arising from the loss of control is recognised in profit or loss.

3.1.4. Transactions Eliminated on Consolidation

Intra-group balances and transactions and any unrealised income and expenses arising from intra-group transactions are eliminated in preparing the Group Financial Statements. Unrealised gains arising from transactions with equity accounted investees are eliminated against the investment to the extent of the Group's interest in the investee. Unrealised losses are eliminated in the same way as unrealised gains, but only to the extent that there is no evidence of impairment.

3.2. Foreign Currency

Transactions in foreign currencies are translated to the respective functional currencies of Group entities at exchange rates at the dates of the transactions.

Monetary assets and liabilities denominated in foreign currencies are translated into the functional currency at the exchange rate at the reporting date. Non-monetary assets and liabilities that are measured at fair value in a foreign currency are translated into the functional currency at the exchange rate when the fair value was determined.

Non-monetary items that are measured based on historical cost in a foreign currency are translated at the exchange rate at the date of the transaction. Foreign currency differences are generally recognised in profit or loss and presented within finance costs.

However, foreign currency differences arising from the translation of the following items are recognised in OCI:

- an investment in equity securities designated as at FVOCI (except on impairment, in which case
- foreign currency differences that have been recognised in OCI are reclassified to profit or loss);
- a financial liability designated as a hedge of the net investment in a foreign operation to the
- extent that the hedge is effective; and
- qualifying cash flow hedges to the extent that the hedges are effective.

3.3. Financial Instruments

3.3.1. Recognition and initial measurement

Trade receivables are initially recognised when they are originated. All other financial assets are initially recognised when the Group becomes a party to the contractual provisions of the instrument.
A financial asset (unless it is a trade receivables without a significant financing component) is initially measured at fair value plus, for an item not at FVTPL, transaction costs that are directly attributable to its acquisition or issue. A trade receivable without a significant financing component is initially measured at the transaction price.

3.3.2. Classification and subsequent measurement

On initial recognition, a financial asset is classified as measuredat: amortised cost; FVOCI – debt investment; FVOCI – equity investment, or FVTPL.

Financial assets are not re-classified subsequent to their initial recognition unless the Group changes its business model for managing financial assets, in which case all affected financial assets are reclassified on the first day of the first reporting period following the change in the business model.

A financial asset is measured at amortised cost if it meets both of the following conditions and is not designated as at FVTPL:

- It is held within a business model whose objective is to hold assets to collect contractual cash flows;
- Its contractual terms give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.
- A debt investment is measured at FVOCI if it meets both of the following conditions and is not designated as at FVTPL:
- It is held within a business model whose objective is achieved by both collecting contractual cash flows and selling financial assets;
- Its contractual terms give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

On initial recognition of an equity investment that is not held for trading, the Group may irrevocably elect to present subsequent changes in the investment's fair value in OCI. This is made on an investment by-investment basis.

All financial assets not classified as measured at amortised cost or FVOCI as described above are measured at FVTPL. This includes all derivative financial assets.

On initial recognition, the Group may irrevocably designate a financial asset that otherwise meets the requirements to be measured at amortised cost or at FVOCI as at FVTPL if doing so eliminates or significantly reduces an accounting mismatch that would otherwise arise.

Financial assets - Business model assessment:

The Group makes an assessment of the objective of the business model in which a financial asset is held at a portfolio level because this best reflects the way the business is managed and information is provided to Management. The information considered includes:

- The stated policies and objectives for the portfolio and the operation of those policies in practice. These include whether Management's strategy focuses on earning contractual interest income, maintaining a particular interest rate profile, matching the duration of the financial assets to the duration of any related liabilities or expected cash outflows or realising cash flows through the sale of the assets;
- How the performance of the portfolio is evaluated and reported to the Group's Management;
- The risks that affect the performance of the business model (and the financial assets held within that business model) and how those risks are managed;
- How managers of the business are compensated - e.g. whether compensation is based on the fair value of the assets managed or the contractual cash flows collected;
- The frequency, volume and timing of sales of financial assets in prior periods, the reasons for such sales and expectations about future sales activity.

Transfers of financial assets to third parties in transactions that do not qualify for de-recognition are not considered sales for this purpose, consistent with the Group's continuing recognition of the assets. Financial assets that are held for trading or are managed and whose performance is evaluated on a fair value basis are measured at FVTPL.

Financial assets – Assessment whether contractual cash flows are solely payments of principal and interest:

For the purposes of this assessment, 'principal' is defined as the fair value of the financial asset on initial recognition. 'Interest' is defined as consideration for the time value of money and for the credit risk associated with the principal amount outstanding during a particular period of time and for other basic lending risks and costs (e.g. liquidity risk and administrative costs), as well as a profit margin.

In assessing whether the contractual cash flows are solely payments of principal and interest, the Group considers the contractual terms of the instrument. This includes assessing whether the financial asset contains a contractual term that could change the timing or amount of contractual cash flows such that it would not meet this condition. In making this assessment, the Group considers:

- Contingent events that would change the amount or timing of cash flows;
- Terms that may adjust the contractual coupon rate, including variable-rate features;
- Prepayment and extension features;
- Terms that limit the Group's claim to cash flows from specified assets (e.g. non-recourse features).

Notes to the Financial Statements

All amounts in Sri Lankan Rupees thousands

3.3.3. Financial assets - Subsequent measurement and gains and losses

Financial assets at FVTPL	These assets are subsequently measured at fair value. Net gains and losses, including any interest or dividend income, are recognised in profit or loss.
Financial assets at amortised	These assets are subsequently measured at amortised cost using the effective interest method. The amortised cost is reduced by impairment losses. Interest income, foreign exchange gains and losses and impairment are recognised in profit or loss. Any gain or loss on de-recognition is recognised in profit or loss.
Debt investments at FVOCI	These assets are subsequently measured at fair value. Interest income calculated using the effective interest method, foreign exchange gains and losses and impairment are recognised in profit or loss. Other net gains and losses are recognised in OCI. On derecognition, gains and losses accumulated in OCI are re-classified to profit or loss.
Equity investments at FVOCI	These assets are subsequently measured at fair value. Dividends are recognised as income in profit or loss unless the dividend clearly represents a recovery of part of the cost of the investment. Other net gains and losses are recognised in OCI and are never reclassified to profit or loss.

3.3.4. Impairment

3.3.4.1. Non-derivative financial assets

Financial instruments and contract assets

Loss allowances for trade receivables are always measured at an amount equal to lifetime ECLs. When determining whether the credit risk of a financial asset has increased significantly since initial recognition and when estimating ECLs, the Group considers reasonable and supportable information that is relevant and available without undue cost or effort. This includes both quantitative and qualitative information and analysis, based on the Group's historical experience and informed credit assessment and including forward-looking information.

The Group assumes that the credit risk on a financial asset has increased significantly if it is more than 30 days past due.

The Group considers a financial asset to be in default when:

- The borrower is unlikely to pay its credit obligations to the Group in full, without recourse by the Group to actions such as realising security (if any is held); or
- The financial asset is more than 180 days past due.

Lifetime ECLs are the ECLs that result from all possible default events over the expected life of a financial instrument.

12 month ECLs are the portion of ECLs that result from default events that are possible within the 12 months after the reporting date (or a shorter period if the expected life of the instrument is less than 12 months).

The maximum period considered when estimating ECLs is the maximum contractual period over which the Group is exposed to credit risk.

Measurement of ECLs

ECLs are a probability-weighted estimate of credit losses. Credit losses are measured as the present value of all cash shortfalls (i.e. the difference between the cash flows due to the entity in accordance with the contract and the cash flows that the Group expects to receive).

ECLs are discounted at the effective interest rate of the financial asset.

Credit-impaired financial assets

At each reporting date, the Group assesses whether financial assets carried at amortised cost and debt securities at FVOCI are credit impaired. A financial asset is 'credit impaired' when one or more events that have a detrimental impact on the estimated future cash flows of the financial asset have occurred.

Evidence that a financial asset is credit-impaired includes the following observable data:

- Significant financial difficulty of the borrower or issuer;
- A breach of contract such as a default or being more than 180 days past due;
- The restructuring of a loan or advance by the Group on terms that the Group would not consider otherwise;
- It is probable that the borrower will enter bankruptcy or other financial reorganisation; and
- The disappearance of an active market to a security because of financial difficulties.

Presentation of allowance for ECL in the statement of financial position

Loss allowances for financial assets measured at amortised cost are deducted from the gross carrying amount of the assets.

Write-off
The gross carrying amount of a financial asset is written off when the Group has no reasonable expectations of recoveringa financial asset in its entirety or a portion thereof. For individual customers, the Group has a policy of writing off the gross carrying amount when the financial asset is 180 days past due based on historical experience of recoveries of similar assets. For corporate customers, the Group individually makes an assessment with respect to the timing and amount of write-off based on whether there is a reasonable expectationof recovery. The Group expects no significant recovery from the amount written off. However, financial assets that are written off could still be subject to enforcement activities inorder to comply with the Group's procedures to recovery of amounts due.

3.4. Stated Capital

Ordinary shares are classified as equity. Incremental costs directly attributable to the issue of ordinary shares are recognised as a deduction from equity.

3.5. Property, Plant and Equipment

Property, plant and equipment are tangible items that are held for use in the production or supply of goods or services, for rental to others, or for administrative purposes and are expected to be used during more than one period.

3.5.1. Recognition and Measurement

Items of property, plant and equipment are measured at cost less accumulated depreciation and accumulated impairment losses.

Cost includes expenditure that is directly attributable to the acquisition of the asset. The cost of self-constructed assets includes the cost of materials and direct labour, any other costs directly attributable to bringing the asset to a working condition for its intended use and the cost of dismantling and removing the items and restoring the site on which they are located.

Purchased software that is integral to the functionality of the related equipment is capitalised as part of that equipment.

When parts of an item of property, plant and equipment have different useful lives, they are accounted for as separate items (major components) of property, plant and equipment.

3.5.2. Gains and Losses on Disposal

Gains and losses on disposal of an item of property, plant and equipment are determined by comparing the proceeds from disposal with the carrying amount of property, plant and equipment and are recognised net within 'Other Operating Income / (Expenses)' in profit or loss.

3.5.3. Subsequent Costs

The cost of replacing a part of an item of property, plant and equipment is recognised in the carrying amount of the item if itis probable that the future economic benefits embodied within the part will flow to the Group and its cost can be measured reliably.

The carrying amount of the replaced part is de-recognised. The costs of the day-to-day servicing of property, plant and equipment are recognised in profit or loss as incurred.

3.5.4. De-recognition

The carrying amount of an item of property, plant and equipment are de-recognised on disposal or when no future economic benefits are expected from its use or disposal. The gain or loss arising from the de-recognition of an item of property, plant and equipment is included in profit or loss when the item is de-recognised. When replacement costs are recognised in the carrying amount of an item of property, plant and equipment, the remaining carrying amount of the replaced part is de-recognised. Major inspection costs are capitalised. At each such capitalisation, the remaining carrying amount of the previous cost of inspections is de-recognised.

3.5.5. Depreciation

Depreciation is based on the cost or other amount substituted for cost, less its residual value. Significant components of individual assets are assessed and if a component has a useful life that is different from the remainder of that asset, that component is depreciated separately.

Depreciation is recognised in profit or loss on a straight-line basis over the estimated useful lives of each part of an item of property, plant and equipment. Leased assets are depreciated over the shorter of the lease term and their useful lives unless it is reasonably certain that the Group will obtain ownership by the end of the lease term. No depreciation is provided on assets under construction.

Notes to the Financial Statements

All amounts in Sri Lankan Rupees thousands

The estimated useful lives for the current and comparative years are as follows:

Freehold building	10 - 20 years
Plant and machinery	5 - 16 2/3 years
Hatchery equipment	8 - 10 years
Electrical equipment	2 - 10 years
Farm equipment	2 - 10 years
Furniture, fitting and office equipment	2 - 10 years
Computers	2 - 10 years
Motor vehicles	3 - 10 years

Land is not depreciated as it is deemed to have an indefinite life.

Depreciation of an asset begins when it is available for use and ceases at the earlier of the date that the asset is classified as held for sale and the date that the asset is de-recognised. Depreciation methods, useful lives and residual values are reviewed at each reporting date and adjusted, if appropriate.

Where the carrying amount of an asset is greater than its estimated recoverable amount, it is written down immediately to its recoverable amount.

3.5.6. Capital Work-in-Progress

Capital expenses incurred during the year which are not completed as at the reporting date are shown as capital work-in-progress, while the capital assets which have been completed during the year and put to use are transferred to property, plant and equipment.

3.6. Leases

At inception of a contract, the Group assesses whether a contract is, or contains, a lease. A contract is, or contains, a lease of the contract conveys the right to control the use of an identified assets for a period of time in exchange fo rconsideration. To assess whether a contract conveys the right to control the use of a identified asset, the Group uses the definition of a lease in SLFRS 16.

As a Lessee

At commencement or on modification of a contract that contains a lease component, the Group allocate the consideration in the contract to each lease component on the basis of its relative stand-alone prices. However, for the lease of property the Group has elected not to separate nonlease components and account for the lease and non-lease components as a single lease component.

The Group recognised a right of use asset and a lease liability at the lease commencement date. The right of use assets is initially measured at cost which comprises the initial amount of the lease liability adjusted for any lease payments made at or before the commencement date, plus any initial direct cost incurred and an estimates of costs to dismantle and remove the underlying asset or to restore the underlying asset or the site on which it is located, less any lease incentive received.

The right of use asset is subsequently depreciated using straight-line method from the commencement date to the end of the lease term, unless the lease transfers ownership of the underlying asset to the Group by the end of lease term or the cost of the right of use asset reflects that the Group will exercise a purchase option. In that case the right of use asset will be depreciated over the useful life of the underlying asset, which is determined on the same basis as those of property and equipment. In addition, the right if use asset is periodically reduced by impairment losses, if any and adjusted for certain re-measurements of the lease liability.

The lease liability is initially measured at the present values of the lease payments that are not paid at the commencement date, discounted using the interest rate implicit in the lease or, if that rate cannot be readily determined, the Group's incremental borrowing rate. Generally, the Group uses its incremental borrowing rate as the discount rate.

The Group determines its incremental borrowing rate by obtaining interest rates from various external financing sources and makes certain adjustments to reflect the terms of the lease and type of the assets leased.

Lease payments included in the measurement of the lease liability comprise the following:

- fixed payments, including in-substance fixed payments;
- Variable lease payments that depend on an index or a rate, initially measured using the index or rate as at commencement date;
- amounts expected to be payable under residual value guaranteed; and
- the exercise price under a purchase option that the Group is reasonably certain to exercise, lease payments in an optional renewal period if the Group is reasonably certain to exercise and extension option and penalties for early termination of a lease unless the Group is reasonably certain not to terminate early.

The lease liability is measured at amortised cost using effective interest method. It is remeasured when there is a change in future lease payments arising from a change in an index or rates, if there is a change in the Group's estimate of the amount expected to be payable under a residual value guarantee, if the Group changes its assessment of whether it will exercise a purchase, extension or termination option or if there is a revised in-substance fixed lease payments.

When the lease liability is remeasured in this way, a corresponding adjustment is made to the carrying amount of the right of use asset or is recorded in profit or loss if the carrying amount of the right of use asset has been reduced to zero.

The Group presents right-of-use assets that do not meet the definition of investment property in right-of use assets and lease liabilities in the Statement of Financial Position.

Short-term leases and leases of low-value assets
The Group has elected not to recognise right of use assets and lease liabilities of leases of low-value assets and short-term leases. The Group recognise the lease payments associated with these leases as an expense on a straight-line basis over the lease term.

3.7. Biological Assets

A biological asset is a living animal. Biological assets consist of Grandparent and Parent livestock, used to breed Hatchable Eggs and Commercial DOCs. Grandparent and Parent birds include the growing birds and the laying birds. Consumable biological assets are those that are to be harvested as agricultural produce or sold as biological assets. Hatching eggs and commercial DOCs have been identified as consumable biological assets.

Bearer biological assets are those other than consumable biological assets. Bearer biological assets are not agricultural produce but rather, are self-regenerating.

The Group has identified grandparent and parent livestock as bearer biological assets.

Biological assets are measured at fair value less cost to sell, within any changes therein recognised in profit or loss for the period in which it arises.

3.8. Inventories

Inventories are measured at the lower of cost and net realisable value.

Net realisable value is the estimated selling price in the ordinary course of business, less the estimated costs of completion and selling expenses.

The general basis on which cost is determined is as follows:

- All inventory items except finished goods and work-in progress at purchased cost.
- Manufactured goods and work in progress at factory cost, which include all direct expenditure and production overhead at normal level of activity.

3.9. Employee Benefits

3.9.1. Short-Term Employee Benefits

Short-term employee benefit obligations are measured on an undiscounted basis and are expensed as the related service is provided. A liability is recognised for the amount expected to be paid under short-term cash bonus or profit sharing plans, if the Group has a present legal or constructive obligation to pay this amount as a result of past service provided by the employee and the obligation can be estimated reliably.

3.9.2. Defined Contribution Plan

A defined contribution plan is a post - employment benefit plan under which an entity pays fixed contribution in to a separate entity and has to legal or constructive obligation to pay further amounts.

Obligations for contributions to defined contribution plans are recognised as an employee benefit expense in profit or lossin the periods during which related services are rendered by employees.

Prepaid contributions are recognised as an asset to the extent that a cash refund or a reduction in future payments is available.

(a) Employees' Provident Fund
The Group and employees contribute 12% and 8%, respectively, on the salary of each employee to the Employees' Provident Fund.

(b) Employees' Trust Fund
The Group contributes 3% of the salary of each employee to the Employees' Trust Fund (ETF). These obligations come within the scope of a defined contribution plan as per LKAS-19 on"Employee Benefits". Obligations for contributions to defined contribution plans are recognised in profit or loss as the related service is provided.

3.9.3. Defined Benefit Plan – Gratuity

A defined benefit plan is a post-employment benefit plan other than a defined contribution plan. The Group's net obligationin respect of defined benefit plans is calculated separately for each plan by estimating the amount of future benefit that employees have earned in return for their service in the current and prior periods. That benefit is discounted to determine its Present Value.

Any unrecognised past service costs and the fair value of any plan assets are deducted.

Notes to the Financial Statements

All amounts in Sri Lankan Rupees thousands

The calculation is performed by a qualified actuary annually using the Projected Unit Credit (PUC) method as recommended by LKAS 19 - 'Employee Benefits'.

When the calculation results in a benefit to the Group, the recognised asset is limited to the total of any unrecognised past service costs and the present value of economic benefits available in the form of any future refunds from the plan or reductions in future contributions to the plan. In order to calculate the present value of economic benefits, consideration is given to any minimum funding requirements that apply to any plan in the Group. An economic benefit is available to the Group if it is realisable during the life of the plan, or on settlement of the plan liabilities. When the benefits of a plan are improved, the portion of the increased benefit related to past service by employees is recognised in profit or loss on a straight-line basis over the average period until the benefits become vested. To the extent that the benefits vest immediately, the expense is recognised immediately in profit or loss. The assumptions based on which the results of actuarial valuation was determined are included in Note 19 – Employee benefits, to the Financial Statements.

The Group recognises all actuarial gains and losses arising from defined benefit plans immediately in other comprehensive income and all expenses related to defined benefit plans in employee benefit expense in profit or loss.

The Group recognises gains and losses on the curtailment or settlement of a defined benefit plan when the curtailment or settlement occurs. The gain or loss on curtailment or settlement comprises any resulting change in the fair value of plan assets, any change in the present value of the defined benefit obligation, any related actuarial gains and losses and past service cost that had not previously been recognised. However, according to the Payment of Gratuity Act No.12 of 1983, the liability for the gratuity payment to an employee arises only on the completion of 5 years of continued service with the Company.

3.10. Provisions

A provision is recognised if, as a result of a past event, the Group has a present legal or constructive obligation that can be estimated reliably and it is probable that an outflow of economic benefits will be required to settle the obligation.

3.11. Trade and other payables

Trade payables are the aggregate amount of obligations to pay for goods or services that have been acquired in the ordinary course of business. Trade payables are classified as current liabilities if payment is due within one year and is non-interest bearing.

3.12. Revenue Recognition

Sales of Goods

Revenue is recognised when the control has been transferred to the customer, recovery of the consideration is probable, the associated costs and possible return of goods can be estimated reliably, there is no continuing Management involvement with the goods and the amount of revenue can be measured reliably.

Revenue is measured net of returns, trade discounts and volume rebates. The Group expects the revenue recognition to occur at a point in time when control of the asset is transferred to the customer, generally on delivery of the goods.

Rendering of Services

The Group recognises revenue from rendering of services inproportion to the stage of completion of the transaction at the reporting date. The stage of completion is assessed basedon surveys of work performed. If the services under a singlearrangement are rendered in different reporting periods, thenthe consideration is allocated on a relative fair value basisbetween the different services.

Rental Income

The Group earns revenue from renting of its warehouse facilities. Rental income is recognised on a straight-line basis over the period of rental contracts. When the customer initially enters into a rental contract, the Group usually receives an advance or a deposit or both which is recognised as a liability.The advance is recognised as revenue with the passage of time while deposit is refunded to the customer in accordance with the rental contract on termination.

Other income

Gains / losses on the disposal of investments held by the Group have been accounted for as other income in profit or loss. Gains / losses on the disposal of property, plant and equipment determined by reference to the carrying amount and related expenses, have been accounted for as other income in profit or loss.

Dividend income

Dividend income is recognised in profit or loss on the date that the Group's right to receive payment is established.

3.13. Expenses

Expenses are recognised in the statement of profit or loss on the basis of a direct association between the cost incurred and the earning of specific items of income. All expenditure incurred in the running of the business and in maintaining the property, plant and equipment in a state of efficiency has been charged to income in arriving at the profit for the year.

For the presentation of the statement of profit or loss the Directors are of the opinion that the function of the expenses method present fairly the elements of the Group's performance and hence such a presentation method is adopted.

Preliminary and pre-operational expenditure is recognised in the statement of profit or loss.

Repairs and renewals are charged to the Statement of profit or loss in the year in which the expenditure is incurred.

3.14. Interest income

Interest income comprises of interest income on funds invested. Interest income is recorded as it accrues using the Effective Interest Rate (EIR), which is the rate that exactly discounts the estimated future cash receipts through the expected life of the financial instrument or a shorter period, where appropriate, to the net carrying amount of the financial asset.

3.15. Finance income / (costs)

Finance costs comprise interest expense on borrowings and leases, unwinding of discounts on provisions and fair value losses on financial assets at fair value through profit or loss and impairment losses recognised on financial assets (other than trade receivables).

Interest expense is recorded as it accrues using the Effective Interest Rate (EIR), which is the rate that exactly discounts the estimated future cash payments through the expected life of the financial instrument or a shorter period, where appropriate, to the net carrying amount of the financial liability.

Borrowing costs that are not directly attributable to the acquisition, construction or production of a qualifying asset are recognised in profit or loss using the effective interest method. Borrowing costs directly attributable to the acquisition, construction or production of an asset that necessarily takes a substantial period of time to get ready for its intended use or sale are capitalised as part of the cost of the respective assets.

Foreign currency gains and losses on financial assets and financial liabilities are reported on a net basis as either finance income or finance cost depending on whether foreign currency movements are in a net gain or net loss position.

3.16. Taxation

Income tax expense comprises current and deferred tax. Income tax is recognised in profit or loss, except to the extent that it relates to items recognised directly in equity, in which case it is recognised in equity.

Current Tax

Current tax is the expected tax payable on the taxable income for the year, using tax rates enacted at the reporting date and any adjustment to tax payable in respect of previous years.

IFRIC 23 "Uncertainty over income tax treatments" provides guidance on determining taxable profit, tax bases, unused tax losses, unuserd tax credits and tax rates, when there is an uncertainty over the income tax treatment. The Group has applied significant judgement in identifying uncertainties over income tax treatment for the year and the Group has determined that there were non uncertainties in tax treatments that has an impact on the income tax expense or any disclosures.

Deferred Tax

Deferred tax is recognised in respect of temporary differences between the carrying amounts of assets and liabilities forfinancial reporting purposes and the amounts used for taxation purposes.

The following temporary differences are not provided for: goodwill not deductible for tax purposes, the initial recognition of assets or liabilities that affect neither accounting nor taxable profit, nor differences relating to investments in subsidiaries to the extent that they will probably not reverse in the foreseeable future. The amount of deferred tax provided is based on the expected manner of realisation or settlement of the carrying amount of assets and liabilities, using tax rates enacted or substantively enacted at the reporting date. The principal temporary differences arise from depreciation onproperty, plant and equipment; tax losses carried forward, biological assets and provisions for defined benefit obligations. Deferred tax assets relating to the carrying forward of unused tax losses are recognised to the extent that it is probable that future taxable profit will be available against which the unused tax losses can be utilised.

A deferred tax asset is recognised only to the extent that it is probable that future taxable profits will be available against which the asset can be utilised. Deferred tax assets are reviewed at the reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realised.

Deferred tax assets and liabilities are offset if there is a legally enforceable right to offset current tax liabilities and assets and they relate to income taxes levied by the same tax authority on the same taxable entity, or different tax entities, but they intend to settle current tax liabilities and assets on a net basis or their tax assets and liabilities will be realised simultaneously.

Additional income taxes that arise from the distribution of dividends are recognised at the same time as the liability to pay the related dividend is recognised.

Transfer Pricing

As prescribed in the Inland Revenue Act No. 24 of 2017 and amendments thereto and the Gazette notifications issued on transfer pricing, companies in the Group have complied with the Arm's Length Principles relating to transfer pricing.

Notes to the Financial Statements

All amounts in Sri Lankan Rupees thousands

3.17. Earnings Per Share

The Group presents basic and diluted Earnings Per Share (EPS) for its ordinary shares. Basic EPS is calculated by dividing the profit or loss attributable to ordinary shareholders of theCompany by the weighted average number of ordinary shares outstanding during the period. Diluted EPS is determined by adjusting the profit or loss attributable to ordinary shareholders and the weighted average number of ordinary shares outstanding for the effects of all dilutive potential ordinary shares.

3.18. Events after the Reporting Period

All material post reporting period events have been considered and, where appropriate, adjustments or disclosures have been made in respective notes to the Financial Statements.

3.19. Comparative Figures

Where necessary, the comparative figures have been reclassified to conform to the current year's presentation.

3.20. Commitments and Contingencies

All discernible risks are accounted for in determining the amount of all known liabilities. The Company's share of any contingencies and capital commitments of a subsidiary for which the Company is also liable, severally or otherwise, are also included with appropriate disclosures.

Contingencies are possible assets or obligations that arise from a past event and would be confirmed only on the occurrence or non-occurrence of uncertain future events, which are beyond the Company's control. Contingent liabilities are disclosed in Note 22 - Contingencies, to the Financial Statements. Commitments are disclosed in Note 23 -Commitments, to the Financial Statements.

3.21. New or Amended Accounting Standards issued, but not yet effective as at the reporting date

The following new or amended standards and interpretations have been issued, but not yet effective, as at the reporting date of the Consolidated Financial Statements. These are not expected to result in material impact to the Group on adoption.

- Sri Lanka Accounting Standard – SLFRS 18 on "Presentation and Disclosure in Financial Statements" (SLFRS 18)

SLFRS 18 is a new accounting standard for presentation and disclosure in Financial Statements with effect from 1 January 2027. SLFRS 18 will replace the Sri Lanka Accounting Standard – LKAS 1 on "Presentation of Financial Statements" and applies to the Group effective from 1 January 2027. The new accounting standard introduces the following key new requirements.

- Entities are required to classify all income and expenses into five categories in the Statement of Profit or Loss, namely operating, investing, financing, discontinued operations and income tax categories. Entities are also required to present a newly defined operating profit sub totals. Entities' net profit will not change.
- Management – defined Performance Measures (MPMs) are disclosed in a single note in the Financial Statements.
- Enhanced guidance is provided on how to group information in the Financial Statements.

In addition, all entities are required to use the operating profit subtotals as the starting point for the Statement of Cashflows when presenting operating cashflows under indirect method.

The Group is still in the process of assessing the impact of the new accounting standards, particularly with respect to the structure of the Group's Income Statement, the Statement of Cashflows and the additional disclosures required for MPMs. The Group is also assessing the impact on how information is grouped in the Financial Statements including items currently labelled as 'other'.

- Sri Lanka Accounting Standard – SLFRS 19 on "Subsidiaries without Public Accountability" (SLFRS 19)

SLFRS 19 is a new accounting standard for subsidiaries to apply the recognition, measurement, and presentation requirements of full SLFRS Standards while applying a reduced set of disclosure requirements in Financial Statements with effect from 1 January 2027. The Group does not expect this will result in a material impact on its Consolidated Financial Statements. However, this may have an impact on the separate Financial Statements of the subsidiaries of the Company as appropriate.

Other accounting standards

- Annual improvements to SLFRS Accounting Standards – Volume 11

The amendments apply for annual reporting periods beginning on or after 1 January 2026. These changes are not expected to have a significant impact on the Company's Financial Statements

04. REVENUE

For the year ended 31 December	GROUP 2025	GROUP 2024	COMPANY 2025	COMPANY 2024
Local sales	5,661,100	5,796,421	3,991,112	4,303,863
Export sales	171,974	158,966	171,974	158,966
Rearing income	1,560,628	1,448,042	1,560,628	1,448,042
Less: SSCL	(94,634)	(78,491)	(75,376)	(60,922)
Less: Value Added Tax	(1,121,942)	(1,127,056)	(846,103)	(877,014)
Net sales	6,177,126	6,197,882	4,802,235	4,972,935

(a) Segment Reporting

Segment is a distinguishable component of an enterprise that is engaged in either providing products or services (Business segment) or in providing products or services within a particular economic environment (Geographical segment), which is subject to risk and reward that are different from those of other segments.

However, there is no distinguishable components to be identified as segments for the Group and the Company.

05. OTHER OPERATING INCOME

For the year ended 31 December	Notes	GROUP 2025	GROUP 2024	COMPANY 2025	COMPANY 2024
Impairment reversal / (provision) on amount due from related companies	21.1	-	-	215,583	(1,059)
Loss on disposal of property, plant and equipment	10	(23)	(6,768)	(23)	(6,768)
Change in fair value less cost to sell on biological assets	12	253,881	114,526	84,129	68,306
Dividend income		-	-	1,200,000	-
Sundry income		11,023	14,803	11,180	15,871
		264,881	122,561	1,510,869	76,350

06. OPERATING PROFIT

The following items have been charged in arriving at operating profit:

For the year ended 31 December	Notes	GROUP 2025	GROUP 2024	COMPANY 2025	COMPANY 2024
Directors' emoluments	25.2	3,600	3,600	3,600	3,600
Auditor's remuneration - Audit service		3,738	3,845	3,033	3,119
- Other service		460	400	460	400
Depreciation on property, plant and equipment	10	122,617	110,492	106,993	94,875
Legal fees		536	684	536	684
Usage of biological assets	12	925,468	763,153	670,858	548,747
Provision for slow moving and obsolete items	13	697	424	697	424
Staff expenses	6 (a)	888,212	774,859	749,083	653,985

Notes to the Financial Statements

All amounts in Sri Lankan Rupees thousands

06. OPERATING PROFIT (Contd.)

(a) Staff expenses

For the year ended 31 December	Notes	GROUP 2025	GROUP 2024	COMPANY 2025	COMPANY 2024
Salaries, wages and other fringe benefits		847,373	739,556	713,531	623,290
Defined contribution plans		27,522	24,887	22,774	20,715
Employee benefits	19	13,317	10,416	12,778	9,980
		888,212	774,859	749,083	653,985
Number of employees as at the year-end:					
- Full time		234	239	187	194
- Part time		477	493	413	423
		711	732	600	617

Part time employees include outsourced workers hired from third parties.

07. NET FINANCE INCOME

For the year ended 31 December	GROUP 2025	GROUP 2024	COMPANY 2025	COMPANY 2024
Exchange gain / (loss)	5,335	(6,773)	5,335	(6,773)
Interest expenses on related party transactions	(8,630)	(1,906)	(7,990)	(61,360)
Interest expenses on over draft	(75)	(66)	(75)	(66)
Net finance cost	(3,370)	(8,745)	(2,730)	(68,199)

08. TAXATION

For the year ended 31 December	Notes	GROUP 2025	GROUP 2024	COMPANY 2025	COMPANY 2024
Current tax expenses					
Current tax on profit of the year		681,044	615,194	512,867	535,124
Dividend tax on intercompany dividend		180,000	-	180,000	-
Over provision in respect of previous year		6,396	684	7,201	(230)
		867,440	615,878	700,068	534,894
Deferred tax expense					
Deferred tax charge / (release)	18	63,887	2,563	54,376	(27,200)
Total taxation		931,327	618,441	754,444	507,694

The Company and its subsidiaries are liable to pay income tax in accordance with the Inland Revenue Act No. 24 of 2017 and amendments thereto.

Reconciliation of effective tax rate

The tax on the results of the Group's operation and the Company's profit before tax differs from the theoretical amount that would arise using the basic tax rate as follows:

For the year ended 31 December	Notes	GROUP 2025	GROUP 2024	COMPANY 2025	COMPANY 2024
Profit before tax		2,471,184	2,319,703	3,292,682	1,965,614
Add : Disallowable expenses		1,197,645	1,014,145	916,306	769,551
Deduct : Allowable expenses / other source of income		(2,013,775)	(1,978,807)	(1,827,461)	(1,646,692)
Add : Interest income		616,172	696,544	529,058	696,211
Deduct : Other source of income - dividend		-	-	(1,200,000)	-
Deduct : Tax losses claimed		(53)	-	-	-
Deduct : Tax exemptions		(1,027)	(935)	(1,027)	(935)
Taxable income		2,270,146	2,050,650	1,709,558	1,783,749
Income tax using the domestic corporate tax rate					
- at 30%		681,044	615,194	512,867	535,124
Current tax		681,044	615,194	512,867	535,124
Deferred tax charge / (release)	18	63,887	2,563	54,376	(27,200)
Dividend tax on intercompany dividend		180,000	-	180,000	-
Under / (over) provision in respect of previous year		6,396	684	7,201	(230)
		250,283	3,247	241,577	(27,430)
		931,327	618,441	754,444	507,694
The effective tax rate		38%	27%	23%	26%

Further information about deferred tax is presented in Note 18 - Deferred Taxation.

Company	Category	Tax rate (%) 2025	Tax rate (%) 2024	Tax Loss Carried Forward (Rs.) 2025	Tax Loss Carried Forward (Rs.) 2024
Three Acre Farms PLC	Poultry farming	30	30	Nil	Nil
	Other Sources	30	30		
Millennium Multibreeder Farms (Private) Limited	Poultry farming	30	30	Nil	Nil
	Other Sources	30	30		
Ceylon Pioneer Poultry Breeders Limited	Other Sources	30	30	Nil	52,781

Tax losses carried forward

As per section 19 of the Inland Revenue Act No. 24 of 2017 and amendment thereto, any unclaimed tax losses incurred during the year could be carried forward for a further period of six years.

Notes to the Financial Statements

All amounts in Sri Lankan Rupees thousands

09. EARNINGS PER SHARE - BASIC AND DILUTED

Basic earnings per share is calculated by dividing the net profit attributable to ordinary shareholders by the weighted average number of shares outstanding during the year.

For the year ended 31 December	GROUP		COMPANY	
	2025	2024	2025	2024
Net profit attributable to ordinary shareholders	1,539,857	1,701,262	2,538,238	1,457,920
Weighted average number of ordinary shares (thousands)	23,545	23,545	23,545	23,545
Basic earning per share (Rs.)	65.40	72.26	107.80	61.92

There were no potentially dilutive ordinary shares outstanding at any time during the year / previous year, hence diluted earnings per share is equal to the basic earnings per share.

10. PROPERTY, PLANT AND EQUIPMENT

(a) Group

Cost	As at 01.01.2025	Additions / WIP transfers	Disposals / write-off	As at 31.12.2025
Land	366,916	-	-	366,916
Buildings	1,252,224	227,988	-	1,480,212
Motor vehicles	137,080	23,051	751	159,380
Plant and machinery, electrical and farm equipment	952,667	69,378	1,911	1,020,134
Furniture, fittings and office equipment	12,749	1,819	11	14,557
Capital work-in-progress	11,227	24,398	-	35,625
	2,732,863	346,634	2,673	3,076,824

Depreciation	As at 01.01.2025	Charge for the year	Disposals / write-off	As at 31.12.2025
Buildings	577,745	86,728	-	664,473
Motor vehicles	104,419	10,530	226	114,723
Plant and machinery, electrical and farm equipment	888,259	24,175	2,413	910,021
Furniture, fittings and office equipment	10,692	1,184	11	11,865
Capital work-in-progress	-	-	-	-
	1,581,115	122,617	2,650	1,701,082

Carrying amount	As at 01.01.2025			As at 31.12.2025
Land	366,916			366,916
Buildings	674,479			815,739
Motor vehicles	32,661			44,657
Plant and machinery, electrical and farm equipment	64,408			110,113
Furniture, fittings and office equipment	2,057			2,692
Capital work-in-progress	11,227			35,625
	1,151,748			1,375,742

(b) Company

Cost	As at 01.01.2025	Additions / WIP transfers	Disposals / write-off	As at 31.12.2025
Land	308,701	-	-	308,701
Buildings	963,006	227,573	-	1,190,579
Motor vehicles	135,467	14,150	224	149,393
Plant and machinery, electrical and farm equipment	794,287	67,938	1,911	860,314
Furniture, fittings and office equipment	12,327	1,819	11	14,135
Capital work-in-progress	11,191	24,434	-	35,625
	2,224,979	335,914	2,146	2,558,747

Depreciation	As at 01.01.2025	Charge for the year	Disposals / write-off	As at 31.12.2025
Buildings	451,020	73,082	-	524,102
Motor vehicles	102,806	9,910	226	112,490
Plant and machinery, electrical and farm equipment	733,202	22,869	1,886	754,185
Furniture, fittings and office equipment	10,468	1,132	11	11,589
	1,297,496	106,993	2,123	1,402,366

Carrying amount	As at 01.01.2025			As at 31.12.2025
Land	308,701			308,701
Buildings	511,986			666,477
Motor vehicles	32,661			36,903
Plant and machinery, electrical and farm equipment	61,085			106,129
Furniture, fittings and office equipment	1,859			2,546
Capital work-in-progress	11,191			35,625
	927,483			1,156,381

(c) Reconciliation of the Carrying Amount of Property, Plant and Equipment as at 31.12.2024

	Carring amount as at 01.01.2024	Additions / WIP transfers	Depreciation charge for the year	Disposals / write-off	Carring amount as at 31.12.2024
Property, plant and equipment:					
Group	1,240,217	28,791	(110,492)	(6,768)	1,151,748
Company	1,001,841	27,285	(94,875)	(6,768)	927,483

Notes to the Financial Statements

All amounts in Sri Lankan Rupees thousands

10. PROPERTY, PLANT AND EQUIPMENT (Contd.)

(d) Freehold Land Carried at Cost (Rs.):

Name of the Company	Location	Land extent	Cost
Three Acre Farms PLC	Meegoda Farm, Meegoda	24 A - 0 R - 3.17 P	19,215,850
	Kosgama Farm, Aluthambalama, Kosgama	20 A - 3 R - 27.05 P	10,041,150
	Halwathura Farm, Halwathura	54 A - 0 R - 3.76 P	29,796,324
	Bulathsinhala Farm, Agaloya, Bulathsinhala	60 A - 3 R - 27.00 P	56,045,250
	Hijra Farm - A, Pagoda, Beruwala	41 A - 3 R - 13.42 P	41,034,200
	Hijra Farm - B, Beruwala	8 A - 3 R - 3.71 P	74,829,300
	Makuluwatta Farm, Waga	12 A - 2 R - 18.90 P	6,098,235
	Ittapana Farm, Mahagoda, Ittapana.	31 A-1 R -28.1P	71,640,983
			308,701,292
Ceylon Pioneer Poultry Breeders Limited	Nillambe Farm, Office Junction, Galaha	33 A - 0 R - 28.82 P	39,541,310
	Aswatta Farm, Kosgama	5 A - 3 R - 18.19 P	7,522,838
	Wewelpanawa Farm, Wewelpanawa	27 A - 3 R - 20.47 P	11,151,175
			58,215,323
Total			366,916,615

(e) Freehold Building Carried at Cost (Rs.):

Name of the Company	Location	Number of Buildings	Cost
Three Acre Farms PLC	Meegoda Farm, Meegoda	75	174,495,552
	Kosgama Farm, Aluthambalama, Kosgama	52	57,741,461
	Halwathura Farm, Halwathura	60	74,409,186
	Bulathsinhala Farm, Agaloya, Bulathsinhala	98	491,441,739
	Hijra Farm - A, Pagoda, Beruwala	76	223,545,413
	Hijra Farm - B, Beruwala	49	46,679,563
	Makuluwatta Farm, Waga	36	69,447,700
	Ittepana Farm,Ittepana	1	52,819,242
			1,190,579,856
Ceylon Pioneer Poultry Breeders Ltd	Nillambe Farm, Office Junction, Galaha	4	6,981,887
	Aswatta Farm, Kosgama	45	51,085,000
			58,066,887
Millennium Multibreeder Farms (Pvt) Ltd	Wewelpanawa Farm, Wewelpanawa	45	231,565,950
			231,565,950
Total			1,480,212,693

(f) Capital Work-in-Progress

Capital work-in-progress includes the construction of capital assets which mainly consists of buildings and plant and machinery.

(g) Capitalised borrowing costs

There were no capitalised borrowing costs related to the acquisition of property, plant and equipment during the year 2025 (2024- nil).

(h) Fully depreciated property, plant and equipment still in use:

	GROUP		COMPANY	
	2025	2024	2025	2024
Fully depreciated property, plant and equipment - still in use (Rs.)	928,114,502	926,697,266	926,697,266	779,466,201

(i) Property, plant and equipment pledged as security for liabilities

There were no items of property, plant and equipment pledged as securities for liabilities as at the reporting date.

(j) Title restriction on property, plant and equipment

There were no restrictions existed on the title of the property, plant and equipment of the Group as at the re-porting date.

(k) Temporarily idle property, plant and equipment

There was no temporarily idle property, plant and equipment as at the reporting date.

(l) Impairment of property, plant and equipment

The Group assessed for impairment indicators of assets at the end of reporting period and there were no indications observed.

11. INVESTMENT IN SUBSIDIARY COMPANIES

	GROUP		COMPANY	
As at 31 December	2025	2024	2025	2024
Balance as at 1 January (Rs.)	-	15,000,020	-	15,000,020
Provision for impairment of investment (Rs.)	-	(15,000,000)	-	(15,000,000)
Balance as at 31 December (Rs.)	-	20	-	20

Impairment in investment in subsidiary is pertaining to Ceylon Pioneer Poultry Breeders Limited.

Details of the companies incorporated in Sri Lanka, in which the Company held an interest of 50% or more are set out below:

Notes to the Financial Statements

All amounts in Sri Lankan Rupees thousands

11. INVESTMENT IN SUBSIDIARY COMPANIES (Contd.)

Proportion of value of ordinary shares held

Name of the Company	Operation	2025 % holding	2025 No. of Shares	2025 Cost (Rs.)	2024 % holding	2024 No. of Shares	2024 Cost (Rs.)
Ceylon Pioneer Poultry Breeders Limited	Rent out of Farms	100	1,500,000	15,000,000	100	1,500,000	15,000,000
Millennium Multibreeder Farms (Private) Limited	Poultry breeder farming and hatchery	100	2	20	100	2	20
			1,500,002	15,000,020		1,500,002	15,000,020

Principal activities of the Group's interest in subsidiaries are described in page 241.

All the above companies, the financial year of which end on 31 December are audited by KPMG.

12. BIOLOGICAL ASSETS

The movements of biological assets are given below:

As at 31 December	GROUP 2025	GROUP 2024	COMPANY 2025	COMPANY 2024
Fair value less cost to sell as at 1 January	1,069,494	748,171	866,881	638,813
Additions during the year	960,749	969,950	826,832	708,509
Usage of the year	(925,468)	(763,153)	(670,858)	(548,747)
Change in fair value less cost to sell	253,881	114,526	84,129	68,306
Fair value less cost to sell as at 31 December	1,358,656	1,069,494	1,106,984	866,881
Non-current	1,261,172	962,567	1,017,000	765,579
Current	97,484	106,927	89,984	101,302
	1,358,656	1,069,494	1,106,984	866,881

(a) Biological assets

A biological assets is a living animal. Biological assets consist of Grandparent and Parent livestock, used to breed Hatchable eggs, Commercial Day-Old Chicks (DOCs). Grandparent and Parent birds include the growing birds and the laying birds.

Biological assets - Non-current

Bearer biological assets are those other than consumable biological assets and recognised as "Biological assets - Non-current". Bearer biological assets are not agricultural produce but, rather, are self-generating. Grand parent and Parent livestock have been identified as bearer biological assets.

Biological assets - Current

Consumable biological assets are those that are to be harvested as agricultural produce or sold as biological assets. Hatching eggs and Commercial Day-Old Chicks have been identified as consumable biological assets.

(b) Measurement of fair value

(i) Fair value hierarchy

The fair value measurement of biological assets have been categorized as level 3 fair values based on the inputs to the valuation technique used.

(ii) Level 3 fair values

The following table shows a breakdown of the total losses recognised in respect of level 3 fair values.

	GROUP		COMPANY	
As at 31 December	**2025**	**2024**	**2025**	**2024**
Gain included in 'Other Operating Income'				
Biological assets - non-current	253,790	114,287	84,051	68,169
Biological assets - current	91	239	78	137
	253,881	114,526	84,129	68,306

(iii) Valuation technique and significant unobservable inputs

The following table shows the valuation technique used in measuring level 3 fair value as well as the significant unobservable inputs used.

Type	Valuation technique	Significant unobservable inputs	Inter-relationship between key unobservable inputs and fair value measurements
Biological assets	**Discounted cash flows**		**The FV will;**
Bearer biological assets comprises Broiler Grand parent, Broiler parent and Layer parent birds.	The valuation model considers the present value of the net cash flows expected to be generated by breeder farming. The expected net cash flows are discounted using a risk adjusted discount rate.	DOC yield	◈ increase when DOC yield increased ◈ decrease when DOC yield decreased
		DOC selling price	◈ increase when selling price increased ◈ decreased when selling price decreased
		Discounting rate	◈ increase when discounting rate decreased ◈ decreased when discounting rate increased
		Mortality	◈ increase when mortality rate decreased ◈ decreased when mortality rate increased

Consumable Biological Assets

Consumable biological assets comprise of Hatchable Eggs and Commercial Day- Old Chicks (DOCs). DOCs are fair valued at the market price and cost is approximated as fair value for Hatchable Eggs as no or only little biological change was observed as at the year end.

Notes to the Financial Statements

All amounts in Sri Lankan Rupees thousands

12. BIOLOGICAL ASSETS (Contd.)

(c) Risk management strategy related to the biological assets

(i) Regulatory and environmental risks

The Group is subject to laws and regulations in various countries in which it operates. The Group has established environmental policies and procedures aimed at compliance with local environmental and other laws.

(ii) Supply and demand risk

The Group is exposed to risks arising from fluctuations in the price and sales volume of DOC. When possible, the Group manages this risk by aligning its harvest volume to market supply and demand. Management performs regular industry trend analyses for projected harvest volumes and pricing.

(iii) Climate and other risks

The Group's biological assets are exposed to the risk of damage from climatic changes, diseases, and other natural forces. The Group has extensive processes in place aimed at monitoring and mitigating those risks, including regular health inspection, implementing disease control policies and procedures. The Group is also insured against natural disasters such as floods and hurricanes.

(d) None of the Biological assets are pledged as security for facilities obtained by the Group or the Company from banks as at 31 December 2025(2024 - Nil)

(e) There were no restrictions existed on the title of the Biological Assets of the Group as at the reporting date.

13. INVENTORIES

	GROUP		COMPANY	
As at 31 December	2025	2024	2025	2024
Raw materials and Consumables	350,339	291,257	321,001	258,774
Packing materials	11,283	12,856	7,426	7,852
Drugs and vaccine	47,803	65,575	40,644	55,109
Less: Provision for slow moving and obsolete items	(7,280)	(6,583)	(7,280)	(6,583)
Total inventories at the lower of cost and net realisable value	402,145	363,105	361,791	315,152

None of the inventories are pledged as security for facilities obtained by the Group or the Company from bank as at 31 December 2025.

14. TRADE AND OTHER RECEIVABLES

		GROUP		COMPANY	
As at 31 December	Notes	2025	2024	2025	2024
Trade debtors / (advances)		(63,293)	5,707	(70,454)	(4,861)
Less: Provision for doubtful debts		(3,088)	(3,088)	(3,088)	(3,088)
		(66,381)	2,619	(73,542)	(7,949)
Prepayments		6,456	4,380	5,457	3,541
Other receivables	14.1	309,390	122,663	297,846	119,912
		249,465	129,662	229,761	115,504

The movement in provision for doubtful debt is disclosed in Note 25.1 - Financial Instruments.

14.1 Other receivables

	GROUP		COMPANY	
As at 31 December	2025	2024	2025	2024
Deposit and advance	10,455	10,414	10,155	10,114
Interest receivables	173,993	-	170,955	-
Other receivables	124,942	112,249	116,736	109,798
	309,390	122,663	297,846	119,912

15. SHORT-TERM INVESTMENTS

	GROUP		COMPANY	
As at 31 December	2025	2024	2025	2024
Fixed deposits	-	7,488,913	-	6,751,580
	-	7,488,913	-	6,751,580

Short-term investment in fixed deposit is held with reputed commercial bank, which is rated 'A-' based on Fitch ratings.

16. CASH AND CASH EQUIVALENTS

	GROUP		COMPANY	
As at 31 December	2025	2024	2025	2024
Cash at bank	3,536,106	63,302	3,554,784	58,906
Cash in hand	1,054	1,157	954	1,056
Short term bank deposits	4,884,995	-	4,387,595	-
	8,422,155	64,459	7,943,333	59,962

Short-term deposits are measured at amortised cost and are expected to recovered through contractual cash flows.

The Group's weighted average effective interest rate on short-term bank deposits was on AWDR.

The cash and cash equivalents are held with reputed commercial banks and financial institutions counterparties, which are related "A" to "BBB-" based on Fitch ratings.

Bank overdrafts that are repayable on demand and forming an integral part of the Group's cash management as included as a component cash and cash equivalents for the purpose of the Statement of Cash Flows.

17. STATED CAPITAL

	COMPANY	
As at 31 December	2025	2024
Ordinary shares - issued and fully paid (Nos.)	23,545,000	23,545,000
Issued and fully paid (Rs.'000)	623,604	623,604

None of the shares are held either by the Company on its own or its subsidiaries.

The holders of ordinary shares are entitled to receive dividends as declared from time to time and are entitled to one vote per share individual present at meeting of the shareholders or one vote per share in the case of a poll.

Notes to the Financial Statements

All amounts in Sri Lankan Rupees thousands

18. DEFERRED TAXATION

The Management has measured the deferred tax assets and liabilities by applying the tax rates which have been enacted by the Inland Revenue Act No. 24 of 2017 and amendments thereto as at the end of the reporting period in accordance with LKAS-12 paragraph 46.

Deferred Tax Liabilities

Deferred tax assets and liabilities are offset when there is a legally enforceable right to offset current tax assets against tax liabilities and when the deferred income taxes relate to the same fiscal authority.

The gross movement on the deferred tax liability account is as follows:

	GROUP		COMPANY	
As at 31 December	**2025**	**2024**	**2025**	**2024**
Balance as at 1 January	372,560	373,710	268,914	299,641
Charge / (release) - recognised in Statement of Profit or Loss	63,887	2,563	54,376	(27,200)
Release - recognised in other Comprehensive Income	(1,331)	(3,713)	(1,331)	(3,527)
Balance As at 31 December	435,116	372,560	321,959	268,914

The deferred tax liability of the Group Companies have been computed by applying effective tax rate at the repoting date as follows:

As at 31 December	**2025**	**2024**
Three Acre Farms PLC	30%	30%
Millennium Multibreeder Farms (Private) Limited	30%	30%
Ceylon Pioneer Poultry Breeders Limited	30%	30%

The movement in deferred tax assets and liabilities during the year, without taking into consideration the offsetting of balances within the same tax jurisdiction is as follows:

GROUP	**2025**		**2024**	
As at 31 December	**Temporary difference**	**Tax effect on temporary difference**	**Temporary difference**	**Tax effect on temporary difference**
Property, plant and equipment	444,476	133,342	502,099	150,630
Biological assets - Non-current	1,261,172	378,352	962,567	288,770
Defined benefit obligation	(79,417)	(23,825)	(66,868)	(20,060)
Provision for slow moving and obsolete items	(7,280)	(2,184)	(6,583)	(1,975)
Provision for staff related expenses	(168,564)	(50,569)	(149,350)	(44,805)
	1,450,387	435,116	1,241,865	372,560

COMPANY	2025		2024	
As at 31 December	Temporary difference	Tax effect on temporary difference	Temporary difference	Tax effect on temporary difference
Property, plant and equipment	296,716	89,015	341,780	102,534
Biological assets - Non-current	1,017,000	305,100	765,579	229,674
Defined benefit obligation	(75,372)	(22,612)	(63,362)	(19,009)
Provision for slow moving and obsolete items	(7,280)	(2,184)	(6,583)	(1,975)
Provision for staff related expenses	(157,867)	(47,360)	(141,033)	(42,310)
	1,073,197	321,959	896,381	268,914

19. EMPLOYEE BENEFITS

Defined benefit obligation

	GROUP		COMPANY	
As at 31 December	2025	2024	2025	2024
Defined benefit obligation as at 1 January	66,868	44,985	63,362	42,535
Provisions made during the year	17,754	22,793	17,215	21,737
Benefits paid by the plan	(5,205)	(910)	(5,205)	(910)
Defined benefit obligation as at 31 December	79,417	66,868	75,372	63,362
Movement in the present value of the defined benefit obligation				
Defined benefit obligation at 1 January	66,868	44,985	63,362	42,535
Benefits paid by the plan	(5,205)	(910)	(5,205)	(910)
Current service costs	6,890	5,018	6,702	4,876
Interest on obligation	6,427	5,398	6,076	5,104
Actuarial gain during the year	4,437	12,377	4,437	11,757
Defined benefit obligation as at 31 December	79,417	66,868	75,372	63,362

Notes to the Financial Statements

All amounts in Sri Lankan Rupees thousands

19. EMPLOYEE BENEFITS (Contd.)

The amounts recognised in the Statement of Financial Position

	GROUP		COMPANY	
As at 31 December	**2025**	**2024**	**2025**	**2024**
Present value of unfunded obligation	79,417	66,868	75,372	63,362
Total present value of obligation	79,417	66,868	75,372	63,362
Expense recognised in the Statement of Profit or Loss				
Current service costs	6,890	5,018	6,702	4,876
Interest on obligation	6,427	5,398	6,076	5,104
	13,317	10,416	12,778	9,980
Expense recognised in the statement of Other Comprehensive Income				
Actuarial gain during the year	4,437	12,377	4,437	11,757
	4,437	12,377	4,437	11,757

The provision for retiring gratuity for the year is based on the acturaial valuation made on 31 December 2025.

The actuarial valuation was carried out by Acturial and Management Consultants (Private) Limited for retiring grauity for employees at 31 December 2025.

The liability was not externally funded.

Distribution of present value of defined benefit obligation in future years ;

	GROUP		COMPANY	
As at 31 December	**2025**	**2024**	**2025**	**2024**
Within the next 12 months	2,997	3,445	2,885	3,385
Between 2-5 years	25,335	12,141	23,958	11,953
Between 5-10 years	25,507	22,524	25,316	21,541
Beyond 10 years	25,578	28,758	23,213	26,483
	79,417	66,868	75,372	63,362

Actuarial assumptions

Principal actuarial assumptions at the reporting date (expressed as weighted averages):

As at 31 December	**2025**	**2024**
Discount rate	10%	10%
Future salary increases	10%	10%

Future mortality are based on published statistics and moratality tables.
The average life expectancy of an individual retiring at age 60.
Staff turnover sliding scale by the age of employee retiring from 14% - 1%
The average future working life time of an individual as per the assumptions made as at 31 December 2025 is 10.2 years.

Rate of discount

A long-term treasury bond rate of 10.00% p. a. (2024 - 10.00% p. a.) has been used to discount future liabilities taking into consideration the remaining working life of eligible employees.

Sensitivity analysis

Reasonably possible changes at the reporting date to one of the relevant actuarial assumptions, holding other assumptions constant, would have affected the defined benefit obligation by the amounts shown below.

	GROUP			
	2025		2024	
Movement by 1%	Increase	Decrease	Increase	Decrease
Discount Rate	(6,309)	7,250	(6,051)	7,051
Future salary scale	7,564	(6,687)	7,305	(6,367)

	COMPANY			
	2025		2024	
Movement by 1%	Increase	Decrease	Increase	Decrease
Discount Rate	(5,992)	6,895	(5,735)	6,694
Future salary scale	7,190	(6,348)	6,931	(6,031)

20. TRADE AND OTHER PAYABLES

		GROUP		COMPANY	
As at 31 December	Notes	2025	2024	2025	2024
Trade payables		162,638	121,914	141,084	88,533
Accrued expenses		272,584	269,958	157,913	158,225
Other payables	20.1	1,022,954	582,619	670,374	540,901
		1,458,176	974,491	969,371	787,659

20.1 Other payables

	GROUP		COMPANY	
As at 31 December	2025	2024	2025	2024
Deposit and advances	102,255	116,244	102,255	116,244
Government taxes	752,135	317,025	410,252	283,624
Staff related expenses	168,564	149,350	157,867	141,033
	1,022,954	582,619	670,374	540,901

Notes to the Financial Statements

All amounts in Sri Lankan Rupees thousands

21. AMOUNT DUE FROM / TO RELATED COMPANIES

21.1 Amount due from Related Companies

	GROUP		COMPANY	
As at 31 December	2025	2024	2025	2024
Ceylon Pioneer Poultry Breeders Limited	-	-	-	215,583
Ceylon Grain Elevators PLC	-	-	121,457	-
Hapiways Management Services Pte Ltd	1,666	1,573	1,666	1,573
	1,666	1,573	123,123	217,156
Less: Provision for receivables	-	-	-	(215,583)
	1,666	1,573	123,123	1,573

The provision has been made for receivables from Ceylon Pioneer Poultry Breeders Limited. The movement in provision for receivables disclosed in Note 24.1 - financial instruments.

21.2 Amount due to Related Companies

	GROUP		COMPANY	
As at 31 December	2025	2024	2025	2024
Ceylon Grain Elevators PLC	254,149	74,972	-	113,255
Ceylon Pioneer Poultry Breeders Limited	-	-	308	-
Ceylon Livestock and Agrobusiness Services (Private) Limited	-	28,266	-	22,504
Prima Scholarship Fund (Private) Ltd	501	-	501	-
Ceylon Agro-Industries (Private) Limited	310	38	310	38
Millennium Multibreeder Farms (Private) Limited	-	-	41,727	99,360
	254,960	103,276	42,846	235,157

Amount due to related companies is unsecured and has no fixed repayment terms. These need to be settled on demand.

22. CONTINGENT LIABILITIES

There were no other material contingent liabilities outstanding as at the reporting date that require adjustment in the Financial Statements other than disclosed below.

(a) Inter Company Employees Union Vs. CGE and Subsidiaries ('the Group') (Industrial Court Case No. A 3175, Supreme Court Case No. SC (SPL) LA 215/20)

Employees of CGE and subsidiary companies went on strike on 20 March 2006 and those who went on strike were terminated. The dispute was referred to the Commissioner of Labour and the reference was gazetted by the Minister dated 26 May 2006 referring the case for hearing at the Industrial Court.

At the Industrial Court the Group took up a preliminary objection that Composite reference is bad in law as they are separate legal entities and cannot be referred in one dispute.

The Industrial Court gave its verdict rejecting the preliminary objection and thereafter the Company made an appeal against the interim order in the Court of Appeal (CA/796/2007). Court of Appeal delivered its judgment on 18 May 2010 rejecting the appeal filed by the Group. Accordingly the case was taken up for hearing before the Industrial Court. After a lengthy trial at the Industrial Court, the Award was gazetted on 16 January 2018 directing the Group to reinstate the employees with back-wages.

The Company filed a Writ Application under case number CA (Writ) 134/18 in the Court of Appeal to quash the said award of the Industrial Court. On 2 September 2020 order of the Court of Appeal was delivered dismissing the above Writ Application filed by the Company.

Being aggravated by the said Court of Appeal decision the Company filed an Appeal under case No. SC (SPL) LA 215/20 in the Supreme Court. Consequent to a monetary settlement entered into between CGE, its subsidiary companies and the Inter Company Employee Union and on the basis that 171 employees have accepted the settlement, the said case was withdraw on the 23rd of September 2025.

(b) Inter Company Employees Union Vs. CGE and Global Engineering and Supplies (Industrial Court Case No. A/3174, Court of Appeal Writ No.: CA/W/659/2023)

Employees who worked under Labour Contractor, Global Engineering and Supplies were also involved in the strike. This case was also referred to the Commissioner of Labour and reference was gazetted by the Minister dated 26 May 2006 referring the case for hearing at the Industrial Court.

This dispute was referred as 'Non offer of employment'. Lawyers appearing for CGE took up an objection in the Industrial Court that there is no such dispute called 'Non offer of employment'. The Industrial Court in its preliminary order rejected the said objection and thereafter CGE made an appeal to the Court of Appeal. Court of Appeal delivered its judgment by rejecting the appeal filed by CGE and referring the case back to the Industrial Court for hearing.

While the matter was pending before the Industrial Court, one of the Arbitrators passed away in the year 2019 and as a result the proceedings were temporarily terminated until a new arbitrator is appointed.

However, Hon. Minister of Labour has withdrawn the said reference and referred the matter as a fresh dispute to Industrial Court in the case bearing No. A 44/2020. The Industrial Court was of the view that the Hon. Minister's withdrawal of the previous reference was wrong and the matter has been referred back to the Minister for a fresh decision. Thereafter, the Minister directed to continue with the original reference.

CGE raised objections challenging the jurisdiction of the newly formed Industrial Court to hear and determine the case. The Industrial Court by its letter dated 12 October 2023 informed CGE that the Industrial Court had overruled the objections of CGE and had assumed jurisdiction to continue with the case bearing No. A/3174.

CGE filed a Writ of Certiorari in the Court of Appeal bearing No. CA(W)659/2023 to quash the decision of the Industrial Court to proceed with the hearing. The Court of Appeal issued a Stay Order on the Industrial Court Preventing the Industrial Court from hearing the matter until the conclusion of the case. However, the parties there after entered in to a settlement and according the court of appeal case bearing No. CA (W) 659/2023 was withdrawn on the 19th of January 2026.

The Department of Labour will inform the parties of the next of Industrial Court case bearing No. A/ 3174 in due course.

23. COMMITMENTS

Capital commitments

There were no material capital commitments outstanding as at the reporting date.

Operating commitments

There were no material contractual commitments outstanding as at the reporting date.

Financial commitments

There were no financial commitments outstanding as at the reporting date.

24. FINANCIAL INSTRUMENTS

The Group has exposure to the following risks arising from financial instruments:

- Credit risk
- Liquidity risk
- Market risk.
  - i. Currency risk
  - ii. Interest rate risk
  - iii. Equity price risk

This note presents information about the Group's exposure to each of the above risks, the Group's objectives, policies and processes for measuring and managing risk, and the Group's management of capital.

Risk Management Framework

The Group's Board of Directors have overall responsibility for the establishment and oversight of the Group's risk management framework, developing and monitoring the Group's risk management policies and report regularly to the Board of Directors on its activities.

The Board of Directors of Three Acre Farms PLC, oversee how management monitors compliance with the Company's risk management policies and procedures, and reviews the adequacy of the risk management framework in relation to the risks faced by the Group. The Group Audit Committee assists the Board in its oversight role by internal audit which undertakes both regular and ad-hoc reviews of risk management policies and procedures and the results of which are reported to the Audit Committee.

Notes to the Financial Statements

All amounts in Sri Lankan Rupees thousands

24. FINANCIAL INSTRUMENTS (Contd.)

Financial Instruments - Statement of Financial Position

As at 31 December	Notes	GROUP 2025	GROUP 2024	COMPANY 2025	COMPANY 2024
Financial assets					
Measured at amortised cost					
Trade and other receivables	14	243,009	125,282	224,304	111,963
Amount due from related companies	21.1	1,666	1,573	123,123	1,573
Short-term investments	15	-	7,488,913	-	6,751,580
Cash and cash equivalents	16	8,422,155	64,459	7,943,333	59,962
Total		8,666,830	7,680,227	8,290,760	6,925,078
Financial liabilities					
Other financial liabilities					
Amount due to related companies	21.2	254,960	103,276	42,846	235,157
Trade and other payables	20	433,457	387,508	401,206	345,810
Total		688,417	490,784	444,052	580,967

Financial Instruments - Statement of Profit or Loss

As at 31 December	2025 Gain / income	2025 Losses / expenses	2024 Gain / income	2024 Losses / expenses
GROUP				
Interest bearing financial instruments	617,163	75	831,959	66
COMPANY				
Interest bearing financial instruments	530,085	75	797,342	66

24.1 Credit risk

Credit risk is the risk of financial loss to the Group, if a customer or counter-party to a financial instrument fails to meet its contractual obligations and arises principally from the Group's receivables from customers, placements with banking institutions and in government securities.

(a) Exposure to Credit Risk

The carrying amount of financial assets represents the maximum credit exposure. The maximum exposure to credit risk at the reporting date was:

As at 31 December	Notes	GROUP 2025	GROUP 2024	COMPANY 2025	COMPANY 2024
Amount due from related companies	21.1	1,666	1,573	123,123	1,573
Trade and other receivables	14	243,009	125,282	224,304	111,963
Short-term investments	15	-	7,488,913	-	6,751,580
Cash and cash equivalents	16	8,422,155	64,459	7,943,333	59,962
		8,666,830	7,680,227	8,290,760	6,925,078

(b) Impairment losses

(i) The ageing of trade and other receivables at the reporting date was:

As at 31 December	2025		2024	
GROUP	**Gross**	**Impairment**	**Gross**	**Impairment**
Not past due	243,009	-	125,282	-
Over 365	3,088	3,088	3,088	3,088
	246,097	3,088	128,370	3,088

As at 31 December	2025		2024	
COMPANY	**Gross**	**Impairment**	**Gross**	**Impairment**
Not past due	224,304	-	111,963	-
Over 365	3,088	3,088	3,088	3,088
	227,392	3,088	115,051	3,088

The movement in the allowance for impairment in respect of loans and receivables during the year was as follows;

	GROUP		COMPANY	
As at 31 December	**2025**	**2024**	**2025**	**2024**
Balance as at 1 January	3,088	3,088	3,088	3,088
Impairment provision	-	-	-	-
Balance as at 31 December	3,088	3,088	3,088	3,088

Impairment of trade and other receivables for year 2025 and 2024 has calculated based on 'Expected Credit Loss' (ECL) model.

(ii) The ageing of amount due from related companies at the reporting date was:

As at 31 December	2025		2024	
GROUP	**Gross**	**Impairment**	**Gross**	**Impairment**
Not past due	1,666	-	1,573	-
Over 365	-	-	-	-
	1,666	-	1,573	-

As at 31 December	2025		2024	
COMPANY	**Gross**	**Impairment**	**Gross**	**Impairment**
Not past due	123,123	-	1,573	-
Over 365	-	-	215,583	215,583
	123,123	-	217,156	215,583

Notes to the Financial Statements

All amounts in Sri Lankan Rupees thousands

24. FINANCIAL INSTRUMENTS (Contd.)

The movement in the allowance for impairment in respect of amounts due from related companies during the year was as follows;

	GROUP		COMPANY	
As at 31 December	2025	2024	2025	2024
Balance as at 1 January	-	-	215,583	214,524
Impairment provision for the year	-	-	(215,583)	1,059
Balance as at 31 December	-	-	-	215,583

Based on historic default rates, the Group believe that, apart from the above, no impairment allowance is necessary in respect of trade receivables and amount due from related companies.

24.2 Liquidity Risk

Liquidity risk is the risk that the Group will encounter difficulty in meeting the obligation associated with its financial liabilities that are settled by delivering cash or another financial asset.

To measure and mitigate liquidity risk, Group will closely monitor its net operating cash flow, maintained a level of cash and cash equivalent and secured committed funding facilities from financial institutions.

The following are the contractual maturities of financial liabilities, including estimated interest payments and excluding the impact of netting agreements:

As at December 2025 GROUP	Carrying amount	Contractual cash flows	Less than 6 months	6 - 12 months	1 - 2 years	2 - 5 Years	More than 5 years
Non-derivative financial liabilities							
Trade and other payables	433,457	(433,457)	(433,457)	-	-	-	-
Amount due to related companies	254,960	(254,960)	(254,960)	-	-	-	-
	688,417	(688,417)	(688,417)	-	-	-	-

As at December 2025 COMPANY	Carrying amount	Contractual cash flows	Less than 6 months	6 - 12 months	1 - 2 years	2 - 5 Years	More than 5 years
Non-derivative financial liabilities							
Trade and other payables	401,206	(401,206)	(401,206)	-	-	-	-
Amount due to related companies	42,846	(42,846)	(42,846)	-	-	-	-
	444,052	(444,052)	(444,052)	-	-	-	-

As at December 2024 GROUP	Carrying amount	Contractual cash flows	Less than 6 months	6 - 12 months	1 - 2 years	2 - 5 Years	More than 5 years
Non-derivative financial liabilities							
Trade and other payables	387,508	(387,508)	(387,508)	-	-	-	-
Amount due to related companies	103,276	(103,276)	(103,276)	-	-	-	-
	490,784	(490,784)	(490,784)	-	-	-	-

As at December 2024 COMPANY	Carrying amount	Contractual cash flows	Less than 6 months	6 - 12 months	1 - 2 years	2 - 5 Years	More than 5 years
Non-derivative financial liabilities							
Trade and other payables	345,810	(345,810)	(345,810)	-	-	-	-
Amount due to related companies	235,157	(235,157)	(235,157)	-	-	-	-
	580,967	(580,967)	(580,967)	-	-	-	-

24.3 Market risk

Market risk is the risk that changes in market prices, such as foreign exchange rates and interest rates affecting to the Group's income or the value of its holding of financial instruments. The objective of market risk management is to manage and control market risk exposures within acceptable parameters, while optimising the return.

Market risk comprise of the following types of risk:

- Currency Risk
- Interest Rate Risk
- Equity Price Risk

Currency risk

The risk that the fair value or future cash flows of a financial instrument fluctuation due to changes in foreign exchange rates. The Group is exposed to currency risk on sales, purchase and investments that are denominated in a currency other than functional currency which is Sri Lankan Rupees (LKR).

Exposure to Currency Risk

The Group's exposure to foreign currency risk was as follows based on notional amounts:

As at 31 December	2025		2024	
GROUP	**USD**	**EUR**	**USD**	**EUR**
Trade receivable / (payables)	129,125	7,537	63,169	-
Cash and cash equivalents	104,579	-	273,409	-
Total Exposure	233,704	7,537	336,578	-

As at 31 December	2025		2024	
COMPANY	**USD**	**EUR**	**USD**	**EUR**
Trade receivable / (payables)	129,125	7,537	63,169	-
Cash and cash equivalents	104,579	-	273,409	-
Total Exposure	203,704	7,537	336,578	-

The principal exchange rates used by the Group for conversion of foreign currency balances and transactions for the year ended 31 December are as follows;

Notes to the Financial Statements

All amounts in Sri Lankan Rupees thousands

24. FINANCIAL INSTRUMENTS (Contd.)

As at 31 December	Average Rate		Reporting date spot Rate	
	2025	2024	2025	2024
USD	300.95	302.12	309.99	292.58
EUR	340.59	327.05	363.96	304.56

Foreign currency sensitivity

Group

The impact to the profit and loss based on the appreciation / depreciation of the Sri Lankan Rupee by 1% against the USD, due to the USD denominated trade payables and cash and cash equivalents as follows;

31 December 2025	Change in USD / LKR by 1% (Rs. '000)			
	GROUP		COMPANY	
	Appreciation	Depreciation	Appreciation	Depreciation
Trade receivable / (payables)	(3,963)	3,963	(3,963)	3.963
Cash and cash equivalents	(3,210)	3,210	(3,210)	3,210

Interest Rate Risk

Interest rate risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market interest rates.

The Group is exposed to the risk of changes in market interest rates relates primarily to the Group's Investments with variable interest rates. The Group does not have any variable rate long term borrowing as at the reporting date, which results material interest rate.

At the reporting date the interest rate profile of the Group's interest bearing financial instruments was:

Carrying amount	GROUP		COMPANY	
As at 31 December	2025	2024	2025	2024
Fixed Rate Instruments				
Financial assets	4,884,995	7,488,913	4,387,595	6,751,580
Financial liabilities	-	-	-	-
	4,884,995	7,488,913	4,387,595	6,751,580
Variable Rate Instruments				
Financial assets	-	-	-	-
Financial liabilities	-	-	-	-
	-	-	-	-

Interest rate sensitivity

At the reporting date the interest rate sensitivity analysis of the Group is as follows

	GROUP		COMPANY	
	+1%	- 1%	+1%	- 1%
Cash at bank	35,361	(35,361)	35,548	(35,548)

Equity Price Risk

The Group has adopted the policy that its investment in subsidiaries are recorded at cost as per LKAS 27 and 28 standards and therefore are scoped out from the Sri Lanka Accounting Standards, SLFRS 9 - Financial Instruments.

A sensitivity analysis of the above has not been carried out as the Group's exposure to such is not material.

24.4 Capital management

The Board's policy is to maintain a strong capital base so as to maintain investor, creditor and market confidence and sustain future development of the business. Capital consist of ordinary share, retained earnings and non controlling interest of the group. The Board of Directors monitors the return on capital as well as the level of dividends to ordinary share holders.

25. RELATED PARTY TRANSACTIONS

25.1 Parent and ultimate controlling party

The immediate Parent Company of the Group is Ceylon Grain Elevators PLC and the Ultimate controlling party is Prima Limited, Singapore.

25.2 Key management personnel

Key management personnel(KMP) are those persons having authority and responsibility for planning, directing and controlling the activities of the Company as well as the subsidiaries, directly or indirectly. All the members of the Board of Directors of the Company have been classified as KMP of the Company. Directors of the Company and their immediate relatives do not have significant shareholding as at 31 December 2025.

Compensation paid to / on behalf of Key Management Personnel of the Company is as follows:

	GROUP		COMPANY	
As at 31 December	**2025**	**2024**	**2025**	**2024**
Short-term employee benefits	3,600	3,600	3,600	3,600
Post employment benefits	-	-	-	-
Sale of goods	-	-	-	-
Total	3,600	3,600	3,600	3,600

There were no loans given to the Directors of the company during the financial year or as at the reporting date.

25.3 Transactions, arrangements and agreements involving KMP and their Close Family Members (CFM)

The Company confirms that there were no transactions, arrangements, or agreements entered into with Key Management Personnel (KMP) or their Close Family Members (CFM) during the financial year that could materially influence the financial or operating decisions of the Company.

	GROUP		COMPANY	
As at 31 December	**2025**	**2024**	**2025**	**2024**
Close Familiy Members of KMP				
Sale of Goods	-	-	-	-
Total	-	-	-	-

25.4 Related party relationship with its subsidiaries, associates and related group companies

Mr. Wickrema Senaka Weerasooria, Mr. Cheng Chih Kwong, Mr. Bernard Cheng Koh Chuen, Mr. Sunil Leeniyagoda, Mr. Timothy Allan Brent Speldewinde and Mr. Indrajit Asela Wickramasinghe the Directors are also Directors of the following companies as set out below and with transactions in Note 25.5 Related Party Transaction have been carried out.

Notes to the Financial Statements

All amounts in Sri Lankan Rupees thousands

25. RELATED PARTY TRANSACTIONS (Contd.)

Name of the related party	Name of the Director	Nature of transaction
Ceylon Pioneer Poultry Breeders Limited (CPPBL) Subsidiary Company	Mr. Cheng Chih Kwong Mr. Sunil Leeniyagoda	CPPBL rents out the farms to the Company.
Millennium Multibreeder Farms (Private) Limited (MMF) Subsidiary Company	Mr. Cheng Chih Kwong Mr. Sunil Leeniyagoda	MMF provides hatchery services to the Company. Also, the Company sells Parent stock DOCs to MMF.
Ceylon Grain Elevators PLC (CGE) Parent Company	Mr. Wickrema Senaka Weerasooria Mr. Cheng Chih Kwong Mr. Bernard Cheng Koh Chuen Mr. Indrajit Asela Wickramasinghe Mr. Timothy Allan Brent Speldewinde	CGE sells feeds, veterinary drugs and medicines to the Company. And also, CGE provides lab services, management services fees, and rent out Attanagalla farm to the Company. The Company sells broiler DOCs, broiler live birds and culled birds to CGE.
Ceylon Livestock and Agro-business Services (Private) Limited (CLAS) Group Company	Mr. Cheng Chih Kwong Mr. Sunil Leeniyagoda	CLAS supplies poultry equipment to the Company.
Hapiways Management Services Pte Limited (HMS) Group Company	Mr. Cheng Chih Kwong	HMS supplies materials and spare parts to the Company.
Ceylon Agro-Industries Limited (CAI) Group Company	Mr. Wickrema Senaka Weerasooria Mr. Cheng Chih Kwong Mr. Bernard Cheng Koh Chuen	CAI supplies Value added Products (VAP) items for the Company.
Prima Scholarship Fund (Private) Limited (PSF) Group Company	Mr. Cheng Chih Kwong Mr. Bernard Cheng Koh Chuen	PSF maintain a fund on behalf of Group of Companies, with the purpose of providing higher education scholarships for employees' children.

25.5 Recurrent related party transactions

The Company has a related party relationship with its subsidiaries, associates and related group companies as disclosed in note number 25.4- Key Management Personnel.

Companies within the Group engage in trading transactions. The following transactions were carried out with related parties during the year ended 31 December 2025.

(a) Transaction with Subsidiaries

For the year ended 31 December COMPANY	MMF		CPPBL		2025	2024
	Value	%	Value	%	Total	Total
Sale of goods	138,251	2.8%	-	-	138,251	145,909
Purchase of goods	7,287	0.1%	-	-	7,287	16,318
Purchase of service	7,492	0.2%	4,200	0.1%	11,692	12,346
Sale of Services	-	-	-	-	-	484
Recovery of expenses	40,398		-		40,398	13,782
Settlement of third party dues	188,018		2,576		190,593	132,979
Interest Income	974		-		974	-
Interest Expenses	1,414		-		1,414	60,027
Funds Received	257,072		214,687		471,759	319,094

(b) Transaction with Immediate Parent

For the year ended 31 December Group	2025		2024
	Value	%	Total
Sale of goods	1,750,435	28.2%	1,803,997
Purchase of goods	2,310,585	37.3%	2,900,823
Purchase of service	30,893	0.5%	22,922
Sale of Services	1,322,566	21.3%	1,227,154
Reimbursement of expenses	400,645		205,833
Settlement of third party dues	36,279		227,204
Interest Income	17,874		134,113
Interest Expenses	8,061		-
Funds received/(paid)	624,851		(1,173,874)

(c) Transaction with Immediate Parent

For the year ended 31 December Company	2025		2024
	Value	%	Total
Sale of goods	1,268,248	25.5%	1,254,846
Purchase of goods	1,693,662	34.1%	2,114,006
Purchase of service	25,076	0.5%	18,550
Sale of Services	1,322,566	26.6%	1,227,154
Reimbursement of expenses	371,173	-	184,416
Settlement of third party dues	33,987	-	221,129
Interest Income	7,827	-	100,085
Interest Expenses	6,124	-	-
Funds received	400,305	-	1,440,583

Notes to the Financial Statements

All amounts in Sri Lankan Rupees thousands

25. RELATED PARTY TRANSACTIONS (Contd.)

(d) Transaction with other Related Parties

Group	CLAS		HMS		CAI		PSF		2025	2024
	Value	%	Value	%	Value	%	Value	%	Total	Total
Sale of goods	-	-	-	-	-	-	-	-	-	-
Purchase of goods	-	-	-	-	2,170	0.0%	-	-	2,170	13,167
Interest expenses	452	-	-	-	-	-	-	-	452	1,222
Interest expenses	-	-	-	-	-	-	(501)	-	(501)	-
Funds received / (paid)	(22,955)	-	-	-	(2,289)	-	-	-	(25,244)	1,336

(e) Transaction with other Related Parties

Company	CLAS		HMS		CAI		PSF		2025	2024
	Value	%	Value	%	Value	%	Value	%	Total	Total
Sale of goods	-	-	-	-	-		-	-	-	-
Purchase of goods	-	-	-	-	2,170	0.0%	-	-	2,170	13,167
Interest expenses	452	-	-	-	-	-	-	-	452	1,222
Interest expenses	-	-	-	-	-	-	(501)	-	(501)	-
Funds received / (paid)	(22,955)	-	-	-	(2,289)	-	-	-	(25,244)	1,336

"Value " represents the aggregate transaction value with same related company during the period.

"% " represent the aggregate transaction value as a previous year percentage of gross revenue/income as per the listing rules of the CSE .

(f) The receivables from related companies and payables to related companies on sale / purchase of goods / services are set out in Note 25.

(g) Any interest payable on the financial facility provided by each party to the other shall be subject to an interest calculated at the prevailing Average Weighted Lending Rate ("AWLR") published by the Central Bank of Sri Lanka

(h) The interest calculated as provided herein shall not be subject to Value Added Tax (VAT), Social Security Contribution Levy (SSCL), Withholding Tax (WHT) imposed by the Government of Sri Lanka.

25.6 Related party transactions - non-recurrent

There were no non-recurrent related party transactions of which the aggregate value exceeds 10% of the equity or 5% of the total assets whichever is lower of the Group's Consolidated Audited Financial Statements as at 31st December 2025 , which requires additional disclosures in this Annual Report under Colombo Stock Exchange Listing Rule 9.3.2 and Code of Best Practices on Related Party Transactions under the Securities and Exchange Commission Directive issued under Section 13(c) of the Securities and Exchange Commission Act.

25.7 Terms and conditions of transactions with related parties

All related party transactions are carried out in the normal course of business. All related party outstanding balances at the year-end are unsecured and are to be settled in cash. The Group does not have any material commitments to related parties.

26. EVENTS AFTER THE REPORTING PERIOD

There are no events which require adjustment to, or disclosure in the Financial Statements except for the followings;

(i) Subsequent to the initial publication made on 12 November 2025, both Ceylon Pioneer Poultry Breeders Limited and Millennium Multibreeder Farms (Pvt) Limited (a fully owned subsidiary of the Company) were successfully amalgamated with effect from 1 January 2026.

(ii) The Directors declared a Final Dividend of Rs. 40.00 per share for the year ended 31 December 2025 on 28 January 2026 which was paid on 26 February 2026.

27. DIRECTORS' RESPONSIBILITY

The Board of Directors are responsible for the preparation and fair presentation of the Financial Statements.

28. NET ASSETS PER SHARE

	GROUP		COMPANY	
As at 31 December	**2025**	**2024**	**2025**	**2024**
Net assets attributable to ordinary shareholders	9,582,160	8,751,759	9,511,825	7,683,043
Weighted average number of ordinary shares in issue (thousands)	23,545	23,545	23,545	23,545
Net assets per share (Rs.)	406.97	371.70	403.98	326.31

29. DIVIDEND PER SHARE

	COMPANY	
For the year ended 31 December	**2025**	**2024**
Interim dividend	-	588,625
Final dividend	941,800	706,350
Total dividend	941,800	1,294,975
Weighted average number of ordinary shares in issue (thousands)	23,545	23,545
Dividend per share (Rs.)	40.00	55.00

*Current years' final dividend will be paid in the next financial year.

30. COMPARATIVE INFORMATION

The presentation and classification of the financial statements of the previous period have been adjusted where relevant, for better presentation and to be comparable with current reporting.

Five-Year Financial Summary

All amounts in Sri Lankan Rupees thousands

For the year ended 31 December GROUP	2025	2024	2023	2022	2021
Operating Results for the Period 31 December					
Revenue	6,177,126	6,197,882	11,120,835	8,317,005	4,869,959
Operating profit	1,857,391	1,496,489	2,251,897	619,973	654,428
Net finance income	613,793	823,214	508,417	287,849	190,539
Profit before tax	2,471,184	2,319,703	2,760,314	907,822	844,967
Taxation	(931,327)	(618,441)	(256,545)	(248,775)	113,154
Profit attributable to the Group	1,539,857	1,701,262	2,503,769	659,047	958,121
Financial Position as At 31 December					
Stated capital	623,604	623,604	623,604	623,604	623,604
Retained earnings	8,958,556	8,128,155	7,400,902	5,185,629	4,757,101
Non-current liabilities	514,533	439,428	418,695	359,698	198,014
	10,096,693	9,191,187	8,443,201	6,168,931	5,578,719
Property, plant and equipment	1,375,742	1,151,748	1,240,217	1,285,852	1,217,550
Right-of-use asset	-	-	-	2,381	4,763
Biological assets - non-current	1,261,172	962,567	663,266	516,470	540,229
Current assets	9,172,915	8,154,639	7,512,017	5,188,346	4,514,837
Current liabilities	(1,713,136)	(1,077,767)	(972,299)	(824,118)	(698,660)
	10,096,693	9,191,187	8,443,201	6,168,931	5,578,719

For the year ended 31 December COMPANY	2025	2024	2023	2022	2021
Key Ratios and other Information					
Earnings per share (Rs.)	107.80	61.92	111.53	23.44	37.25
Dividend per share (Rs.)	40.00	55.00	28.00	-	10.00
Dividend pay out ratio (%)	37.10	88.82	22..42	-	26.85
Market price per share (Rs.)	592.25	298.25	232.00	124.75	300.25
Price earnings ratio (No. of times)	5.49	4.82	2.08	5.32	8.06
Net assets per share (Rs.)	403.98	326.31	305.74	206.45	192.82
Current ratio (No. of times)	8.64	7.18	8.35	6.79	7.59
Shares traded volume	6,715,089	3,147,094	4,544,306	3,096,565	8,501,356
US $ Exchange rate - (average)	300.74	302.12	327.53	337.02	198.88
US $ Exchange rate - (year end spot)	306.90	292.58	323.92	372.00	203.00

Statement of Value Added

All amounts in Sri Lankan Rupees thousands

GRI 201-1

For the year ended 31 December	2025	2024	2023	2022	2021
Value customers					
Gross revenue	7,393,702	7,403,429	12,967,099	9,328,610	5,251,266
Less: Purchase of goods and services	(3,381,589)	(3,842,077)	(8,107,761)	(7,189,735)	(3,451,111)
	4,012,113	3,561,352	4,859,338	2,138,875	1,800,155
Add: Other operating income / (expenses)	11,025	8,035	12,760	14,178	(2,506)
Add: Interest income	617,163	831,959	507,060	293,917	161,725
Total value added by the Group	4,640,301	4,401,346	5,379,158	2,446,970	1,959,369

	2025	%	2024	%	2023	%	2022	%	2021	%
To employees										
As staff expenses	888,212	19.14	774,859	17.61	717,370	13.34	600,910	24.57	483,801	24.69
To the government										
As current taxes	867,440	18.69	615,878	13.99	211,587	3.93	85,424	3.49	46,865	2.39
As revenue taxes	1,216,576	26.22	1,205,547	27.39	1,846,264	34.32	1,011,625	41.34	381,307	19.46
To providers of capital										
As Interests	8,705	0.19	1,972	0.04	427	0.01	70	0.00	210	0.01
To shareholders										
As Dividends	941,800	20.30	1,294,975	29.42	659,260	12.26	-	-	235,450	12.02
Retained to growth										
As Depreciation	122,617	2.64	110,492	2.51	105,697	1.96	84,963	3.47	82,002	4.19
As Reserves	394,951	12.82	397,623	9.03	1,838,553	34.18	663,978	27.13	729,734	37.24
	4,640,301	100.00	4,401,346	100.00	5,379,158	100.000	2,446,970	100.00	1,959,369	100.00

Shareholder Information

Analysis of Shareholders According to The Number of Shares as at 31 December 2025

Shareholdings	Resident			Non Resident			Total		
	Number of Shareholders	Number of Shares	Percentage	Number of Shareholders	Number of Shares	Percentage	Number of Shareholders	Number of Shares	Percentage
01 - 1,000	2,738	427,368	1.82	21	5,113	0.02	2,759	432,481	1.84
1,001 - 10,000	377	1,131,481	4.81	10	37,815	0.16	387	1,169,296	4.97
10,001 - 100,000	70	2,192,136	9.31	2	73,093	0.31	72	2,265,229	9.62
100,001 - 1,000,000	9	1,485,812	6.31	3	1,189,611	5.05	12	2,675,423	11.36
Over 1,000,000	1	13,469,980	57.21	1	3,532,627	15.00	2	17,002,607	72.21
	3,195	18,706,777	79.46	37	4,838,259	20.54	3,232	23,545,036	100.00

Categories of shareholders as at 31 December

	2025			2024		
	Number of shareholders	Number of ordinary shares	Precentage	Number of shareholders	Number of ordinary shares	Precentage
Individual	3,058	3,121,059	13.26	2,746	2,651,862	11.26
Institutional	174	20,423,941	86.74	132	20,893,138	88.74
	3,232	23,545,000	100.00	2,878	23,545,000	100.00
Less: Shares hed by non-public holders						
Immediate parent company	(1)	(13,469,980)	(57.21)	(1)	(13,469,980)	(57.21)
Ultimate parent company	(1)	(3,532,627)	(15.00)	(1)	(3,532,627)	(15.00)
Directors	(2)	(2,019)	(0.01)	(2)	(2,019)	(0.01)
	(4)	(17,004,626)	(72.22)	(4)	(17,004,626)	(72.22)
Total repesenting the public holding	3,228	6,540,374	27.78	2,874	6,540,374	27.78

Float Adjusted Market Capitalisation

The float adjusted market capitalisation as at 31 December 2025 was Rs.3,873.8 Mn under Option 5 of Section 7.14.1 (a) of the Listing Rules of the Colombo Stock Exchange and the Company has complied with the minimum public holding requirement applicable under the said option.

List of 20 Major Shareholders Based on their Shareholdings

	31 December 2025		31 December 2024	
	Number of Shares	Percentage %	Number of Shares	Percentage %
Ceylon Grain Elevators PLC	13,469,980	57.21	13,469,980	57.21
Prima Limited, Singapore	3,532,627	15	3,532,627	15.00
UBS Switzerland AG -Kershaw Property Holding Inc.	617,360	2.62	617,360	2.62
Eka Limited	313,262	1.33	408,500	1.74
Supra Limited, Hong Kong	258,989	1.1	313,262	1.33
Deutsche Bank AG - National Equity Fund	223,149	0.95	300,000	1.27
Mrs. P. Wijaya / Mr. P. Ramesh & Mrs. D. Ramesh	215,000	0.91	268,221	1.14
People's Leasing & Finance PLC / Mr. I. D. R. Perera	188,405	0.8	258,989	1.10
Mr. G. B. D. Thilakarathne	156,917	0.67	198,149	0.84
Mr. O. Senanayake / Mr. D. R. Peiris & Mr.S. P. Perera	154,449	0.66	175,001	0.74
Employees Trust Fund Board	154,173	0.66	173,860	0.74
Mr. M. N. Singa Laxana	151,171	0.64	153,545	0.65
Dialog Finance PLC / J. K. D. Jayatillake & A. Jayatillake	140,981	0.6	150,397	0.64
Ranavav Holdings (Pvt) Ltd	101,567	0.43	144,596	0.62
Commercial Bank of Ceylon PLC / H. G. Balasuriya	100,000	0.42	113,210	0.48
People's Leasing & Finance PLC / S. P. Perera	100,000	0.42	101,902	0.43
Mrs. S. Vasudevan & Mr.S. Vasudevan	100,000	0.42	94,139	0.40
Mr.J. H. Leanage	86,767	0.37	76,399	0.33
Mr.A. S. Ratnayake	83,139	0.36	69,908	0.30
Mrs.D. M. Fernando	69,908	0.3	67,803	0.29
Total	20,217,844	85.87	20,687,848	87.87
Others	3,327,156	14.13	2,857,152	12.13
Total Shareholding	23,545,000	100.00	23,545,000	100.00

Glossary of Financial Terminology

A

ACCRUAL BASIS

Recording Revenues and Expenses in the period in which they are earned or incurred regardless of whether cash is received or disbursed in that period.

AMORTISATION

The systematic allocation of the depreciable amount of an asset over its useful life.

ASSET TURNOVER

Revenue including equity accounted investees divided by average total assets.

AVERAGE REVENUE PER EMPLOYEE

Net Turnover over number of employees at the year end.

AVERAGE PROFIT PER EMPLOYEE

Net Profit after Tax over number of employees at the year end.

C

CAPITAL EMPLOYED

Shareholders' Funds plus Debt.

CASH RATIO

Cash and Cash Equivalents over Current Liabilities.

CAPITAL EXPENDITURE

The total of additions to Property, Plant and Equipment.

CONTINGENT LIABILITIES

A condition or situation existing at the end of the reporting period due to past events, where the financial effect is not recognised because:

1. The obligation is crystallised by the occurrence or non-occurrence of one or more future events or,
2. A probable outflow of economic resources is not expected or,
3. It is unable to be measured with sufficient reliability.

CURRENT RATIO

Current Assets over Current Liabilities.

CURRENT SERVICE COST

Is the increase in the present value of the defined benefit obligations resulting from employee service in the current period.

D

DEBT / EQUITY RATIO (GEARING)

Debt as a percentage of Shareholders' Funds.

DIVIDEND COVER

Earnings Per Share over Dividend Per Share.

DIVIDEND PAYOUT RATIO

Total Dividend as a percentage of Company Profits.

DIVIDEND YIELD

Dividend per share as a percentage of market price of share at the end of the period.

E

EBIT MARGIN

Earnings Before Interest and Taxes to Revenue.

EBITDA

Profit after Operating expenses, plus Depreciation and Amortisation

EARNINGS PER SHARE (EPS)

Profit after tax attributable to Ordinary Shareholders over weighted average number of shares in issue during the period.

ENTERPRISE VALUE

Market capitalisation plus debt minus total cash and cash equivalents.

EARNINGS YIELD

Earnings Per Share as a percentage of Market Price Per Share at the end of the period.

EFFECTIVE RATE OF TAXATION

Income Tax including Deferred tax over Profit Before Tax.

EQUITY MULTIPLIER

Total Assets over Shareholders' Funds.

G

GROSS PROFIT RATIO

Gross profit divided by Revenue.

GEARING

Proportion of total interest bearing borrowings to capital employed.

I

INTEREST COVER

Profit Before Interest and Tax over Finance Expenses.

M

MARKET CAPITALISATION

Number of Shares in issue at the end the of period multiplied by the share price at end of the period.

N

NET ASSETS

Total Assets minus Current Liabilities minus Long Term Liabilities.

NET ASSET PER SHARE

Net Assets divided by number of Ordinary Shares in issue at the end of the period.

NET DEBT

Debt minus Cash and Short Term Deposits.

NET PROFIT MARGIN

Profit after tax attributable to equity holders of the parent divided by total revenue.

O

OPERATING PROFIT MARGIN

Operating profit divided by Turnover.

P

PAST SERVICE COST

Is the change in the present value of the defined benefit obligation for employee service in prior, resulting from a plan amendment or a curtailment.

PRICE EARNINGS RATIO

Market Price of Share over Earnings per Share.

Q

QUICK RATIO

Cash plus Short Term Investments plus Receivables over Current Liabilities.

R

RETURN ON ASSETS

Profit after Tax over Average Total Assets.

RETURN ON CAPITAL EMPLOYED

Earnings before interest and tax as a percentage of average of shareholders' funds plus total debt.

RETURN ON EQUITY

Consolidated Profit after Tax as a Percentage of Average Shareholders' Funds.

RELATED PARTIES

Parties where one party has the ability to control the other party or exercise significance influence over the other party in making financial or operational decisions, directly or indirectly.

S

SHAREHOLDERS' FUND

Stated Capital, Capital Reserves and Revenue Reserves.

SHAREHOLDERS' EQUITY RATIO

Total Equity divided by Total Assets.

T

TOTAL ASSETS

Non-Current Assets plus Current Assets.

TOTAL DEBT

Long Term Loans plus Short Term Loans and Overdraft.

TOTAL DEBT / TOTAL ASSETS

Total Debt divided by Total Assets.

TOTAL VALUE ADDED

The difference between Revenue (including Other Income) and Expenses, Cost of Materials and services purchased from External Sources.

W

WORKING CAPITAL

Capital required to finance the day-to-day operations (Current Assets minus Current Liabilities)

Notice of Meeting

NOTICE IS HEREBY GIVEN that the 64th Annual General Meeting of the Company will be held on Wednesday, 27 May 2026 at the Sri Lanka Foundation Institute, No. 100, Sri Lanka Padanama Mawatha, Independence Square, Colombo 07 at 10.00 a.m. and the business to be brought before the Meeting will be:

Ordinary Business

1. To receive and consider the Report of the Board of Directors on the State of Affairs of the Company and the Financial Statements for the year ended 31 December 2025, with the Report of the Auditors' thereon.

2. To re-elect Mr. Indrajit Asela Wickramasinghe, Director who retires by rotation at the Annual General Meeting in terms of Article 87 of the Articles of Association of the Company.

3. To consider and if thought fit to pass the following Ordinary Resolution pertaining to the re-appointment of Mr. Cheng Chih Kwong as a Director who is over 70 years of age, in compliance with Section 211 of the Companies Act No.7 of 2007 and whose re-appointment has been recommended by the Board of Directors.

Ordinary Resolution

"That the age limit of 70 years referred to in Section 210 of the Companies Act, No.7 of 2007 shall not apply to Mr. Cheng Chih Kwong, a Director, who is 77 years of age (having reached 70 years of age on 30 November 2018) and accordingly that Mr. Cheng Chih Kwong be and is hereby re-appointed as a Director of the Company in terms of Section 211 of the Companies Act No.7 of 2007".

4. To consider and if thought fit to pass the following Ordinary Resolution pertaining to the re-appointment of Mr. Sunil Leeniyagoda, a Director who is over 70 years of age, in compliance with Section 211 of the Companies Act No. 7 of 2007 and whose re-appointment has been recommended by the Board of Directors.

Ordinary Resolution

"That the age limit of 70 years referred to in Section 210 of the Companies Act, No.7 of 2007 shall not apply to Mr. Sunil Leeniyagoda, a Director, who is 72 years of age (having reached 70 years of age on 24 January 2024) and accordingly that Mr. Sunil Leeniyagoda, be and is hereby re-appointed as a Director of the Company in terms of Section 211 of the Companies Act No.7 of 2007".

5. To re-appoint Messrs KPMG, Chartered Accountants as Auditors and to authorise the Directors to determine their remuneration.

6. To authorise the Directors to determine contributions to charities and other purposes.

BY ORDER OF THE BOARD

(Sgd.)
S S P CORPORATE SERVICES (PRIVATE) LIMITED
Secretaries
Colombo 03

5 May 2026

Note:

(a) A member entitled to attend and vote at the above mentioned meeting is entitled to appoint a Proxy to attend and vote instead of him/her. Such Proxy needs not be a member of the Company.

(b) A Form of Proxy is annexed to this notice.

(c) The completed Form of Proxy should be deposited at the Registered Office of the Company, No. 15, Rock House Lane, Colombo 15 not later than 48 hours before the time appointed for the holding of the meeting.

(d) Shareholders/proxy holders are requested to bring with them their National Identity Cards or any other form of clear/valid identification and present same at the time of registration.

Form of Proxy

I/We, ...(NIC No.....)

of ..... being a member/s of Three Acre Farms PLC, hereby appoint

..... (NIC No.....) of..... or failing him

Mr. Wickrema Senaka Weerasooria	of Colombo or failing him
Mr. Cheng Chih Kwong	of Singapore or failing him
Mr. Bernard Cheng Koh Chuen	of Singapore or failing him
Mr. Sunil Leeniyagoda	of Colombo or failing him
Mr. Indrajit Asela Wickramasinghe	of Colombo or failing him
Mr. Timothy Allan Brent Speldewinde	of Colombo

as my/our Proxy to represent me/us and vote on my/our behalf at the Annual General Meeting of the Company to be held on 27 May 2026 and at any adjournment thereof and at every poll which may be taken in consequence of the aforesaid meeting and to VOTE as indicated below:

	For	Against
Ordinary Business		
1. To receive and consider the Report of the Board of Directors on the State of Affairs of the Company and the Financial Statements for the year ended 31 December 2025, with the Report of the Auditors' thereon.		
2. To re-elect Mr. Indrajit Asela Wickramasinghe, Director who retires by rotation at the Annual General Meeting in terms of Article 87 of the Articles of Association of the Company.		
3. To re- appoint Mr. Cheng Chih Kwong, who is over 70 years of age as a Director of the Company by passing the Ordinary Resolution set out in the Notice of Meeting.		
4. To re-appoint Mr. S. Leeniyagoda who is over 70 years of age as a Director of the Company by passing the Ordinary Resolution set out in the Notice of Meeting.		
5. To re-appoint Messrs, KPMG, Chartered Accountants as Auditors and to authorise the Directors to determine their remuneration.		
6. To authorise the Directors to determine Contributions to charities and other purposes.		

As witness my/our hand/this .....day of .....Two Thousand and Twenty Six.

Signature: .....

Note : Please delete the inappropriate words.

1. Instructions for completion of proxy are noted on the next page
2. A proxy needs not be a member of the Company
3. Please mark "X" in appropriate cages, to indicate your instructions as to voting

Form of Proxy

INSTRUCTIONS TO COMPLETION OF FORM OF PROXY

1. Kindly perfect the Form of Proxy by filling in legibly your full name and address, your instructions as to voting, by signing in the space provided and filling in the date of signature.
2. Please indicate with a 'X' in the cages provided how your proxy is to vote on the Resolutions. If no indication is given the Proxy in his/her discretion may vote as he/she thinks fit.
3. The completed Form of Proxy should be deposited at the Registered Office of the Company at No. 15, Rock House Lane, Colombo 15, at least 48 hours before the time appointed for holding of the Meeting.
4. If the form of proxy is signed by an attorney, the relative power of attorney should accompany the completed form of proxy for registration, if such power of attorney has not already been registered with the Company.

Note:

If the shareholder is a Company or body corporate, Section 138of the Companies Act No.7 of 2007 applies to Corporate Shareholders of Three Acre Farms PLC. Section 138 provides for representation of Companies at meetings of other Companies. A Corporation, whether a Company within the meaning of this act or not, may-where it is a member of another Corporation, being a Company within the meaning of this Act, by resolution of its Directors or other governing body authorise such person as it thinks fit to act as its representative at any meeting of the Company. A person authorised as aforesaid shall be entitled to exercise the same power on behalf of the Company which it represents as that Company could exercise if it were an individual shareholder.

Corporate Information

Company Name
Three Acre Farms PLC

Legal Form
A Public Quoted Company with limited liability, incorporated in Sri Lanka in 1963.

Company Registration No.
PQ 195

Holding Company
Ceylon Grain Elevators PLC

Registered Office
No.15, Rock House Lane, Colombo 15, Sri Lanka.
Tel : +94 11 2522556 or 8 / 2523580 / 2526249 / 2497000 / 2526378 to 2526383
Fax : +94 11 2524163
E-mail : info.cge@prima.com.lk

Subsidiary Companies
Millennium Multibreeder Farms (Private) Limited
Ceylon Pioneer Poultry Breeders Limited

Bankers
Hatton National Bank PLC
Nations Trust Bank PLC
National Development Bank PLC
Bank of Ceylon
Seylan Bank PLC
Union Bank of Colombo PLC
Commercial Bank of Ceylon PLC

Lawyers
Varners Lanka Law Office
D.L. & F. De Saram

Auditors
KPMG, Colombo, Sri Lanka

Company Secretary
S S P Corporate Services (Private) Limited
No. 101, Inner Flower Road, Colombo 3

Board of Directors

Mr. Wickerma Senaka Weerasooria
Non-Executive Chairman

Mr. Cheng Chih Kwong
Executive Director and Chief Executive Officer

Mr. Bernard Cheng Koh Chuen
Non-Executive Director

Mr. Sunil Leeniyagoda
Non-Executive Director

Mr. I. A. Wickramasinghe
Non-Executive Independent Director

Mr. T. A. B. Speldewinde
Non-Executive Independent Director

Management

Mr. K. A. R. S. Perera
General Manager

Mr. Chng Sun Tick
AGM (Farms)

Mr. Akram Ansar
Financial Controller

Mr. Jeff-Li Zhen Jie
AGM (Technical)

Mr. Sumith Peiris
AGM (Material Management)

Mr. Neil Jayaweera
AGM (Processing)

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